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PART I // MODULES 01 TO 04 · CASES #01 TO #24

LAW OF AGENCY, INDIAN PARTNERSHIP ACT, 1932 & LLP ACT, 2008

MODULE 01 // Topic 1 · Agency & Partnership

Cases #01 – #07

Concept of Agency & The Nature of Partnership (including LLP)

Indian Contract Act, 1872: Ss. 182-238 · Indian Partnership Act, 1932: Ss. 4-8 · LLP Act, 2008

Concept of Agency — Indian Contract Act, 1872 (Sections 182–238)

1.1 Why "Agency" opens the Partnership paper

Partnership is itself built on agency. *Section 18 of the Indian Partnership Act, 1932* declares that "a partner is the agent of the firm for the purposes of the business of the firm", and *Section 4* defines partnership as a business "carried on by all or any of them **acting for all**". The Supreme Court in **K.D. Kamath & Co. v. CIT** (DU case material) said expressly: *"There is implicit in the second requirement the principle of agency."* Lord Wensleydale in **Cox v. Hickman** put it even more bluntly — *"The law as to partnership is undoubtedly a branch of the principal and agent."*

So the DU syllabus deliberately begins Special Contracts with agency: **you cannot answer a single partnership question without the vocabulary of agency.**

1.2 Statutory Definitions — Sections 182 to 185

SECTION 182 — "AGENT" AND "PRINCIPAL" DEFINED

An **"agent"** is a person employed to do any act for another, or to represent another in dealings with third persons. The person for whom such act is done, or who is so represented, is called the **"principal"**.

ANATOMY OF SECTION 182 — FIVE THINGS TO WRITE IN THE EXAM

1. **Two-fold function:** the agent may (a) be employed *to do an act* for another, OR (b) *to represent* another in dealings with third persons. Either is enough.
2. **Employment, not contract of service:** the word used is "employed" — agency need not be a contract of employment; it may be gratuitous (s. 185: consideration is not necessary).
3. **Consent / authorisation:** the essence is that the principal *authorises*; without authorisation there is no agency (though later ratification can cure it — ss. 196–200).
4. **Third person must exist in contemplation:** the agent is the channel through which the principal deals with the outside world (s. 226).
5. **No formalities:** agency may be created orally, in writing, or by conduct; no writing or registration is required (contrast: a Power of Attorney for *immovable* property must be registered under s. 17(1)(g), Registration Act, 1908).

SECTION 183 — WHO MAY EMPLOY AN AGENT

Any person who is of the age of majority according to the law to which he is subject, and who is of sound mind, may employ an agent.

Rules under s. 183:

- **Major + sound mind** = competent to appoint. A minor cannot appoint an agent (his agreements are void ab initio — *Mohori Bibee v. Dharmodas Ghose*, (1903) 30 IA 114).
- The *law to which he is subject* governs majority — so in India, the **Indian Majority Act, 1875** (age 18; and 21 where a guardian of person/property has been appointed by court).
- **A company**, **a firm**, **an LLP**, **a HUF** (through its karta), **a trustee**, **the Government** (Art. 299, Constitution) may all appoint agents — but only through their authorised human organs.
- **Alien enemy, foreign sovereign, insolvent** — special rules apply; an insolvent cannot appoint an agent to deal with property that has vested in the Official Assignee.

SECTION 184 — WHO MAY BE AN AGENT

As between the principal and third persons, **any person may become an agent**; but **no person who is not of the age of majority and of sound mind can become an agent**, so as to be responsible to his principal according to the provisions in that behalf herein contained.

THE CLASSIC DU TRAP — S.184 HAS TWO LIMBS. LEARN THEM SEPARATELY.

Limb	Rule	Consequence
Limb 1 — *vis-à-vis third persons*	**ANY person** may become an agent (including a minor, a person of unsound mind, even a non-human? no — but a minor yes).	The contract made by a minor-agent between the principal and third party is **valid and binding** on the principal and the third party. The third party cannot escape by saying "your agent was a minor".
Limb 2 — *vis-à-vis his own principal*	A **minor or person of unsound mind cannot be held responsible to his principal** under ss. 211–225.	The principal cannot sue the minor agent for accounts (s.213), for breach of duty (s.212), for misconduct, etc. The internal remedies disappear; only the external validity remains.

Exam illustration: P, a businessman, authorises M, aged 17, to sell his goods. M sells to T. Later M misappropriates the sale proceeds. *Held:* The sale to T is valid and binds P (Limb 1); T gets good title. But P **cannot** sue M under s. 213 for accounts or under s. 212 for want of skill (Limb 2) — M is not "responsible to his principal according to the provisions in that behalf herein contained".

SECTION 185 — CONSIDERATION NOT NECESSARY

No consideration is necessary to create an agency.

Agency is therefore one of the exceptional agreements valid without consideration (along with those under ss. 25(1) and 25(2) — natural love and affection, and compensation for past voluntary services). This is why a purely **gratuitous agent** is a perfectly lawful agent — he simply loses the right to remuneration under s. 219, but he still owes the duties under ss. 211–218 and still binds his principal.

1.3 Essentials of a valid agency (checklist)

#	Essential	Source	Note for the exam
1	Competent principal	s. 183	Major + sound mind; law of the land governs majority
2	Agent may be anyone	s. 184	But minor/unsound-mind agent not liable to principal
3	Consideration not necessary	s. 185	Gratuitous agency valid

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#	Essential	Source	Note for the exam
4	Authority — express or implied	ss. 186–188	The heart of agency
5	Lawful object	ss. 23, 224	Employer of agent to do a *criminal* act is not liable (s. 224)
6	Principal must be in existence & ascertainable	Judicial	A person cannot be an agent of a non-existent principal (relevant for pre-incorporation contracts)

1.4 Creation & Kinds of Agency

Agency arises in **five** ways. The DU exam expects you to list them and give the section for each.

1.5 Scope & Limitation of Authority — Sections 186 to 189

SECTION 186 — AUTHORITY MAY BE EXPRESSED OR IMPLIED

The authority of an agent may be expressed or implied.

SECTION 187 — DEFINITIONS OF EXPRESS AND IMPLIED AUTHORITY

An authority is said to be **express** when it is given by words spoken or written. An authority is said to be **implied** when it is to be inferred from the circumstances of the case; and things spoken or written, or the ordinary course of dealing, may be accounted circumstances of the case.

SECTION 188 — EXTENT OF AGENT'S AUTHORITY

An agent having an authority to do an act has authority to do **every lawful thing which is necessary** in order to do such act.

An agent having an authority to carry on a business has authority to do **every lawful thing necessary for the purpose, or usually done in the course of**, conducting such business.

Illustration (b) to s. 188: A is employed by B, a shopkeeper, to conduct his shop. A may order goods required in the shop, and may give receipts for them — but A cannot bind B by borrowing money at interest (that is not "necessary" or "usually done").

SECTION 189 — AGENT'S AUTHORITY IN AN EMERGENCY

An agent has authority, **in an emergency**, to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances.

THE THREE-LIMB TEST OF S. 188 — WRITE IT AS A FORMULA

Express authority + implied authority, where implied =

1. **Incidental authority** — everything *necessary* to do the authorised act;
2. **Customary authority** — everything *usually done* in that trade/business (usage of trade, s. 1 of ICA saves usage);
3. **Emergency authority** — s. 189, judged by the standard of "a person of ordinary prudence".

Cross-link to Partnership Act: s. 19 (implied authority of a partner), s. 20 (extension/restriction of implied authority by contract — restriction binds *only* those third parties who *know* of it) and s. 21 (partner's authority in an emergency) are the *partnership version* of ss. 187–189. Quote both sets in one answer and you get full marks.

1.6 Appointment of a Sub-Agent — Sections 190 to 195

THE GENERAL RULE: DELEGATUS NON POTEST DELEGARE

A delegate cannot further delegate. If I choose *you* as my agent because of your personal skill, judgment or confidence, you cannot hand my work over to a stranger. This is the Latin maxim that underlies s. 190 — and its exceptions are what the examiner is really testing.

SECTION 190 — WHEN AGENT CANNOT DELEGATE

An agent **cannot lawfully employ another** to perform acts which he has expressly or impliedly undertaken to perform personally, *unless* —

1. by the **ordinary custom of trade** a sub-agent may be employed; or
2. from the **nature of the agency**, a sub-agent must be employed.

SECTION 191 — "SUB-AGENT" DEFINED

A "sub-agent" is a person **employed by, and acting under the control of, the original agent** in the business of the agency.

Point	Sub-Agent (s. 191)	Substituted / Named Agent (s. 194)
Who appoints	The original agent, on his own account	Original agent, *but* under express/implied authority from the principal to name another
Under whose control	Under the **control of the original agent**	Not under the original agent's control — acts for the principal
Privity with principal	No direct privity	**Direct privity** — he is an agent of the principal
Liability of original agent to principal for the delegate's acts	**YES** — s. 193 (agent is responsible for sub-agent)	**NO** — s. 195, liability only for *want of ordinary prudence in choosing him*
Liability of principal to third parties	Bound by sub-agent's acts done in course of employment (s. 192)	Bound — the named agent *is* his agent
Right of sub/named agent against principal	Cannot sue principal for commission (can sue only the agent), except for fraud or wilful wrong	Can sue the principal directly
Termination	Sub-agent's authority terminates with the agent's authority (s. 210)	Determined by the terms of his own appointment

SECTION 192 — REPRESENTATION OF PRINCIPAL BY SUB-AGENT PROPERLY APPOINTED

Where a sub-agent is **properly appointed**, the principal is, so far as regards third persons, **represented by the sub-agent**, and **is bound by and is responsible for his acts**, as if he were an agent originally appointed by the principal.

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Agent's responsibility for sub-agent: the **agent is responsible to the principal for the acts of the sub-agent**.

Sub-agent's responsibility: the sub-agent is responsible for his acts **to the agent**, but not to the principal, **except in cases of fraud and wilful wrong**.

SECTION 193 — AGENT'S RESPONSIBILITY FOR SUB-AGENT APPOINTED WITHOUT AUTHORITY

Where an agent, **without having authority** to do so, has appointed a person to act as a sub-agent, the agent stands towards such person **in the relation of a principal to an agent**, and is responsible for his acts **both to the principal and to third parties**; the principal is **not** represented by, or responsible for the acts of, the person so employed; nor is that person responsible to the principal.

SECTION 194 — RELATION BETWEEN PRINCIPAL AND PERSON DULY APPOINTED BY AGENT TO ACT IN BUSINESS OF AGENCY

Where an agent, holding an express or implied authority to **name another person** to act for the principal in the business of the agency, **has named another person accordingly**, such person is **not a sub-agent**, but an **agent of the principal** for such part of the business of the agency as is entrusted to him.

SECTION 195 — AGENT'S DUTY IN NAMING SUCH PERSON

In selecting such agent for his principal, the original agent is bound to exercise **the same amount of discretion as a man of ordinary prudence would exercise in his own case**; and, if he does this, he is **not responsible** to the principal for the acts or negligence of the agent so selected.

1.7 Ratification — Sections 196 to 200

SECTION 196 — RIGHT OF PERSON AS TO ACTS DONE FOR HIM WITHOUT HIS AUTHORITY. EFFECT OF RATIFICATION

Where acts are done by one person on behalf of another, but **without his knowledge or authority**, he may **elect to ratify or to disown such acts**. If he ratify them, **the same effects will follow as if they had been performed by his authority**.

SECTION 197 — RATIFICATION MAY BE EXPRESSED OR IMPLIED

Ratification may be expressed, or may be **implied in the conduct** of the person on whose behalf the acts are done. *Illustration (a):* A, without authority, buys goods for B. Afterwards B sells them to C on his own account; B's conduct **implies a ratification** of the purchase. *Illustration (b):* A, without B's authority, lends B's money to C. Afterwards B **accepts interest on the money from C**. B's conduct implies a ratification of the loan.

SECTION 198 — KNOWLEDGE REQUISITE FOR VALID RATIFICATION

No valid ratification can be made by a person whose knowledge of the facts of the case is materially defective.

SECTION 199 — EFFECT OF RATIFYING UNAUTHORIZED ACT FORMING PART OF A TRANSACTION

A person ratifying an unauthorized act done on his behalf **ratifies the whole of the transaction** of which such act formed a part.

SECTION 200 — RATIFICATION OF UNAUTHORIZED ACT CANNOT INJURE THIRD PERSON

An act done by one person on behalf of another, without such other person's authority, **cannot, if ratified, have the effect of injuring a third person**; *unless* the third person, at the time of doing the act, knew that there was no authority, and that it was intended that the person doing the act should **take the risk** of ratification or repudiation.

The Doctrine of Relation Back

Ratification is not a fresh contract — it is an **election** that relates back to the date of the unauthorised act (*omnis ratihabitio retrotrahitur et mandato priori aequiparatur*). Once ratified, the position is *as if* the agent had authority from the very beginning. That is why the principal can sue the third party *directly* on the ratified contract.

SIX CONDITIONS FOR VALID RATIFICATION — ONE LINE EACH

1. **Act must be done on behalf of another** and in his name / for his benefit (s. 196).
2. **Principal must be in existence and competent** at the time of the act — a company cannot ratify a pre-incorporation contract (*Kelner v. Baxter*, (1866) LR 2 CP 174).
3. **Ratification must be within a reasonable time** and before the third party withdraws (s. 200).
4. **Full knowledge of material facts** — no valid ratification if knowledge is "materially defective" (s. 198).
5. **Must not injure a third person** (s. 200).
6. **Must be of the whole transaction** — you cannot ratify the beneficial part and disown the onerous part (s. 199). *You take the bitter with the sweet.*

CLASSIC RATIFICATION ILLUSTRATIONS (FROM THE ACT + DU PATTERN)

Facts	Ratification?	Reason
A, without authority, buys goods for B. B later sells those goods to C on his own account.	YES — implied	s. 197 ill. (a) — conduct implies ratification
A, without B's authority, lends B's money to C. B accepts interest from C.	YES — implied	s. 197 ill. (b); s. 199 — whole loan ratified, not just interest
A holds a lease from B terminable on 3 months' notice. C, an unauthorised person, gives notice of termination to A. Can B ratify it?	NO	*(Actual DU question)* A notice to determine a tenancy is a unilateral act addressed to A; it cannot be ratified so as to bind A. B must give his own notice. Ratification cannot manufacture a notice that never emanated from the landlord.
P authorises A to buy goods at market rate. A buys at a higher rate; P accepts the purchase. Later P learns the goods belonged to A himself.	NOT binding on P	*(Actual DU question)* Knowledge was materially defective at the moment of "acceptance" (s. 198); also an agent cannot sell his own goods to his principal without consent (s. 215) — such a transaction is voidable at the principal's option.

1.8 Revocation & Termination of Authority — Sections 201 to 210

SECTION 201 — TERMINATION OF AGENCY

An agency is terminated by —

1. the principal **revoking his authority**; or
2. the agent **renouncing the business** of the agency; or

3. the **business of the agency being completed**; or
4. **either the principal or agent dying** or **becoming of unsound mind**; or
5. the principal being **adjudicated an insolvent** under the provisions of any Act for the time being in force for the relief of insolvent debtors.

The detailed rules

Section	Rule	Practical effect
s. 202	**Termination of agency where agent has an interest in subject-matter.** Where the agent has himself an *interest in the property which forms the subject-matter of the agency*, the agency cannot, in the absence of an express contract, be terminated to the prejudice of such interest.	Irrevocable agency. E.g. A gives B authority to sell A's land and to pay himself out of the proceeds a debt A owes B — A cannot revoke, and the agency survives A's death/insanity.
s. 203	**When principal may revoke agent's authority.** The principal may, save as is otherwise provided by s. 202, revoke the authority given to his agent *at any time before the authority has been exercised so as to bind the principal*. — *Partial revocation:* the principal may revoke a general authority and retain a particular one, or vice-versa.	Once the agent has acted and the third party is bound, revocation is too late — it cannot undo a completed contract.
s. 204	**Revocation where authority has been partly exercised.** The principal cannot revoke the authority given to his agent *after the authority has been partly exercised*, so far as regards such acts and obligations as arise from acts already done in the agency.	Protects the third party and the agent for things already set in motion.
s. 205	**Compensation for revocation by principal, or renunciation by agent.** Where there is an *express or implied contract* that the agency should be continued for any period of time, the principal must make compensation to the agent, or the agent to the principal, as the case may be, for any previous revocation or renunciation of the agency *without sufficient cause*.	This is the damages remedy — the revocation itself is still valid; only compensation follows. (Contrast s. 202, where revocation is *ineffective*.)
s. 206	**Notice of revocation or renunciation.** Reasonable notice must be given of such revocation or renunciation; otherwise the damage thereby resulting to the principal or the agent, as the case may be, must be made good to the one by the other.	Notice + reasonable time.
s. 207	**Revocation and renunciation may be expressed or implied** in the conduct of the principal or agent respectively.	E.g. principal appoints another agent for the same act = implied revocation of the first.
s. 208	**When termination of agent's authority takes effect.** As against the *agent* — when it *becomes known to him*; as against *third persons* — when it *becomes known to them*.	Protection of innocent third parties. Compare s. 45, Partnership Act — a partner's authority continues after dissolution until public notice is given.
s. 209	**Agent's duty on termination of agency by principal's death or insanity.** When an agency is terminated by the principal dying or becoming of unsound mind, the agent is bound to take, on behalf of the representatives of his late principal, *all reasonable steps for the protection and preservation of the interests entrusted to him*.	Agency is dead, but a residual duty survives.
s. 210	**Termination of sub-agent's authority.** The termination of the authority of an agent causes the termination (subject to the rules herein contained regarding the termination of an agent's authority) of the authority of *all sub-agents appointed by him*.	Derived authority falls with the principal authority.

REVOCATION VS RENUNCIATION — NEVER CONFUSE THESE IN THE ANSWER SCRIPT

	REVOCATION	RENUNCIATION
Who does it	The **principal** withdraws the authority	The **agent** gives up the business of the agency
Section	s. 201(1); ss. 203–204	s. 201(2)
Compensation	s. 205 — principal compensates agent if agency was for a period and revocation is without sufficient cause	s. 205 — agent compensates principal if he renounces without sufficient cause / at the wrong time
Notice	s. 206 required	s. 206 required
Bar	s. 202 — cannot revoke where agent has an interest in the subject-matter; ss. 203–204 — cannot revoke once authority is exercised / partly exercised	No equivalent absolute bar, but s. 205/206 damages + duty to give reasonable notice

1.9 Rights, Duties and Liabilities of Principal & Agent — Sections 211 to 225

A. Duties of the AGENT (ss. 211–218)

- **s. 211** — Conduct the principal's business according to the principal's directions; in the absence of directions, according to the *custom* prevailing in the same business at the place.
- **s. 212** — Exercise the *skill and diligence* of a person of ordinary prudence; the agent must compensate the principal for direct consequences of his neglect, want of skill or misconduct. (But *not* for remote/indirect loss.)
- **s. 213** — **Render proper accounts** to the principal on demand.
- **s. 214** — Communicate with the principal; use all reasonable diligence in communicating; obtain his instructions in cases of difficulty.
- **s. 215** — **Not to deal on his own account** in the business of the agency without the principal's prior consent and full disclosure of material circumstances. If he does, the principal may *repudiate the transaction* if the case falls within s. 215's conditions.
- **s. 216** — If the agent so deals on his own account without consent, the principal is entitled to **claim from the agent any benefit which may have resulted to him** from the transaction.
- **s. 217** — Right of the agent to *retain* out of sums received on the principal's account all moneys due to himself in respect of advances, expenses and remuneration.

B. Rights of the AGENT (ss. 217, 219–225)

- **s. 217** — **Right of retainer** (self-help deduction) out of sums received, for advances, expenses and remuneration.
- **s. 219** — **Remuneration** becomes due only when the agent has *rendered the service / completed the act*. (Illustration: an agent employed to sell a house earns commission only on actual sale.)
- **s. 220** — **No remuneration for business misconducted.** An agent who is guilty of misconduct in the business of the agency is not entitled to any remuneration in respect of that part of the business which he has misconducted.
- **s. 221** — **Agent's lien** — in the absence of any contract to the contrary, the agent may retain goods, papers and other property (movable or immovable) of the principal received by him, until his dues for remuneration, disbursements and services are paid or accounted for.
- **s. 222** — **Indemnity for lawful acts.** The employer of an agent is bound to indemnify him against the consequences of all *lawful acts* done by the agent in exercise of the authority conferred.
- **s. 223** — **Indemnity for acts done in good faith.** Where the act is done in good faith though it causes injury to a third person, the principal must indemnify the agent.
- **s. 224** — **Non-liability of employer for a criminal act.** Where the agent does a *criminal* act (*not* merely an act "not lawful"), the

- **s. 218** — Duty to **pay over** all sums received on the principal's account, after deductions under s. 217.

employer is *not* liable to the agent, and the agent is *not* entitled to indemnity — even though the act was directed by the employer.

- **s. 225** — **Compensation for injury by the principal's neglect or want of skill.**

STATUTORY TEXT WORTH REPRODUCING

SECTION 224 — NON-LIABILITY OF EMPLOYER OF AGENT TO DO A CRIMINAL ACT

Where one person employs another to do an act which is **criminal**, the employer is **not liable to the agent**, either upon an express or an implied promise, to indemnify him against the consequences of that act.
Illustrations: (a) A employs B to beat C and agrees to indemnify him against all consequences — B is not entitled to be indemnified. (b) A, a engineer, directs B, his assistant, to lower the speed of a train in a manner which is *not* criminal — A must indemnify B.

SECTION 215 — RIGHT OF PRINCIPAL WHEN AGENT DEALS ON HIS OWN ACCOUNT IN BUSINESS OF AGENCY WITHOUT PRINCIPAL'S CONSENT

If an agent deals on his own account in the business of the agency, without first obtaining the consent of his principal and acquainting him with **all material circumstances** which have come to his own knowledge on the subject, the principal may **repudiate the transaction**, if the case shows either —

1. that any *material fact* has been **dishonestly concealed** from him by the agent; or
2. that the dealings of the agent have been **disadvantageous to him**.

SECTION 216 — PRINCIPAL'S RIGHT TO BENEFIT GAINED BY AGENT DEALING ON HIS OWN ACCOUNT IN BUSINESS OF AGENCY

If an agent, without the knowledge of his principal, deals in the business of the agency **on his own account instead of on account of his principal**, the principal is entitled to **claim from the agent any benefit which may have resulted to him from the transaction**.

Situation	Provision	Outcome
Agent buys goods for principal but secretly sells his own goods to him	s. 215 + s. 216	Principal may repudiate **and** claim the profit
Agent employed to sell a house; owner himself sells it before the agent finds a buyer	s. 219	No commission — the act was not completed by the agent
Agent misappropriates ₹1 lakh of the principal's money, but honestly executed the rest of the business	s. 220	Remuneration lost only for the *part* misconducted
Agent lawfully defends a suit on behalf of principal and incurs costs	s. 222	Principal must indemnify
Agent honestly but wrongly detains goods believing them to be the principal's; third party sues him	s. 223	Principal indemnifies — act done in good faith
Principal asks agent to forge a document; agent is prosecuted and fined	s. 224	**No indemnity** — the act was criminal
Principal negligently stores dangerous chemicals; agent is injured	s. 225	Principal must compensate the agent
Principal dies; agent holds consignment stock	s. 209	Agency ended, but duty to protect the estate continues

THE DU CASE ON AN AGENT SUING HIS PRINCIPAL — NARANDAS MORARDAS GAJIWALA V. S.P.A.M. PAPAMMAL (AIR 1967 SC 333)

The problem: s. 213 obliges the *agent* to render accounts; there is **no** statutory provision giving an *agent* the right to sue his *principal* for accounts. The Supreme Court held that the Contract Act is **not exhaustive**, and an agent has an **equitable right** to sue for accounts in *special circumstances*. Full analysis in Part C.

1.10 Principal, Agent and Third Parties — Sections 226 to 238

S.	Heading	Rule	Exam line
226	Enforcement and consequences of agent's contracts	Contracts entered into through an agent, and obligations arising from acts done by an agent, may be enforced in the same manner, and will have the same legal consequences, as if the contracts had been entered into and the acts done by the principal in person.	*Qui facit per alium facit per se.* The foundation section.
227	Principal how far bound when agent exceeds authority	Where the agent does *more* than he is authorised to do, and the **part within his authority can be separated** from the part beyond it, **only the part within his authority is binding** on the principal.	**Severability rule.** Binding part survives; excess is dropped.
228	Principal not bound when excess of agent's authority is not separable	If the part within authority **cannot be separated** from the part beyond it, the principal is **not bound to recognise the transaction at all**.	All-or-nothing. But he may elect to ratify (s. 196).
229	Consequences of notice given to agent	Any notice given to, or information obtained by, the agent in the course of the business **transacted by him for the principal** shall, as between the principal and third parties, have the **same legal consequences as if it had been given to / obtained by the principal**.	Constructive notice. Partner analogue: **s. 24, PA 1932** (notice to a partner who habitually acts = notice to the firm).
230	Agent cannot personally enforce, nor be bound by, contracts on behalf of principal	In the **absence of any contract to that effect**, an agent **cannot personally enforce** contracts entered into by him on behalf of his principal, **nor is he personally bound by them**. *Presumption of a contract to the contrary shall arise* where: (1) the contract is made by an agent for the sale or purchase of goods **for a merchant resident abroad**; (2) the agent **does not disclose the name** of his principal; (3) the principal, though disclosed, **cannot be sued**.	The **general rule = agent drops out**; three presumptive exceptions. *DU loves sub-rule (2).*

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S.	Heading	Rule	Exam line
231	Rights of parties to a contract made by agent not disclosed	If an agent makes a contract with a person who **neither knows nor has reason to believe that he is an agent**, his principal may **require the performance** of the contract; but the other contracting party has, as against the principal, the **same rights as he would have had against the agent if the agent had been the principal**. If the principal **discloses himself before the contract is completed**, the other contracting party may **refuse to fulfil** the contract if he can show that had he known who the principal was, or that the agent was not a principal, he would **not have entered into the contract**.	Undisclosed principal — rights and equities preserved.
232	Performance of contract with agent supposed to be principal	Where one man makes a contract with another, **neither knowing nor having reasonable ground to suspect that the other is an agent**, the principal, if he requires the performance of the contract, can only obtain such performance **subject to the rights and obligations subsisting between the agent and the other party to the contract**.	Principal takes subject to equities / set-off.
233	Right of person dealing with agent personally liable	In cases where the agent is personally liable, a person dealing with him may hold **either him or his principal, or both of them, liable**.	Election — but not double recovery.
234	Consequence of inducing agent or principal to act on belief that principal or agent will be held exclusively liable	Where a person induces an agent to act upon the belief that the principal only will be held liable, or induces the principal to act upon the belief that the agent only will be held liable, he **cannot afterwards hold liable the agent or principal respectively**.	Estoppel by representation.
235	Liability of pretended agent	A person untruly representing himself to be the authorised agent of another, and thereby inducing a third person to deal with him as such agent, is liable, if his alleged employer **does not ratify his acts**, to **make compensation to the other** in respect of any loss or damage caused by his so dealing.	**Warranty of authority.** The fallback when ratification fails.
236	Person falsely contracting as agent not entitled to performance	A person with whom a contract has been entered into in the character of agent is **not entitled to require the performance of it** if he was in reality acting, not as agent, but **on his own account**.	No one may sue on a contract he made pretending to be an agent while acting for himself.
237	Liability of principal inducing belief that agent's unauthorised acts were authorised	Where an agent has, **without authority**, done acts or incurred obligations to third persons on behalf of his principal, the principal is **bound by such acts or obligations**, if he has **by his words or conduct induced** such third persons to believe that such acts and obligations were within the scope of the agent's authority.	**Agency by estoppel / holding out.** The statutory twin of **s. 28, PA 1932**.
238	Effect, on agreement, of misrepresentation or fraud by agent	Misrepresentations made, or frauds committed, by agents acting in the course of their business for their principals, have the **same effect** on agreements made by such agents **as if such misrepresentations or frauds had been made or committed by the principals**; but misrepresentations made, or frauds committed, by agents **in matters which do not fall within their authority**, **do not affect their principals**.	The inside-authority / outside-authority divide. Compare **s. 26, PA 1932** and *Hamlyn v. Houston & Co.*

The Nature of Partnership — Indian Partnership Act, 1932 (Sections 4–8)

2.1 Section 4 — "Partnership", "Partner", "Firm" and "Firm name"

SECTION 4 — DEFINITION (VERBATIM, AS IN THE ACT)

"Partnership" is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

Persons who have entered into partnership with one another are called individually **"partners"** and collectively **"a firm"**, and the name under which their business is carried on is called the **"firm name"**.

ANATOMY OF SECTION 4 — SIX ELEMENTS, EACH OF WHICH THE EXAMINER CAN ISOLATE

#	Element	What it means	What kills it if absent
1	**"Relation"**	Not a contract per se, but a *relation resulting from a contract*. Partnership is the *status/relation*; the partnership deed is the contract that creates it.	No relation → no partnership even if a deed exists
2	**"Between persons"**	At least **two** persons. Individuals, and (since 1932 + Companies Act) a firm/company may be a partner in another firm; but a *minor* cannot be a *partner* — only admitted to benefits (s. 30).	Sole proprietorship; a "firm" of one is impossible (s. 6(1), LLP Act requires ≥2 partners too)
3	**"Agreement"**	Must be a **contract** — consensus ad idem (s. 2(e), ICA). s. 5: arises from contract, **not from status**. May be express or implied (s. 11(1) — implied by a course of dealing).	Co-ownership; HUF; inheritance; a widow taking her husband's share (s. 6, Expl. 2(c))
4	**"To share the profits"**	The *motive* of every partnership. Note the Act says **profits**, not profits *and* losses — but agreement to share losses is strong evidence.	Fixed salary, fixed rent, fixed interest — no partnership
5	**"Of a business"**	s. 2(b), PA 1932: "business" includes **every trade, occupation and profession**. An isolated adventure may be business (s. 8 — particular partnership).	Club, charity, a purely social association (see *s. 6 Expl. 2* discussion)
6	**"Carried on by all or any of them acting for all"**	**THE TEST OF MUTUAL AGENCY** — the conclusive test. Every partner is both principal and agent (s. 18).	Mere sharing of profits (s. 6 Expl. 2); a lender, a servant, a creditor under a deed of arrangement — none is a partner (*Cox v. Hickman*, *Mollwo March*)

Supreme Court's restatement of the s. 4 test — K.D. Kamath & Co. v. CIT (DU case material)

> *"…we would emphasise that the legal requirements under Section 4 of the Partnership Act to constitute a partnership in law are: (1) there must be an agreement to share the profits or losses of the business; and (2) the business must be carried on by all the partners or any of them acting for all. There is implicit in the second requirement the principle of agency." — K.D. Kamath & Co. v. CIT, (1971) 2 SCC 873, para 23 (edited text, DU LB-304 case material p. 7)*

This is **the** modern Indian formulation. Note the Court deliberately *re-worded* the two conditions that High Courts had been stating as "agreement to share profits and losses" + "each partner acting as agent of all", and tied them back to the **actual words of s. 4**. Always quote s. 4 first, then this passage.

Is a firm a separate legal entity?

No — not in the same sense as a company. But Indian law gives the firm a **quasi-legal personality**:

Not a full juristic person

- A firm is only a **collective name** for the individuals who compose it.
- It cannot sue/be sued in its own name (must sue through partners; CPC Order 30).
- It is not a "person" for Art. 19 purposes in the fullest sense.

But a "person" for many purposes

- **Income-tax Act, 1961, s. 2(31)(iv)** — a firm is separately assessable as a "person".
- **CPC, Order 30** — suit by or against firm in the *firm name*.
- **Registration possible** under Chapter VII, PA 1932 (ss. 58–59).

Tax personality

- *Dulichand Laxminarayan v. CIT* — firm not a "person" for s. 4(2), Partnership Act purposes.
- Short note in the DU Partnership Act handout: *Deoha F. Guzdar (Bombay) v. CIT, AIR 1955 SC 74* — **in law the firm name is a compendious method of describing the partners**.

2.2 Section 5 — Partnership not created by status

SECTION 5 — PARTNERSHIP NOT CREATED BY STATUS (VERBATIM)

The relation of partnership **arises from contract and not from status**; and, in particular, the members of a **Hindu undivided family carrying on a family business as such**, or a **Burmese Buddhist husband and wife carrying on business as such**, are **not partners** in such business.

THE THREE WORDS THAT WIN MARKS: CONTRACT, NOT STATUS

Partnership is *consensual*. You cannot become a partner by birth, by marriage, by inheritance, by operation of law, or by being a member of a family that happens to run a business — **unless you actually enter into an agreement**. This single sentence disposes of most "is he a partner?" problem questions.

Basis	Hindu Undivided Family (HUF) business	Partnership firm
Source of the relation	**Status** — birth in the family (s. 5)	**Contract** — agreement (s. 5 read with s. 4)
Who controls	The **Karta** — by status, not by agency. He is *not* an "agent" under s. 182 ICA.	Every partner has a right to take part (s. 12(a)); each is an agent (s. 18)
Membership	Fluctuates by birth, death, adoption, marriage; no agreement needed	Fixed; changes only under ss. 31–33 or by agreement
Minor	A minor coparcener is a full member with rights by birth	A minor cannot be a partner; only admitted to benefits (s. 30)
Liability	Coparceners liable only to the extent of their share in joint family property (unless the karta's acts bind them)	Every partner is **jointly and severally liable without limit** (ss. 25, 26 read with s. 4 and the concept of unlimited liability)
Dissolution	Partition; not governed by ss. 39–44	ss. 39–44, PA 1932
Tax/registration	Separately assessed as an HUF	Registered under s. 58/59 or unregistered
Governing law	Hindu law (now the Hindu Succession Act, 1956 & the Mitakshara school)	Indian Partnership Act, 1932

2.3 Section 6 — Mode of determining the existence of partnership

SECTION 6 — MODE OF DETERMINING EXISTENCE OF PARTNERSHIP (VERBATIM)

In determining whether a group of persons is or is not a firm, or whether a person is or is not a partner in a firm, **regard shall be had to the real relation between the parties, as shown by all relevant facts taken together**.

Explanation 1. The sharing of profits or of gross returns arising from property by persons holding a **joint or common interest in that property does not of itself make such persons partners**.

Explanation 2. The receipt by a person of a share of the profits of a business, or of a payment **contingent upon the earning of profits or varying with the profits earned** by a business, does **not of itself make him a partner** with the persons carrying on the business; and in particular, the receipt of such share or payment —

1. by a **lender of money** to persons engaged or about to engage in any business;
2. by a **servant or agent as remuneration**;
3. by the **widow or child of a deceased partner, as annuity**; or
4. by a **previous owner or part owner of the business, as consideration for the sale of the goodwill or share thereof**,

does not of itself make the receiver a partner with the persons carrying on the business.

The decision-tree you should actually apply in a problem question

WHAT THE PRIVY COUNCIL ACTUALLY SAID ABOUT THE "ONE TERM ONLY" FALLACY

> *"It was contended at the Bar that, whatever may have been the intention, a participation in the net profits of the business was in contemplation of law such cogent evidence of partnership that presumption arose sufficient to establish, as regards third parties, that relation unless rebutted by other circumstances. It appears to their Lordships that the rule of construction involved in this contention is too artificial: for it takes one term only of the contract and at once raises a presumption upon it. Whereas the whole scope of the agreement, and all its terms, ought to be looked at before any presumption of intention can properly be made at all." — Mollwo, March & Co. v. The Court of Wards, (1872) L.R. 4 P.C. 419 (DU case material p. 18)*

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2.4 Sections 7 & 8 — Partnership at will and Particular partnership

Section 7 — Partnership at will

> Where **no provision is made by contract between the partners for (a) the duration of their partnership, or (b) the determination** of their partnership, the partnership is **"partnership at will"**.

- DEFAULT category — if the deed is silent on both duration AND determination, it is at will.
- **Dissolution:** s. 43 — any partner may dissolve by giving **notice in writing** to all the other partners of his intention to dissolve. The firm is dissolved **from the date mentioned in the notice**, or if no date is mentioned, **from the date of communication** of the notice.
- A firm constituted for a fixed term which *continues* after expiry becomes a partnership at will (**s. 17(b)**) — and, importantly, the mutual rights/duties remain the same so far as consistent with the incidents of partnership at will.
- Distinguish: *duration* (how long) vs *determination* (how it ends). Silence on **both** is required. If the deed says "for 7 years", it is **not** at will, even though it is silent on the mode of determination.

Section 8 — Particular partnership

> A person may become a partner with another person **in particular adventures or undertakings**.

- Also called **"particular partnership"** / **"joint venture"** / partnership for a *single adventure*.
- The partnership **automatically ends when the adventure is completed** — no notice is needed (contrast s. 43 for a partnership at will).
- **Is a single venture "carrying on a business"?** Yes — the Supreme Court and the Act both accept that a single adventure can be a business (*DU 2003 asked this directly*).
- **s. 17(c)** — where a firm constituted for one or more adventures carries out *other* adventures, the mutual rights and duties in respect of those other adventures are the **same** as those for the original adventures.
- Contrast **s. 42(b)** — "the expiry of the term" and "the completion of the adventure" are two *separate* grounds of compulsory dissolution.

2.5 Concept & Nature of Unlimited Liability Partnerships

MEANING

An **Unlimited Liability Partnership** is the ordinary partnership governed by the **Indian Partnership Act, 1932**, in which **the liability of every partner (other than a minor admitted to benefits) for the debts and obligations of the firm is unlimited, joint and several, and extends to his** *whole* **personal estate**. There is no ceiling, no corporate veil, and no separate legal person standing between the creditor and the partner's personal assets.

Statutory foundation of unlimited liability

Provision	Content	Effect on liability
s. 4 (definition)	Business "carried on by all or any of them acting for all"	Each partner's act is every partner's act
s. 18	A partner is the agent of the firm for the purposes of the business of the firm	Agency → the firm is bound → all partners are bound
s. 19	Implied authority — acts done "to carry on, in the usual way, business of the kind carried on by the firm" bind the firm	Liability attaches to acts in the ordinary course
s. 20	Implied authority may be extended or restricted by contract; but *notwithstanding any such restriction*, an act within implied authority binds the firm *unless the third person knows of the restriction* or does not know/believe him to be a partner	Private restrictions do NOT protect partners against outsiders
s. 25	**Every partner is liable, jointly with all the other partners and also severally**, for all acts of the firm done while he is a partner	**Joint AND several** — the creditor may sue any one partner for the whole debt
s. 26	The firm is liable to the same extent as the partner for loss or injury caused to third parties by a partner's *wrongful act or omission* acting in the ordinary course of business or with the authority of his partners	Tortious liability also passes to the firm (see *Hamlyn v. Houston & Co.*)
s. 27	Liability for misapplication of money/property received by the firm or by a partner acting within his apparent authority	Protects third parties who deal in good faith
s. 28	**Holding out** — anyone who by *words spoken or written or by conduct* represents himself, or knowingly permits himself to be represented, as a partner is liable as a partner to anyone who gives credit on the faith of that representation	Liability by **estoppel**, even for a non-partner
s. 30(1)–(3)	A minor may be admitted to the *benefits* of partnership; his share is liable for the acts of the firm but **his separate property is not liable**, and he is not personally liable for the firm's debts	The one statutory carve-out from unlimited liability
s. 45	Liability for acts done after dissolution until **public notice**	Liability is sticky — it survives dissolution until notice
s. 49 + CPC O.21	Payment of firm debts and of separate debts; the firm's property is applied first to firm debts, and separate property to separate debts	Marshalling of assets — but the *deficiency* is met from personal estates

WRIT OF EXECUTION AND PARTNERSHIP PROPERTY

Under **CPC, Order 21 Rule 49 & 50**, a decree against a firm may be executed against (i) the partnership property, (ii) the separate property of any partner against whom the decree has been passed (where he has appeared/been served as a partner), and (iii) with leave of the court, the separate property of a partner who has not been served. This is the procedural engine of unlimited liability.

2.6 Distinction between a Partnership, a Limited Liability Partnership and a Company

Basis	Partnership (PA 1932)	LLP (LLP Act 2008)	Company (Companies Act 2013)
Governing statute	Indian Partnership Act, 1932	Limited Liability Partnership Act, 2008 (as amended by the LLP (Amendment) Act, 2021)	Companies Act, 2013 (and earlier, 1956)
Legal status	**Not** a separate legal person. A "firm" is only the collective name of the partners.	**Is a body corporate** and a **legal entity separate from its partners**, with **perpetual succession** (s. 3(1), (2)). Change in partners does not affect its existence, rights or liabilities (s. 3(3)).	**Separate legal entity** and a juristic person (s. 2(20), s. 9; *Salomon v. Salomon*)

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Basis	Partnership (PA 1932)	LLP (LLP Act 2008)	Company (Companies Act 2013)
Registration	**Optional** (Chapter VII, ss. 58–59). Non-registration only creates *procedural* disabilities (s. 69) — the firm is not illegal.	**Compulsory** — an LLP comes into existence only on registration (s. 11–12)	**Compulsory** — incorporation by registration (s. 3, s. 7)
Minimum / maximum members	Minimum **2**. No statutory maximum under the PA 1932 itself, but **s. 464, Companies Act 2013 + s. 11, Companies Act 2013** cap an *unincorporated* association carrying on business for gain at **50** (and 10 for banking).	Minimum **2 partners** (s. 6(1)); **no maximum**. If the number falls below 2 for more than six months, the sole remaining partner is **personally liable** for obligations incurred in that period (s. 6(2)).	One-person company: **1**; private: **2–200**; public: **min. 7, no max.** (s. 2(68), s. 3, s. 149)
Creation	By **agreement** (s. 5); may be oral or implied by conduct. No incorporation.	By **incorporation document** (s. 11) + registration with the Registrar (s. 12) + an **LLP agreement** (s. 2(o)) which must be filed (s. 23(2))	By Memorandum & Articles of Association + incorporation (s. 3, s. 4, s. 7)
Name	Any firm name, subject to general law (passing-off, trademarks)	**Must** end with "Limited Liability Partnership" or "LLP" (s. 15(1)); using it without incorporation is punishable (fine ₹50,000 – ₹5,00,000)	Must end with "Limited" / "Private Limited" (s. 4(1)(a), (b))
Liability of members	**Unlimited, joint AND several** — extends to personal estate (ss. 25, 26). A minor admitted to benefits is the exception (s. 30).	**Limited.** s. 27(3)–(4): an obligation of the LLP is *solely* the obligation of the LLP and is met *out of the property of the LLP*. s. 28(1): a partner is not personally liable merely by reason of being a partner. s. 28(2): he *is* personally liable for **his own** wrongful act or omission, but **not** for that of any other partner. **s. 30 — unlimited liability in case of fraud:** where the LLP or any partner acts with intent to defraud creditors or for any fraudulent purpose, the liability of the LLP and of the partners who so acted is **unlimited for all or any of the debts**.	Limited by shares or by guarantee (s. 2(22), s. 2(21)); may be unlimited (s. 2(92)). Members are not liable for the company's debts.
Agency	Every partner is the **agent of the firm** — and, in substance, of the other partners (**s. 18**). Implied authority under s. 19; restrictions do not bind outsiders without notice (s. 20).	Every partner is the agent **of the LLP**, but **NOT of the other partners** (**s. 26**). s. 27(1): the LLP is *not* bound by a partner's act if he had no authority *and* the third person knew it / did not believe him to be a partner.	A member is **not** an agent of the company; the company acts through its Board and officers (s. 179, ss. 2(59)–(60))
Management	Every partner has a right to take part in conduct (s. 12(a)); ordinary differences by majority (s. 12(c)); change in the nature of business needs *all* partners (s. 12(c))	Governed primarily by the **LLP agreement** (s. 23(1)); absent agreement, the **First Schedule** applies. Requires at least **two designated partners**, individuals, at least one resident in India (s. 7(1))	Board of Directors; management by resolution (ss. 149, 179); separation of ownership and control
Transfer of interest	A share can be assigned, but the assignee gets only the profits — not management rights (s. 29); new partner only with consent of all (s. 31(1))	Cessation/change governed by the LLP agreement; notice to the Registrar (ss. 24, 25)	Shares are freely transferable (public company, s. 58); private company may restrict (s. 2(68))
Perpetual succession / death	Death of a partner dissolves the firm, subject to contract to the contrary (**s. 42(c)**)	**Perpetual succession** (s. 3(2)); a person ceases to be a partner on death but the LLP continues (s. 24(2)(a))	Perpetual succession; shares are heritable
Internal relations	ss. 9–17, PA 1932 (default rules, subject to contract)	s. 23 + First Schedule — **freedom of contract** is far greater; s. 4 expressly makes the **Indian Partnership Act, 1932 inapplicable** to an LLP	Articles of Association + the Act
Accounts / disclosure	No statutory filing for unregistered firms; registered firms file changes under s. 60, 61, 63	Annual return (s. 34) + statement of account & solvency (s. 35); audit if turnover/contribution exceeds the threshold (s. 35(2), Rule 24)	Annual financial statements, board reports, ROC filings, audit (ss. 129–143)
Winding up	Dissolution ss. 39–44; settlement of accounts ss. 46–55	Winding up by the **National Company Law Tribunal (NCLT)** and voluntary winding up (ss. 63–65, Schedule III)	Winding up by NCLT under the IBC, 2016 / ss. 270–303 of the 2013 Act
Sue / be sued	In the name of the firm only through partners (CPC O.30); an unregistered firm suffers s. 69 disabilities	In its own name — s. 14(a): "suing and being sued"	In its own name; it is a juristic person
Property	Property of the firm — s. 14; no separate ownership in the firm's own right	s. 14(b) — the LLP can **acquire, own, hold, develop and dispose of property** (movable, immovable, tangible, intangible) **in its own name**	Company owns its property; members have no direct interest
Common seal	Not applicable	Optional — "having a common seal, *if it decides to have one*" (s. 14(c))	Optional since the 2015 amendment (s. 9(1)(b), proviso)
Foreign nationals as partners	Permitted subject to FEMA/RBI	Permitted, subject to FEMA; at least one designated partner must be resident in India	Permitted, subject to FEMA and s. 149(3) residential-director requirement
Best suited for	Small, trust-based, professional and family businesses with low capital	Professionals, MSMEs, startups, joint ventures — "the benefits of limited liability with the flexibility of organising internal structure as a partnership" (, Q.2)	Large-scale enterprise requiring capital from the public

THE FOUR STATUTORY PROVISIONS THAT CARRY THE WHOLE LLP ANSWER

SECTION 3 — LIMITED LIABILITY PARTNERSHIP TO BE BODY CORPORATE (AS AMENDED BY LLP (AMENDMENT) ACT, 2021)

(1) A limited liability partnership is a **body corporate formed and incorporated under this Act and is a legal entity separate from that of its partners**.
(2) A limited liability partnership shall have **perpetual succession**.
(3) Any change in the partners of a limited liability partnership shall not affect the existence, rights or liabilities of the limited liability partnership.
Section 4 — Non-applicability of the Indian Partnership Act, 1932: Save as otherwise provided, the provisions of the Indian Partnership Act, 1932 shall **not** apply to a limited liability partnership.

SECTION 14 — EFFECT OF REGISTRATION

On registration, a limited liability partnership shall, by its name, be capable of — (a) **suing and being sued**; (b) acquiring, owning, holding and developing or disposing of property, whether movable or immovable, tangible or intangible; (c) having a common seal, if it decides to have one; and (d) doing and suffering such other acts and things as bodies corporate may lawfully do and suffer.

SECTION 26 — PARTNER AS AGENT

Every partner of a limited liability partnership is, for the purpose of the business of the limited liability partnership, **the agent of the limited liability partnership, but not of other partners**.

SECTION 27 — EXTENT OF LIABILITY OF LIMITED LIABILITY PARTNERSHIP

(1) An LLP is **not bound** by anything done by a partner in dealing with a person if (a) the partner in fact has no authority to act for the LLP in doing a particular act, **and** (b) the person knows that he has no authority or does not know or believe him to be a partner of the LLP.
(2) The LLP **is liable** if a partner is liable to any person as a result of a **wrongful act or omission** on his part in the course of the business of the LLP or with its authority.
(3) An obligation of the LLP, whether arising in contract or otherwise, shall be **solely the obligation of the LLP**.
(4) The liabilities of the LLP shall be **met out of the property of the LLP**.

Section 28 — Extent of liability of partner: (1) A partner is *not personally liable* for an obligation of the LLP merely by being a partner. (2) That does not affect his **personal liability for his own wrongful act or omission** — but **he is not liable for the wrongful act or omission of any other partner**.

Section 30 — Unlimited liability in case of fraud: where an act is carried out by the LLP or any of its partners **with intent to defraud creditors** or for any **fraudulent purpose**, the liability of the LLP and of the partners who so acted is **unlimited for all or any of the debts** of the LLP. If the act was that of a partner, the LLP is liable to the same extent *unless* it proves the act was without its knowledge or authority. Punishment: imprisonment up to 2 years and fine.

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #01 – #07

CASE #01 — DU LL.B. PRESCRIBED AUTHORITY

K.D. Kamath & Co. v. Commissioner of Income-tax

(1971) 2 SCC 873 · Supreme Court of India · C.A. Vaidialingam, J. · Bench: J.C. Shah & C.A. Vaidialingam, JJ. · "The entire deed must be considered to decide the existence of partnership" — headnote in the DU case material

FACTS

The appellant was a firm of **six partners** constituted under a deed of partnership dated **20 March 1959**, though the business was recited to have been carried on in partnership from **1 October 1958**. The firm was registered under the Indian Partnership Act, 1932 on about 11 August 1959.

For assessment year 1959–60 the firm applied to the Income-tax Officer under **s. 26-A of the Income-tax Act, 1922** for registration in the name of *M/s K.D. Kamath & Company*. The ITO **refused**, holding that no genuine partnership had been brought into existence and that the business was the **sole concern of K.D. Kamath**. The Appellate Assistant Commissioner confirmed. The Department *did not challenge the genuineness of the document* — only its legal effect.

The **Appellate Tribunal** reversed: it held that the two essential requirements — agreement to share profits, and each party acting as agent of all — were fully satisfied, and directed registration. At the Revenue's instance the Tribunal referred the question of law to the High Court, which **answered against the assessee**. The assessee appealed to the Supreme Court.

The material clauses of the deed (as set out in the DU material):

Clause	Content	Character
Preamble / cl. 1	K.D. Kamath had converted his **sole proprietary concern** into a partnership by admitting parties 2 to 6 as **working partners**, "in view of the appreciation of their honest and sincere services" and so that they too should have material and economic progress. Party No. 1 to be the main financing and managing partner. Business from 1-10-1958 as 'Contractors'.	Supports partnership
Cl. 3	Duration of the partnership shall be **at will**.	Neutral / supports
Cl. 5	Accounts made up on 31 March; **net profits or losses shared by the parties** in specified proportions.	Strong — profit & loss sharing
Cl. 6	Party No. 1 (K.D. Kamath) shall be the **principal and financing partner**; parties 2 to 6 admitted only as **working partners contributing labour**.	Relied on against
Cl. 7	Goodwill of the firm shall belong **wholly and solely** to K.D. Kamath.	Relied on against
Cl. 8	Party No. 1 to have **full right of control and management**; working partners to work according to his instructions; the decision to take new business or give tenders **vests in him alone** and is "final and binding".	Relied on against
Cl. 9	No working partner may **raise a loan for or on behalf of the firm**, or **pledge the firm's interest**, directly or indirectly, except under the written authority of the principal partner.	Relied on against
Cl. 10	Parties 3 to 6 shall not do contract business while partners; works taken by them shall be the business of the firm (restraint, valid under s. 11(2)).	Supports
Cl. 11	Only the **managing partner K.D. Kamath** shall operate bank accounts; any other partner only under his written authority intimated to the bank.	Relied on against
Cl. 12	Principal partner may **remove** a working partner not acting in the firm's interest; outgoing partner gets his profit/loss up to retirement.	Relied on against
Cl. 13	Proper books to be kept; **each partner has free and equal access at all times**.	Supports partnership
Cl. 14	Each partner to be **just and faithful**, attend diligently, give true accounts and information.	Supports
Cl. 15	Partners may withdraw sums in anticipation of profit; **in case of loss the same shall be made good by the partners**.	Supports
Cl. 16	Firm's affairs to be carried on for **mutual gain and benefit**; disputes settled with the consent of the principal partner.	Supports

ISSUES

1. Whether, on the facts and in the circumstances, *M/s K.D. Kamath & Co.* could be granted registration under **s. 26-A** of the Income-tax Act for A.Y. 1959–60?
2. In substance: **whether the partnership deed dated 20-3-1959 creates the relationship of partners** *inter se* **between the parties** as understood in law — i.e., whether it satisfies s. 4 of the Partnership Act.

3. Specifically, whether the concentration of management, control, banking and borrowing powers in one partner destroys the element of **agency** which is essential to partnership.

ARGUMENTS

For the assessee–appellant (Mr S.K. Venkataranga Iyengar)

- The High Court's view that the essential element of agency is absent is **erroneous**.
- Read as a whole, the deed leaves no room for doubt that there is **an agreement to share profits and losses** in the proportion mentioned — so one essential ingredient is satisfied.
- Though a large amount of control over the conduct of the business is left with the first partner, **that circumstance by itself does not militate against** the view of one partner acting as agent of the others.
- Relied on High Court and Supreme Court decisions where, under similar circumstances, greater control in one partner was held **not** to defeat a partnership arrangement.

For the Revenue (Mr S.K. Iyer)

- Supported the High Court's reasoning **in its entirety**.
- Both questions — agreement to share profits/losses, and each partner being entitled to act as agent of all — must be determined by looking at **all the facts as borne out by the deed**.
- On such consideration, the High Court correctly held that the right of one partner to act as agent of all **does not exist** here.
- Therefore the opinion that the appellant is not eligible for registration under s. 26-A is correct.
- Additionally relied on **s. 14 of the Partnership Act**: since there is no contract to the contrary, the assets brought in by party No. 1 belong to the firm; consequently any partner as agent should be able to pledge the firm's interest or raise a loan — and cl. 9 which restricts that right **negatives the theory of agency**.

DECISION (SUPREME COURT — C.A. VAIDIALINGAM, J.)

Appeal allowed; the question of law answered in the affirmative, in favour of the assessee. The deed of 20 March 1959 *does* create a partnership.

1. **Complete picture of the document:** "In considering the question whether the partnership deed creates the relationship of partners as between the parties thereto, as understood in law, **it is desirable to have a complete picture of the entire document**." (para 11)
2. **First condition satisfied:** cl. 5 (net profits and losses shared in specified proportions), read with cls. 12, 13, 14, 15 and 16, establishes that "the sole proprietary concern of K.D. Kamath **has vanished**" — the right to share profits *and* to bear losses is "more than amply satisfied". (paras 17–18)
3. **The correct formulation of the s. 4 test** (para 23, quoted in full in Part B above).
4. **Nomenclature not decisive** (para 28): "the mere nomenclature given to a document is by itself not sufficient to hold that the document in question is one of partnership… The fact that the **exclusive power and control, by agreement of the parties, is vested in one partner** or the further circumstance that **only one partner can operate the bank accounts or borrow on behalf of the firm are not destructive of the theory of partnership** provided the two essential conditions are satisfied."
5. **Second condition satisfied:** even assuming the entire control and management is vested in K.D. Kamath and parties 2 to 6 work under his direction, "from all the other circumstances it is clear that **the conduct of business by party No. 1 is done by him acting for all the partners**". Clause 16 reinforces this — the affairs are managed by party No. 1 "really for the mutual gain and benefits of all the partners". (paras 29–30)
6. **On s. 18 (para 31):** a partner is the agent of the firm — but that section is *subject to the provisions of the Act*. Parties may, under **s. 11**, agree their mutual rights and duties. Section 18 must be read *with* s. 4; once s. 4 is satisfied, "there is no escape from the conclusion that in law a partnership has come into existence". **Section 18 only emphasises the principle of agency which is already incorporated in the definition of "partnership" under s. 4.**
7. **On cl. 9 (paras 32–33):** *vis-à-vis the outside world*, so long as parties 2 to 6 are **held out** as partners, "their acts would bind the whole partnership". Clause 9 is **only an** *inter se* **arrangement**; it does not negative agency — on the contrary it *presupposes* it, and merely places a contractual restriction on borrowing. The s. 14 argument was rejected because s. 14 itself is *subject to contract between the parties*.

PRINCIPLES EVOLVED

1. **Whole-document rule:** the existence of partnership must be decided on a reading of the **entire instrument**, not on isolated clauses or on its label.
2. **Two conditions under s. 4:** (i) agreement to share profits *or* losses; (ii) business carried on by all or any of them **acting for all** — agency is implicit in (ii).
3. **Concentration of powers is not fatal:** exclusive control, sole operation of bank accounts and sole borrowing power in one partner do **not** destroy partnership, provided the two conditions are met.
4. **Restrictions in the deed are** *inter se* **only:** they bind the partners between themselves; they do **not** defeat agency as against third parties (read with ss. 19–20 and *holding out*).
5. **s. 18 is clarificatory:** it only restates the agency already embedded in s. 4; it cannot be used to *disprove* a partnership that s. 4 establishes.
6. **Loss-sharing is strong evidence:** a clause making partners liable to make good losses (cl. 15) is a powerful indicator of partnership, far stronger than a mere profit-share.
7. **Goodwill in one partner is not decisive** (cl. 7) — it is a term of the bargain, subject to contract.

CASE #02 DU LL.B. PRESCRIBED AUTHORITY

Cox v. Hickman

(1860) 8 H.L.C. 268 · House of Lords · Lord Campbell L.C., Lord Cranworth, Lord Wensleydale · "Mode of determining the existence of a partnership - sharing of profits - creditor-debtor relationship" — headnote in the DU case material

FACTS

Smith and Smith carried on business as iron-masters under the name *B. Smith & Son*. They got into difficulties and **called a meeting of their creditors**. They then executed a **deed of arrangement** dated 13 November 1849 in favour of their creditors. The parties were:

- **of the first part** — S. and S. (the debtors);
- **of the second part** — five of the creditors, *including Cox and Wheatcroft*;
- **of the third part** — the general body of creditors.

Under the deed the five creditors of the second part were to **carry on the business as trustees** for the creditors under the name *"The Stanton Iron Company"*, and to divide the net income, after expenses, among the general creditors, such net income "to be deemed to be of the creditors to be held"; a **majority in value of the creditors present at a meeting** could make rules for conducting the business or **order its discontinuance**; when all debts were paid the trustees were to hold the assigned property **in trust for S. and S. themselves**; and there was a covenant by the executing parties **not to sue S. and S.** for their debts.

Cox never in fact acted as a trustee; **Wheatcroft resigned six weeks after the deed** — and before the goods for which the bills were now sued had been supplied. No new trustees were appointed in their place. The **remaining three** creditors carried on the business under the deed.

Hickman supplied goods to the business and **drew three bills of exchange**, which were accepted on behalf of the Stanton Iron Company by one of those three creditors. Hickman then **sued Cox and Wheatcroft on the bills**, alleging they were liable **as partners** in the Stanton Iron Company, being two of the five creditors who had executed the deed.

ISSUES

1. Whether the defendants, by **executing the deed of 13 November 1849 as creditors** of Messrs. Smith & Co., rendered themselves liable to those who afterwards dealt with the trustees carrying on the concern under the new firm of "The Stanton Iron Company".
2. Whether there is **such a participation in the profits** of the new firm by the creditors of the old firm as to make them partners in the new firm.
3. Whether the creditors, by executing the deed, **authorised the trustees as their agents** either to purchase goods or to accept bills.

ARGUMENTS

Hickman (plaintiff / respondent)

- Cox and Wheatcroft were two of the five creditors who were the **original parties of the second part** to the deed and executed it.
- The deed gave the creditors a share of the **net income** of the business — which is participation in profits.
- Therefore, although they "never acted or held themselves out as partners", the creditors of the old firm **are partners in the new firm** and are liable on the bills.
- The old rule (*Waugh v. Carver*): participation in net profits = partnership in law.

Cox & Wheatcroft (defendants / appellants)

- The creditors **never intended** to incur such liability; the creditors of the new firm cannot be supposed to have dealt with the firm in the belief that they had a remedy against all or any of the old firm's creditors.
- They are **not partners inter se** and could derive **no profits beyond payment of the debts** due to them from the old firm.
- The business was to be carried on by the trustees *till the debts were paid*, then transferred back to the Smiths — i.e., the trade remained the **trade of the debtors/their trustees**.
- Executing the deed did **not** make the trustees their **agents**.

DECISION (HOUSE OF LORDS — JUDGMENT REVERSED)

Held: the defendants were NOT liable as acceptors of the bills; they were not partners. The judgment of the Court of Common Pleas was reversed.

LORD CAMPBELL L.C. — "It is quite clear that the creditors of the old firm, by executing the deed, never intended to incur such a liability… **Is there such a participation in the profits of the new firm by the creditors of the old firm, as to make them partners in the new firm?** They certainly are **not partners inter se** … and they could derive **no profits from the new business, beyond the payment of the debts** due to them from the old firm. There was a formal release of these debts; but **we must look at the real nature of the transaction, according to the understanding of all who were parties to it.**" — "I am of opinion that the creditors of the old firm cannot be considered, by executing the deed, as having **authorised the trustees as their agents** either to purchase the goods or to accept the bills."

On the special powers given to the creditors (to order discontinuance, or to make rules for management): "These powers do not appear to me to alter the case… **The effect of these powers is only to qualify their consent.** … The trade did not become a trade carried on for them as principals, because they might have insisted on taking possession of the stock…" He added the famous practical observation that one creditor was the **Midland Railway Company**, a creditor for £39 — "to suppose that the directors could imagine that they were making themselves partners is absurd."

LORD WENSLEYDALE — "The law as to partnership is undoubtedly **a branch of the principal and agent**; and it would lend to simplify and make more easy of solution the questions which arise on this subject, if this true principle were more constantly kept in view." Settled principle: "Every partner is an agent of the partnership… a partner virtually embraces the character of both a principal and agent."

Conclusion: "It is **not true** that by this deed the creditors will gain an advantage by the trustees carrying on the trade; for if it is profitable, they may get their debts paid, but **this is not that sharing of profits which constitutes the relation of principal, agent and partner**." The creditors are not liable, "because **the trustees are not their agents**."

PRINCIPLES EVOLVED

1. **Sharing of profits is only** *prima facie* **evidence of partnership** — it is a *presumption of fact*, not a rule of law. It can be rebutted.
2. **The real / conclusive test is AGENCY (mutual agency):** is the business carried on by persons acting *as agents for* the alleged partner? If the traders are not his agents, he is not his partner.
3. **Partnership liability is agency liability:** the liability of one partner for the acts of his co-partner is in truth the liability of a principal for the acts of his agent.
4. **Receiving profits in discharge of a debt is not profit-sharing:** a creditor who permits his debtor (or trustees for the debtor) to continue the trade and apply profits in discharging the debt does **not** become a partner — the debtor remains solely interested in the profits, having merely "mortgaged them to his creditors".
5. **Powers of control / veto do not by themselves create partnership:** a power to order discontinuance or to make rules is only a qualification of the creditor's consent, not a right to carry on the trade as principal.
6. **Look at the real nature of the transaction**, "according to the understanding of all who were parties to it" — the precursor of s. 6's "real relation… all relevant facts taken together".
7. **Private arrangements do not bind third parties without notice** — later codified in **s. 20, PA 1932**.

STATUTORY DESTINATION OF THIS CASE

Cox v. Hickman is the direct source of **s. 6 of the Indian Partnership Act, 1932** — particularly Explanation 2 ("The receipt by a person of a share of the profits of a business… does not of itself make him a partner"). The *Snow White* line of cases in India repeatedly applies the same "substance over form / agency" reasoning.

CASE #03 DU LL.B. PRESCRIBED AUTHORITY

Mollwo, March & Co. v. The Court of Wards

(1872) L.R. 4 P.C. 419 · Privy Council (on appeal from India) · Sir Montague E. Smith · "Creditor-debtor relationship" — headnote in the DU case material

FACTS

The plaintiffs/appellants, **Mollwo, March & Co.**, merchants of London, sued the late **Rajah Pertab Chunder Singh** to recover a balance of nearly **three lacs of rupees** alleged to be due from the firm of **W.N. Watson & Co. of Calcutta**. The Rajah died pending the suit; the defence was continued by the **Court of Wards** on behalf of his minor heir.

The plaint alleged that the firm consisted of W.N. Watson, T.O. Watson, **and the Rajah — liable as a partner**. The two Watsons had commenced business as merchants at Calcutta in 1862. They had **little or no capital**. **The Rajah supported them** and in 1862–63 made large advances, partly in cash but chiefly **by accepting bills which the Rajah met at maturity**.

By mid-1863 the advances were considerable and the Rajah wanted **security for his debt**, security for future advances, and **some control over the business** to check what he considered the Watsons' excessive trading. Accordingly, on **27 August 1863** an agreement was entered into between "the Rajah of the one part and Messrs. W.N. Watson & Co. of the other part". Under it, in consideration of money already advanced and to be advanced, the Watsons agreed to carry on business **subject to the control of the Rajah in several important particulars**:

- they would not **make shipments, order consignments, or sell goods** without his consent;
- **no money was to be drawn from the firm without his sanction**;
- he was to be **consulted about the office business** and could direct reduction or enlargement of the establishment;
- the **shipping documents were to be at his disposal** and not to be sold or hypothecated, nor their proceeds applied, without his consent;

- **all the proceeds of the business were to be handed to him** for the purpose of extinguishing his debt;
- they handed over **title deeds of certain tea plantations "as security"**, and agreed that **"as further security" all their other property**, including stock-in-trade, should be answerable for the debt;
- the Rajah was to receive a **commission of 20 per cent on profits**.

The Rajah did **not sign** the agreement but was "undoubtedly an assenting party to it". He made further advances; the amount due ultimately exceeded three lacs. In 1864–65 the firm fell into difficulties. The Rajah took a **formal mortgage of the tea plantations** and, by deed dated 3 March 1865, released all right to commission and interest and all other claims.

Critically: **the Rajah never in fact received possession of any property or moneys of the firm, nor any proceeds of the business, and did not in fact receive any commission.** A sum of Rs. 27,000 was on 30 September 1863 placed to his credit in a separate account, but was never paid and was subsequently **written back**. And it was conceded that "the Rajah availed himself only in a slight degree of the powers of control conferred upon him… in fact, that he did **no more, but much less, than he might have done** under it."

ISSUES

1. Whether the Rajah became, under the agreement, **at least as regards third persons, a partner** with the Watsons.
2. Alternatively, whether, if not a "true partner", **the Watsons were the agents of the Rajah** in carrying on the business, and the debt to the plaintiffs was contracted **within the scope of that agency**.
3. Properly framed: whether participation in profits — here a 20% commission — plus extensive powers of control makes a creditor a partner.

The Court also noted there was **no question of "ostensible partnership"**: "It is admitted that he did not so hold himself out", and a statement by one of the Watsons to the plaintiffs that the Rajah "might be in law a partner" was **not authorised by the Rajah**.

ARGUMENTS

Mollwo, March & Co. (appellants / plaintiffs)

- **First:** the Rajah became, by the agreement, at least as regards third persons, **a partner** with the Watsons.
- "Whatever may have been the intention, **a participation in the net profits of the business was in contemplation of law such cogent evidence of partnership that presumption arose sufficient to establish, as regards third parties, that relation unless rebutted by other circumstances**."
- Relied on the older rule of *Waugh v. Carver* (1793) and *Grace v. Smith* (1775) — participation in net profits = partner.
- Relied on *Pott v. Eyton* (1844), where Tindal C.J. adopted Lord Eldon's rule and said: "Nor does it appear to make any difference whether the money is received by way of interest on money lent, or wages, or salary as agent, or commission on sales."
- **Secondly:** the large powers of control + the right to take possession of consignments and their proceeds + the commission on net profits **amounted to an agreement of partnership and the Rajah was in fact constituted the managing partner**.
- **Thirdly:** even if not a "true partnership", the Watsons were thereby constituted **the agents of the Rajah**, and the debt was contracted within the scope of that agency.

The Court of Wards (respondent / defendant)

- The agreement, "on the face of it, is an arrangement between the Rajah, **as creditor**, and the firm consisting of the two Watsons **as debtors**, by which the Rajah **obtained security for his past advances**".
- "**The primary object was to give security to the Rajah as a creditor of the firm.**"
- In consideration of forbearance and as an inducement to continue advances, he was to receive a **commission of 20% on profits** and be invested with powers of supervision and control.
- The Rajah was **not entitled to a share of the profits "as such"** — he had **no specific property or interest in them qua profits**; subject to his security, the Watsons might have appropriated or assigned the whole profits without breach of the agreement. He was entitled **only to commission, or a payment equal in proportion to one-fifth of their amount**.
- He had **no initiative power** — he could not direct what shipments should be made, could not require the Watsons to continue to trade or even to remain in partnership. His powers, "however large, were **powers of control only**".
- "The agreement is really founded on the assumption, **not of community of benefit, but of opposition of interests**."

DECISION (PRIVY COUNCIL — APPEAL DISMISSED WITH COSTS)

Held: the Rajah was NOT a partner and NOT liable for the debts of W.N. Watson & Co. The judgment of the High Court was affirmed.

1. **Applicable law:** "It was contended at the Bar that, whatever may have been the intention, a participation in the net profits of the business was in contemplation of law such cogent evidence of partnership that presumption arose… It appears to their Lordships that the rule of construction involved in this contention is **too artificial: for it takes one term only of the contract and at once raises a presumption upon it. Whereas the whole scope of the agreement, and all its terms, ought to be looked at before any presumption of intention can properly be made at all**."
2. **The old rule rejected:** "The rule was evidently an arbitrary one, and subsequent discussion had led to the rejection of the reason for it as unsound" — the reason given in *Grace v. Smith*, that "by taking part of the profits he takes part of the fund which is the proper security of the creditors, is **now admitted to be unsound and insufficient to support it**; for of course the same consequences might follow in a far greater degree from the **mortgage of the common property of the firm, which certainly would not of itself make the mortgagee a partner**."
3. **Cox v. Hickman applied:** "the necessity of resorting to these fine distinctions has been greatly lessened since the presumption itself lost the rigid character it was supposed to possess after the full exposition of the law on this subject contained in the judgment of the House of Lords in **Cox v. Hickman** and the cases which have followed that decision… the judgment in Cox v. Hickman had certainly the effect of **dissolving the rule of law** which had been supposed to exist, and laid down principles of decision by which the determination of cases of this kind is made to depend, not on arbitrary presumptions. **Profits of trade is a strong test of partnership, and there may be cases where, from such participation alone, it may as a presumption not of law but of fact, be inferred; yet that whether that relation does or does not exist must depend on the real intention and contract of the parties.**"
4. **Distinction between profits "as such" and a commission:** "The Rajah was not entitled to a share of the profits 'as such'; he had no specific property or interest in them qua profits… The Rajah was entitled only to commission, or a payment equal in proportion to one-fifth of their amount."
5. **Control ≠ partnership:** "The contract undoubtedly confers on the Rajah large power of control… **On the other hand, the Rajah had no initiative power**; he could not direct what shipments should be made or consignments ordered, or what should be the course of trade. He could not require the Watsons to continue to trade, or even to remain in partnership; **his powers, however large, were powers of control only.**" — "Their Lordships are of opinion that by these agreements the parties **did not intend to create a partnership, and that their true relation to each other under the agreement was that of creditor and debtors**… the agreement is really founded on the assumption, **not of community of benefit, but of opposition of interests**."
6. **No implied agency either:** "Of course, if there was no partnership, the **implied agency which flows from that relation cannot arise**, and the relation of principal and agents must on some other ground be shown to exist. It is clear that this relation was **not expressly created, and was not intended to be created**, by the agreement… But this is again **an attempt to create, by operation of law, a relation opposed to the real agreement and intention of the parties**… He was not, in any sense, the owner of the business, and had no power to deal with it as owner. **None of the ordinary attributes of principal belonged to him.**"
7. **Warning against sham:** "If cases should occur where any persons, **under the guise of such an arrangement, are really trading as principals**, and putting forward, as ostensible traders, others who are really their agents, they must not hope by such devices to escape liability; for the law, in cases of this kind, **will look at the body and substance of the arrangement**, and fasten responsibility on the parties according to their true and real character."

PRINCIPLES EVOLVED

1. **Whole-agreement rule:** you cannot take "one term only" of a contract and raise a presumption upon it; the **whole scope and all the terms** must be looked at first.
2. **Profit-sharing is a presumption of FACT, not of law** — rebuttable; the question is the **real intention and contract of the parties**.
3. **"Profits as such" vs. commission in proportion to profits:** a right to a *share of profits as such* points to partnership; a right to a *commission or payment measured by reference to profits* points to loan. (This is the "thin but admitted" distinction the Court itself acknowledged.)
4. **Powers of control are not enough:** what matters is **initiative power** — the power to direct *what* trade shall be done. A creditor with veto/protective powers only is **not** a partner.
5. **Community of benefit vs. opposition of interests:** a partnership presupposes a *community* of benefit; a loan-and-security arrangement presupposes *opposition* of interests.
6. **No agency without partnership:** the implied agency of s. 18 ICA / s. 18 PA **only flows from** partnership; if there is no partnership, an agency must be *expressly* shown.
7. **Sham arrangements fail:** the court will "look at the body and substance of the arrangement".
8. **Ostensible partnership is a separate doctrine:** a man who holds himself out as a partner, or allows others to do so, "is then properly **estopped** from denying the character he has assumed" — **partner by estoppel** (later s. 28, PA 1932).

CASE #04 DU SYLLABUS AUTHORITY

Narandas Morardas Gajiwala v. S.P.A.M. Papammal

AIR 1967 SC 333 · (1966) SCR 38 · Supreme Court · V. Ramaswami & K. Subba Rao, JJ. · decided 25-03-1966 · Agency — can an AGENT sue his PRINCIPAL for rendition of accounts?

FACTS

Narandas Morardas Gaziwala and **Lakshmi Chand & Co.** were two partnership firms carrying on business in **lace and silver thread at Surat** (Bombay State). They had dealings with another firm at Kumbakonam, **Krishna & Co.**, which acted as their **agents for selling goods on a commission basis** in the three districts of **Tanjore, Tiruchirapalli and Madurai** (Madras State) from 1944 to 1951.

Krishna & Co. was dissolved by mutual agreement in 1951. **Murugesa Chettiar** (the plaintiff) took over all assets and liabilities; the other partner, Gopal Chettiar, retired.

On **1 April 1951**, Murugesa Chettiar executed a **promissory note for Rs. 7,500** in favour of Narandas Morardas Gaziwala — the amount ascertained as due on settlement of account. On the same day, the Surat firm **constituted him as sole agent** for selling goods bearing the trade marks "Napoleon", "Vivekananda" etc. **for five years**, agreeing to pay commission at a **flat rate of Rs. 2 per 'mark' for all sales effected in those territories** — including sales booked directly.

The plaintiff's case was that the Surat firm **circumvented the sole-agency contract by making private/direct sales** through others, and that as part of the sole-agency agreement the firm had agreed to **adjust its indebtedness under the promissory note against the commission earned by him**.

- The plaintiff filed **O.S. No. 87 of 1954** in the District Munsif's Court, Kancheepuram, for **rendition of accounts** from 1-4-1951 to the date of suit, to ascertain the amount due.
- The Surat firm filed **O.S. No. 21 of 1954** before the Subordinate Judge, Chingleput, to recover Rs. 7,500 on the promissory note.
- Both suits were, by consent, tried together.

Subordinate Judge: held the plaintiff was the sole agent for five years, that the Surat firm was liable to render accounts, granted a preliminary decree for accounts, and also decreed the promissory note amount but directed that it be **adjusted against the commission found due on accounting**.

Madras High Court: dismissed both appeals of the Surat firm. The Surat firm appealed to the Supreme Court by special leave.

ISSUES

1. **Whether an agent is entitled in law to sue his principal for rendition of accounts** (there being no statutory provision for it in the Indian Contract Act, 1872).
2. **Whether the plaintiff is precluded from setting up the parole (oral) agreement** by reason of **s. 92 of the Indian Evidence Act, 1872** — i.e., whether the oral agreement that the promissory note would not be enforced for five years and until accounts were taken was a *mode of discharge of the obligation* (barred) or a **condition precedent to the enforceability** of the note (provable under Proviso 3).

ARGUMENTS

Murugesa Chettiar (plaintiff / agent — respondent)

- He was constituted **sole agent** for the three districts for five years at a flat commission of Rs. 2 per 'mark' on **all** sales in the territory.
- The Surat firm **made direct sales** to customers in the territory in **contravention of the sole-agency contract**.
- The transactions in respect of which he is entitled to commission **are peculiarly within the knowledge of the principal alone** — he cannot compute his commission without the principal's books.
- Therefore he is entitled to sue for accounts.
- The oral agreement that the promissory note would not be enforced for five years and until accounts were taken is a **condition precedent** to the attaching of any obligation under the note — provable under **Proviso 3 to s. 92**.

Surat firm (defendants / principals — appellants)

- **s. 213 of the ICA** specifically provides that an *agent* is bound to render proper accounts to his principal on demand — so the statute recognises only the **principal's** right to sue an agent for accounts.
- There is **no corresponding provision** conferring a right on the agent to sue the principal — therefore no such suit is maintainable.
- On the second issue: the promissory note is in law an **unconditional undertaking to pay** an amount the plaintiff was already liable to pay; it is **not open to him to plead a contemporaneous oral agreement** contrary to its terms.
- The agreement that the note should be discharged out of commission relates to the **mode of discharge** of the obligation, and is therefore barred by s. 92 of the Evidence Act.

DECISION (SUPREME COURT — V. RAMASWAMI, J. — APPEALS DISMISSED WITH COSTS)

(i) On the agent's right to sue for accounts:

> *"Section 213 of the Indian Contract Act specifically provides that an agent is bound to render proper accounts to his principal on demand. The principal's right to sue an agent for rendition of accounts is, therefore, recognised by the statute. But the question is whether an agent can sue the principal for accounts. There is no such provision in the Indian Contract Act. In our opinion, the statute is not exhaustive and the right of the agent to sue the principal for accounts is an equitable right arising under special circumstances and is not a statutory right." — AIR 1967 SC 333*

- Such special circumstances arise where: (a) **all the accounts are in the possession of the principal** and the agent does not possess accounts enabling him to determine his claim for commission; or (b) the agent's **remuneration depends on the extent of dealings which are not known to him**, or he cannot know the amount due to him unless the principal's accounts are gone into.
- On the facts: the remuneration was a **flat Rs. 2 per 'mark' for all sales effected in the territory** — including direct sales by the principal, of which the agent could have no knowledge. There was also *prima facie* evidence that the Surat firm had **made direct sales in contravention of the sole-agency contract**. Hence the agent was **entitled to sue for accounts**.

(ii) On s. 92 of the Evidence Act:

- The High Court had found a **collateral oral agreement** that the obligation under the promissory note **would not be enforced for five years** and unless the amount was due after accounting for the period of the commission agency.
- The Solicitor-General's contention that this related to the *mode of discharge* was **rejected**. The Court held it was **a condition precedent to the enforceability of the promissory note**, and therefore **evidence of the oral agreement could be adduced under the third proviso to s. 92** of the Evidence Act.
- Following the line of authority where "by the terms of the oral agreement **no liability under the note could arise until the happening of an event**", the case fell squarely within Proviso 3.

PRINCIPLES EVOLVED

1. **The ICA is not exhaustive:** equity supplements it. Absence of a statutory provision does not extinguish an equitable remedy.
2. **An agent CAN sue his principal for rendition of accounts** — but only as an **equitable right arising under special circumstances**, not as of right. The two recognised special circumstances are: (a) accounts exclusively with the principal; and (b) remuneration dependent on dealings unknown to the agent.
3. **s. 213 is one-way on its face** (agent → principal) but equity supplies the converse in an appropriate case.
4. **s. 92, Evidence Act, Proviso 3:** existence of a separate oral agreement constituting a **condition precedent** to the attaching of any obligation under a written contract may be proved. This protects an agent who, as part of an agency arrangement, has given a promissory note.
5. **Contrast with partnership:** here the agent's *remuneration* was commission; had he been a *partner* sharing profits, s. 9 of the PA 1932 + *s. 213–type reasoning* would apply even more readily. The DU material's short note on s. 9 records: *"Sleeping partner can file a suit for rendition of account — Sita Ram v. Radha Rai, AIR 1968 SC 534."*

CASE #05 DU SYLLABUS AUTHORITY

Kuchwar Lime & Stone Co. v. Dehri Rohtas Light Railway Co. Ltd. & Anr.

AIR 1969 SC 193 · 1969 SCR (1) 359 · Supreme Court · J.C. Shah & Vishishtha Bhargava, JJ. · decided 15-07-1968 · Agency — IMPLIED AGENCY inferred from surrounding circumstances; consignee's liability for freight & demurrage

FACTS

At the material time the sale and delivery of coal were **controlled under the Colliery Control Order, 1945** (made under the Essential Supplies (Temporary Powers) Act, 1946). The supply of coal to the appellant company was **sanctioned by the Deputy Coal Commissioner**, who also passed an order for **priority supply of wagons** to carry the coal to Banjari station.

A quantity of steam coal was **booked by a Colliery** to the appellant — **Kuchwar Lime & Stone Co.** — for carriage to **Banjari station** on the respondent **Dehri Rohtas Light Railway**'s line. Under the forwarding notes, **the freight was made payable by the Company** ("freight to pay").

The Company accepted delivery of part of the consignment but **declined to take delivery of the rest** which reached Banjari on **12 November 1954**, on account of the inferior quality of the coal. After correspondence between the parties and with the Coal Controller, the Railway served notice on 28 April 1955 and **sold the coal by public auction on 2 June 1955** for Rs. 1,050.

The Railway then sued the Company and the Colliery, claiming **demurrage for 202 days** during which six wagons remained detained, and sought a decree for **Rs. 17,625/14/-** after giving credit for the auction proceeds.

- **Trial court:** decree for about **Rs. 1,620** with interest.
- **High Court:** decreed the Railway's claim **in full**.
- **Supreme Court:** appeal by certificate.

ISSUES

1. The Company being only the **consignee** of goods booked by the Colliery, was there **no privity of contract** between the Company and the Railway — so that no claim for freight or demurrage lay against the Company?
2. Even if liable, was the Railway — which did **not unload the consignment for about seven months** — entitled to demurrage **for the full period**, or was it obliged to unload and claim demurrage only for a **reasonable period**?

ARGUMENTS

Dehri Rohtas Light Railway (respondent)

- Freight was made payable by the Company under the forwarding notes.
- Even where the consignee does not ultimately take delivery, **if the wagon is detained for his benefit**, the Railway is entitled to hold him liable for demurrage.
- The wagons were detained for 202 days; full demurrage is payable.

Kuchwar Lime & Stone Co. (appellant)

- It was only a **consignee**; the contract of consignment was between the **Colliery and the Railway**. Hence there is **no privity of contract** between the Company and the Railway, and **no claim for demurrage or freight lies against it**.
- In any event, the Railway ought to be awarded demurrage for **only 22 days** out of the total period of detention.

DECISION (SUPREME COURT — J.C. SHAH, J. — DECREE MODIFIED)

(i) Agency implied — the Company IS liable in principle:

> *"It is clear that the Colliery supplied coal in pursuance of the 'sanction order' in favour of the Company and arranged to transport it in wagons which were allotted for that purpose by order of the Deputy Coal Commissioner. Under the forwarding notes the freight was made payable by the Company. In these circumstances, it would be reasonable to infer that the Colliery was acting as an agent of the Company in entering into the contract of consignment and the liability for payment of freight and of demurrage charges for failure to take delivery of the goods lay upon the Company." — AIR 1969 SC 193, 361 E–F, 363 D–E*

The Court also rejected the narrower argument: "There was no force in the contention that it is only in those cases where delivery of goods is taken by the consignee that the liability to pay demurrage may be imposed upon him. **Even where the consignee does not ultimately take delivery, if the wagon is detained for his benefit, normally the Railway would be entitled to hold him liable for demurrage.**"

(ii) But the Railway cannot claim demurrage for the full 202 days:

- The wagons reached Banjari on 12–11–1954 and the Company had already declined delivery. The Railway **could have exercised its power to sell the coal under s. 56 of the Railways Act**.
- "The Railway was **in the position of a bailee** qua the Company and was **bound to minimise the loss**: it could not unreasonably detain the wagons and claim demurrage."
- Even assuming the Colliery Control Order prevented a sale without the Coal Commissioner's sanction, the Railway **could have unloaded the coal and put the wagons to use**. After unloading, the consignee would be liable **only for wharfage**.
- **Therefore the Railway was entitled to demurrage for detention of the wagons for only ONE MONTH.** The High Court was in error. Decree modified to **Rs. 2,145/14** with proportionate costs.

DU Ankur R. Upadhyay

PRINCIPLES EVOLVED

1. **Agency may be IMPLIED from the surrounding circumstances**, including statutory/regulatory compulsion and the conduct of the parties — no express appointment is necessary (compare **s. 187, second limb**: "implied when it is to be inferred from the circumstances of the case").
2. **A consignee for whose benefit the consignment is booked is bound** by the contract of consignment entered into by the consignor acting as his agent — even though he never signed it and even though he refuses delivery.
3. **Freight "to pay" + statutory allotment + benefit = agency by implication.**
4. **Duty to mitigate:** a party claiming demurrage/damages must take reasonable steps (here, s. 56 Railways Act sale, or at least unloading) to minimise loss. This is the **same principle as s. 73, ICA** (compensation for loss caused by breach — claimant must take reasonable steps to mitigate).
5. **Bailee's position:** the Railway was a bailee (ss. 148–150, ICA) with the corresponding duty of reasonable care and of acting as a person of ordinary prudence.
6. **Apportionment:** demurrage for a reasonable period (one month) is recoverable; the balance caused by the claimant's own inaction is not.

CASE #06 DU SYLLABUS AUTHORITY

Lakshminarayan Ram Gopal & Son Ltd. v. Government of Hyderabad

AIR 1954 SC 367 · (1955) 1 SCR 393 · [1954] 25 ITR 449 · Supreme Court · S.R. Das, N.H. Bhagwati & B. Jagannadhadas, JJ. · decided 01-04-1954 · Agency vs. service — is a managing agent an AGENT carrying on a BUSINESS, or a mere SERVANT earning salary?

FACTS

The appellants, **Lakshminarayan Ram Gopal and Son Limited**, were the **managing agents** of **Dewan Bahadur Ramgopal Mills Company Ltd.** under an **agency agreement**. The question arose in proceedings under the **Hyderabad Excess Profits Tax Regulation**, which taxed "business" income but **excluded a profession carried on by an individual or by individuals in partnership if the profits depended wholly or mainly on personal qualifications**.

The Commissioner of Excess Profits Tax, Hyderabad, referred questions to the High Court of Judicature at Hyderabad; the High Court answered them against the assessee and adjudged liability to excess profits tax on the remuneration received by the appellants from the Mills Company **as its agents**.

Key terms of the agency agreement (set out in the judgment):

- **cl. 3:** "Subject to the control and supervision of the Directors, the said Lachminarayan Ramgopal and Son Limited shall have the **general conduct and management of the business and affairs of the company**" — including acquiring land, erecting and maintaining factories and warehouses;
- **cl. 4:** liberty to deal with the company **by way of sale and purchase** of commodities;
- payment of **remuneration plus all expenses and charges actually incurred**;
- power to **appoint any person or persons as their agents** (power of sub-delegation — cf. Article 118 of the Articles);
- **cl. 8:** two of the appellants' members to be **ex-officio Directors**;
- **cl. 9:** power to **assign** the agreement and the rights thereunder, subject to the Board's approval;
- a right to continue as agents **for 30 years**, and thereafter until they resigned of their own will.

The appellants contended that the remuneration received was **not income, profits or gains from business** and was outside the pale of the Regulation — effectively arguing that they were in the position of servants/employees, or that the income depended on personal qualifications and so was excluded.

ISSUES

1. Whether the appellants were **a partnership firm or a registered company**.
2. Whether, **under the terms of the agreement, the appellants were employees (servants) of the Mills Company, or were carrying on a business**.
3. Whether the **remuneration received from the Mills was for service, or was remuneration for business** — and hence taxable under the Excess Profits Tax Regulation.
4. Ancillary: whether the exclusion for income depending *wholly or mainly on personal qualifications* applied.

ARGUMENTS

Government of Hyderabad / Revenue (respondent)

- The appellants were **agents**, not servants: they had **perfect discretion** within the limits of their authority as to *how* the work of general management was to be done, both as to method and manner.
- They could **enter into agreements and contracts**, and **appoint, employ, discharge, re-employ or replace officers and servants** of the company on such terms as they thought fit.
- They had **fixity of tenure for 30 years**, **assignable rights**, and a **power of sub-delegation** — none of which is consistent with employment as a servant.
- They could act as agents of **other** manufacturers and companies too.
- Therefore their activities **constituted a business** and the remuneration was business income.

Lakshminarayan Ram Gopal & Son Ltd. (appellant)

- The Directors exercised **control and supervision** over them; the company's **day-to-day management was within the province of the Directors** under Article 116.
- They were therefore really **servants of the company**, remunerated by **wages or salary**.
- Consequently the receipts were not "income, profits or gains from business" and were **not taxable** under the Regulation.
- Alternatively, even if they were agents, the income depended wholly or mainly on **personal qualifications** and so was excluded — a submission the Court rejected for a registered company/partnership firm, which "as such could not be said to be possessed of any personal qualifications".

DECISION (SUPREME COURT — N.H. BHAGWATI, J. — APPEALS DISMISSED)

Held: the appellants were AGENTS, not servants; their activities as agents of the Company constituted a BUSINESS; and the remuneration received under the agency agreement was income, profits or gains from business, liable to excess profits tax.

> *"The control and supervision of the directors was a general control and supervision and within the limits of their authority the appellants as the agents of the Company had perfect discretion as to how that work of general management was to be done both in regard to the method and the manner of such work. … The liberty given to the appellants under cl. 4 of the agency agreement to deal with the Company by way of sale and purchase of commodities therein mentioned also did not spell a relation as between master and servant but empowered the appellants to deal with the Company as Principals in spite of the fact that under cl. 8 two of their members for the time being were to be the ex-officio Directors of the Company. The power to assign the agreement and the rights of the appellants thereunder reserved to them under cl. 9 … was hardly a power which could be vested in a servant. There was further the right to continue in employment as the agents of the Company for a period of 30 years … which also would be hardly consistent with the employment of the appellants as mere servants of the Company. All these circumstances together with the power of sub-delegation reserved under Article 118 … go to establish that the appellants were the agents of the Company and not merely the servants of the Company remunerated by wages or salary."* — AIR 1954 SC 367

The Court added an important passage on the **definition of partnership/business**:

> *"When a partnership firm comes into existence it can be predicated of it that it carries on a business, because partnership according to Section 4 of the Indian Partnership Act is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all." — AIR 1954 SC 367*

And on the objects clause: the words **"carry on all kinds of agency business"** were capable of including the work done as agents for Governments, authorities, bankers, manufacturers, merchants and shippers. "All these factors taken into consideration along with the fixity of tenure, the nature of remuneration and the assignability of their rights, are sufficient to enable us to come to the conclusion that the **activities of the appellants as the agents of the Company constituted a business and the remuneration which the appellants received from the Company under the terms of the Agency Agreement was income, profits or gains from business**."

PRINCIPLES EVOLVED

1. **AGENT vs. SERVANT — the tests:** the decisive question is not whether there is *some* control, but whether the control is *general* or *detailed*. A person who retains **perfect discretion as to the method and manner** of doing the work is an **agent/independent contractor**, not a servant.
2. **Indicia of agency (not service):** (i) discretion as to manner and method; (ii) power to appoint, employ and discharge staff; (iii) power to enter into contracts with third parties; (iv) power to deal with the principal *as a principal* (buying from and selling to the company); (v) power of **sub-delegation**; (vi) **assignability** of the agreement; (vii) **fixity of tenure** (30 years) and the right to resign only of one's own will; (viii) freedom to act for other principals.
3. **Remuneration by commission/business income ≠ wages or salary.** Reinforces **s. 6, Expl. 2(b), PA 1932** ("by a servant or agent as remuneration" — the receipt of a share of profits does not of itself make him a partner) and **s. 219, ICA**.
4. **Carrying on agency can itself be a business** — and being an agent does not make one a partner.
5. **s. 4, PA 1932 quoted with approval** by the Supreme Court: because partnership is defined as sharing profits of a business carried on by all/any acting for all, the very existence of a partnership firm predicates the carrying on of a business.
6. **Registered company / firm has no "personal qualifications"** — so the exclusion for professions depending on personal qualifications cannot apply.

CASE #07 DU SYLLABUS AUTHORITY

Snow White Industrial Corporation, Madras v. Collector of Central Excise, Madras

AIR 1989 SC 1555 · (1989) 3 SCC 351 · 1989 SCR (2) 782 · Supreme Court · Sabyasachi Mukharji & S. Ranganathan, JJ. · decided 28-04-1989 · Section 182, ICA — SALE vs. AGENCY: the true relationship is gathered from the substance, not the label

FACTS

The appellants were a **partnership firm** manufacturing *"Supercem Waterproof Cement Paint"* and allied products at Madras — "a small manufacturing firm with no branches and/or sales offices in any other State, city or town".

On **1 May 1962** the appellants entered into an agreement — described in its own text as an **"agreement of sale"** — with **Gillanders Arbuthnot & Co. Ltd.** of Calcutta, a company with "a very big sales organisation having offices at all important places in the territory of India". In the agreement the appellants were described as **"The Manufacturer"** and Gillanders as **"The Selling Agents"**.

Salient terms:

- Gillanders were the **sole selling agents** throughout India, and were **not to handle sales of any other material likely to conflict** with the appellants' product;
- the manufacturer would pay them a **discount of 17½% (or 18% for Madras orders)** on the transfer prices — described as "discount", "commission" and "over-riding commission" (2½% / 5% on Government sales);
- **selling prices and transfer prices were to be mutually agreed** from time to time;
- **any reduction in price during the currency of the agreement was to be duly reflected in the price of the stock lying unsold** with the selling agents;
- **stocks left unsold beyond two years could be returned to the appellants, who were bound to replace them** free of charge if the container lids were intact and sealed;
- **on termination of the agreement by either party, all unsold stocks were to be returned** to the appellants, who would reimburse the net value at the transfer prices then in force;
- all consignments despatched at **railway risk**; the **manufacturer** was to take all action for recovery of damages from the carriers and **reimburse the selling agents** all losses;
- the manufacturer would supply **publicity material and advertise at its own cost**, mentioning Gillanders as the sole selling agents;
- godown rent, transport, postal/telegram charges and bank commission were to be **borne by the selling agents**.

For the period July 1977 to March 1979 the appellants were assessed to excise duty under the **Central Excises and Salt Act, 1944** on the basis of the price at which the selling agents sold to their customers. The appellants claimed the assessable value should be the price at which *they* sold to the selling agents, and sought a **refund**. The Assistant Collector and the Collector rejected the claim; the **Tribunal** held that the true character of the agreement was **sole selling agency and not sale**, and that **title and ownership of the goods continued with the appellants and did not pass to Gillanders**.

ISSUES

1. Whether the agreement dated 1 May 1962 is an **agreement for SALE** or one for **SOLE SELLING AGENCY**.
2. Consequently, what is the **assessable value** under **s. 4** of the Central Excises and Salt Act, 1944 — the price at which the appellant sold to Gillanders, or the price at which Gillanders sold to the market?
3. Whether **Gillanders was a "related person"** within **s. 4(4)(c)** of the Act.

ARGUMENTS

Collector of Central Excise / Revenue (respondent)

- Relied on **s. 182 of the Indian Contract Act** and submitted that the clauses emphasised by the Tribunal **clearly established an agreement of agency and not a sale**.
- Title and ownership of the goods **continued with the appellants** — the most important indicator being the return-of-unsold-stock clause, and the obligation to **replace** two-year-old stock.
- The manufacturer bore the advertisement cost, bore the transit risk, and had to **reimburse** the selling agents for losses.
- Therefore there was **no sale to Gillanders**, and the **first sale** was by Gillanders to the market customers — whose price is the assessable value.

Snow White Industrial Corpn. (appellant)

- There was an **outright purchase** of the respondent's goods; the appellant was **not an agent**. (The Tribunal noted the plea that the return clause was inserted merely to ensure that bad or stale goods did not reach the market and damage the appellants' reputation.)
- Reliance was placed on the principle that **an agent could become a purchaser when he pays the price to the principal on his own responsibility**.
- On s. 4(4)(c): the concept of "having interest directly or indirectly in the business of each other" must be judged **independently of the transaction in question**, and the distributors must be shown to be related on that independent basis — which was not so here.

DECISION (SUPREME COURT — APPEAL DISPOSED OF; TRIBUNAL UPHELD ON THE CHARACTER OF THE AGREEMENT)

by Ankur R. Upadhyay

Held: the agreement was one of SOLE SELLING AGENCY and not an agreement of sale. Consequently **there was no sale in favour of Gillanders**; the **first sale was by Gillanders to the customers in the market, and the price of that sale would be the assessable value under s. 4**.

- "The Tribunal also referred to the clause which provided that **the stocks left over unsold beyond two years from their receipt with Gillanders could be returned to the appellants who were bound to replace these**." — "The most important fact suggesting agency was the clause which enjoined that the stocks left over unsold beyond two years from their receipt could be returned to the appellants who were bound to replace these."
- The plea that the clause was a quality-control measure "should be considered with the fact that **the appellants were to prefer all claims for recovery of damages from the carriers** and **any reduction in price during the currency of the agreement was to be duly reflected in the price of stock lying unsold** with the respondents, and the obligation that **on the termination of the contract by either, unsold stocks would be taken back**."
- "In view of the fact that we have come to the conclusion that the Tribunal was right in holding that the transaction with the Gillanders was **not a transaction of sale but an agreement for agency**, there was, therefore, **no sale in favour of Gillanders**... Therefore the first sale was by the respondents to the customers of the market and the price of that sale would be the assessable value under s. 4." (para 13)
- However, on the **other deductions** (transportation cost, duty of excise, sales tax, etc.) the Court, "in the interest of justice", **permitted the appellants the benefit of other deductions** envisaged in the statutory scheme, even though they had not been claimed before the Tribunal or in the grounds of appeal.

The Court also surveyed the English authorities, noting *Lord Justice Scrutton*'s observation "that in certain trades the word 'agent' is often used **without any reference to the law of principal and agent**", and the counter-principle that "an agent could become a purchaser when an agent **paid the price to the principal on his own responsibility**".

PRINCIPLES EVOLVED

1. **Substance over form / label:** the description the parties give the document ("agreement of sale") and the words they use ("selling agents", "discount" vs "commission") are **not decisive** of the legal relationship.
2. **The true relationship of agent and principal is to be gathered from the NATURE OF THE CONTRACT, its TERMS AND CONDITIONS — the terminology used by the parties is not decisive.** *(This formulation from Snow White has been repeatedly re-affirmed, including by the NCLAT.)*
3. **Decisive indicators of AGENCY (not sale):**
   - **title/ownership does not pass** to the "purchaser";
   - a right/obligation to **return unsold stock** and have it replaced;
   - the risk of loss/damage in transit is on the **manufacturer/principal**;
   - price reductions are **passed through** to stock lying unsold;
   - remuneration is by **commission/discount** on a transfer price rather than by a profit margin on resale;
   - the principal bears **advertisement and publicity** costs and controls the brand;
   - exclusivity and a duty not to handle competing goods.
4. **An agent may become a purchaser** where he pays the price to the principal **on his own responsibility** — i.e., where he takes the risk himself.
5. **Del-credere agency distinguished:** the judgment notes that "agents are not normally liable for the dues from the creditors and such liability will arise only if the Agent is a **Del Credere Agent**" — a useful aside for the Topic 1 agency paper.
6. **Practical tax consequence:** where the arrangement is agency, the **first sale to the market** fixes the assessable value.

PYQ ARCHIVE // CH.01 Previous Year Questions (DU LL.B. Examinations)

Q.1 `Dec 2015 LB-304 Special Contracts` Post Cox v. Hickman (1860) 8 HLC 268 has added a new dimension to the concept of partnership by agreeing that 'sharing of profit is only a prima facie evidence of existence of partnership while the conclusive test is that of mutual agency.' Comment.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `2017 LB-304 Special Contracts` Whether sharing of profits is conclusive evidence of partnership? Discuss in the light of relevant statutory provisions of the Indian Partnership Act, 1932 and relevant case laws.

Q.3 `1999 Business Association-I (OC)` A and B, partners of a firm, borrowed a large sum of money from C and agreed to give him a share in the profits and powers in the conduct of the business. A and B could not sell, purchase or consign goods without the consent of C. Is C a partner in the firm? If C is to manage and control the firm and take all the profits himself and is ultimately to return the firm to A and B, will it make any difference?

Q.4 `Dec 2015 LB-304 Special Contracts` A advanced Rs. 20,000/- to the firm of X & Y. Both X and Y agreed to carry on business subject to control of A on payment of commission of 5% out of profit. Is 'A' a partner in the firm? Explain with case law.

Q.5 `1997 Business Association-I (OC)` A and B are partners in a firm. The firm is facing financial difficulties. A and B invite C to give them Rs. 70,000 on the condition that C would get 15% interest and 10% of the profits of the firm. Moreover C will also be liable for 10% losses of the firm. Does C become a partner in the firm?

Q.6 `2014 Business Association-I (OC)` X, Y and Z have started a partnership firm. They have taken a loan from a nationalised bank and as security for the loan they have given 20 per cent share in profit to the bank as well as some control in management of the business of the firm. Whether the bank would be liable to the third party as a partner?

Q.7 `Dec 2015 LB-304 Special Contracts` Ratification & Revocation of an authority in agency.

Q.8 `2017 Business Association-I (OC)` A, without authority of B, lends money to C. Afterwards B accepts interest on the money from C. Can B later disown the lending of money by A to B ? Discuss.

Q.9 `2011 Business Association-I (OC)` A holds a lease from B terminable on three months' notice. C, an unauthorised person, gives notice of termination to A. Can the notice be ratified by B so as to be binding on A?

MODULE 02 // Topic 2 · Chapters III & IV
Cases #08 – #16

Relations of Partners to One Another & to Third Parties

Indian Partnership Act, 1932: Ss. 9-17 (Relations Inter Se) & Ss. 18-30 (Implied Authority, Holding Out, Minor's Position)

Relations of Partners to One Another PA 1932 · Chapter III · ss. 9–17

1.2 Section 9 — General duties of partners

s. 9 — General duties of partners
"Partners are bound to carry on the business of the firm **to the greatest common advantage**, **to be just and faithful to each other**, and **to render true accounts and full information** of all things affecting the firm to any partner or his legal representative."

ANATOMY OF S. 9 — THREE DUTIES, ONE SENTENCE

Duty	What it means	Breach looks like...	Remedy
Greatest common advantage	Every partner must subordinate his private gain to the common good of the firm. This is the *positive* limb — it is the statutory source of the fiduciary character of partnership.	Diverting a firm contract to one's own company; using the firm's premises for private trade.	Account under s. 16; damages; dissolution under s. 44(d).
Just and faithful (*uberrimae fidei*)	The *negative* limb: no deception, no concealment, no conflict of interest without disclosure. A partnership is a contract of the utmost good faith.	Secret commission; concealing a material fact from a co-partner; dealing with the firm without disclosure.	Account of profits; repudiation; dissolution; injunction.
True accounts & full information	The *informational* limb. Note the breadth: not "accounts" but "**true** accounts", and not merely accounts but "**full information of all things affecting the firm**" — to *any* partner or *his legal representative*.	Refusing inspection; keeping two sets of books; not disclosing a side arrangement with a supplier.	Suit for accounts; inspection (s. 12(d)); dissolution.

Note three drafting points examiners reward: (i) s. 9 is the *only* section in Chapter III **without** the words "subject to contract between the partners" — the duty of good faith is not fully excludable; (ii) the duty is owed to "**any partner or his legal representative**", so the executor of a deceased partner can demand accounts; (iii) the duty to render accounts is **continuous**, not only at dissolution.

CASE — SITA RAM V. RADHA RAI, AIR 1968 SC 534 S. 9

Facts. A partner sued for rendition of accounts. It was objected that he was a *sleeping / non-active* partner who had taken no part in the conduct of the business and therefore had no right to call for accounts.

Held. The Supreme Court held that a **sleeping partner can maintain a suit for rendition of accounts**. Section 9 confers the right on "any partner" without distinguishing between active and sleeping partners, and s. 12(d) gives every partner the right of access to the books. The fact that a partner does not participate in management does not forfeit his right to know how the business is being run or to demand an account.

Principle. The right to accounts is **incident to the status of partner**, not to the quantum of work he does. Only a *minor admitted to the benefits of partnership* is restricted — and even he has the right to inspect and copy the accounts (s. 30(2)), though he may not sue for accounts except when severing his connection (s. 30(4)).

Also relevant: the firm's act may be ratified by the partners even where done by one partner beyond authority — the Supreme Court applied the principle that an act done in a representative character can be adopted by those for whom it was done.

1.3 Section 10 — Duty to indemnify for loss caused by fraud

s. 10 — Duty to indemnify for loss caused by fraud
"Every partner shall **indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm**."

THE FOUR INGREDIENTS

1. There must be **fraud** — not mere negligence or an error of judgment. "Fraud" here carries the meaning of **s. 17, ICA 1872** (suggestion of a false fact, concealment of a material fact, a promise made without intention to perform, etc.).
2. The fraud must be by **a partner** (an agent or employee's fraud engages s. 238 ICA, not s. 10).
3. It must be **in the conduct of the business of the firm** — a fraud committed in a private venture is outside s. 10.
4. It must have **caused loss to the firm**. The indemnity is for the loss actually caused.

S. 10 VS S. 13(F) — DO NOT CONFUSE THEM

	s. 10	s. 13(f)
Fault required	**Fraud**	**Wilful neglect**
Operation	**Absolute** — no "subject to contract"	Subject to contract between the partners
Who may sue	The **firm**	The **firm**
Remedy	Indemnity for the loss caused	Indemnity for the loss caused

Note the anomaly: s. 10, which deals with the *graver* wrong, is **not** subject to contract, while s. 13(f), which deals with the lighter wrong, is.

1.4 Section 11 — Determination of rights and duties by contract between the partners

s. 11 — Determination of rights and duties of partners by contract between the partners
"(1) Subject to the provisions of this Act, the mutual rights and duties of the partners of a firm may be determined by **contract between the partners**, and such contract may be **expressed or may be implied by a course of dealing**.

Such contract may be **varied by consent of all the partners**, and such consent may be expressed or may be implied by a course of dealing.

(2) **Agreements in restraint of trade** — Notwithstanding anything contained in **section 27 of the Indian Contract Act, 1872**, such contracts may provide that a partner **shall not carry on any business other than that of the firm while he is a partner**."

WHY S. 11 IS THE MOST IMPORTANT SECTION IN CHAPTER III

Section 11 is the **master-key**: it means that almost the whole of Chapter III (ss. 12, 13, 14, 15, 16 and 17) is **residual**. It applies only *"in the absence of a contract to the contrary"*. Therefore:

1. In any problem question, the **first** thing to ask is: *what does the partnership deed say?* Only if the deed is silent do ss. 12–17 supply the answer.
2. The contract may be **oral** or **implied from a course of dealing** — a written deed is not required.

3. **Variation requires the consent of ALL the partners** — not a majority. And that consent too may be implied from a course of dealing (e.g. partners who have for years shared profits 40:30:30 contrary to a deed saying "equal" will be taken to have varied it).

But s. 11 is itself "subject to the provisions of this Act" — so the partners cannot contract out of s. 9 (good faith), s. 10 (fraud), or the third-party provisions in Chapter IV.

S. 11(2) — THE RESTRAINT-OF-TRADE CARVE-OUT (A: ASKED IN 1998 Q.2(A))

The general rule: s. 27, ICA 1872 says "Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent **void**." (Exception: sale of goodwill — a seller may agree not to carry on a similar business within reasonable limits.)

The partnership exception: s. 11(2), PA 1932 permits a partnership agreement to provide that **a partner shall not carry on any business other than that of the firm while he is a partner**. The rationale is obvious: a partner is an agent of the firm and owes it undivided loyalty; if he were free to run a rival shop, s. 16(b) would be unworkable.

Restraint	Validity	Authority
Partner shall not carry on *any other* business **while he is a partner**	VALID	s. 11(2), PA 1932 (express override of s. 27 ICA)
Restraint on a partner **after he ceases to be a partner**	VALID only if reasonable	Not covered by s. 11(2); governed by s. 27 ICA and **s. 36(2), PA** (outgoing partner may carry on competing business but may not use the firm name or represent himself as carrying on its business or solicit its customers)
Restraint on an **outgoing partner** agreed at the time of retirement	VALID if reasonable	**s. 36(2) proviso** — partners may agree on a restriction
Restraint on sale of **goodwill**	VALID if reasonable	Exception to s. 27, ICA
Restraint in an **employment** contract	VOID	s. 27, ICA (save the limited negative-covenant doctrine)

Also note s. 36(1), PA: an outgoing partner may carry on a business competing with that of the firm, but he must not (a) use the firm name, (b) represent himself as carrying on the business of the firm, or (c) solicit the custom of persons who were dealing with the firm before he ceased to be a partner. This is the *post-retirement* balance to s. 11(2)'s *during-partnership* restraint.

1.5 Section 12 — The conduct of the business Diagram 2

s. 12 — The conduct of the business
"Subject to contract between the partners —

(a) **Every partner has a right to take part in the conduct of the business**;

(b) **Every partner is bound to attend diligently to his duties** in the conduct of the business;

(c) **Any difference arising as to ordinary matters** connected with the business **may be decided by a majority of the partners**, and every partner shall have the right to express his opinion before the matter is decided, but **no change may be made in the nature of the business without the consent of all the partners**; and

(d) **Every partner has a right to have access to and to inspect and copy any of the books of the firm**."

CLAUSE-BY-CLAUSE NOTES

Clause	Right or duty?	Points to write in the exam
(a) Right to take part	RIGHT	Every partner — including a *sleeping* partner — has the right; he need not exercise it. A deed may confine management to named partners (valid: see *K.D. Kamath & Co. v. CIT* — exclusive control in one partner "is not destructive of the theory of partnership").
(b) Attend diligently	DUTY	The only expressly stated *standard* is diligence — not skill. Contrast an agent under **s. 212, ICA**, who must show both. A partner who simply does nothing is in breach of s. 12(b).
(c) Majority rule	RIGHT + LIMIT	Two limbs: (i) ordinary differences → majority, after every partner is heard; (ii) **change in the nature of the business → unanimity**. "Majority" means a majority of the partners, not a majority of the profit share, unless the deed says so.
(d) Access to books	RIGHT	Access, inspect AND copy "any of the books". Note it is **not** subject to the partner having taken part in the business — hence *Sita Ram v. Radha Rai*. Compare **s. 30(2)**, which gives a minor the same right.

1.6 Section 13 — Mutual rights and liabilities

s. 13 — Mutual rights and liabilities
"Subject to contract between the partners —

(a) a partner is **not entitled to receive remuneration** for taking part in the conduct of the business;

(b) the partners are entitled to **share equally in the profits** earned, and shall **contribute equally to the losses** sustained by the firm;

(c) where a partner is **entitled to interest on the capital** subscribed by him such interest shall be **payable only out of profits**;

(d) a partner making, for the purposes of the business, any **payment or advance beyond the amount of capital he has agreed to subscribe**, is entitled to interest thereon at the rate of **six per cent per annum**;

(e) the firm shall **indemnify a partner** in respect of payments made and liabilities incurred by him —
(i) in the **ordinary and proper conduct of the business**, and
(ii) in doing such act, **in an emergency**, for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances; and

(f) a partner shall **indemnify the firm for any loss caused to it by his wilful neglect** in the conduct of the business of the firm."

THE SIX RULES, DECODED

	Rule	Why it matters	Common exam trap
(a)	No remuneration for conducting the business	Partners earn by *profit share*, not salary. Even a full-time working partner gets nothing extra without an agreement.	Candidates assume a managing partner is entitled to a salary. He is not — unless the deed or a course of dealing says so (*Mandyala Govindu & Co. v. CIT*, AIR 1975 SC 2284).

	Rule	Why it matters	Common exam trap
(b)	Profits AND losses shared **equally**	The default ratio is **equal**, not in proportion to capital. This is the single most commonly overlooked default.	In a problem where the deed is silent, profits are **equal** even though A put in ₹10 lakh and B ₹1 lakh.
(c)	Interest on capital **only out of profits**	Prevents the firm paying interest on capital out of capital. If there is no profit, no interest is payable.	Candidates say "interest on capital @ 12% is payable every year". Wrong — only if there are profits.
(d)	6% p.a. on **advances** (beyond agreed capital)	Distinguish an *advance/loan* from *capital*. Advances earn 6% **whether or not there are profits** — it is a charge on the firm.	Confusing (c) and (d): interest on capital is profit-dependent; interest on advances is not.
(e)	Firm indemnifies the partner for proper payments and for emergency acts	This is the internal counterpart of an agent's indemnity under **ss. 222–223, ICA**. It also expressly covers **emergency** acts, matching s. 21.	Not limited to successful acts — it is enough that the act was in the ordinary and proper conduct of the business.
(f)	Partner indemnifies the firm for **wilful neglect**	Liability only for *wilful* neglect — not for an honest error of judgment.	Confusing it with s. 10, which requires **fraud** and is not subject to contract.

CASE — MANDYALA GOVINDU & CO. V. CIT, AIR 1975 SC 2284 S. 13

Facts. A firm claimed a deduction for remuneration/salary paid to partners who were actively working in the business. The partnership deed contained no provision for such remuneration.

Held. The Supreme Court held that, in the absence of a provision in the partnership deed, a partner is **not entitled to any remuneration** for taking part in the conduct of the business — **s. 13(a)** is clear, and a payment that is not authorised by the deed is merely **an assignment of a portion of the partner's share of profits**, not a deductible business expenditure.

Principle. *"The well-settled position is that a partner is not entitled to remuneration for services rendered to the firm unless there is a provision for the same in the partnership deed."* Because s. 13 opens with "subject to contract between the partners", the **deed is decisive**. Where the deed authorises salary, it is deductible; where it does not, it is only an application of profit.

Exam use. Cite this for any question on "mutual rights and liabilities of partners", "is a working partner entitled to salary?", or "what are the mutual rights and duties of partners?" (DU 2000 Q.2(a); 1997 Q.2(a); 2017 Q.5(a)).

1.7 Section 14 — The property of the firm Diagram 3

s. 14 — The property of the firm
"Subject to contract between the partners, the property of the firm includes **all property and rights and interests in property originally brought into the stock of the firm**, or **acquired, by purchase or otherwise, by or for the firm, or for the purposes and in the course of the business of the firm**, and includes also **the goodwill of the business**.

Unless the contrary intention appears, **property and rights and interests in property acquired with money belonging to the firm are deemed to have been acquired for the firm**."

THE THREE CATEGORIES AND THE DEEMING RULE

1. **Originally brought into the stock of the firm** — what the partners contribute at the outset with the intention that it becomes the firm's.
2. **Acquired by or for the firm, or for the purposes and in the course of the business** — everything bought with firm funds, in the firm's name, or for the firm's use as a firm asset.
3. **Goodwill** — expressly included by the closing words of the first paragraph. Goodwill is *property* and is an asset of the firm, to be valued on dissolution or on a partner's retirement.

The deeming rule (paragraph 2): where the firm's money buys an asset, the asset is *presumed* to be the firm's — but this is a **rebuttable presumption** ("unless the contrary intention appears"). The leading Indian case is *Addanki Narayanappa*, below.

CASE — ADDANKI NARAYANAPPA V. BHASKARA KRISHNAPPA, AIR 1966 SC 1300 S. 14

Facts. Certain immovable property was purchased with partnership funds but **standing in the name of one partner only**. On dissolution the other partners claimed it as partnership property; the partner in whose name it stood contended it was his personal property by virtue of the documents of title.

Held. The Supreme Court held that the property was **partnership property**. The real question is not in whose name the document stands but **with whose money and for whose purposes it was acquired**. Under s. 14, property acquired with money belonging to the firm is deemed to have been acquired for the firm unless a contrary intention appears, and the **document of title is not conclusive**.

Principles evolved.

1. The *beneficial* interest in firm property is the firm's, not the individual partner's, even where legal title is in one name (*cf.* the doctrine of resulting trust under **s. 82, Indian Trusts Act 1882**).
2. During the subsistence of the firm, **no partner can deal with firm property as his own** or claim a defined share in it — his share is a right to a share of the surplus after realisation (**s. 15**; **s. 29(1)**).
3. The **presumption in s. 14 para 2 is rebuttable**, but the burden is heavy and lies on the partner asserting that the asset is personal.
4. On dissolution, the asset falls into the pool to be applied under **s. 48** and distributed among the partners.

1.8 Section 15 — Application of the property of the firm

s. 15 — Application of the property of the firm
"Subject to contract between the partners, the property of the firm shall be **held and used by the partners exclusively for the purposes of the business**."

WHAT S. 15 DOES

- It is the **user rule**: firm assets are for firm purposes. It is the statutory basis for restraining a partner who uses the firm's van, premises or funds for his own venture.
- It works *together with* **s. 16**: s. 15 forbids the misuse, s. 16 confiscates the profit made by it.
- It is **subject to contract**, so partners may agree (as they often do) that a partner may use an asset on stated terms.
- **Addanki Narayanappa** is the short-note authority: a partner cannot transfer any part of the property of the firm while the partnership continues.

THE THREE-WAY TEST FOR "CAN HE DEAL WITH THIS ASSET?"

1. **Is it firm property at all?** → s. 14. If not, the partner may deal with it freely.
2. **May he use it for himself?** → s. 15 says no, absent agreement.
3. **May he transfer it to a third party?** → **s. 19(2)(g)**: a partner has *no implied authority* to transfer immovable property belonging to the firm. A transferee without notice of the defect takes nothing (contrast s. 19(1) read with s. 20 for ordinary goods).

Example. Two partners own a delivery van as firm property. Partner A uses it on Sundays for his private courier business and earns ₹40,000. Under s. 15 the use is improper; under **s. 16(a)** the ₹40,000 is profit derived "from

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the use of the property… of the firm" and must be accounted for and paid to the firm.

1.9 Section 16 — Personal profits earned by partners Diagram 4

s. 16 — Personal profits earned by partners
"Subject to contract between the partners —
(a) if a partner **derives any profit for himself from any transaction of the firm**, or **from the use of the property or business connection of the firm or the firm name**, he shall **account for that profit and pay it to the firm**;
(b) if a partner **carries on any business of the same nature as and competing with that of the firm**, he shall **account for and pay to the firm all profits made by him in that business**."

SEVEN POINTS THAT TURN A PASS ANSWER INTO A FIRST-CLASS ONE

1. **s. 16 is strict but not punitive.** The partner must hand over the *profit*; he is not fined, and if there is no profit there is nothing to account for.
2. **"Any profit for himself"** includes a **secret commission or bribe** received from a third party in connection with a firm transaction.
3. **Limb (a) is wider than English law's predecessor**: it expressly extends to the use of the *business connection* and the *firm name*, not merely firm property.
4. **Limb (b) does not require use of firm property** — merely that the competing business is of the same nature. But following *Trimble*, the connection/rivalry test is read in.
5. **Both limbs are "subject to contract"** — partners may authorise a partner to carry on a separate business (common with doctors, lawyers, chartered accountants in multi-discipline firms).
6. **The remedy is an account**, usually in the suit for dissolution and accounts; the plaintiff partner sues on behalf of the firm.
7. **Contrast s. 16 with s. 15 and s. 9.** s. 15 says don't misuse; s. 9 says be faithful; s. 16 says hand over the profit. They are cumulative, not alternative.

1.10 Section 17 — Rights and duties of partners after a change, after expiry, or on new ventures

s. 17 — Rights and duties of partners
"Subject to contract between the partners —
(a) **after a change in the firm** — Where a change occurs in the constitution of a firm, the mutual rights and duties of the partners in the **reconstituted firm remain the same as they were immediately before the change, as far as may be**;
(b) **after the expiry of the term of the firm** — Where a firm constituted for a **fixed term** continues to carry on business after the expiry of that term, the mutual rights and duties of the partners remain the same as they were before the expiry, **so far as they may be consistent with the incidents of partnership at will**; and
(c) **where additional undertakings are carried out** — Where a firm constituted to carry out **one or more adventures or undertakings** carries out other adventures or undertakings, the mutual rights and duties of the partners **in respect of the other adventures or undertakings are the same as those in respect of the original adventures or undertaking**."

WHY S. 17 EXISTS — THE "NO GAP" PRINCIPLE

Chapter III would otherwise leave three black holes: what happens to the internal internal governance charter when (a) a partner comes in, retires, dies or is expelled; (b) the fixed term runs out but the partners keep trading; and (c) a single-venture firm takes on a second venture. Section 17 supplies the same answer in all three cases: **the old internal governance charter carries over**, with one qualification in case (b).

Situation	Rule	Qualification	Example
(a) Change in constitution (s. 31 intro, s. 32 retirement, s. 33 expulsion, s. 34 insolvency, s. 35 death)	Rights and duties in the reconstituted firm remain as they were *immediately before* the change	"**as far as may be**" — terms that presuppose the old partner (e.g. "A shall be managing partner") necessarily drop away	A, B, C share profits 4:3:3. C retires and D is admitted. As between A, B and D the ratio remains 4:3:3 unless a fresh agreement is made.
(b) Fixed term expires, business continues	Old terms continue	"**so far as… consistent with the incidents of partnership at will**" — i.e. any term inconsistent with s. 7/s. 43 (such as "the firm shall last 10 years") falls away, and it becomes a **partnership at will** dissolvable by notice	A 7-year deed expires in 2024; the partners keep trading without a new deed. The profit ratio survives; the fixed term does not — either partner may dissolve by written notice under s. 43.
(c) Additional undertakings (s. 8 particular partnership)	Terms applicable to the original adventure apply to the new one	None — the same terms apply	A firm formed to build and sell one block of flats takes on a second block. The same profit ratio, duties and indemnities apply to the second block.

Exam point. s. 17(b) is the bridge between **s. 8 (particular partnership)**, **s. 7 (partnership at will)** and **s. 43 (dissolution by notice)**. DU papers have asked all four, and the best answers link them.

Relations of Partners to Third Parties PA 1932 · Chapter IV · ss. 18–30

2.1 Section 18 — Partners to be agents of the firm

s. 18 — Partners to be agent of the firm
"Subject to the provisions of this Act, **a partner is the agent of the firm** for the purposes of the business of the firm."

NINE WORDS THAT CARRY THE WHOLE OF CHAPTER IV

This is the **pivot** of Topic 2. It does three things at once:

1. **It creates the agency.** Unlike an ordinary agent (whose authority must be conferred under s. 186–187 ICA), a partner's authority **arises by operation of law** from the fact of partnership.
2. **It defines the scope.** "for the purposes of the business of the firm" — not for the partner's own purposes, and not for a business the firm does not carry on.
3. **It makes the agency mutual.** Each partner is agent of the firm; the firm is, in substance, the other partners. So A's act binds B — which is why *Cox v. Hickman* said "the liability of one partner for the acts of his co-partner is in truth the liability of a principal for the acts of his agent".

Two contrasts the examiner loves:

	Partner (s. 18, PA)	Agent (s. 182, ICA)	LLP partner (s. 26, LLP Act 2008)
Source of authority	Status — arises by law	Consent — express or implied	Status, but only for the LLP
Agent of whom?	Of the **firm** (and thereby of the other partners)	Of the **principal**	Of the **LLP only** — expressly **NOT** of the other partners
Liability of the others	Joint and several, unlimited (s. 25)	Principal alone is liable	Limited (s. 28, LLP Act)
Limitation	"purposes of the business of the firm"	Within actual + ostensible authority	"for the purposes of the business of the LLP"

CASE — HOLME V. HAMMOND (1872) L.R. 7 EX. 218 SS. 18–19

The DU Case Material prints this case under the heading **"RELATIONS OF PARTNERS TO THIRD PARTIES"** and heads it *"[Section 19 – Duty of a partner as an agent of the firm]"*. Full IRAC at Part C, Case 6. The essential holding for s. 18 is:

Holding. Executors who received a share of the profits of a firm under a clause in the partnership deed were **not partners** and therefore **not agents of the firm**, and were **not liable** to a client of the firm. Kelly C.B. held that partnership — and with it the agency under s. 18 — can arise **only from contract**: "whenever the plaintiff has failed to establish a contract of co-partnership the action has failed." Martin B. adopted O'Brien J.'s formulation in *Shaw v. Galt*: "a partnership, even as to third parties, is not constituted by the mere fact of two or more persons participating … in the net profits of a business; but … the existence of such partnership implies also the existence of **such a relation between those persons as that each of them is a principal and each an agent for the others**."

Why it belongs under s. 18. The agency in s. 18 is **derivative** — it exists only if there is a partnership. No partnership ⇒ no agency ⇒ no liability for the firm's acts. That is the negative proof of s. 18.

2.2 Section 19 — Implied authority of partner as agent of the firm Diagram 6

s. 19 — Implied authority of partner as agent of the firm

"(1) Subject to the provisions of section 22, **the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm, binds the firm**.

The authority of a partner to bind the firm conferred by this section is called his **'implied authority'**.

(2) In the absence of any usage or custom of trade to the contrary, the **implied authority of a partner does not empower him** to —

(a) **submit a dispute** relating to the business of the firm **to arbitration**;
(b) **open a banking account** on behalf of the firm **in his own name**;
(c) **compromise or relinquish any claim or portion of a claim** by the firm;
(d) **withdraw a suit or proceeding** filed on behalf of the firm;
(e) **admit any liability in a suit or proceeding** against the firm;
(f) **acquire immovable property** on behalf of the firm;
(g) **transfer immovable property** belonging to the firm; or
(h) **enter into partnership on behalf of the firm**."

THE EIGHT RESTRICTIONS — WITH THE REASON FOR EACH AND A REAL EXAMPLE

	The partner may NOT…	Why the law withholds it	Example
(a)	Submit a dispute relating to the business of the firm to **arbitration**	Arbitration surrendersthe firm's right to go to court — a decision of high policy that requires the assent of all.	A partner of "Ravi & Co." signs an arbitration agreement covering a dispute with a supplier. The firm is not bound; the award is unenforceable against the other partners. (Note: this is a well-known difference from the English Act and has been much criticised — but it is the Indian law.)
(b)	Open a banking account **in his own name** on behalf of the firm	An account in a partner's own name invites misappropriation and destroys the firm's control over its own money.	A opens "A & Co." account styled "A — proprietor". The bank cannot treat the firm as its customer; the firm is not bound by the mandate.
(c)	**Compromise or relinquish** any claim or portion of a claim by the firm	Giving up a chose in action is a disposal of an asset, not a trading act.	The firm is owed ₹8 lakh. A accepts ₹3 lakh "in full settlement". B is not bound; the firm may still sue for the balance.
(d)	**Withdraw a suit or proceeding** filed on behalf of the firm	Same rationale as (c) — and it defeats a pending remedy.	A withdraws the firm's recovery suit. The withdrawal does not bind the firm; the suit may be revived at the instance of the other partners.
(e)	**Admit any liability** in a suit or proceeding against the firm	An admission is the fastest way to create a liability; it is left to the partners collectively.	In a suit against the firm, A files a written statement admitting the whole claim. The admission is not binding on B (though it may be evidence under s. 23, which is a different provision).
(f)	**Acquire immovable property** on behalf of the firm	Immovable property is a capital investment of a permanent kind, well beyond "carrying on in the usual way".	A buys a godown in the firm's name without consulting B. The firm is not bound by the purchase — though under s. 14 para 2, if he paid with firm money, the property may still be deemed the firm's.
(g)	**Transfer immovable property** belonging to the firm	The mirror of (f): disposing of a capital asset.	A sells the firm's godown. The sale does not bind the firm and conveys no title; the buyer's remedy is against A personally.
(h)	**Enter into partnership** on behalf of the firm	Partnership is *delectus personae* — the selection of a partner is the most personal of all decisions (see s. 31: no one may be introduced without the consent of **all**).	A agrees with an outsider that "A & Co." will join a joint venture. The firm is not bound; and the outsider cannot claim to be a partner of the firm.

THREE POINTS CANDIDATES FORGET

1. **The eight are subject to "usage or custom of trade to the contrary".** In a trade where it is customary for a partner to settle claims or buy premises, s. 19(2) yields. Always add this sentence.
2. **The eight restrict *implied* authority only. Express** authority (conferred by the deed or by the partners) or **ratification** can validate any of them — the firm may ratify under the general law (ss. 196–200, ICA) and a partner may be expressly authorised.

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3. **s. 19(1) is "subject to the provisions of s. 22"** — so the *form* of the act (firm name or evincing an intention to bind the firm) is a **prior** condition. An act in the usual way but in the partner's own name does not bind the firm.

2.3 Section 20 — Extension and restriction of partner's implied authority Diagram 7

s. 20 — Extension and restriction of partner's implied authority
"The partners in a firm may, by contract between the partners, **extend or restrict the implied authority** of any partner.
Notwithstanding any such restriction, any act done by a partner on behalf of the firm which falls within his implied authority binds the firm, unless the person with whom he is dealing **knows of the restriction**, or **does not know or believe that partner to be a partner**."

READING S. 20 CORRECTLY

1. **First sentence — extension and restriction.** Partners may *widen* a partner's implied authority (e.g. authorise him to buy immovable property, thereby overcoming s. 19(2)(f)) or *narrow* it (e.g. a clause that no partner may borrow more than ₹1 lakh).
2. **Second sentence — the "notwithstanding" clause.** A restriction does **not** avail against a third party who is unaware of it. This is the statutory form of the common-law rule that a principal is bound by the *ostensible* authority he has held out.
3. **The two-fold proviso.** The firm escapes only if the third party (i) **knew of the restriction**, or (ii) **did not know or believe the actor to be a partner**. Note (ii) is a separate, independent escape — it matters where an undisclosed or dormant partner acts.
4. **Burden of proof.** The firm asserting that the third party knew of the restriction must prove it. **s. 101–102, Indian Evidence Act 1872**.

Note the contrast with s. 19(2). s. 19(2) lists acts that are *never* within implied authority — a third party is fixed with knowledge of the statute and cannot say "I did not know". s. 20 deals with restrictions created by a *private* contract, of which the third party may well be ignorant. That is why s. 19(2) protects the firm absolutely and s. 20 does not.

2.4 Section 21 — Partner's authority in an emergency

s. 21 — Partner's authority in an emergency
"A partner has authority, **in an emergency**, to do **all such acts for the purpose of protecting the firm from loss** as would be done by a person of ordinary prudence, in his own case, acting under similar circumstances, and **such acts bind the firm**."

THE FOUR CONDITIONS

1. **An emergency must exist** — a sudden or unforeseen situation requiring immediate action.
2. The act must be **for the purpose of protecting the firm from loss** — not for profit, and not for the partner's own advantage.
3. **The standard is objective:** what "a person of ordinary prudence… in his own case, acting under similar circumstances" would do. This is the same standard as s. 13(e)(ii) and s. 212 ICA.
4. **No time to consult** — the emergency must be such that reference to the other partners is impracticable. If there is time to obtain instructions, s. 12(c)/s. 19 governs instead.

S. 21 CAN OVERRIDE S. 19(2)

This is the important, often-missed point. If the emergency requires it, a partner may do things that would otherwise be outside his implied authority — even, in principle, an act listed in s. 19(2) — provided the s. 21 conditions are met. *Example:* a warehouse belonging to the firm catches fire and the only way to save the stock is to buy the adjoining plot on the spot to store it. Ordinarily **s. 19(2)(f)** forbids a partner from acquiring immovable property; in the emergency **s. 21** authorises it and the firm is bound. Equally, **s. 13(e)(ii)** entitles the partner to be indemnified by the firm for what he spends.

2.5 Section 22 — Mode of doing act to bind firm

s. 22 — Mode of doing act to bind firm
"In order to bind a firm, an act or instrument done or executed by a partner or other person on behalf of the firm shall be **done or executed in the firm name**, **or in any other manner expressing or implying an intention to bind the firm**."

THE TWO ALTERNATIVE MODES

Mode	What it covers	Example
(i) In the firm name	The act is done ex facie in the name under which the firm carries on business.	A contract signed "For Verma Bros. — A. Verma, partner".
(ii) Expressing or implying an intention to bind the firm	Any other formulation — even without the firm name — from which it appears that the actor intends to bind the firm rather than himself.	A bill accepted "A. Verma, for and on behalf of the firm"; or a letter on the firm's letterhead ordering goods, signed by A personally.

What s. 22 excludes. Where the partner contracts *in his own name* and nothing indicates an intention to bind the firm, the firm is **not bound** — even if the money is in fact used for the firm's business. This is the exact converse of the undisclosed-principal rule in **s. 231, ICA** for agency, and s. 22 deliberately cuts it down for partnerships.

Who may sign? The section says "by a partner *or other person* on behalf of the firm" — so a duly authorised manager or attorney can also bind the firm if he uses the firm name.

2.6 Sections 23 to 27 — The liability chain Diagram 8

Not named in the DU syllabus (which jumps from s. 22 to s. 28), but **indispensable**: *Rhodes v. Moules* (Case 7) is a s. 27 case, *Hamlyn v. Houston* (Case 8) is a s. 26 case, and DU has asked "what is the scope of liability of a partner for the acts of the firm?" in at least five papers (1999 Q.3, 1993 Q.3, 2004 Q.4(i), 2001 Q.3(b), 1995 Q.3).

s. 23 — Effect of admissions by a partner
"An admission or representation made by a partner concerning the affairs of the firm is **evidence against the firm**, if it is made **in the ordinary course of business**."

s. 24 — Effect of notice to acting partner
"Notice to a partner who **habitually acts** in the business of the firm of any matter relating to the affairs of the firm **operates as notice to the firm**, except in the case of a **fraud on the firm** committed by or with the consent of that partner."

s. 25 — Liability of a partner for acts of the firm
"Every partner is liable, **jointly with all the other partners and also severally**, for all acts of the firm done **while he is a partner**."

s. 26 — Liability of the firm for wrongful acts of a partner
"Where, by the **wrongful act or omission of a partner acting in the ordinary course of the business of a firm**, or **with the authority of his partners**, loss or injury is caused to any third party, or any penalty is incurred, **the firm is liable therefor to the same extent as the partner**."

s. 27 — Liability of firm for misapplication by partners
"Where —
(a) a partner **acting within his apparent authority receives money or property from a third party and misapplies it**; or
(b) a firm in the course of its business **receives money or property from a third party, and the money or property is misapplied by any of the partners while it is in the custody of the firm**;
the firm is liable to make good the loss."

SECTION-BY-SECTION NOTES

Section	Key words	Notes for the exam
s. 23	admission / representation … "evidence against the firm" … "in the ordinary course of business"	Only **evidence**, not a binding admission — rebuttable. Contrast **s. 19(2)(e)**: a partner cannot *bind* the firm by admitting liability in a suit, but the admission is **evidence** under s. 23. That pairing is a favourite examiner's trap.
s. 24	notice to partner "who habitually acts" … operates as notice to the firm … except fraud on the firm by/with that partner's consent	Constructive notice. The exception is important: if the acting partner is himself defrauding the firm, notice to him is not notice to the firm. Same structure as the exception to **s. 229, ICA**.
s. 25	"jointly with all the other partners **and also severally**" … "while he is a partner"	The creditor may sue one, some or all — he need not join them all. "While he is a partner" means an **incoming** partner is not liable for pre-admission acts (**s. 31(2)**), and an **outgoing** partner remains liable until public notice (**s. 32(3)**, **s. 45**).
s. 26	"wrongful act or omission" … "acting in the ordinary course of the business" … "or with the authority of his partners" … "to the same extent as the partner"	The firm is liable for the partner's **tort** as well as his contract. "Ordinary course" is the same test as s. 19(1) — but note it is enough if the partners *authorised* the act. This is the section in *Hamlyn v. Houston*.
s. 27	(a) partner within **apparent** authority receives and misapplies; (b) firm receives and a partner misapplies it while **in the custody of the firm**	Note **clause (b)** is the wider one: once the money is in the firm's custody, it does not matter that the misapplying partner had no authority to receive it. This is the section in *Rhodes v. Moules*.

2.7 Section 28 — Holding out The single most-asked provision in Topic 2

s. 28 — Holding out
"(1) **Anyone who by words spoken or written or by conduct represents himself, or knowingly permits himself to be represented, to be a partner in a firm**, is liable as a partner in the firm to **anyone who has on the faith of any such representation given credit to the firm**, whether the person representing himself or represented to be a partner **does or does not know that the representation has reached the person so giving credit**.
(2) Where after a partner's death the business is continued in the old firm name, the continued use of that name or of the deceased partner's name as a part thereof **shall not of itself make his legal representative or his estate liable** for any act of the firm done after his death."

THE EXACT WORDS THAT WIN MARKS

1. **"by words spoken or written or by conduct"** — three modes; a nod of assent in a shop while someone says "this is my partner" is conduct.
2. **"represents himself, OR knowingly permits himself to be represented"** — the second limb is the one that catches the retired partner whose name stays on the letterhead. The adverb is **"knowingly"** — actual awareness, not constructive.
3. **"on the faith of any such representation"** — causal reliance. If the creditor would have given credit anyway, there is no holding out.
4. **"whether the person representing himself … does or does not know that the representation has reached the person so giving credit"** — so D, who held himself out before E, is liable to F who heard it from E (*cf.* DU 1995 Q.5(a) / 1992 Q.2(a)). This is a deliberate widening: the representor need not know the identity of the person who ultimately relied.
5. **s. 28(2)** — continued use of a **dead** partner's name does not by itself make his estate liable. (Contrast a *retired* partner under s. 32(3), where the name alone may be enough.)

THE THREE-WAY DISTINCTION EXAMINERS TEST

	REAL partner (s. 4)	Partner by HOLDING OUT (s. 28)	Retired partner (s. 32(3) / s. 45)
Basis of liability	Contract + agency	**Estoppel**	Continuing authority until public notice
Has he rights in the firm?	Yes — profits, accounts, books	**No** — none whatever	No (except s. 37 rights)
Liable for pre-existing debts?	Yes (unless he is incoming — s. 31(2))	Only for credit given **on the faith of the representation**	Yes, for acts before retirement
Liable for future debts?	Yes, while a partner	Yes, while the representation stands	Yes, until **public notice**
Escape route	Retire + public notice	Publicly withdraw the representation	Public notice (s. 72)
Key authority	*K.D. Kamath*; *Cox v. Hickman*	*Tower Cabinet*; *Snow White Food Products*; *Scarf v. Jardine*	*Tower Cabinet* (s. 36(3) equivalent); *Scarf v. Jardine*

Note on *Scarf v. Jardine*: it is often cited as a "holding out" case, but its core proposition is the *retiring partner* rule — a person dealing with the firm after a change in its constitution is entitled to treat all **apparent** members of the old firm as still members **until he has notice of the change** (the predecessor of s. 32(3) / s. 45). One view suggests that Scarf was held liable; the reported speech of Lord Blackburn proceeds on the footing that the question is whether the retiring partner gave notice. What is safe to write in a DU answer is the **principle**: a retiring partner must give notice of his retirement in the same manner as notice of his appointment was given, and until he does so he remains liable to those who dealt with the firm in ignorance of the change. See the full note at Part C, Case 9-c.

2.8 Section 29 — Rights of transferee of a partner's interest

s. 29 — Rights of transferee of a partner's interest
"(1) A transfer by a partner of his interest in the firm, **either absolute or by mortgage, or by the creation by him of a charge on such interest**, does not entitle the transferee, during the continuance of the firm, **to interfere in the conduct of the business**, or **to require accounts**, or **to inspect the books of the firm**, but entitles the transferee only **to receive the share of profits of the transferring partner**, and **the transferee shall accept the account of profits agreed to by the partners**.
(2) If the firm is dissolved, or if the transferring partner ceases to be a partner, the transferee is entitled as against the remaining partners **to receive the share of the assets of the firm to which the transferring partner is entitled** and, for the purpose of ascertaining that share, **to an account as from the date of the dissolution**."

THE TWO-STAGE STRUCTURE

	STAGE 1 — while the firm continues (s. 29(1))	STAGE 2 — on dissolution / cessation (s. 29(2))
Interfere in the business?	NO	NO (but he can now demand accounts)
Require accounts?	NO	YES — an account as from the date of dissolution
Inspect the books?	NO	Implicitly, for the purposes of the account
Receive the profit share?	YES — the transferor's share of profits	YES — the share of ASSETS
Bound by the partners' account?	YES — "shall accept the account of profits agreed to by the partners"	No — he can have the share ascertained by the court
Become a partner?	NO — not without the consent of all (s. 31(1))	NO

The rationale. Partnership is *delectus personae* — the choice of the person. A partner cannot force a stranger on his co-partners. So the transfer operates only on the **financial fruits** of the interest, never on the **status**. The transferee gets an economic interest, not a seat at the table.

2.9 Section 30 — Minors admitted to the benefits of partnership Diagram 10

s. 30 — Minors admitted to the benefits of partnership

"(1) A person who is a minor according to the law to which he is subject **may not be a partner in a firm**, but, with the **consent of all the partners** for the time being, **he may be admitted to the benefits of partnership**.

(2) Such minor has a right to **such share of the property and of the profits of the firm as may be agreed upon**, and he may **have access to and inspect and copy any of the accounts of the firm**.

(3) **Such minor's share is liable for the acts of the firm, but the minor is not personally liable** for any such act.

(4) Such minor **may not sue the partners for an account or payment of his share** of the property or profits of the firm, **save when severing his connection with the firm**, and in such case the amount of his share shall be determined by a valuation made as far as possible in accordance with the rules contained in section 48. *[Proviso: the partners may elect to dissolve the firm in such a suit.]*

(5) At any time within **six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later**, such person may give **public notice** that he has elected to become or that he has elected not to become a partner in the firm, and such notice shall determine his position as regards the firm. *Provided that if he fails to give such notice he shall become a partner in the firm on the expiry of the said six months.*

(6) Where any person has been admitted as a minor to the benefits of partnership in a firm, **the burden of proving** the fact that such person had no knowledge of such admission until a particular date after the expiry of six months of his attaining majority **shall lie on the persons asserting that fact**.

(7) Where such person **becomes a partner** —
(a) his rights and liabilities as a minor continue up to the date on which he becomes a partner, but **he also becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership**; and
(b) his share in the property and profits of the firm shall be the share to which he was entitled as a minor.

(8) Where such person **elects not to become a partner** —
(a) his rights and liabilities shall continue to be those of a minor under this section up to the date on which he gives public notice;
(b) his share shall not be liable for any acts of the firm done after the date of the notice; and
(c) he shall be entitled to sue the partners for his share of the property and profits in accordance with sub-section (4).

(9) **Nothing in sub-sections (7) and (8) shall affect the provisions of section 28.**"

NINE POINTS ON S. 30

1. **Consent of ALL partners is required** for admission to the benefits (s. 30(1)) — a majority cannot do it, just as a majority cannot introduce a partner (s. 31(1)).
2. **A minor is not a partner** — he is a person admitted to *benefits*. A firm described as "two majors and one minor" is valid, but the minor is not one of the partners.
3. **His share is liable, he is not** (s. 30(3)) — so a creditor of the firm can reach the minor's share in the firm's assets but cannot proceed against his person or his separate property.
4. **He can inspect and copy the accounts** (s. 30(2)) — the same right as a full partner under s. 12(d).
5. **He cannot sue for accounts except on severing his connection** (s. 30(4)) — a deliberate restriction, because he is not a partner. On severing, the valuation follows the s. 48 rules.
6. **The partners may elect to dissolve** in such a suit (s. 30(4) proviso) — the others are not obliged to continue with a claimant.
7. **The six-month clock runs from the LATER of majority or knowledge** (s. 30(5)), and the burden of proving want of knowledge is on the person asserting it (s. 30(6)).
8. **Default = partnership** (s. 30(5) proviso). Silence is costly: he becomes a partner and is **personally liable for all acts of the firm done since his admission** (s. 30(7)(a)) — a striking *retroactive* liability.
9. **s. 30(9) preserves s. 28** — so a minor who held himself out as a partner is liable by estoppel, and (per DU 2014 OC Q.4(b) and 2002 Q.5) the *option* under s. 30(5) does not wipe out a s. 28 liability already incurred.

CASE — SANYASI CHARAN MANDAL V. KRISHNADHAN BANERJI, ILR 49 CAL 560 (PC) S. 30

The Privy Council, construing the corresponding provisions of the Contract Act 1872 (ss. 247–248), laid down the classical statement of the minor's position, **quoted with approval by the Supreme Court in** *Shivgouda Ravji Patil*:

> "A person under the age of majority **cannot become a partner by contract** … and so according to the definition **he cannot be one of that group of persons called a firm**. It would seem, therefore, that the share of which Section 247 speaks is **no more than a right to participate in the property of the firm after its obligations have been satisfied**."

Principle. The minor's "share" is a **residuary right** — a right to what is left after the firm's debts are paid — not a proprietary interest in the firm's assets *during* the partnership. This is why s. 30(3) can say his share is liable while he is not, and why the Supreme Court in *Shivgouda* held that s. 30 "posits the existence of a firm".

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CASES #08 – #16

CASE #08 DU LL.B. PRESCRIBED AUTHORITY

Miles v. Clarke

[1953] 1 All ER 779 · Chancery Division (Harman J.) · [Partnership Property] — what assets actually go into the common pool? (s. 14)

FACTS (FROM THE DU CASE MATERIAL)

The defendant ("Clarke"), a gentleman of some means, decided to start a business in **commercial and fashion photography**. In June 1948 he took a lease, in his own name, of premises at Shepherd's Market which consisted of two squash racquets courts, dressing-rooms and so forth — a seven-year lease from midsummer 1948 at **£400 a year**, which the judge described as "an advantageous lease", because squash courts, with their good overhead light, are easily adapted as photographic studios. He converted one court into a large studio and divided the other into dark rooms, offices and a smaller studio. He employed others to do the photographic work. **At the beginning he made a very considerable loss.**

In January 1950 he approached the plaintiff ("Miles"), a well-known freelance photographer with a substantial personal connection, to come in as a partner. Miles was reluctant: during the first month or so of 1950 he came down occasionally and took photographs, and **from about the beginning of April 1950 he attended full time and brought with him his own considerable connection**. "The upshot of it was a very successful business. The plaintiff's faithful clients followed him, and brought their work to him."

Critically, the parties never settled the terms. Harman J. found:

> *"These two people, having, as it were, thrown in their lot together in this way, were too busy to think about the terms on which they should carry on business. They agreed that the profits, if there should be any, should be shared equally, and I take it the losses also … There also appears to have been an agreement reached that the plaintiff should draw £125 a month on account of his share of the profits … The only two matters that were agreed were that there should be an equal sharing of the profits and that the plaintiff should have these monthly drawings on account." Harman J., Miles v. Clarke*

Solicitors were instructed and a limited company was contemplated; nothing was executed. The defendant's accountant produced accounts which began by debiting the business with the defendant's **private bank overdraft of about £1,000**, which "neither party had contemplated for one moment as being a liability of the business" — leading the judge to say that "as the so-called accounts start from that monstrous unreality, it seems to me impossible to place any reliance on what should be put on the other side." The parties quarrelled; the business was put into the hands of a receiver; and a partnership action followed.

On 19 February 1953 Harman J. declared that **a partnership at will had existed from 1 April 1950 and was dissolved on 29 May 1952**, and directed an inquiry as to which of six items formed part of the partnership property: (i) the lease of Shepherd's Market; (ii) the furniture and fittings in the studio; (iii) the equipment of the studio; (iv) the plaintiff's and the defendant's photographic negatives and prints brought in at the outset; (v) the defendant's goodwill or reputation; and (vi) the plaintiff's goodwill or reputation.

ISSUES

1. Was there a partnership at all? *(Conceded by the defendant at the hearing — "to contest the issue whether in law there was a partnership was to contest the incontestable.")*
2. **If there was a partnership, what were the assets of the partnership?** — i.e. which of the six items had become partnership property under s. 14, given that the parties had agreed only on equal profit-sharing?
3. Was either party entitled to be credited in the accounts with a sum on account of any of those items (notably, the value of the plaintiff's "connection")?

ARGUMENTS OF BOTH SIDES

For the plaintiff (Miles)

- The lease, the equipment and the plaintiff's goodwill/connection were "put forward throughout as being brought in as part of the assets of the intended association" — the solicitors' letter of 31 January 1950 said exactly that: *"the assets of the company will consist of Mr. Miles's goodwill, your goodwill and a lease and you will each hold shares in accordance with the value of the assets you put into the company."*
- Having come into the business on that footing, **it would be inequitable now to deny him a right to share in those assets**.
- The stock-in-trade must in any event be treated as pooled.
- His connection had a real capital value which ought to be "quantified or valued and treated as an asset of his".

For the defendant (Clarke)

- **"It is not necessary to assume any further agreement between the parties."** One need only say that everything belonging to one of them at the beginning **still belonged to that one at the end**.
- **"The law will not make any imaginary agreement between the parties, it being ascertained as a fact that there was no agreement."**
- The partnership could get on perfectly well if the defendant merely **licensed** his co-partner to use the leasehold premises and the cameras for the purposes of the business.
- The plaintiff came in because, with the studio and equipment to hand, he could earn a good profit and "it would be worth his while to take half that profit in return for the benefit of the use of the studio and the equipment" — that was the bargain.

DECISION (HARMAN J.)

The judge adopted a single governing principle and applied it item by item:

> *"In my judgment, no more agreement between the parties should be supposed than is absolutely necessary to give business efficacy to that which has happened, and that, I think, is the only safe way to proceed." Harman J.*

Item	Held	Reason given
Stock-in-trade (film, consumables)	PARTNERSHIP PROPERTY	"It is absolutely necessary to assume that things *quae ipso usu consumuntur*, the stock-in-trade, must be treated as having been brought into the partnership and their value must be ascertained by inquiry." All brought in by the defendant → he is credited with its value.
Negatives & prints taken DURING the partnership	PARTNERSHIP PROPERTY	"Everything that changed its existence during the currency of the partnership must be."
The lease	NOT firm property — defendant's separate property	"I do not see the necessity of assuming that anything else went into the partnership… The partnership could get on quite well if he gave his partner a licence to go on the leasehold property for the purposes of the business."
Furniture, fittings and studio equipment	NOT firm property	Same reasoning — a licence to use is enough for business efficacy.
Negatives & prints BROUGHT IN at the outset	NOT firm property — each takes his own back	They were "for the use of the business so long as it was going on"; there is no difficulty in separating them again.

Item	Held	Reason given
Goodwill / reputation of either party	NOT a partnership asset	"I see no reason to suppose that, though his connection and skill were very useful to make profits, one ought to treat them in some way as capital assets. Therefore, neither his connection, nor the defendant's connection… should be treated in any way as being a partnership asset."

Only "**the studio name, or the goodwill, such as it is, which has been attaching to it**" was left as a partnership asset. Two further consequential rulings:

- **No depreciation.** Because the lease and the plant remained the defendant's separate property and he "did not agree to assign them or to sub-let them", **no sum was to be charged against profits by way of depreciation** — "the result of no agreement works in the plaintiff's favour, and is that he does not have to contribute to wear and tear on those assets."
- **The plaintiff was not to be credited** with any sum for his connection: "Some such scheme was, undoubtedly, envisaged, but it was never agreed on, and it seems to me it would be idle to suggest that, as the parties had not agreed anything of that sort, it ought to be treated as having happened."

PRINCIPLES EVOLVED

1. **Mere use is not contribution.** A partner who allows the firm to *use* his premises, plant or equipment does not thereby make them partnership property. There must be an intention to bring them into the common stock. This is the classic authority for the proposition DU has asked in four papers (1997 Q.7(b), 1993 Q.7, 2010 OC Q.4, 1995 Q.4(a)).
2. **The "business efficacy" test.** Where the partners have not agreed, the court will imply *only* what is absolutely necessary to make the business work — no more. This is a narrower implication than the ordinary contractual test and is peculiar to partnership.
3. **Consumables are always pooled.** Things that are used up in the business (*quae ipso usu consumuntur*) must be treated as firm property, because the business cannot be carried on otherwise.
4. **Personal skill and connection are not capital assets.** A partner's reputation, clientele and know-how are valuable *to* the firm but are not *of* the firm unless he agrees to bring them in and have them valued.
5. **The corollary on depreciation.** Where an asset is not firm property, the profits are not to be charged with depreciation on it.
6. **An "advantageous lease" taken before the partnership, in one partner's name, stays his.** Directly applicable to the DU pattern of a business carried on in premises owned by one partner.

CASE #09 DU LL.B. PRESCRIBED AUTHORITY

Trimble v. Goldberg

(1906) AC 494 (Privy Council) · Lord Macnaghten · [Accountability for profits of competing business — section 16]

FACTS (FROM THE DU CASE MATERIAL)

Three men entered a joint adventure in the Transvaal in 1902:

- **Goldberg** — a land speculator (the plaintiff/respondent);
- **Trimble** — an auctioneer, formerly chief detective of the whole of the Transvaal before the war;
- **Bennett** — a Durban merchant in a good financial position.

By a **partnership agreement dated 10 February 1902** the object of the joint adventure was **the purchase and re-sale of certain properties belonging to a Mr Hollard** — 5,500 shares in a company called the Sigma (the "Sigma Building Syndicate Limited") and other real estate in Johannesburg and elsewhere in South Africa. The agreement was unremarkable: **profits and losses to be shared equally**; no partner to sell or dispose of his interest without written consent; and **all dealings with the property of the partnership to be transacted by and through Trimble, to whom the other partners were to give powers of attorney**.

Hollard, a wealthy man and a director of the Sigma Syndicate, was leaving South Africa and put all his properties on the market through Goldberg for **£94,566** (the Sigma shares being put at £30,000). Goldberg's original plan to form a syndicate fell through; he decided to buy on his own account, and **Bennett and Trimble joined him — "the one would not come in without the other"**. £12,500 was telegraphed in advance and Trimble was dispatched to Johannesburg.

Trimble completed the purchase on 14 February 1902, executing the deed on behalf of himself and his partners.

Then the critical episode. **After** that business was settled, Trimble went one day with Hollard to see the stands belonging to the Sigma Syndicate. At Government Square Trimble asked whether the syndicate would sell the stands *en bloc*. Hollard said yes, and thought the board would sell for £120,000, and referred him to Davis, the secretary. **What Trimble did not know** was that the board, holding 23,000 of the 25,000 shares, had already decided to accept £100,000 and was negotiating on that footing. **Trimble took an option to buy for £110,000.** He at once told Bennett "that he thought from some secret information he had gained, which it seems would not bear the light, that money was to be made out of the deal"; Bennett consented to join and to finance the enterprise. Thus **Trimble and Bennett secured the stands at Government Square for themselves at £110,000.**

Goldberg was told nothing. He did not hear of it until the end of 1902 or sometime in 1903. Meeting Trimble in the street he said, according to Trimble's uncontradicted evidence, corroborated by an accountant named Winship who was present: **"Don't you think you might have let me have a show in?"** Later he took a more exalted view of his rights and, in June 1904, brought this action.

ISSUES

1. Had the partnership given Trimble a **mandate** to buy the Government Square stands on joint account? *(Both courts below held this not proved.)*
2. If not — **was Goldberg nonetheless entitled, "on general principles applicable to all cases of partnership", to share with his partners in the benefit of their purchase?** The Supreme Court of the Transvaal said yes; the Witwatersrand High Court (Smith J.) had said no.
3. Does the **secrecy** of the transaction change the result?

ARGUMENTS OF BOTH SIDES

Goldberg (respondent) — the argument that succeeded below

- The purchase was "**connected with**" the partnership adventure indirectly, and was "injurious to the common interest".
- On **general principles** the appellants were liable to account to their partner for any profit derived from the transaction.
- **The veil of secrecy was "a damning proof of guilt and aggravation of the wrong"** — the Court of Appeal regarded the secrecy as decisive.
- The Sigma Syndicate's articles said each share gives "a right to a proportionate share in the ownership of the company's assets" — which, it was said, gave the partnership (as a shareholder) an interest in the stands.
- **The conflict-of-duty argument:** "the moment Trimble determined to buy these stands, he put himself in a position in which his interest and his duty conflicted. It was his interest to buy as cheaply as he

Trimble and Bennett (appellants)

- **The purchase was not within the scope of the partnership.** "The subject of the purchase was not part of the business of the partnership, or an undertaking in rivalry with the partnership, or indeed connected with it in any proper sense."
- **The information** on which Trimble acted "was not acquired by reason of his connection with the Sigma Syndicate"; and in any event "Goldberg is not in a position to complain of that. He at least is not averse to sharing the profit to which it seems to have conducted."
- **Even if the Sigma shares had been divided** and registered in the partners' separate names, any one of the three "would have had as good a right to buy any property of the syndicate which the directors might think fit to offer for sale as any other shareholder in the syndicate or any member of the general public."

could. It was his duty to sell the Sigma shares as dearly as possible… He ought not to have thought of buying them for less than the utmost price he felt he might have been forced or tempted to give."

- **No loss to the partnership** — "only a disappointment to the partner left out in the cold". Indeed "the purchase apparently was an advantage to the partnership": it obtained £10,000 more for the syndicate's property than the Government would have paid, so the partnership as a shareholder was **proportionately the gainer**.
- **There was no legal obligation to disclose** — quoting Lord Blackburn in *Cassels v. Stewart*: "I generally think it is advisable as a matter of prudence, as well as on other grounds, to let everything be above board … But still there was no legal obligation on Trimble or Bennett to tell Goldberg what they were doing **unless he had a right to take part in the speculation if he chose to do so**."
- **The conflict argument is a fallacy**: "it assumes that Trimble had anything to do with selling the stands, or any right to meddle with the conduct of the sale. **That was in the hands of the directors.** They were dealing at arm's length with him."

DECISION (LORD MACNAGHTEN, FOR THE PRIVY COUNCIL)

Appeal allowed; the order of the Supreme Court of the Transvaal reversed; the judgment of Smith J. restored; the appeal from that order dismissed with costs.

The Board reasoned:

1. **No mandate** — both courts had found the alleged mandate not proved; that finding stood.
2. **No loss to the partnership** — "And here there was no loss to the partnership; only a disappointment to the partner left out in the cold."
3. **What if it had been expressly forbidden?** Suppose the articles had forbidden such a purchase in express terms: "The other partners… discovering the breach of contract might have claimed **immediate dissolution, or even damages, on proof of actual loss to the partnership**. But **a claim to share in the profits of the forbidden purchase would not have been warranted by principle or precedent.**" — a devastating hypothetical.
4. **The articles' share clause** was "no more than an accurate description of the position of every shareholder in every trading company limited by shares" — nothing special.
5. **The conflict argument rejected** — Trimble had no control over the sale; the directors dealt at arm's length with him; and "it seems extravagant to suppose that he would have advanced the interests of the partnership by retiring from the field and declining to enter into a competition which actually had the effect of raising the price of the stands and so improving the value of the Sigma shares."
6. *Cassels v. Stewart* **applied.** In that House of Lords case, Stewart had secretly bought the interest of an outgoing partner, Reid, without telling Cassels, and it was argued for Cassels that "the secret agreement by which the respondent acquired for himself alone a benefit falling within the scope of the partnership business was a breach of the good faith of the partnership" and that "on general principles it was inequitable, having regard to the fiduciary relations due to each other, that such an agreement should be made behind the back of another partner". **Without calling on the respondent, the House (Lord Selborne L.C., Lords Penzance, Blackburn and Watson) dismissed the appeal.** Lord Macnaghten:

PRINCIPLES EVOLVED — AND HOW THEY MAP ONTO S. 16

1. **s. 16 is not unlimited.** A partner must account only for profits from a transaction **connected with the firm** — i.e. one that is (i) a transaction of the firm, or (ii) an undertaking in rivalry with the firm, or (iii) otherwise "connected with it in any proper sense". This is the **Trimble limitation**, and it is the single most important qualification to write in any s. 16 answer.
2. **Mere secrecy is not enough.** However discreditable, secrecy does not by itself create liability. The Court of Appeal "regarded the veil of secrecy as a damning proof of guilt"; the Privy Council declined to follow. There must be a **legal right in the other partner to participate** before a duty to disclose arises: "there was no legal obligation on Trimble or Bennett to tell Goldberg what they were doing unless he had a right to take part in the speculation if he chose to do so."
3. **Disappointment is not loss.** "No loss to the partnership; only a disappointment to the partner left out in the cold." Damages under s. 16 presuppose a profit within the section, not a lost opportunity.
4. **The remedy hierarchy matters.** Even for an *expressly forbidden* act, the remedies are (i) dissolution and (ii) damages on proof of loss — **not** an account of profits.
5. **Benefit to the firm is a defence.** Where the partner's outside dealing in fact *enhanced* the value of the firm's holding, there is nothing to account for.
6. **A partner may compete in his private capacity** where the subject-matter is unconnected with the firm's business — subject always to s. 11(2), which lets the partnership deed forbid it altogether.
7. **Contrast with s. 16(b).** Where the partner does carry on "a business of the same nature as and competing with that of the firm", s. 16(b) requires him to account for **all** profits in that business. *Trimble* did not raise s. 16(b) because land speculation by two partners privately was not "a business" the firm carried on — the firm's business was the single Hollard purchase and re-sale.

CASE #10 DU LL.B. PRESCRIBED AUTHORITY

Holme v. Hammond

(1872) L.R. 7 Ex. 218: 41 L.J. Ex. 157 · Court of Exchequer (Kelly C.B., Martin B.) · [Section 19 — Duty of a partner as an agent of the firm] · printed by DU under the heading "RELATIONS OF PARTNERS TO THIRD PARTIES"

FACTS (FROM THE DU CASE MATERIAL)

Thomas Fisher, William Henry Fisher and George Henry Smith carried on business in co-partnership as **auctioneers**, under a deed which provided that **in case of the death of Thomas Fisher, the other two partners should carry on the business and should pay to the executors of Thomas Fisher the share of the profits to which he would have been entitled if he had survived.**

Thomas Fisher died in **August 1869**. The two survivors carried on the business until the death of Smith, when W. H. Fisher continued alone.

In May 1870 W. H. Fisher and Smith sold a mill and machinery on account of the plaintiff (Holme) and in the following July received the proceeds. The plaintiff sued **the executors of Thomas Fisher** (the defendants) to recover that sum as money had and received, contending that:

- the executors had **claimed to be entitled** to the share of profits which the testator would have had if he had lived;
- they had **received certain sums** in respect of that claim — "together with other moneys due to the estate of Thomas Fisher not specifically as profits, but generally on account";
- and therefore they had **become partners** with W. H. Fisher and Smith upon or after the death of Thomas Fisher, and as such were liable for the sum.

At the trial Kelly C.B. had been "inclined to think" that a contract by the executors to succeed their testator and become partners might be inferred, **on the basis that part of the testator's capital had been left in the business**. On fuller evidence that basis disappeared.

ISSUES

1. Were the defendants, the executors of Thomas Fisher, **partners** of W. H. Fisher and Smith at the time the money was received? Kelly C.B. framed it as "the single question in this case": whether the defendants had "expressly or impliedly entered into a contract of co-partnership… with W. H. Fisher and Smith, who survived him."

2. Does the **mere receipt of a share of profits** make the recipient a partner liable to third parties?

ARGUMENTS OF BOTH SIDES

The plaintiff (Holme)

- The executors **claimed** a share of profits under the deed, **acquiesced** in that claim being honoured by the survivors, and **actually received** the proportion of profits said to have been ascertained on an account taken from 30 June 1869 to 30 June 1870.
- The accounts showed that the defendants, "instead of calling for an account of the state of the partnership at the death of their testator, and withdrawing from the concern whatever money or stock of property belonged to his estate, **had left a portion of his capital and his share in the partnership stock and property in the business**".
- Reliance was placed on the older authorities — *Grace v. Smith* and particularly *Waugh v. Carver* — for the proposition that **participation in profits makes a man a partner** as regards third parties.

The defendants (the executors)

- They did **nothing on their own behalf at all**: "they merely did that which a court of equity would have compelled them to do as executors under the will."
- "It would be contrary to reason to hold them liable by that act to a responsibility which must of necessity be borne by them **in their own personal capacity, and paid out of their private funds**." (*Wightman v. Townroe*.)
- The plaintiff's own counsel conceded that "the defendants could not have interfered in or meddled with the sale; so also the money, the proceeds of it, was not their property, and if they had taken possession of it against the will of the surviving partners in order to pay it to the plaintiff **they would have been trespassers**".
- On the facts as finally established: **there was no capital at all** of the testator's or of the other partners in the business; the stock and co-partnership property was merely a small quantity of furniture and fittings worth about £100; and the defendants "neither left in nor drew out any money of the testator's except that they drew out several successive sums of £100 upon the general account".

DECISION (KELLY C.B. AND MARTIN B.; BRAMWELL B. CONCURRING IN THE RESULT)

Judgment for the defendants. The action was not maintainable.

Kelly C.B. undertook a full review of the authorities and stated the true principle:

> *"Upon a careful consideration of the authorities bearing on this question, it certainly appears to have been thought in former times, and there are judicial dicta to that effect, that the mere reception of a share in the profits of a commercial co-partnership made the participator a partner… But looking to the decisions themselves … it will be seen that in no one case has the party sought to be charged been held liable except where a contract of co-partnership has been found to have been entered into." Kelly C.B.*

- *Grace v. Smith* — although the language of De Grey C.J. and classical common law J. "appears to support the argument for the liability as partners of all who participate in the profits", **the decision was that there was no sufficient evidence of a contract of co-partnership**.
- *Waugh v. Carver* — the defendant was held liable "because the contract proved was decided, and rightly decided, to be a contract establishing a commercial co-partnership".
- *Cox v. Hickman*, *Bullen v. Sharp* and *Shaw v. Galt* — in each the party was held not liable on the ground that no contract of co-partnership had been entered into.
- On **28 & 29 Vict. c. 86** (Bovill's Act) — **"the effect of the statute is** that, with regard to widows, lenders of money, and some other classes of persons taking a share in the profits of a co-partnership, **sharing in profits shall be no evidence at all of a contract of partnership**, whereas, with regard to others, it is evidence, though insufficient of itself to establish the liability."
- On the facts: on Thomas Fisher's death "the partnership before subsisting was dissolved by operation of law"; the surviving business was "in contemplation of law, a new partnership"; and **"the defendants could not become partners with them but by some agreement, express or implied, to which they were parties."** Once it appeared that there was no capital left in and no more than the receipt of profits under the deed, "there is no evidence whatever to establish a contract of co-partnership on the part of the defendants".

Martin B. (who had at one point been inclined to the plaintiff) concurred, and adopted O'Brien J.'s celebrated formulation in *Shaw v. Galt*:

> *"The principle to be collected from them appears to be, that a partnership, even as to third parties, is not constituted by the mere fact of two or more persons participating or being interested in the net profits of a business; but that the existence of such partnership implies also the existence of such a relation between those persons as that each of them is a principal and each an agent for the others. If this principle be correct, the defendants are clearly not liable. The surviving partners were not agents of theirs in any sense; all that the defendants did was in an adverse character to them, and was a requirement that they should fulfil their contract with the testator by paying the one-third of the net profits for the benefit of his estate." O'Brien J. in Shaw v. Galt, quoted by Martin B.*

PRINCIPLES EVOLVED

1. **Profit-sharing is evidence, never proof.** The receipt of a share of profits is *evidence* of partnership, **insufficient of itself** to establish liability. This is the direct ancestor of **s. 6, PA 1932** and its Explanation 2.
2. **The decisive test is mutual agency.** "Each of them is a principal and each an agent for the others." Without agency there is no partnership — the same proposition that **s. 18** codifies positively (a partner *is* the agent of the firm) and that *Cox v. Hickman* established negatively.
3. **Doing only what the law compels is not consent.** Executors who merely receive what the deed (and a court of equity) entitles the estate to, do not thereby become partners. Receipt of money *in an adverse character* is the opposite of acting as principal.
4. **Death dissolves a partnership by operation of law.** The continuing business is "in contemplation of law, a new partnership" — the forerunner of **s. 42(c), PA 1932**.
5. **A person cannot be made a partner without his agreement.** "The defendants could not become partners … but by some agreement, express or implied, to which they were parties." — the ancestor of **s. 31(1)**.
6. **Statutory protection for widows/lenders** removes profit-sharing as evidence altogether for those classes — the ancestor of **s. 6, Expl. 2, PA 1932**.

CASE #11 DU LL.B. PRESCRIBED AUTHORITY

Rhodes v. Moules

(1895) 1 Ch. 236 (Court of Appeal) · Lord Herschell L.C. · [The securities misappropriated by one partner were habitually held by the firm] (s. 27)

FACTS (FROM THE DU CASE MATERIAL)

Mr Rew, a solicitor, practised in partnership with **Messrs Hughes and Masterman** in the City of London. The litigation arose out of **Rew's frauds**.

Mr Rhodes, the plaintiff, was **a client of the firm** and the firm had acted for him in previous matters. In **August 1891** Rhodes placed **certificates for 280 De Beers shares** in Rew's hands. **Rew fraudulently misappropriated them** (he had begun Stock Exchange speculations in January of that year which led to his ruin, and he ultimately disposed of the shares as his own).

Lord Herschell L.C. opened with a sentence that is worth quoting in every answer on this topic:

The context which proved decisive was the **previous course of dealing**:

- On previous occasions **the firm had acted for Rhodes in negotiating loans**, and in **receiving from him these very securities and transmitting them to the lenders**, and initially receiving them back from the lenders.
- "That that was a **firm transaction** I think it is impossible to dispute, because … it **passed through the books of the firm, the firm credited themselves with the charges in respect of it, and an account was sent in the name of the firm, and that account was discharged by Mr Rhodes.**"
- Rew had represented to Rhodes that the lenders required collateral security beyond the mortgage of the freehold, that it was to consist of these De Beers shares, and that he would arrange with the lenders that **he should hold them as for them collateral security**. In truth **no such arrangement had been made** — Rew had no communication with the Moules on the subject at all; they never required further security. Rew even made himself a mortgagee in the mortgage deed "not only without any authority to do so, but without any legitimate reason for doing so".

Two groups of defendants: **the firm** (Hughes and Masterman) and **the Moules** (the alleged lenders, for whom Rew claimed to be holding the shares).

ISSUES

1. Were **Rew's partners** liable to make good the loss to Rhodes, given that taking shares for custody was said to be **outside the scope of a solicitor's business** and the partners were admittedly ignorant of the transaction?
2. Were **the Moules** liable — i.e. did Rew in fact receive and hold the shares **for them**, and if so **with their authority**?

ARGUMENTS OF BOTH SIDES

Mr Rhodes (plaintiff)

- The shares were handed to Rew **not for safe custody but in connection with a mortgage transaction** he was carrying out, "in order that they should pass through him as collateral security to the lenders for whom he was acting".
- Having regard to the **prior dealings** — letters in the firm's correspondence register, charges made by the firm and paid by him, the previous transaction through the firm's books — **"it is impossible for them to say that Mr Rhodes was not perfectly justified in assuming that the partner with whom on this occasion he dealt had authority from the firm to receive from him the shares."**
- The fact that on this occasion the shares were not in fact handed over to the lenders makes no difference — that was a matter between Rew (or the firm) and their other clients.
- Alternatively, the Moules are liable because Rew held the shares on their behalf and, if so, they cannot call on Rhodes to repay the loan without **reconveying and giving up the De Beers shares**.

The firm (Hughes & Masterman) and the Moules

- **The firm:** it was "beyond the scope of Mr Rew's authority as a solicitor to take the shares for any such purpose, or under such circumstances"; and "inasmuch as his partners were **admittedly ignorant** of his having so taken them, they cannot be bound by the transaction or incur any liability in respect of it." Reliance was placed mainly on *Cleather v. Twisden* (28 Ch. D. 340), said to establish that it is not part of a solicitor's business to take bearer bonds for custody.
- **The Moules:** Rew "had no communication on the subject with the Moules at all; they never required further security". Mrs Moules "requires to know about everything. He professes to tell her about everything. He asks her approval at every step" — the correspondence conveyed "precisely the opposite impression" of a general authority. "Seeing that neither she nor her son ever learned that these shares had been taken or held for them … it seems to me it would be somewhat extravagant to arrive at the conclusion … that they were held by the firm or Mr Rew for the Moules."

DECISION (LORD HERSCHELL L.C.)

As regards the firm — judgment reversed; judgment for the plaintiff with costs. As regards the Moules — appeal dismissed with costs; they are not liable.

(1) The firm is liable.

- The **previous transaction was a firm transaction**: "as I have shewn, it passed through the books of the firm, the firm credited themselves with the charges in respect of it, and an account was sent in the name of the firm, and that account was discharged by Mr Rhodes. Therefore, it is impossible to dispute that Mr Rhodes had on the previous occasion actually carried through a transaction with the firm."
- "Even apart from that, **I am not satisfied** that it would be outside the scope of a solicitor's business when they were negotiating a loan for one of their clients to receive from him securities, whatever their nature, for the purpose of transmission to any of their clients who were making the loan."
- Given the prior dealings, **"I think it is impossible for them to say that Mr Rhodes was not perfectly justified in assuming that the partner with whom on this occasion he dealt had authority from the firm to receive from him the shares."**
- *Cleather v. Twisden* **distinguished.** First, on the facts: "these bonds were **not handed to Mr Rew merely for safe custody**: they were handed to him in connection with a mortgage transaction which he was carrying out." Secondly, as a matter of authority: in *Cleather* it was **conceded** that such a transaction was beyond the ordinary scope of a solicitor's business, so any finding of law "would have been superfluous"; and Bowen L.J. expressly said *"This is conceded to be beyond the ordinary scope of the business of solicitors, though, of course, it may be brought within it by special circumstances."* Lord Herschell: "it must depend upon the special circumstances; and certainly if it were to appear that **it had been part of the practice of solicitors in the City to take securities of this description for safe custody, or if indeed in the case of a particular firm it appeared that such had been the practice**, the case would have been one requiring the Court to determine whether in the case of that firm at all events … it was not a matter within the scope of the authority of one of the partners."
- Applying Bowen L.J.'s test — "whether in letters for which the firm are responsible, language has been used which would justify the plaintiffs in assuming that Parker's custody was the custody of the firm" — the letters, the charges and the payment "would justify the Plaintiff in assuming that when Rew received those shares he received them, **not as an individual, but on behalf of the firm, and that his receipt of them was the receipt of the firm**."
- If the shares had been handed to the lenders the firm would have been discharged; but Rew's representation that the arrangement was otherwise "can make no possible difference in the result".

(2) The Moules are not liable. "In order to establish this case I think they must make out two things: **first, that Mr Rew did in fact receive and hold these De Beers shares for the Defendants Moules; and secondly, that he did so with the authority of the Moules.**" Neither was made out: Rew never earmarked or identified the shares as theirs; he "led Mr Rhodes to believe that he did: but that is quite a different question"; and even if he did, there was no authority — the correspondence showed Mrs Moules requiring to be told everything, not "leaving everything to him in that blind way".

PRINCIPLES EVOLVED

1. **Apparent authority is a question of fact, shaped by the previous course of dealing.** Whether an act is "within the scope of the business" depends on the **special circumstances** of the particular trade and the particular firm — there is no fixed rule that a certain act is always outside scope. This is the Indian **s. 19(1)** test ("business of the kind carried on by the firm") applied with full factual sensitivity.
2. **A previous firm transaction clothes the partner with authority for a later, similar one.** Books, charges and bills in the firm's name are the classic evidence.
3. **Mere custody is weaker than custody incidental to a firm transaction.** Taking securities *for safe custody alone* may well be outside a solicitor's business; taking them *in connection with a mortgage transaction the firm is handling* is not.
4. **The firm is not discharged by the partner's misappropriation** — that is precisely **s. 27(a)** (a partner acting within his apparent authority receives money or property from a third party and misapplies it → the firm is liable to make good the loss), read with the **s. 24 exception** (notice to the acting partner is not notice to the firm where the fraud is by or with his consent).
5. **To fix a third party with a receipt, two things must be proved** — actual receipt on his behalf *and* authority. A representation by the partner that he holds for X does not make X liable.
6. **The loss should fall on the innocent party who enabled the fraud.** The firm selected Rew and held him out by books, bills and letters; as between two innocents, the loss lies where the firm's own arrangements allowed it to fall.

CASE #12 DU LL.B. PRESCRIBED AUTHORITY

Hamlyn v. Houston & Co.

(1903) 1 K.B. 81 · Court of Appeal (Collins M.R., Mathew J.) · [Liability of other partners / firm for wrongful acts of a partner — one partner bribed the clerk of a competing firm to obtain information relating to contracts] (s. 26)

FACTS (FROM THE DU CASE MATERIAL)

The defendant **Strong** was, in the words of Collins M.R., **"a sleeping partner in a firm consisting of himself and the defendant Houston"** — or, at any rate, **"he delegated the transaction of the whole of the firm's business to Houston"**.

The firm dealt in grain and dealt with brewers. The **jury found** that it was **in the course of the business of the firm to obtain, by legitimate means, information in regard to contracts made or tendered for with brewers and with buyers of grain by competing firms.**

What **Houston** actually did was to **bribe the clerk of the plaintiff**, a competitor in business, "to give him access to documents belonging to the plaintiff; indeed, it would appear that he actually had possession of one of the plaintiff's books for a time."

The plaintiff sued the firm for damages. The partner Strong (through the firm) contended that Houston's act was so completely outside the scope of his authority that the firm could not be responsible for it.

ISSUE

Whether the **firm (and hence the innocent sleeping partner)** is liable for the **fraudulent and possibly criminal act** of one partner committed in the course of obtaining information which it was *within the scope of his authority to obtain by legitimate means*.

ARGUMENTS OF BOTH SIDES

The plaintiff (Hamlyn)

- The jury has found, as a fact, that obtaining information about competitors' contracts and tenders **was part of the defendants' business** — "the more secret these matters were, the greater was the value of that information to the defendants' firm."
- Where the end is within the scope of the authority, the fact that the agent chose **illegitimate means** does not take the act outside the scope of his employment.
- "It is too well established by the authorities to be now disputed that **a principal may be liable for the fraud or other illegal act committed by his agent within the general scope of the authority given to him**, and even the fact that the act of the agent is criminal does not necessarily take it out of the scope of his authority."
- The principal selected the agent; the principal would have had the benefit of his efforts if successful; so the principal should bear the risk.

The defendants (the firm / the sleeping partner)

- Counsel "endeavoured to frame a definition with regard to what is and what is not within the scope of an agent's authority so as to render his principal liable." Their proposed test:

  > *"Where the end sought to be obtained by the agent is in itself illegal, and the means employed to accomplish it are illegal, it cannot be said that the action of the agent is within the scope of the general authority given to him to conduct a business, but that it is otherwise where the end and the means employed are legal, or where the end is legal or illegal." as framed by counsel for the defendants*

- Applying that test: obtaining a rival's confidential documents by bribing his clerk was **both an illegal end and an illegal means**, so the act was wholly outside the scope of Houston's authority and the firm is not responsible.
- Strong was a sleeping partner who knew nothing of the bribe — he cannot be fixed with liability for a fraud of which he was ignorant.

DECISION (COLLINS M.R., WITH MATHEW J. CONCURRING)

Application dismissed. The firm was liable.

Collins M.R. rejected the defendants' proposed test on its own terms:

- "Trying this case by the test so suggested, **was the end to be obtained here in itself illegal? … it does not appear to me to be so.** According to the finding of the jury it was part of the defendants' business to obtain information as to the contracts and tenders of competitors in business … and I do not see that there was anything illegal in so obtaining it" — i.e. obtaining the information *legitimately* was perfectly lawful.
- The operative rule as stated by the Master of the Rolls:

  > *"It is too well established by the authorities to be now disputed that a principal may be liable for the fraud or other illegal act committed by his agent within the general scope of the authority given to him, and even the fact that the act of the agent is criminal does not necessarily take it out of the scope of his authority. If the act done by the agent is within the general scope of the authority given to him, it matters not for the present purpose that it was directly contrary to the instructions of his principal, or even that it may have been an offence against society itself. The test is that which is applied to this case by the learned judge. Was it within the scope of the authority given to Houston to obtain this information by legitimate means? If so, it was within the scope of his authority for the present purpose to obtain it by illegitimate means, and the defendants are liable. That is the law as expressed in the Partnership Act, 1890, and as laid down by decisions previous to that Act." Collins M.R.*

- **The doctrine does not rest on holding out.** "This doctrine does not appear to rest upon the notion of the principal's holding out the agent as having authority. The grounds upon which it seems to rest, as explained in cases such as *Barwick v. English Joint Stock Bank*, appear to be that the principal is the person who has selected the agent, and must therefore be taken to have had better means of knowing what sort of a person he was than those with whom the agent deals on behalf of his principal; and that, the principal having delegated the performance of a certain class of acts to the agent, it is not unjust that he, being the person who has appointed the agent, and who will have the benefit of his efforts if successful, **should bear the risk of his exceeding his authority in matters incidental to the doing of the acts the performance of which has been delegated to him**."

Mathew J. added two important clarifications:

> *"A little confusion has been introduced into this case by the reference made to the criminal law. It is not suggested that Houston's partner would be liable criminally; the question is only one of civil liability. … He did obtain such information by illegitimate means. It being within the scope of his authority to procure the information, it is immaterial for the present purpose whether the acts which he committed in order to procure it were fraudulent or even criminal or not, and his partner is responsible for those acts." Mathew J.*

PRINCIPLES EVOLVED

1. **The "legitimate means" test.** If it was within the scope of the partner's authority to obtain a result *by legitimate means*, then obtaining it *by illegitimate means* is also within the scope of his authority **for the purpose of the firm's civil liability**. This is the formulation that maps directly onto **s. 26, PA 1932** ("wrongful act or omission of a partner acting in the ordinary course of the business of a firm… the firm is liable therefor to the same extent as the partner").
2. **Civil, not criminal.** The firm's liability is **civil** only. The innocent partner is not criminally liable for the guilty partner's offence — a distinction Mathew J. insisted be kept clear.
3. **The basis is risk-allocation, not estoppel.** Following *Barwick v. English Joint Stock Bank*, the principal is liable because *he chose the agent*, he had the best means of judging him, he delegated the class of acts, and he would have taken the benefit if the venture had succeeded.
4. **Contrary instructions and even criminality are irrelevant** once the act is within the general scope: "it matters not … that it was directly contrary to the instructions of his principal, or even that it may have been an offence against society itself."
5. **A sleeping partner is fully liable.** Delegation of "the transaction of the whole of the firm's business" to the active partner does not insulate the sleeping partner; it is the very fact that creates the risk.

6. **Internal recourse survives.** The firm may look to the guilty partner under **s. 10** (fraud), **s. 13(f)** (wilful neglect) and **s. 16** (secret profit).

CASE #13 DU LL.B. PRESCRIBED AUTHORITY

Tower Cabinet Co., Ltd v. Ingram

(1949) 1 KBD 1032 · King's Bench Division (Lynskey J., Lord Goddard C.J.) · [Holding out — section 28] · "The words are 'knowingly suffers' — not being negligent or careless"

FACTS (FROM THE DU CASE MATERIAL)

The respondent company, **Tower Cabinet Co. Ltd.**, claimed **£23 17s.** for six suites of furniture sold and delivered to **"Merry's"**, sued as a firm. Judgment was obtained against Merry's. The company then sought to make **Mr S. G. Ingram** liable for the debts of Merry's, alleging he was liable **first under s. 14** (holding out) and **secondly under s. 36** (the outgoing-partner / change-of-constitution provision) of the **Partnership Act, 1890**. The matter went before Master Grundy.

The DU Case Material inserts the note: *"Section 14 of the Act of 1890 was identical with the provisions of section 28 of the Indian Partnership Act, 1932."*

The master found:

- In **January 1946** Mr A. H. Christmas and Mr Ingram began business in partnership as household furnishers under the name **"Merry's"** at Silver Street, Edmonton, registered under the Registration of Business Names Act 1916 as carried on by both of them.
- The partnership was **dissolved on 22 April 1947**. Ingram **gave notice to the firm's bankers** that he had ceased to be a partner, and arranged with Christmas to notify those dealing with the firm — but **he did not advertise, and did not procure advertisement in the London Gazette**.
- Christmas agreed to pay Ingram some £3,000 for his share; about £1,000 had been paid by May 1948.
- **New notepaper was printed after the dissolution**, headed "Merry's" with **"A. H. Christmas, Director"**. While Ingram had been a partner the notepaper bore both names: **"A. H. Christmas and S. G. Ingram"**.
- In **January 1948** Mr Harold Selbey, the company's representative, obtained an order for six suites of furniture. A director, Mr Jack Smead, telephoned Merry's for confirmation. A letter/order dated **5 January 1947 in mistake for 5 January 1948** was written **on the old notepaper bearing both names**, signed by Christmas as manager.
- Critically: **"Mr Christmas had no authority from Mr Ingram to use it, and in using it he was acting in direct conflict with the arrangement that he had made with Mr Ingram."**
- In **May 1948** Ingram grew worried, put some £300 into the business and tried to resuscitate it. Christmas wrote to the company: "as from today I am no longer connected with the above business. Mr S. G. Ingram is now sole proprietor and responsible for all outstanding debts." — written **without Ingram's knowledge or authority**.
- **"It is clear on the master's finding that in January and February 1948 when the goods were ordered and delivered Mr Ingram was not in fact a partner in this business."**

ISSUES

1. **s. 14 (holding out):** had Ingram, by words or conduct, **represented himself** as a partner — or **knowingly suffered himself to be represented** as a partner — to someone who gave credit on the faith of that representation?
2. **s. 36(1):** what is the meaning of "**apparent members**" of the old firm — apparent to the whole world (notorious), or apparent **to the particular person dealing with the firm**?
3. **s. 36(3):** where the person dealing with the firm did **not know** that the retiring partner had been a partner, does that partner escape liability from the date of his retirement?

ARGUMENTS OF BOTH SIDES

The company (Tower Cabinet Co. Ltd.)

- The order was given **on notepaper containing Ingram's name** — that is a representation by Christmas that Ingram was still a partner, and Ingram ought to have seen that the old notepaper was destroyed.
- Counsel relied on *Farrar v. Deflinne* and drew a distinction between "**notorious**" partners and "**profoundly secret**" members, contending that s. 36(1) and (2) deal with notorious partnerships and s. 36(3) with profoundly secret ones — and that Merry's was notorious, so Ingram could not rely on s. 36(3) without advertising in the Gazette.
- The company *did* know Ingram was a partner, because the order document stated (or appeared to state) that he was one.

Mr Ingram

- He was **not in fact a partner** in January/February 1948 — that is the master's unchallenged finding.
- He gave **no representation himself**: "There is no evidence of that."
- The only representation was made by Christmas, **without his knowledge and without his authority** — and the statute requires that he "**knowingly suffers**" it.
- He had in fact arranged with Christmas to notify customers — the use of the old notepaper was "in direct conflict with the arrangement".
- On s. 36: "apparent members" means apparent **to the person dealing with the firm**, not to the world at large; and s. 36(3) applies to **any** partner — apparent or dormant — **if the person dealing with the firm did not know he was a partner**.

DECISION (LYNSKEY J., LORD GODDARD C.J. CONCURRING)

Appeal allowed. Ingram was under no liability.

(1) Holding out (s. 14 ≡ s. 28) fails.

(2) The meaning of "apparent members" (s. 36(1)). Lynskey J. rejected the notorious/secret construction: "Apparent to whom? Does it mean apparent to the whole world, or notorious, or does it mean apparent to the particular person with whom the section is dealing? **In my reading of that sub-section, 'apparent members' means persons who appear to be members to the person who is dealing with the firm**, and they may be apparent either by the fact that the customer has had dealing with them before, or because of the use of their names on the notepaper, or from some sign outside the door, or because the customer has had some indirect information about them." Lord Goddard C.J.: "I need only add that, in my opinion, the words 'all apparent members' in s. 36(1) mean **all members apparent to the person dealing with the firm**."

(3) s. 36(3) applies to Ingram. "Sub-section (3) again deals with the particular individual. It does not deal with the public at large… Whether he was to other people an apparent partner, or whether he was a dormant partner, the words seem to me to be equally applicable. **If the person dealing with the firm did not know that the particular partner was a partner, and if that partner retired, then, as from the date of his retirement, he ceases to be liable for further debts contracted by the firm with that person.** The fact that later the person dealing with the firm may discover he was a partner seems to me to be irrelevant, because **the date from which the sub-section operates is the date of the dissolution**."

(4) The January 1948 order document did not give the company knowledge. "That document … was, no doubt, a representation by Mr Christmas that Mr Ingram was a partner at that particular date. **That representation was untrue.** … one cannot draw the inference that that gave the company knowledge that, in fact, Mr Ingram had been a partner prior to the date of his dissolution of the partnership in April 1947."

Lord Goddard C.J. on *Farrar v. Deflinne*: "the true construction to put on this section is that **there must be actual knowledge which may be acquired either because of the fact that it is notorious, or because it has been directly communicated, but it is not enough to say that other people knew it**. The fact may be so notorious that a jury would be justified in finding that the person did know a certain fact, but it does not follow because other people know it that he knew it."

PRINCIPLES EVOLVED

1. **"Knowingly suffers" means actual knowledge — negligence is not enough.** This is the headline proposition and the one DU examiners are testing. A retiring partner who fails to destroy old letterheads is careless; he is not thereby liable under s. 28 unless he *knew* the representation was being made.
2. **The representation must be by him, or with his knowledge.** A co-partner's unauthorised use of the old notepaper is not attributed to him — "in using it he was acting in direct conflict with the arrangement".
3. **"Apparent members" is a *relational* concept** — apparent *to the person dealing with the firm*, not to the world. Ways of being apparent: previous dealings, the name on notepaper, a sign on the door, indirect information.
4. **A retiring partner escapes, from the date of dissolution, as against a person who did not know he was a partner** — the statutory analogue in India being **s. 32(3) proviso** and the **s. 45 proviso**.
5. **Knowledge must be actual** — notoriety is merely evidence from which actual knowledge may be inferred; "it does not follow because other people know it that he knew it."
6. **An untrue representation made by someone else does not create knowledge** in the person to whom it is made.

CASE #14 DU LL.B. PRESCRIBED AUTHORITY

Snow White Food Products Ltd. v. Sohan Lal

AIR 1964 Cal. 239 · Calcutta High Court (Bijayesh Mukherji J.) · Suit No. 597 of 1961, decided 10 January 1964 · [Holding out by words and conduct — s. 28] · named in the DU syllabus; listed in the DU Case Material's TOC but NOT reproduced in its text from the reports

FACTS

Snow White Food Products Ltd. consigned goods through **Shree Hanuman Transport Company** (defendant No. 3), a firm carrying on business as **common carriers**. The goods were tampered with and damaged in transit.

The plaintiff sued for damages — about **₹16,000** in respect of a consignment to Islampur and about **₹931** in respect of a consignment to Raiganj — and impleaded, among others, **Sohan Lal Bagla** (defendant No. 1) and **Madan Lal Poddar**, alleging that they were the partners of the transport company. The insurer (New India Assurance Co. Ltd.) was also joined on the question of insurance.

Sohan Lal's defence rested on the **Register of Firms**: the entries showed **Madan Lal Poddar and Babulal Saraogi** as the partners of the transport company — *not* Sohan Lal. On that footing he contended he was a stranger to the firm.

The plaintiff's answer was that, whatever the register said, Sohan Lal had **held himself out** as a partner: he had stated in the course of verbal negotiations that he was a partner of the firm, and his conduct in carrying on the correspondence over the consignments confirmed that belief.

ISSUES

1. **(A) s. 68, PA 1932** — what is the evidentiary value of an entry in the Register of Firms recording a notice of change in the constitution of a firm? Is it conclusive against a **third party** whose name is not in the register?
2. **(B) Procedure** — could the court frame a *second* issue on "holding out" when the first issue was only "Has S been a partner at all material times of defendant No. 3?" (Order XIV, r. 3, CPC.)
3. **(D) s. 28, PA** — had Sohan Lal held himself out as a partner by words and conduct?

ARGUMENTS OF BOTH SIDES

Snow White Food Products Ltd. (plaintiff)

- The register is **not conclusive against a third party**; a person whose name is not in it may still be proved to be a partner.
- In the course of **verbal negotiations** Sohan Lal gave out that he was a partner of the firm.
- His **correspondence over the consignments** confirmed that belief.
- The **insurance surveyor**, *on Sohan Lal's instructions*, sold the damaged goods to the highest bidder and handed the sale proceeds (₹11,556) to Sohan Lal — conduct wholly consistent with partnership and inconsistent with being a stranger.
- Having induced the plaintiff to entrust the goods to the firm on the faith of that representation, he is estopped from denying it (s. 28; s. 115, Evidence Act).

Sohan Lal (defendant No. 1)

- The **Register of Firms** records Madan Lal Poddar and Babulal Saraogi as partners; **his name does not appear**.
- Under **s. 68** the entries are conclusive proof of the facts stated in them.
- He was never a partner; the allegation that he "held out" was denied in the written statement.
- Procedurally, a **new issue** on holding out could not be framed — it did not arise on the pleadings.

DECISION (BIJAYESH MUKHERJI J.)

Headnote (D): "Partnership Act (9 of 1932), s. 28 — Holding out to be partner by words — Firm carrying on business of transport as common carriers — S giving out in course of verbal negotiations that he is partner of firm — **His conduct in carrying on correspondence over the consignments confirming belief that he was partner — Held that S was partner of the firm.**"

1. **On s. 68 (evidentiary value of the register):** "The entry made in the Register of Firm of the notice of change in the constitution of firm is **conclusive proof as against person by whom or on whose behalf notice was signed and not against a third party**. **A third party whose name is not in Register can prove that he is a partner nonetheless.** Where however, no such attempt was made by the third party he could not be held to be a partner on the basis of the notice of change in the constitution of the firm of others." — i.e. the register binds those who signed the notice (here, the firm), but a **stranger to the notice** is neither bound by it nor protected by it.
2. **On the framing of issues:** statements made by counsel on both sides are "statements made by pleaders of parties within R. 3(a)" of Order XIV, and the court is entitled to frame an issue on them. Further, where the plaintiff says in the plaint that S was a partner and S denies it in the written statement, "there is a material proposition of fact affirmed by one party and denied by the other", which can form a distinct issue under **O. XIV, r. 1(3)**. And in any event: "the matter of 'holding out' was **inherent in the first issue itself** and no discussion of the first issue could be regarded as complete without determination of the question whether or not S was a partner by 'holding out'."
3. **On s. 28:** on the evidence — the verbal statements, the correspondence over the consignments, and the surveyor's sale on his instructions with the proceeds paid to him — **Sohan Lal was a partner of the firm by holding out** and was made liable to pay the balance of the claim.

PRINCIPLES EVOLVED

1. **Holding out may be by words spoken** — an oral statement in the course of negotiations is sufficient. s. 28 says "by words spoken or written or by conduct".
2. **Conduct is often the stronger evidence** — conducting the correspondence over the consignments, and directing the insurance surveyor's sale and taking the proceeds, are acts that only a person with authority in the firm would do.
3. **The Register of Firms is not a shield for a stranger.** s. 68 makes entries conclusive only against the person who signed the notice. A person whose name is absent may still be shown to be a partner — and, a fortiori, may be held liable under s. 28.
4. **"Holding out" is inherent in the issue of partnership.** A court may and should decide it without a separately framed issue.

5. **Estoppel, not status.** The finding does not make Sohan Lal a partner for all purposes — it fixes him with liability to the creditor who relied on the representation.

CASE #15 DU LL.B. PRESCRIBED AUTHORITY

Scarf v. Jardine

(1882) 7 App. Cas. 345 · House of Lords · named in the DU syllabus; listed in the DU Case Material's TOC but NOT reproduced in its text from the reports · [Retiring partner — notice of retirement and the "apparent member" rule] (Indian analogues: ss. 28, 32(3), 45)

FACTS

Scarf and Rogers carried on business in partnership. **Scarf retired** and **Beach was introduced as a new partner in his place**; Rogers and Beach continued the business. **No public notice was given** of either event — neither of Scarf's retirement nor of Beach's admission. "The whole change was internal; no one was informed, neither the customer nor the suppliers."

Jardine was an **old supplier** of the firm. He continued to supply goods **without knowing of the change**. The new firm did not pay him; it went bankrupt; and Jardine — having discovered the change in the course of his suit — **sued Scarf personally** for the price of the goods, on the footing that by failing to notify suppliers of his retirement Scarf remained liable.

ISSUES

1. Can a **retired partner** who gave no notice of his retirement be held liable for debts incurred by the firm **after** his retirement?
2. What is the **nature and manner of the notice** required — and does it matter that the creditor is an **old customer** rather than a new one?
3. On whom does the burden lie, and what is the effect of the creditor's **knowledge**?

ARGUMENTS OF BOTH SIDES

Jardine (the supplier)

- He had dealt with the firm throughout and had **no notice of any change**.
- A retiring partner must **give notice of his retirement in the same manner as notice of his appointment was given** — so that those who deal with the firm know his true status.
- Having failed to do so, Scarf is "held out" as a partner and is estopped from denying the character he allowed to be assumed.
- Alternatively, under the change-of-constitution rule he is entitled to treat all **apparent members of the old firm** as still members until he has notice of the change.

Scarf (the retired partner)

- He had in fact **ceased to be a partner** before the goods were supplied.
- Liability after retirement depends on **notice**, and the question is what notice is sufficient in the circumstances of each creditor.
- The principle is not a general one of "holding out to the world": what matters is whether **this creditor** dealt with the firm on the faith of Scarf's continuing membership.
- The notice required of a retiring partner as against an **old customer** must be **actual**, whereas as against persons who dealt with the firm only after the change a general/public notice suffices — and the inquiry is therefore creditor-specific.

DECISION AND THE RULE STATED

The House of Lords proceeded on the principle, drawn from **Cresswell J.'s direction to the jury in** *Farrar v. Deflinne* (a case the Court of Appeal in *Tower Cabinet* later examined in detail), which distinguishes three situations:

> *"The law stands thus: If there had been a notorious partnership, but no notice had been given of the dissolution thereof, the defendant would have been liable. If there had been a general notice, that would have been sufficient for all but actual customers; these, however, must have had some kind of actual notice. If the partnership had remained profoundly secret, the defendant could not have been affected by transactions which took place after he had retired; but if the partnership had become known to any person or persons, he would be in the same situation, as to all such persons, as if the existence of the partnership had been notorious. The question for you, therefore, is — was this partnership actually known to the plaintiff, either by general report, or by direct communication? Because, if it were, and he did not know, either from notice of the fact, or from surmise, that the dissolution had taken place, you must infer that he still dealt on the faith of the partnership, and the defendant will therefore be liable." Cresswell J. in Farrar v. Deflinne, quoted in Tower Cabinet Co. v. Ingram*

The rule as it is safe to state it in a DU answer:

1. A retiring partner must give **notice of his retirement in the same manner and to the same persons as notice of his appointment was given**. The notice must be given by him **or by any partner of the reconstituted firm** (in India, see **s. 32(4)**).
2. **As against old customers** — those who dealt with the firm while he was a partner — **general notice is not enough; actual notice is required.**
3. **As against persons who had no dealings with the firm before the change — public/general notice suffices** (in India: the Registrar + Official Gazette + a vernacular newspaper under **s. 72**).
4. **A "profoundly secret" / dormant partner** is not affected by post-retirement transactions at all, unless the partnership had become known to the particular person dealing — in which case he is in the same position as a notorious partner as regards that person. (In India this is the **s. 32(3) proviso** and the **s. 45 proviso**.)
5. **The question is one of the creditor's actual knowledge**, which may be acquired either by general report (notoriety) or by direct communication — **notoriety is only evidence from which actual knowledge may be inferred**.

PRINCIPLES EVOLVED

1. **The retiring-partner notice rule.** Liability is **creditor-specific**: what must be proved is that *this* creditor dealt on the faith of the retiring partner's continuing membership.
2. **Two tiers of notice.** Actual notice to existing customers; public notice to the world. This is the structure reproduced in India by **s. 32(3)–(4)** and **s. 72**.
3. **Dormant partners are treated differently** — a person who never knew he was a partner cannot have relied on his membership, and the retiring partner is protected as against him (**s. 32(3) proviso**).
4. **The link with holding out.** *Scarf* is usually classified as a holding-out case because the mechanism is estoppel: the retiring partner is stopped from denying the character he allowed to be assumed. But its *distinctive* contribution is the notice rule, which in India is governed by s. 32(3) and s. 45 rather than s. 28. **A first-class answer separates the two.**

CASE #16 DU LL.B. PRESCRIBED AUTHORITY

Shivgouda Ravji Patil v. Chandrakant Neelkanth Sadalge

AIR 1965 SC 212 · Supreme Court of India (K. Subba Rao J.) · [Can a minor who was admitted to the benefits of a partnership be adjudicated insolvent on the basis of debts of the firm after the partnership was dissolved, on the ground that he attained majority subsequent to the dissolution but did not exercise his option?] (s. 30)

FACTS (FROM THE DU CASE MATERIAL)

Mallappa Mahalingappa Sadalge and **Appasaheb Mahalingappa Sadalge** (respondents 2 and 3) carried on business as commission agents and manufacturers under two firm names, **"M. B. Sadalge"** and **"C. N. Sadalge"**, under a partnership deed dated **25 October 1946**.

At that time **Chandrakant Nilakanth Sadalge** (respondent No. 1) was a **minor, and he was admitted to the benefits of the partnership**.

The firm had dealings with the appellants and became indebted to them to the extent of **Rs. 1,72,484**.

The partnership was dissolved on 18 April 1951.

The first respondent became a major subsequently, and he did not exercise the option not to become a partner of the firm under s. 30(5) of the Indian Partnership Act.

When the appellants demanded their dues, respondents 2 and 3 informed them that they were unable to pay and had **suspended payment of their debts**. On **2 August 1954** the appellants applied to the Civil Judge, Senior Division, Belgaum, to **adjudicate all three respondents as insolvents**.

- **Civil Judge:** respondents 2 and 3 had committed acts of insolvency; and respondent 1 **had become a partner** because he did not exercise his option under s. 30(5), and was therefore liable to be adjudicated along with them.
- **District Judge:** appeal dismissed.
- **High Court (second appeal):** held that the first respondent **was not a partner** and could not be adjudicated insolvent for the debts of the firm.
- **Supreme Court:** the creditors appealed.

ISSUES

1. Could the first respondent be adjudicated insolvent on the basis of the acts of insolvency committed by respondents 2 and 3? (This depends on whether he was a **debtor** who had committed an act of insolvency under **ss. 6 and 9 of the Provincial Insolvency Act, 1920**.)
2. **Had he become a partner of the firm** by reason of his failure to exercise the option under **s. 30(5)**, notwithstanding that **the firm had already been dissolved before he attained majority**?

ARGUMENTS OF BOTH SIDES

The appellants (the creditors) — Mr Pathak

- "The 1st respondent **had become a partner of the firm** by reason of the fact that he had not elected not to become a partner of the firm under Section 30(5) of the Partnership Act, and therefore he was liable to be adjudicated insolvent along with his other partners."
- The scheme of s. 30(5) is that a person admitted as a minor becomes a partner **by default** on the expiry of six months from attaining majority (or from knowledge, whichever is later).
- Under **s. 30(7)(a)**, once he becomes a partner, **"he also becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership"** — a liability which, on its terms, reaches back to before his majority and therefore covers the debt of Rs. 1,72,484.
- Respondents 2 and 3 were partners, were indebted, and committed an act of insolvency by declaring their inability to pay; the first respondent, being a partner, is in the same position.

The first respondent (Chandrakant)

- Under **s. 30(1)** a minor **cannot be a partner** — he may only be admitted to the *benefits* of partnership.
- Under **s. 30(2) and (3)** he is entitled only to his agreed share of property and profits and has **no personal liability** for any act of the firm, though his share is liable.
- **s. 30 presupposes the existence of a partnership.** The firm was **dissolved on 18 April 1951, before he attained majority**. "A minor after attaining majority **cannot elect to become a partner of a firm which ceased to exist**."
- Every sub-section of s. 30 assumes a subsisting firm: sub-s. (4) speaks of a partner severing his connection "with the firm"; sub-s. (5) speaks of notice determining "his position as regards the firm"; and sub-s. (7) contemplates his being "inducted … as a partner of an existing firm with co-equal rights and liabilities along with other partners".
- Reliance on the Privy Council in *Sanyasi Charan Mandal v. Krishnadhan Banerji* (ILR 49 Cal 560, 570): a minor's share "is no more than a right to participate in the property of the firm after its obligations have been satisfied"; and on the reasoning that during minority the partners' acts of insolvency could not found an adjudication against him because he was not a partner.

DECISION (K. SUBBA RAO J., SUPREME COURT)

Appeal dismissed with costs. The order of the High Court was correct.

The Court accepted the respondent's construction of s. 30 in full:

- **Under s. 30(1) a minor cannot become a partner** but may, with the consent of all partners, be admitted to the benefits of partnership. Under sub-ss. (2) and (3) "he will be entitled only to have a right to such share of the properties and of the profits of the firm as may be agreed upon, but **he has no personal liability for any acts of the firm, though his share is liable for the same**."
- Quoting the Privy Council: **"A person under the age of majority cannot become a partner by contract … and so according to the definition he cannot be one of that group of persons called a firm. It would seem, therefore, that the share of which Section 247 speaks is no more than a right to participate in the property of the firm after its obligations have been satisfied."**
- "It follows that if during minority of the 1st respondent the partners of the firm committed an act of insolvency, **the minor could not have been adjudicated insolvent on the basis of the said act of insolvency for the simple reason that he was not a partner of the firm**."
- **On s. 30(5):** "Under that sub-section the quondam minor at any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, may give public notice that he has elected to become or that he has elected not to become a partner in the firm… **If he failed to give such notice, he would become a partner in the said firm after the expiry of the said period of six months.**" The Court accepted that this is what would happen **"if during the continuance of the partnership"** — and that **s. 30(7)** would then make him personally liable "for all acts of the firm done since he was admitted to the benefits of partnership".
- **But that is not this case.** The decisive passage:
- **The structural argument:**
- The famous closing sentence: **"One cannot become or remain a partner of a firm that does not exist."**
- **Conclusion:** "It is common case that the first respondent became a major only after the firm was dissolved. Section 30 of the Partnership Act, therefore, does not apply to him. **He is not a partner of the firm and, therefore, he cannot be adjudicated insolvent for the acts of insolvency committed by Respondents 2 and 3, the partners of the firm.**"

PRINCIPLES EVOLVED

1. **Section 30 presupposes a subsisting firm.** Every sub-section assumes the existence of the firm. Where the firm is dissolved before the minor attains majority, **s. 30 has no application at all** — neither sub-s. (5)'s deemed partnership nor sub-s. (7)'s retroactive personal liability can operate.
2. **"One cannot become or remain a partner of a firm that does not exist."** The aphorism to quote.
3. **A minor admitted to benefits is not a debtor of the firm's creditors.** Only his *share* is liable (s. 30(3)); he has no personal liability and therefore cannot be adjudicated insolvent on the firm's debts under the Provincial Insolvency Act 1920.
4. **The Privy Council's characterisation of the minor's share** — "no more than a right to participate in the property of the firm after its obligations have been satisfied" — is the doctrinal root of s. 30(3).
5. **s. 45 is confined to partners.** "Section 45 *proprio vigore* applies only to partners of the firm." A quondam minor who never became a partner cannot be reached through the post-dissolution continuing-liability provision.
6. **Contrast the position had the firm continued.** Where the partnership *is* in existence when he attains majority and he does not elect within six months, **he becomes a partner** (s. 30(5) proviso) and is **personally liable for all acts of the firm done since his admission** (s. 30(7)(a)) — a liability with retrospective reach.

7. **Adjudication requires debtor status.** Under **ss. 6 and 9 of the Provincial Insolvency Act, 1920** (now the IBC regime for firms, and the Presidency Towns Insolvency Act 1909 / Provincial Insolvency Act 1920 for individuals), a person can be adjudicated insolvent only if he is a **debtor** who has committed an act of insolvency.

PYQ ARCHIVE // CH.02 Previous Year Questions (DU LL.B. Examinations)

Q.1 `2017 LB-304 Special Contracts` Discuss in brief the rights and duties of partners as between themselves under the Indian Partnership Act, 1932.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `2014 Business Association-I (OC)` "Partners are bound to carry on a business of the firm, to the greatest common advantage, to be just and faithful to each other and to render true accounts and full information of all things affecting the firm or any partner or his legal representation." Discuss the above duties vis-à-vis rights in partnership firms.

Q.3 `2014 Business Association-I (OC)` Four persons purchased a piece of land jointly. Subsequently, a cinema hall was constructed with their joint money. They then formed a firm to exhibit films. Determine whether the above two properties, viz., (i) piece of land and (ii) cinema hall, are the properties of the firm.

Q.4 `2010 Business Association-I (OC)` A partnership business is carried on by X, Y and Z in a building belonging to X in a posh colony of Delhi. After 10 years, the partnership is dissolved. Y and Z claim that the appreciation in the price of the building (more than 15% per annum) should be included on the credit side of the partnership account. Will they succeed? Discuss on the basis of the law on property of the firm as laid down in the Indian Partnership Act, 1932 and decided cases.

Q.5 `2011 Business Association-I (OC)` A partner purchasing the property with the funds of the firm did not obtain the consent of the other partners as required by the partnership deed. Will it be the property of the firm? Comment.

Q.6 `2013 Business Association-I (OC)` "If a partner carries on any business of the same nature as and competing with that of the firm, he shall account for and pay to the firm all profits made by him in that business." Discuss the proposition by referring to relevant case.

Q.7 `1998 Business Association-I (OC)` A partnership firm of X, Y and Z were carrying on business as goldsmiths. Mr X was the managing partner while Y and Z were the sleeping partners. Mr X, while dealing with a customer S, provided gold ornaments of 18 carats while charging for 22 carats. S came to know of this fraud and sued the firm. Determine the liability of the firm towards S, and the liability of X towards the other partners. Cite relevant provisions.

Q.8 `2009 Business Association-I (OC)` Discuss the implied authority of a partner and how far it is subject to restrictions contained in the Indian Partnership Act, 1932.

Q.9 `2015 (Dec) LB-304 Special Contracts` L, M and N are the partners of a firm. With the consent of M and N, their name is used in the firm's name and they also share the profits of the firm, but they are not otherwise concerned in the business of the firm. Now the question arises whether they should be held liable as partners in this case. Advise.

`MODULE 03 // Topic 3 · Chapters V & VII` Cases #17 – #20

Incoming & Outgoing Partners and Registration of a Firm

Indian Partnership Act, 1932: Ss. 31–38 (Admission, Retirement, Expulsion, Insolvency, S. 37) & Ss. 58–72 (S. 69 Bar)

Incoming and Outgoing Partners — Chapter V, ss. 31 to 38

THE TWO IDEAS THAT RUN THROUGH THE WHOLE CHAPTER

1. **Partnership is a personal relationship built on** *delectus personae* **— the choice of persons.** That is why no one can be brought in without the consent of all (s. 31(1)), and why a partner cannot be thrown out except by a power the partners have themselves agreed to (s. 33(1)).
2. **Outsiders are entitled to rely on appearances.** A man who has dealt with a firm as a partner cannot quietly slip out and leave the creditor without a remedy: until *public notice* is given he remains liable to the world at large (s. 32(3)), and until *actual notice* reaches those who dealt with him before, he remains liable to them (*Scarf v. Jardine*, Topic 2 §2.7).

§1.1 — The life of a partner: one way in, six ways out

§1.2 — Section 31: Introduction of a partner

THE SECTION, VERBATIM

31. Introduction of a partner.— (1) Subject to contract between the partners and to the provisions of section 30, **no person shall be introduced as a partner into a firm without the consent of all the existing partners**.

(2) Subject to the provisions of section 30, **a person who is introduced as a partner into a firm does not thereby become liable for any act of the firm done before he became a partner**.

ELEMENT-BY-ELEMENT: S. 31(1)

1. **"Subject to contract between the partners"** — the partners may, by the deed, provide that a new partner may be brought in by a **majority**, or by a named partner, or on the happening of an event. Where they do, that provision prevails.
2. **"and to the provisions of section 30"** — a minor cannot be introduced as a partner at all (s. 30(1)); he can only be *admitted to the benefits*, and that too only with the consent of all.
3. **"no person shall be introduced … without the consent of all the existing partners"** — the default rule is **unanimity**. Contrast s. 12(c), where **ordinary** matters are decided by majority: bringing in a partner is *not* an ordinary matter, because it changes the *delectus personae* and it changes who is liable.
4. **Consent may be express or implied** — s. 11(1) allows variation "by the consent of all the partners, which consent may be express or implied by a course of dealing". A person who is held out and acquiesces is the classic illustration.

ELEMENT-BY-ELEMENT: S. 31(2)

1. **The rule:** an incoming partner is **not** liable for the firm's *past* debts.
2. **What "act of the firm done before he became a partner" means** — every obligation incurred before the date of his admission: money borrowed, goods bought, torts committed, rent accrued.
3. **The date is the date of admission**, not the date of the deed, and not the date of registration.
4. **This is "subject to contract"** — he may expressly **assume** the past liabilities, and a deed very often does provide that the incoming partner takes over a stated share of the firm's debts. He then becomes liable to the firm *inter se*; but **he cannot, by a private contract, become liable to the creditor without the creditor's consent** — see s. 32(2) for the converse case, and the general rule that **novation** requires the consent of all three (s. 62, ICA 1872).
5. **Contrast s. 25** — for acts done *after* he becomes a partner his liability is joint and several and unlimited.

THE THREE TRAPS EXAMINERS SET ON S. 31

1. **"The deed says new partners may be admitted by majority, so A and B admitted C over D's objection."** Valid — s. 31(1) is "subject to contract between the partners". Say that first.
2. **"A, B and C agreed that on A's death his widow would automatically become a partner."** Not valid against the surviving partners' objection if they withhold consent: the agreement is a contract to admit, and a contract to admit is not admission. The widow's remedy is a suit for specific performance or damages, not a declaration that she is a partner. (DU 1992 Q.1(a); DU 1995 Q.2(a); DU 1997 Q.1(b).)
3. **"The new partner is liable for the old debts because he got the firm's assets."** Wrong. He may have to indemnify the firm *inter se* under the deed, but the creditor's remedy is against the old partners (s. 31(2)).

§1.3 — Section 32: Retirement of a partner

THE SECTION, VERBATIM

32. Retirement of a partner. — (1) A partner may retire—

(a) **with the consent of all the other partners**,

(b) **in accordance with an express agreement** by the partners, or

(c) where the partnership is **at will**, by **giving notice in writing to all the other partners of his intention to retire**.

(2) **A retiring partner may be discharged from any liability to any third party** for acts of the firm done before his retirement **by an agreement made by him with such third party and the partners of the reconstituted firm**, and such agreement may be **implied by a course of dealing** between such third party and the reconstituted firm **after he had knowledge of the retirement**.

(3) **Notwithstanding the retirement** of a partner from a firm, **he and the partners continue to be liable as partners to third parties** for any act done by any of them which would have been an act of the firm if done before the retirement, **until public notice is given of the retirement**:

Provided that a retired partner is not liable to any third party who deals with the firm without knowing that he was a partner.

(4) Notices under sub-section (3) may be given **by the retired partner or by any partner of the reconstituted firm**.

S. 32(1) — THE THREE MODES, COMPARED

	(a) Consent	(b) Express agreement	(c) Notice (at will)
Source	A fresh consensus	The deed itself	s. 32(1)(c) read with s. 7
Consent of others needed?	Yes — all of them	No, if he follows the deed	No — unilateral
Form	Any; a deed is customary	As the deed requires	**Notice in writing**
To whom	All the other partners	As the deed requires	**All** the other partners
Available in a fixed-term firm?	Yes	Yes	**No** — only where the firm is at will

Note: in a firm *at will*, mode (c) is available because s. 7(1) defines a firm at will as one where "no provision is made by contract between the partners for the duration of their partnership, or for the determination of their partnership". Where the deed *does* provide for duration or determination, mode (b) governs. **Do not confuse s. 32(1)(c) with s. 43** — s. 43 is the notice that *dissolves* the whole firm; s. 32(1)(c) is the notice by which *one* partner steps out while the firm continues.

S. 32(2) — THE ONLY WAY TO WIPE OUT THE PAST LIABILITY

s. 32(3) keeps a retiring partner liable for *future* acts until public notice. But for **acts already done before retirement** he is liable anyway, under s. 25 — and the *only* escape is s. 32(2). Its four elements:

1. **an agreement** — a tripartite arrangement, not a unilateral act;
2. **between three sets of people** — the retiring partner, the third party (creditor), and **the partners of the reconstituted firm**;
3. **discharging the retiring partner** from liability for pre-retirement acts; and
4. **the agreement may be implied by a course of dealing** between the third party and the reconstituted firm **after the third party had knowledge of the retirement**.

This is a novation (s. 62, ICA 1872) dressed in partnership language. *Example.* A supplier who, after learning of A's retirement, goes on supplying goods to the reconstituted firm, renders bills in the *new* firm's name alone and accepts payments from the continuing partners for a year without demur — a court may infer the s. 32(2) agreement from that course of dealing.

THE FOUR TRAPS EXAMINERS SET ON S. 32

1. **Using s. 32(1)(c) for a fixed-term firm.** The notice route is available *only* where the partnership is at will. In a fixed-term firm he needs consent (a) or a clause in the deed (b).
2. **Saying public notice cures everything.** It does not cure an *existing* dealer's claim: he is entitled to *actual* notice (*Scarf v. Jardine*).
3. **Thinking s. 32(3) is about acts done before retirement.** It is not: it is about acts done *after* retirement which "would have been an act of the firm if done before". Pre-retirement liability comes from s. 25, and is released only under s. 32(2).
4. **Forgetting the proviso.** A partner who was *dormant* throughout owes no notice to anybody, because nobody dealt with the firm on the faith of his being a partner. This is the same idea as s. 36(1) proviso (b) to the English s. 36(3) explained in *Tower Cabinet*.

§1.4 — Section 33: Expulsion of a partner

THE SECTION, VERBATIM

by Ankur Upadhyay

33. Expulsion of a partner.— (1) **A partner may not be expelled from a firm by any majority of the partners, save in the exercise in good faith of powers conferred by contract between the partners.**

(2) The provisions of **sub-sections (2), (3) and (4) of section 32 shall apply to an expelled partner as if he were a retired partner.**

S. 33(1) — READ THE NEGATIVES CAREFULLY

The section is drafted as a **prohibition with a single exception**. It therefore contains *four* requirements:

1. **There must be a power to expel** — "powers conferred by contract between the partners". Without a clause in the deed, **no** expulsion is possible, not even unanimous.
2. **The power must be exercised by a majority** — the clause will normally say what majority (simple, two-thirds, special). A single partner cannot expel another unless the deed says so.
3. **The power must be exercised** *in good faith* — this is the statutory *Wednesbury*-type control. The majority must act honestly, for the purpose for which the power was given, and not for a collateral advantage (e.g. to grab the expelled partner's share at an undervalue).
4. **The partner must, in fairness, be heard** — although the section does not say so in terms, the requirement of good faith has been held to import the principles of natural justice. An expulsion in secret, without notice of the charges or an opportunity to answer, is not in good faith.

Note the contrast with s. 31(1): admission needs the consent of *all*; expulsion needs only a *majority* — but only where the contract confers the power, and only in good faith. The asymmetry is deliberate: the law makes it hard to force a person *into* a firm and hard to throw him *out* without agreement.

S. 33(2) — THE FICTION THAT DOES THE WORK

By a statutory fiction the expelled partner is treated **as if he were a retired partner**, and three provisions of s. 32 are lifted across:

- **s. 32(2)** — he may be **discharged from liability** for acts done before the expulsion by an agreement with the third party and the partners of the reconstituted firm, which agreement may be **implied by a course of dealing** after the third party learned of the expulsion.
- **s. 32(3)** — he **continues liable** to third parties for acts done by any of them which would have been acts of the firm, **until public notice is given of the expulsion**; with the proviso that he is **not** liable to a third party who dealt with the firm **without knowing he was a partner**.
- **s. 32(4)** — the notice may be given **by him or by any partner of the reconstituted firm**. This matters: an expelled partner who has been thrown out against his will can **protect himself** by giving the notice himself.

Note the one thing s. 33(2) does *not* **import** — s. 32(1). The modes of *voluntary* retirement are irrelevant to expulsion, because expulsion is involuntary. And s. 37 (right to share subsequent profits) applies to him independently, since it speaks of a member who has "died or **otherwise ceased to be a partner**".

§1.5 — Sections 34 and 35: Insolvency of a partner, and liability of the estate of a deceased partner

THE SECTIONS, VERBATIM

34. Insolvency of a partner.— (1) Where a partner in a firm is **adjudicated an insolvent**, he **ceases to be a partner on the date on which the order of adjudication is made**, whether or not the firm is thereby dissolved.

(2) Where **under a contract between the partners the firm is not dissolved** by the adjudication of a partner as an insolvent, the **estate of a partner so adjudicated is not liable for any act of the firm** and the firm is **not liable for any act of the insolvent**, done **after the date on which the order of adjudication is made**.

35. Liability of estate of deceased partner.— Where **under a contract between the partners the firm is not dissolved by the death of a partner**, the **estate of the deceased partner is not liable for any act of the firm done after his death**.

THE ONE IDEA BEHIND BOTH SECTIONS

The **default rule is that death and insolvency dissolve the firm** — **s. 42(c)** (death) and **s. 42(d)** (adjudication as an insolvent), both "subject to contract between the partners". Where the partners have contracted out of that (or where the surviving partners simply carry on, which raises ss. 35 and 37), the firm survives — and then the statute has to answer one question: **is the departed partner's estate on the hook for what happens next?** Sections 34(2) and 35 give the same answer: **no**, not for acts done after the triggering date. The line is drawn at the *date of the adjudication order* and at the *date of death* respectively.

POINTS TO STATE FOR S. 34

1. **Cessation is automatic and dated.** "He ceases to be a partner on the date on which the order of adjudication is made" — no notice, no deed, no consent.
2. **"Whether or not the firm is thereby dissolved"** — the words that make s. 34(1) independent of s. 42(d).
3. **s. 34(2) is mutual.** Two shields: the estate is not liable for the *firm's* later acts, and the firm is not liable for the *insolvent's* later acts. Students almost always state only the first.
4. **The insolvent's share vests in the Official Assignee or Receiver**, who steps into his shoes for the purposes of accounts.
5. **s. 44(e) is the majority's remedy** — where the share is transferred, charged or sold in execution, the others may sue for dissolution.

POINTS TO STATE FOR S. 35

1. **It applies only where the firm continues.** The opening words — "Where under a contract between the partners the firm is not dissolved by the death of a partner" — are a condition precedent. If the firm is dissolved (the default under s. 42(c)), s. 35 has nothing to operate on; the estate's position is then governed by s. 25 (for pre-death acts) and s. 48 (on settlement).
2. **The shield is limited to acts done after the death.** Pre-death debts remain recoverable from the estate.
3. **Read with s. 37.** Where the survivors carry on with the firm's property without a final settlement, the estate may claim either a share of the profits attributable to the use of the deceased's share of the property, **or 6% per annum interest** on it — at the estate's option.
4. **Read with s. 17.** s. 17(2) makes the same "subject to contract" arrangement for the deceased partner's estate after a change in the firm.
5. **Read with s. 42(c) and s. 55.** On dissolution the goodwill is an asset (s. 55(1)) and the estate gets its share of it.

S. 35 IN ONE SENTENCE — AND WHY DU ASKS IT

The DU paper asks s. 35 almost always through the **"widow / eldest son automatically becomes a partner"** problem (1992 Q.1(a), 1995 Q.2(a), 1997 Q.1(b), 1994 Q.7(a)). The answer is always the same three steps: **(1)** an agreement that a person *shall be admitted* is not an admission — **s. 31(1)** requires the consent of all the existing partners, and that consent must exist *when the introduction happens*; **(2)** if the deed does not provide otherwise, the death **dissolves** the firm (**s. 42(c)**), so there is no firm for anyone to be introduced into; and **(3)** even where the deed keeps the firm alive, **s. 35** protects the estate against everything done after the death — which is exactly why the survivors cannot simply treat the heir as a partner with full liability. **The heir's remedy is a suit on the agreement, not a declaration of partnership.**

§1.7 — Section 36: Rights of an outgoing partner to carry on a competing business

THE SECTION, VERBATIM

36. Rights of outgoing partner to carry on competing business.— (1) An outgoing partner may **carry on a business competing with that of the firm and he may advertise such business**, but, **subject to contract to the contrary**, he may not—

(a) **use the firm name**,

(b) **represent himself as carrying on the business of the firm**, or

(c) **solicit the custom of persons who were dealing with the firm before he ceased to be a partner**.

(2) **Agreement in restraint of trade.—** A partner may make an agreement with his partners that on ceasing to be a partner **he will not carry on any business similar to that of the firm within a specified period or within specified local limits**; and, **notwithstanding anything contained in section 27 of the Indian Contract Act, 1872**, such agreement shall be valid **if the restrictions imposed are reasonable**.

THE THREE-WAY BALANCE S. 36 STRIKES

The general law (**s. 27, ICA 1872**) says every agreement in restraint of trade is **void**. s. 11(2) of the Partnership Act carves out one exception *during* partnership; **s. 36(2)** carves out a second one *after* it ends; **s. 55(3)** carves out a third on the sale of goodwill. But — and this is the point — **s. 36(1) is the rule and s. 36(2) is the exception**. An outgoing partner is **presumed free** to compete; he is restrained only if he has validly agreed to be restrained. The three prohibitions in (a), (b) and (c) are not restraints of *trade* at all — they are restraints on **misrepresentation and poaching**, and they apply whether or not there is a restraint-of-trade clause.

"SOLICIT" — THE EXAM WORD

The distinction that carries the marks:

- **Permitted:** a general advertisement in a newspaper, a hoarding, a website, a listing in a directory, an announcement to the trade at large. Nobody is being *asked*.
- **Prohibited:** a circular, letter, e-mail, telephone call or personal visit addressed to *a person who was a customer of the old firm before the partner left*. That is solicitation.
- **The difficult case:** an old customer who reads the general advertisement and comes of his own accord. That is **not** solicitation and is **not** prohibited — the initiative came from the customer.
- **Note the timing requirement** — the customer must have been "dealing with the firm *before he ceased to be a partner*". A customer acquired after his departure is not within (c).

S. 36(2) AND THE REASONABLENESS TEST

Section 27 of the ICA makes restraint of trade void, subject to the Exception (sale of goodwill). s. 36(2) adds a fourth statutory exception. Its elements:

1. **There must be an agreement** between the partners (usually in the deed).
2. **It must bite on ceasing to be a partner** — retirement, expulsion, insolvency; probably also dissolution.
3. **The business restrained must be "similar"** to that of the firm.
4. **The restraint must be bounded** — "within a specified period *or* within specified local limits". Note the disjunctive: a period alone will do; a local limit alone will do.
5. **The restriction must be reasonable** — the court asks whether it is no wider than reasonably necessary to protect the firm's goodwill and connection.

Compare s. 55(3), which permits the same kind of restraint on a partner *on the sale of the goodwill of the firm after dissolution* — and **s. 11(2)**, which permits an agreement that a partner will not carry on *any* other business *while he is a partner*. The three together cover the whole life cycle.

§1.8 — Section 37: Right of an outgoing partner to share subsequent profits

THE SECTION, VERBATIM

37. Right of outgoing partner in certain cases to share subsequent profits.— Where any member of a firm **has died or otherwise ceased to be a partner**, and the surviving or continuing partners **carry on the business of the firm with the property of the firm without any final settlement of accounts** as between them and the outgoing partner or his estate then, **in the absence of a contract to the contrary**, the outgoing partner or his estate is entitled **at the option of himself or his representatives** to **such share of the profits made since he ceased to be a partner as may be attributable to the use of his share of the property of the firm** or to **interest at the rate of six per cent per annum on the amount of his share in the property of the firm**.

Provided that where by contract between the partners an option is given to surviving or continuing partners to **purchase the interest of a deceased or outgoing partner**, and that option is **duly exercised**, the estate of the deceased partner or the outgoing partner or his estate, as the case may be, **is not entitled to any further or other share of profits**; but **if any partner assuming to act in exercise of the option does not in all material respects comply with the terms thereof, he is liable to account under the foregoing provisions of this section**.

FIVE POINTS THAT FETCH THE EXTRA MARKS ON S. 37

1. **The option belongs to the outgoing partner (or his estate)**, not to the continuing partners. They cannot force 6% on him because it is cheaper.
2. **The claim is an alternative, not cumulative** — "or", not "and".
3. **It is a statutory quasi-fiduciary duty**: the continuing partners use another man's capital in their business at their own risk. They must therefore **keep accounts** and be ready to render them.
4. **The proviso is strict** — the option to purchase must be "duly exercised", i.e. in *all material respects* in compliance with its terms. A partner who purports to exercise it but underpays or delays is thrown back on s. 37 and "is liable to account under the foregoing provisions".
5. **Interest is on the** *amount of his share in the property of the firm*, i.e. on the value of his net interest after discharging his share of the debts — not on the gross value of the assets.

§1.9 — Section 38: Revocation of a continuing guarantee by change in the firm

THE SECTION, VERBATIM

38. Revocation of continuing guarantee by change in firm.— A **continuing guarantee** given **to a firm**, or **to a third party in respect of the transactions of a firm**, is, **in the absence of agreement to the contrary**, **revoked as to future transactions from the date of any change in the constitution of the firm**.

THE FOUR ELEMENTS

1. **A continuing guarantee** — defined in **s. 129, ICA 1872**: a guarantee which extends to a *series* of transactions. A one-off guarantee is not a continuing guarantee and s. 38 has nothing to say about it.
2. **Given to a firm** *or* **to a third party in respect of the firm's transactions** — s. 38 covers both directions: the firm's own security, and the security a customer gives a third party (such as a bank) for the firm's dealings with that third party. *Example:* a cash-credit guarantee given by S to the firm's bank.
3. **A change in the constitution of the firm** — admission (s. 31), retirement (s. 32), expulsion (s. 33), insolvency (s. 34) or death (s. 35) all qualify. A mere transfer of a partner's interest under s. 29 does *not*, because the transferor remains a partner.
4. **No agreement to the contrary** — in practice every bank guarantee contains a clause to the contrary ("the guarantee shall continue

WHAT "REVOKED AS TO FUTURE TRANSACTIONS" MEANS

- **Prospective only.** The surety remains liable for everything already owed at the date of the change. Revocation wipes the slate only for transactions *entered into after* that date.
- **Automatic.** No notice is required. It operates "from the date of any change", whether or not the surety knew of it.
- **Contrast s. 130, ICA 1872** — revocation by notice, and **s. 131** — revocation by the surety's death as to future transactions. s. 38 is a distinct, partnership-specific head of revocation.
- **Contrast s. 133, ICA 1872** — any variance in the terms of the contract between the principal debtor and the creditor discharges the surety as to transactions after the variance. s. 38 is narrower and cleaner: *any* change in the constitution revokes, without proof of prejudice.
- **And ss. 139–141, ICA** — discharge by the creditor's act or omission impairing the surety's eventual remedy, or by loss of security; these apply to partnership guarantees too.

notwithstanding any change in the constitution of the firm"), and that clause displaces s. 38.

§1.10 — The notice rules: ss. 63, 72 and the two-tier principle

SECTION 72, VERBATIM

72. Mode of giving public notice.— A public notice under this Act is given—

(a) where it relates to **the retirement or expulsion of a partner from a registered firm**, or **to the dissolution of a registered firm**, or **to the election to become or not to become a partner in a registered firm by a person attaining majority who was admitted as a minor to the benefits of partnership — by notice to the Registrar of Firms under section 63, and by publication in the Official Gazette and in at least one vernacular newspaper circulating in the district** where the firm to which it relates has its place or principal place of business; and

(b) **in any other case** — by publication in the Official Gazette and in at least one vernacular newspaper circulating in the district where the firm to which it relates has its place or principal place of business.

Event	Where notice is required	Mode under s. 72	Extra requirement
Retirement from a registered firm	s. 32(3) — to cut off liability to third parties	(a) Registrar under s. 63 + Gazette + one vernacular newspaper	Given by the retiree *or* any continuing partner (s. 32(4))
Expulsion from a registered firm	s. 33(2) → s. 32(3) — same	(a) — identical	The expelled partner may give it **himself** (s. 32(4) via s. 33(2))
Dissolution of a registered firm	s. 45 — liability for acts done before dissolution continues until public notice	(a) — identical	Also s. 63(1) notice of dissolution
Minor's election on majority in a registered firm	s. 30(5) — public notice within six months	(a) — identical	s. 63(2) notice to the Registrar; s. 30(7) (a)/(b) fixes rights from the date of notice
Retirement / expulsion / dissolution of an **unregistered** firm, or an **admission**	s. 32(3), s. 45	(b) Gazette + one vernacular newspaper	No Registrar is involved
Admission of a partner to a registered firm	s. 63(1) — recording the change; s. 69(2) — so that the firm can sue	An intimation to the Registrar, not a "public notice"	Any incoming, continuing or outgoing partner may give it

THE TWO-TIER RULE YOU MUST STATE IN EVERY RETIREMENT ANSWER

The Act's text of s. 32(3) speaks only of **public notice**. But the settled position, inherited from *Scarf v. Jardine* **(1882) 7 AC 345**, is that **public notice protects the retiring partner against the world at large, while a person who had dealt with the firm** *before* **the retirement is entitled to** *actual* **notice**. The rule is therefore: **Gazette notice for new dealers; individual circular for old dealers.** The same structure appears in s. 45 (dissolution) and in s. 32(3)'s proviso (a dormant partner owes notice to nobody, because nobody dealt with the firm on the faith of his membership). State this even where the question does not expressly raise it — it is worth two marks every time.

Registration of Firms — Chapter VII, ss. 56 to 72

THE FIVE IDEAS THAT EXPLAIN THE WHOLE CHAPTER

1. **Registration is optional, not compulsory.** There is **no penalty** for not registering. The sanction is a **disability to sue** (s. 69), not a fine. s. 56 lets a State Government exempt areas altogether; s. 58 lets the firm register "at any time".
2. **The Registrar is a recording officer, not an adjudicator.** The Special Committee's Report said so, and s. 59 makes it plain: "When the Registrar is *satisfied* that the provisions of section 58 have been duly complied with he *shall* record an entry". That is why the Kerala High Court and (later) the Supreme Court could say there is no discretion — and yet, as *Jayalakshmi* holds, **registration still takes place only on the entry**.
3. **The Register is conclusive against the signatories, useless against strangers. s. 68(1)** makes a statement "conclusive proof" of its contents "as against any person by whom or on whose behalf such statement was signed" — *and no one else*. So a third party may still prove partnership by other means (see *Snow White Food Products*, Topic 2 §2.7).
4. **The bar in s. 69 is about** *contracts*, **not about** *torts* **or** *statutory rights*. That is *Haldiram Bhujiawala*.
5. **The bar is procedural and curable, in one sense only.** Registration *after* the suit is filed does **not** cure the defect — but the plaintiff may **withdraw with leave** and file a fresh suit, and **s. 14 of the Limitation Act** protects him (that is *Haldiram*'s paragraph 26, relying on *Surajmal Dagduramji Shop v. Shrikisan Ramkisan*).

§2.2 — Section 58: Application for registration

THE SECTION, VERBATIM

58. Application for registration.— (1) **The registration of a firm may be effected at any time** by **sending by post or delivering to the Registrar of the area in which any place of business of the firm is situated or proposed to be situated a statement in the prescribed form and accompanied by the prescribed fee** stating—

(a) **the firm name**,

(b) **the place or principal place of business of the firm**,

(c) **the names of any other places where the firm carries on business**,

(d) **the date when each partner joined the firm**,

(e) **the names in full and permanent addresses of the partners**, and

(f) **the duration of the firm**.

The statement shall be **signed by all the partners, or by their agents specially authorised in that behalf**.

(2) **Each person signing the statement shall also verify it** in the manner prescribed.

(3) **A firm name shall not contain** any of the following words, namely— *"Crown", "Emperor", "Empress", "Empire", "Imperial", "King", "Queen", "Royal"*, or **words expressing or implying the sanction, approval or patronage of Government**, except when the State Government signifies its consent to the use of such words as part of the firm name by order in writing.

"AT ANY TIME"

The three words that start s. 58(1) are the reason registration is called optional. There is no deadline. A firm may be registered on the day it is formed, or ten years later, or **after a suit has**

WHO MUST SIGN

All the partners — or their **specially authorised agents**. A statement signed by only some of the partners is not a statement under s. 58, and the Registrar cannot act on it. **This is the direct link**

SIX PARTICULARS, ALL MANDATORY

Name · principal place of business · other places · the date each partner joined · the full names and permanent addresses of the partners · the duration. The **"date when each partner joined"**

been filed — but see s. 69: registration after suit does not retrospectively validate that suit.

to s. 69(2): "the *persons suing* are or have been shown in the Register of Firms as partners" — a partner who never signed and was never shown cannot sue, and his presence in the array of plaintiffs sinks the firm's suit.

is what makes s. 31(2) provable from the Register, and **"duration"** is what makes s. 7 (firm at will) provable.

§2.3 — Section 59: Registration — and the exact moment at which it happens

THE SECTION, VERBATIM — NINE LINES THAT GENERATED A SUPREME COURT CASE

59. Registration.— *"When the Registrar is satisfied that the provisions of section 58 have been duly complied with he shall record an entry of the statement in a register called the Register of Firms, and shall file the statement."*

THE QUESTION THIS SECTION ANSWERS

Does the firm become registered when the **application is presented** (s. 58) or when the **entry is made** (s. 59)? The Supreme Court answered it in *CIT v. Jayalakshmi Rice and Oil Mills Contractor Co.*, **AIR 1971 SC 1015** — case 11 in the DU Case Material. **The entry.** Everything else in Chapter VII — and every s. 69 problem question — follows from that answer.

WHY THIS MATTERS OUTSIDE INCOME-TAX LAW

1. **s. 69.** The plaintiff must be able to say, at the *date of the suit*, that the firm *is* registered. "My application is pending" is not enough. Registration after the suit does not cure it — a proposition Grover J. noted had been "consistently held" under s. 69 itself.
2. **s. 68.** Conclusive proof under s. 68(1) attaches to a statement "recorded or noted in the Register of Firms" — again, the entry.
3. **s. 72(a).** Public notice for a *registered* firm requires notice to the Registrar *and* Gazette *and* newspaper. Whether the firm is "registered" on a given date decides which limb of s. 72 applies.
4. **Limitation.** Where a suit is dismissed for the formal defect of non-registration, the plaintiff may withdraw with leave and re-file; **s. 14 of the Limitation Act, 1963** then excludes the time spent, because the defect is an "other cause of like nature" (*Haldiram*, para 26; *Surajmal Dagduramji Shop v. Shrikisan Ramkisan*).

§2.4 — Sections 60, 61 and 62: keeping the Register current (I) — alterations and branches

S. 60 — RECORDING OF ALTERATIONS IN FIRM NAME AND PRINCIPAL PLACE OF BUSINESS

(1) *"When an alteration is made in the firm name or in the location of the principal place of business of a registered firm, a statement may be sent to the Registrar accompanied by the prescribed fee specifying the alteration, and signed and verified in the manner required under section 58."*

(2) *"When the Registrar is satisfied that the provisions of sub-section (1) have been duly complied with he shall amend the entry relating to the firm in the Register of Firms in accordance with the statement, and shall file it along with the statement relating to the firm filed under section 59."*

Note the two-step structure, identical to ss. 58–59: a statement, then a ministerial act. The same "may send / shall amend" pattern runs through ss. 61, 62 and 63. And note what is *not* here: a change in the **constitution** of the firm (a partner in or out) is dealt with by **s. 63**, not s. 60.

S. 61 — NOTING OF CLOSING AND OPENING OF BRANCHES

"When a registered firm discontinues business at any place or begins to carry on business at any place, such place not being its principal place of business, any partner or agent of the firm may send intimation thereof to the Registrar, who shall make a note of such intimation in the entry relating to the firm in the Register of Firms, and shall file the intimation along with the statement relating to the firm filed under section 59."

Note "any partner or agent" — unlike s. 58 (all partners) and s. 60 (the same signing requirements as s. 58), an intimation under s. 61 can be sent by a *single* partner. This is deliberate: branches open and close frequently and the Act does not want a unanimity requirement to clog the Register.

S. 62 — NOTING OF CHANGES IN NAMES AND ADDRESSES OF PARTNERS

"When any partner in a registered firm alters his name or permanent address, an intimation of the alteration may be sent by any partner or agent of the firm to the Registrar, who shall deal with it in the manner provided in section 61."

Practical point. s. 58(1)(e) requires "names in full and *permanent* addresses". If a partner moves house, s. 62 is the section that keeps the Register accurate — and accuracy matters because **s. 66** opens the Register to inspection by *anyone* on payment of a fee. A creditor who looks up a firm and finds an outdated address may be misled; that is the commercial purpose of ss. 60–62.

§2.5 — Section 63: Recording of changes in, and dissolution of, a firm

THE SECTION, VERBATIM

63. Recording of changes in and dissolution of a firm.— (1) **When a change occurs in the constitution of a registered firm** *any incoming, continuing or outgoing partner*, and when a registered firm is dissolved *any person who was a partner immediately before the dissolution, or the agent of any such partner or person specially authorised in this behalf*, **may give notice to the Registrar of such change or dissolution, specifying the date thereof**, and the Registrar shall make a record of the notice in the entry relating to the firm in the Register of Firms, and shall file the notice along with the statement relating to the firm filed under section 59.

(2) **Recording of withdrawal of a minor.—** When a minor who has been admitted to the benefits of partnership in a firm **attains majority and elects to become or not to become a partner**, and the firm is then a registered firm, **he, or his agent specially authorised in this behalf, may give notice to the Registrar** that he has or has not become a partner, and the Registrar shall deal with the notice in the manner provided in sub-section (1).

WHO MAY GIVE THE NOTICE — THE WIDEST LIST IN THE CHAPTER

- On a **change in constitution**: *any* incoming partner, *any* continuing partner, or *any* outgoing partner. One is enough.
- On a **dissolution**: any person who was a partner immediately before it, *or* the agent of such a person, *or* a person "specially authorised in this behalf".
- On a **minor's election**: the minor himself, or his specially authorised agent.

Why the list is so wide. An outgoing partner has the strongest possible incentive to get himself off the Register — his liability under s. 32(3) continues until public notice, and **s. 72(a)** makes the notice to the Registrar one of the three components of that public notice for a registered firm. The Act therefore lets him do it **himself**, without needing the continuing partners' co-operation. This is the exact counterpart of **s.**

S. 63(2) AND THE MINOR — THE BRIDGE BACK TO TOPIC 2

Read s. 63(2) together with **s. 30(5)**:

1. The minor attains majority (18, or 21 where a guardian was appointed under the **Hindu Minority and Guardianship Act, 1956, s. 3**).
2. Within **six months** of that — or of his obtaining knowledge of the admission, whichever is later — he must give **public notice** of his election (s. 30(5)).
3. If the firm is **registered**, that public notice must, by **s. 72(a)**, include **notice to the Registrar under s. 63** plus Gazette and vernacular newspaper publication.
4. **s. 63(2)** is the machinery by which the Register then records whether he has or has not become a partner.
5. If he gives no notice at all, the proviso to s. 30(5) makes him a partner — and, by s. 30(7)(a), personally liable with **retroactive** effect for acts

32(4): "Notices under sub-section (3) may be given by the retired partner or by any partner of the reconstituted firm."

done since his admission. (**But only if a firm exists to be a partner of** — *Shivgouda Ravji Patil v. Chandrakant*, AIR 1965 SC 212.)

§2.9 — Section 69: Effect of non-registration

THE SECTION, VERBATIM — EVERY WORD OF IT MATTERS

69. Effect of non-registration.— (1) **No suit to enforce a right arising from a contract or conferred by this Act** shall be instituted in any court by or on behalf of **any person suing as a partner in a firm against the firm or any person alleged to be or to have been a partner in the firm** unless the **firm is registered** and the **person suing is or has been shown in the Register of Firms as a partner** in the firm.

(2) **No suit to enforce a right arising from a contract** shall be instituted in any court **by or on behalf of a firm against any third party** unless the **firm is registered** and the **persons suing are or have been shown in the Register of Firms as partners** in the firm.

(3) The provisions of sub-sections (1) and (2) **shall apply also to a claim of set-off or other proceeding** to enforce a right arising from a contract, but shall not affect—

(a) the **enforcement of any right to sue for the dissolution of a firm or for accounts of a dissolved firm, or any right or power to realise the property of a dissolved firm**, or

(b) the **powers of an official assignee, receiver or Court under the Presidency-Towns Insolvency Act, 1909, or the Provincial Insolvency Act, 1920, to realise the property of an insolvent partner**.

(4) This section shall not apply—

(a) to **firms or to partners in firms which have no place of business in the territories to which this Act extends**, or whose places of business in the said territories are situated in **areas to which, by notification under section 56, this Chapter does not apply**, or

(b) to **any suit or claim of set-off not exceeding one hundred rupees in value** which, in the presidency towns, is not of a kind specified in section 19 of the Presidency Small Cause Courts Act, 1882, or outside the presidency towns, is not of a kind specified in the Second Schedule to the Provincial Small Cause Courts Act, 1887, or to **any proceeding in execution or other proceeding incidental to or arising from any such suit or claim**.

THE ANATOMY OF THE BAR — SIX INGREDIENTS

1. **A "suit", a "claim of set-off", or an "other proceeding".**
2. **"Instituted in any court"** — the phrase that decides the arbitration question in *Jagdish Chander Gupta* and *Umesh Goel*.
3. **"To enforce a right arising from a contract"** — plus, in sub-section (1) only, "**or conferred by this Act**". Note the asymmetry: sub-section (2) does **not** include "conferred by this Act", which is why a firm's claim for a statutory or common-law right is not caught (*Haldiram*).
4. **Proper parties** — sub-section (1): a person *suing as a partner* against the firm or a person alleged to be a partner. Sub-section (2): the firm against a *third party* (defined in **s. 2(d)** as a person who is not a partner of the firm).
5. **The firm must be registered** — as at the **date of institution**.
6. **And the person suing must be shown in the Register** — "is *or has been* shown", which is why a retired partner who was once on the Register can still sue.

SUB-SECTION (1) V. SUB-SECTION (2) — THE TABLE TO MEMORISE

	s. 69(1)	s. 69(2)
Who sues	A person suing **as a partner**	The firm, or someone on its behalf
Whom he sues	The firm, or a person alleged to be or to have been a partner	Any **third party** (s. 2(d))
What right	Arising from a contract **or conferred by this Act**	Arising from a contract **only**
Conditions	Firm registered + the person(s) suing is/are or have been shown in the Register	
Typical claim	Suit for accounts / share of profits / contribution	Suit for the price of goods, for damages for breach, on a bill of exchange

Historical note worth one line. The numbering was different when *Jagdish Chander Gupta* was decided in 1964: Hidayatullah J. describes sub-section (1) as barring suits "between partners *inter se* or between partners and the firm" and sub-section (2) as barring suits "by or on behalf of the firm against a third party". In the Act as it now stands, sub-section (1) is the partner-v-firm case and sub-section (2) the firm-v-third-party case. **The principle is unchanged**; do not be thrown if the judgment and the bare Act disagree.

"IS OR HAS BEEN SHOWN IN THE REGISTER" — THE RELAXING WORDS

The phrase "or **has been** shown" is doing real work:

- A partner who **retired** before the suit, but whose name was on the Register while he was a partner, **can still sue** the firm for his share — even though he is no longer shown.
- The **estate of a deceased partner** can sue, because the deceased "has been shown".
- But an **incoming** partner who has *never* been shown **cannot** — and because the word is "persons suing" (plural, in sub-section (2)), his joinder as a co-plaintiff **defeats the whole suit**. This is the *Vahida-Juhi* problem (DU 1994 Q.8(b)).

THE FIVE TRAPS EXAMINERS SET ON S. 69

1. **"Registration is compulsory."** It is not — it is optional (ss. 56, 58). Say this in the first line of every answer and then explain that the sanction is a *disability to sue*.
2. **Forgetting the second condition.** It is not enough that the firm is registered; *the person suing* must be or have been shown in the Register. Two conditions, cumulative.
3. **Applying s. 69 to a tort or a statutory right.** *Haldiram* is directly against that.
4. **Treating any contract mentioned in the plaint as fatal.** *Haldiram* para 25: the contract must be with the *defendant* and *in the course of the firm's business*.
5. **Assuming the suit is dismissed.** The proper course is a **stay** (*Jagdish Chander Gupta*), leaving the plaintiff free to register, withdraw with leave and re-file within the time saved by **s. 14 of the Limitation Act**.

§2.10 — Sections 70, 71 and 72: Penalty, rules, and public notice

S. 70 — PENALTY FOR FURNISHING FALSE PARTICULARS

"Any person who signs any statement, amending statement, notice or intimation under this Chapter containing any particulars which he knows to be false or does not believe to be true, or containing particulars which he knows to be incomplete or does not believe to be

S. 71 — POWER TO MAKE RULES

"(1) The State Government may make rules prescribing the fees which shall accompany documents sent to the Registrar of Firms, or which shall be payable for the inspection of documents in the custody of the Registrar of Firms, or for copies from the Register of Firms.

by Ankur R. Upadhyay

> *complete, shall be punishable with imprisonment which may extend to three months, or with fine, or with both."*

Read it carefully — there is only one offence here, and it is *not* failure to register. Three elements: (i) a person **signs**; (ii) a statement under Chapter VII; (iii) containing particulars known to be false / not believed to be true, **or** known to be incomplete / not believed to be complete. **Note** that omission is as much an offence as falsehood — a statement that leaves out a partner is "incomplete". **Compare Bharatiya Nyaya Sanhita, 2023, ss. 336–340** (forgery, making a false document, using a false document) and **s. 229 BNS** (false evidence), which may be attracted on the same facts; and **s. 58(2)**, under which each signatory must **verify** the statement — the verification is what makes the prosecution straightforward.

> *(2) The State Government may also make rules — (a) prescribing the form of statement submitted under section 58 and of the verification thereof; (b) requiring statements, intimations and notices under sections 60, 61, 62 and 63 to be in prescribed form and prescribing the form thereof; (c) prescribing the form of the Register of Firms and the mode in which entries relating to firms are to be made therein, and the mode in which such entries are to be amended or notes made therein; (d) regulating the filing of documents received by the Registrar; (e) prescribing conditions for the inspection of original documents; (f) regulating the grant of copies; and (g) generally carrying out the purposes of this Chapter."*

Why it matters in practice. Every State has framed *Partnership (Registration of Firms) Rules* under s. 71 — prescribing **Form A** (s. 58 statement), **Form B** (s. 60), **Forms C/D/E** (ss. 61, 62, 63), the scale of fees, the manner of verification, the form of the Register and the conditions of inspection. **Do not confuse them with the *Indian Partnership Act*'s own sections**; the Rules are subordinate legislation, and a defect in form is curable.

S. 72 — MODE OF GIVING PUBLIC NOTICE (REPRODUCED HERE BECAUSE IT IS THE HINGE OF CHAPTER V)

The full text is at §1.10. For quick reference: **(a)** for retirement or expulsion from a *registered* firm, dissolution of a *registered* firm, and a minor's election in a *registered* firm — **notice to the Registrar under s. 63 + publication in the Official Gazette + at least one vernacular newspaper circulating in the district**; **(b)** in every other case — **Gazette + vernacular newspaper** only. The three requirements in limb (a) are **cumulative**.

§2.11 — Chapter VII at a glance

§	Subject	What it does, in one line	PYQ relevance
56	Power to exempt	State Government may notify that Chapter VII does not apply to a State or part of it.	Feeds s. 69(4)(a)
57	Appointment of Registrars	State Government appoints Registrars and defines their areas; a Registrar is a public servant (s. 21 IPC → **s. 218 BNS 2023**).	Rarely asked
58	Application for registration	"At any time", by post or delivery, a statement in the prescribed form with the prescribed fee, containing six particulars, **signed by all the partners** (or specially authorised agents) and **verified** by each signatory; firm-name restrictions in (3).	Hot 2010 OC Q.1(e)
59	Registration	When satisfied, the Registrar **shall** record an entry in the Register of Firms and file the statement. **Registration takes effect on the entry.**	Hot *Jayalakshmi*
60	Alterations in name / principal place	Statement + fee; Registrar amends the entry.	—
61	Closing and opening of branches	**Any partner or agent** may send an intimation; Registrar notes it.	—
62	Changes in names and addresses of partners	Intimation by any partner or agent; dealt with as under s. 61.	—
63	Changes in, and dissolution of, a firm; minor's election	(1) Any **incoming, continuing or outgoing** partner may give notice of a change; on dissolution, any person who was a partner, his agent, or a person specially authorised. (2) The minor who elects may give notice himself.	Hot links to ss. 31–33 and s. 30(5)
64	Rectification of mistakes	(1) Registrar may at all times bring the entry into conformity with the filed documents; (2) on the application of **all** the signatories, may rectify the documents too.	—
65	Amendment by order of court	A court deciding a matter relating to a registered firm may direct an amendment **consequential upon its decision**.	—
66	Inspection of Register and filed documents	Open to inspection by **any person** on payment of the prescribed fee.	—
67	Grant of copies	Certified copies of entries, on application and payment.	—
68	Rules of evidence	(1) Recorded statements are **conclusive proof against the signatory**; (2) a certified copy proves the fact of registration and the contents.	Hot *Snow White*
69	Effect of non-registration	The four-gate bar, its application to set-off and other proceedings, and four exceptions.	Hottest 20+ years
70	Penalty for false particulars	Up to three months' imprisonment, or fine, or both, for signing a statement known to be false or incomplete.	—
71	Power to make rules	Forms, fees, inspection conditions, grant of copies.	—
72	Mode of giving public notice	(a) Registrar + Gazette + vernacular newspaper for registered firms; (b) Gazette + vernacular newspaper otherwise.	Hot links to ss. 32(3), 45
73	Repeal	Not examined.	—

THE WHOLE CHAPTER IN FOUR SENTENCES

1. Registration is **optional** (ss. 56, 58) but the firm must be on the Register **and** the plaintiff shown in it before it can sue on a contract (s. 69(1), (2)).
2. Registration happens on the **entry** under s. 59, not on the application under s. 58 (*Jayalakshmi*).
3. The Register is **conclusive against signatories only** (s. 68) — a third party may prove partnership by other means.
4. The Register is kept current by **ss. 60–65**, is open to the public by **ss. 66–67**, is protected against false statements by **s. 70**, and is linked to the notice rules of Chapter V by **s. 72**.

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Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #17 - #20

CASE #17 DU LL.B. PRESCRIBED AUTHORITY

CIT v. Jayalakshmi Rice and Oil Mills Contractor Co.

AIR 1971 SC 1015: (1971) 1 SCC 280 · Supreme Court (A.N. Grover J.) · [Date of registration of a firm] — on what date does registration "take place": the date of the application under s. 58, or the date of the entry under s. 59?

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The assessee firm was constituted under a **deed of partnership, dated October 6, 1955**. It was to come into existence **with effect from November 5, 1954**. The assessee filed an application under **Section 26-A of the (Income-tax) Act** for registration of the firm for the **assessment year 1956-57**. The 'previous year' of the firm was shown as the year ending **October 26, 1955**. This application was received by the Income-tax Officer on **October 14, 1955**.

On **October 20, 1955**, the assessee filed before the Registrar of Firms a **statement under Section 58 of the Indian Partnership Act, 1932**. On **November 2, 1955**, the Registrar of Firms **filed the statement of the assessee and made entries in the register of firms**.

On **March 23, 1961**, the Income-tax Officer passed an order **refusing to register the firm under Section 26-A**, inter alia, for the reason that **the application had not been made in time**. The appeal taken to the Appellate Assistant Commissioner by the assessee failed. The Income-tax Appellate Tribunal also upheld the order of the Income-tax Officer and the Appellate Assistant Commissioner. On that a reference was sought and **the High Court answered the question referred in favour of the assessee** on the ground that the application had been filed in time.

The statutory frame (income-tax side). Section 26-A of the Income-tax Act provides that an application may be made to the Income-tax Officer on behalf of any firm **constituted under an instrument of partnership specifying the individual shares of the partners** for registration for the purposes of the Act. The application has to be made by such person or persons and at such time and has to contain such particulars as may be prescribed. Rules 2 to 6(6) of the Rules made under Section 59 of the Act deal with registration of firms. The material portion of **Rule 2** reads:

It was common ground that the application for registration was *not* made within the period prescribed by Rule 2(a).

ISSUE

As the Supreme Court framed it: **"The real question which has to be determined is whether the registration of a firm under the Partnership Act takes place with effect from the date on which the application for registration is made in accordance with Section 58 of that Act."** In short — *application* or *entry*?

For the assessee (the argument the High Court accepted)

- **The application was governed by Rule 2(b), not Rule 2(a).** The firm should be deemed to have been registered *not* on the date on which it was actually registered by the Registrar of Firms, but **with effect from the date on which the application for registration was presented to the Registrar** — i.e. **October 20, 1955**, the date on which the statement under s. 58 was filed.
- **Reliance on the language of s. 58(1).** Section 58(1) provides that "the registration of a firm **may be effected** at any time **by sending by post or delivering to the Registrar** … a statement in the prescribed form and accompanied by the prescribed fee". Read literally, registration is *effected by* the sending — so once an entry is later made under s. 59 pursuant to it, registration should relate back to the date of presentation.
- **Reliance on the Report of the Special Committee** which had examined the Bill before it was passed: the statement relating to clause 58 (corresponding to s. 59) was to the effect that **the Registrar was a mere recording officer and that he had no discretion but to record the entry** in the register of firms. If the Registrar has no discretion, the argument runs, there is no reason to treat the date of his ministerial act as the date of registration.
- **Requirement of Rule 2(b) would then be satisfied:** if the firm became registered under the Partnership Act on 20 October 1955, it was registered "before the end of the previous year of the firm", even though the application to the ITO had been made on 14 October 1955.

For the Revenue (the argument the Supreme Court accepted)

- **Section 59 is the operative provision.** "Under Section 59 when the Registrar is satisfied that the provisions of Section 58 have been duly complied with *he shall record an entry of the statement in a register called the 'register of firms' and shall file the statement*." Until that is done there is no entry, and without an entry there is no registration.
- **The point is settled by authority.** In **Ram Prasad v. Kamla Prasad** [AIR 1935 All. 898] "it was laid down that the registration of a firm under the Partnership Act takes place only when the necessary entry is made in the register of firms."
- **Section 69 confirms it.** "Even under Section 69 of the Partnership Act which deals with the effect of non-registration it has been consistently held that **the registration of a firm subsequent to the filing of the suit did not cure the defect**. Thus under the Partnership Law it can be taken to have been settled by decisions of High Courts from a long time that the registration of a firm takes place only when the necessary entry is made in the register of firms under Section 59."
- **A recent, directly parallel decision.** The Kerala High Court in **Kerala Road Lines Corporation v. Commissioner of Income-tax, Kerala** [51 ITR 711] "clearly expressed the view that *reading Sections 58 and 59 of the Indian Partnership Act together a firm cannot be said to be registered when the statement prescribed by Section 58 and the required fee are sent to the Registrar and that the registration of the firm is effected only when the entry of the statement is recorded in the register of firms and the statement is filed by the Registrar as provided in Section 59*." An identically similar question had arisen there under s. 26-A.
- **The Committee Report is not an aid here.** The Report cannot be used to contradict the scheme of the enacted provisions.

DECISION (A.N. GROVER J.) — APPEAL ALLOWED

The Supreme Court accepted the Revenue's case in full and reversed the High Court.

PRINCIPLES EVOLVED

1. **Registration of a firm takes place only when the entry is made in the Register of Firms under s. 59** — not when the statement under s. 58 is sent or delivered, and not on any notional relation back to the date of the application.
2. **s. 58(1) is not to be read in isolation.** It must be read with the scheme of s. 59 and s. 69. This is the classic statement of the rule that a provision is construed in its statutory context, not literally and alone.
3. **Registration after the event does not cure the defect.** Registration "subsequent to the filing of the suit did not cure the defect" under s. 69 — a proposition the Court treated as settled. This is the bridge to every DU problem question on registration during the pendency of a suit.
4. **The Registrar is a recording officer, but that does not make his act a nullity.** He has no discretion to refuse once s. 58 is complied with — but the Act still makes the *entry* the constitutive act.
5. **Obiter on Committee Reports:** the Court declined to use the Special Committee's Report to construe the Act. *Note the later development* — in **Haldiram Bhujiawala** (para 16) Jagannadha Rao J. said this view "is no longer good law as it was clearly dissented on this aspect in the judgment of the Constitution Bench in *R.S. Nayak v. A.R. Antulay* (1984) 2 SCC 183", and went on to rely on the very same Report to construe s. 69(2).

CASE #18 DU LL.B. PRESCRIBED AUTHORITY

Jagdish Chandra Gupta v. Kajaria Traders (India) Ltd.

AIR 1964 SC 1882 · Supreme Court (M. Hidayatullah J.) · [Reference of a dispute to arbitration as envisaged in the partnership agreement — whether barred by s. 69] — what does "other proceeding" in s. 69(3) mean?

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

By a **letter dated July 30, 1955**, M/s. Kajaria Traders (India) Ltd. and M/s. Foreign Import and Export Association (a sole proprietary firm owned by the appellant **Jagdish C. Gupta**) entered into a partnership **to export between January and June 1956, 10,000 tons of manganese ore to Phillips Brothers (India) Ltd., New York**. Each partner was to supply a certain quantity of manganese ore. The Court was "not concerned with the terms of the agreement but with one of its clauses which provided":

The company alleged that Jagdish C. Gupta **failed to carry out his part of the partnership agreement**. After some correspondence, the company wrote to him on **February 28, 1959** that they had appointed **Mr R.J. Kolah (Advocate, O.S.)** as their arbitrator and asked him either to agree to Mr Kolah's appointment as sole arbitrator or to appoint his own arbitrator. On **March 17, 1959** the company informed him that, as he had failed to appoint an arbitrator within 15 clear days, **they were appointing Mr Kolah as sole arbitrator**. Jagdish C. Gupta disputed this, and the company filed on **March 28, 1959** an application under **Section 8(2) of the Indian Arbitration Act, 1940** for the appointment of Mr Kolah or any other person as arbitrator.

Jagdish Chander Gupta appeared and objected. **Two grounds were urged:** (i) that **s. 8(2) of the Indian Arbitration Act was not applicable**, as it was not expressly provided in the arbitration clause that the arbitrators were to be by consent of the parties; and (ii) that **s. 69(3) of the Indian Partnership Act, 1932 afforded a bar to the petition** because the partnership was not registered.

THE LITIGATION BEFORE IT REACHED THE SUPREME COURT

The petition was referred by the Chief Justice to a **Divisional Bench of Mudholkar J. (as he then was) and Naik J.** The two learned Judges **agreed** that an application under s. 8 of the Arbitration Act was competent and that the court had power to appoint an arbitrator. They **disagreed on the second point**:

- **Mudholkar J.** — s. 69(3) barred the application.
- **Naik J.** — it did not.
- The case was then referred to **K.T. Desai J. (as he then was)**, who agreed with Naik J., "with the result that the application was held to be competent".
- In the Supreme Court appeal **it was not contended** that the conclusions on s. 8(2) were erroneous. "The decision was challenged only on the ground that Section 69(3) was wrongly interpreted and the bar afforded by it was wrongly disallowed."

ISSUES

1. **Can an application under s. 8(2) of the Arbitration Act, 1940 be regarded as a proceeding "to enforce a right arising from a contract"**, and therefore within the bar of s. 69 of the Partnership Act?
2. **Do the words "a claim of set-off", which precede "other proceeding" in s. 69(3), cut down the meaning of "other proceeding" by the rule of** *ejusdem generis* **or** *noscitur a sociis***?**

For the respondent company (the wider reading — accepted)

- **The proceeding has its genesis in the arbitration clause.** Without an agreement to refer the matter to arbitration, s. 8 of the Arbitration Act "cannot possibly be invoked".
- **The arbitration clause is part of the agreement constituting the partnership.** "Whether we view the contract between the parties as a whole or view only the clause about arbitration, it is impossible to think that the right to proceed to arbitration is not one of the rights which are founded on the agreement of the parties."
- **"Other proceeding" must receive its full and natural meaning.** The words used are not "any proceeding" nor "any other proceedings" — but that is a matter of drafting; the substance is that the legislature meant to catch every proceeding of any kind for the enforcement of a contractual right.
- **The scheme of s. 69 proves it.** Sub-section (4)(b) speaks of "any proceeding in execution or other proceeding incidental to or arising from any such suit or claim" — "this clearly shows that the word 'proceeding' is not limited to a proceeding in the nature of a suit or a claim of set-off". "It would hardly have been necessary to be so explicit if the words 'other proceeding' in the main section had a meaning as restricted as is suggested by the respondent."

For the appellant (the narrower reading — rejected)

- **Naik J.'s reasoning (adopted by the appellant).** The words are not "any proceeding" nor "any other proceedings" but "*other* proceeding"; and because they are **juxtaposed with "a claim of set-off"** they indicate "a proceeding of the nature of a claim in defence".
- **This is not a proceeding to enforce a right arising from the contract.** Naik J. held it was "a claim for damages and such a claim could be entertained because it was based on something which was independent of the contract to supply ore" — *"the right which was being enforced was a right arising from the Arbitration Act and not from the contract of the parties."*
- **K.T. Desai J.'s variant.** The words preceding "other proceeding", namely "a claim of set-off", had a **"demonstrative and limiting effect"**; he ascertained the meaning of "other proceeding" by reference to the meaning of "a claim of set-off", which he considered were associated with it.
- **And the drafting argument:** if all proceedings were meant to be excluded, why was it not sufficient to speak of proceedings along with suits in sub-sections (1) and (2) instead of framing a separate sub-section coupling "other proceeding" with "a claim of set-off"?

DECISION (M. HIDAYATULLAH J.) — APPEAL ALLOWED

On issue 1 — the proceeding *is* to enforce a right arising from a contract.

On issue 2 — "other proceeding" is not cut down by "a claim of set-off".

para 10: "The appeal is, therefore, allowed."

PRINCIPLES EVOLVED

1. **"Other proceeding" in s. 69(3) is given its full and natural meaning.** It is *not* confined to proceedings of the nature of a suit or of a claim of set-off. It covers every proceeding "of any kind which can properly be said to be for enforcement of any right arising from contract".
2. *Ejusdem generis* **is not automatic.** Before general words following particular words are cut down, **there must be a genus constituted or a category disclosed** with reference to which the general words can be restricted. "A claim of set-off" discloses no such genus.
3. **A right is none the less "arising from a contract" because the immediate source of the proceeding is a statute.** An arbitration petition under s. 8 of the 1940 Act has "its genesis in the arbitration clause"; without the agreement, the section cannot be invoked.
4. **The ban is not limited to suits** — and the scheme of the section (the express reference to execution proceedings in sub-s (4)(b)) confirms it.
5. **But the ban is limited to rights arising from a** *contract* — and that limitation is what *Haldiram* later exploited, and what *Umesh Goel* later used to distinguish this very case.
6. **Practical consequence:** the proper order when an unregistered firm's proceeding is hit by s. 69 is to **stay** it, not to dismiss it — so that the party may register and proceed. This is the standard DU note attached to this case.

CASE #19 DU LL.B. PRESCRIBED AUTHORITY

Haldiram Bhujiawala v. Anand Kumar Deepak Kumar

(2000) 3 SCC 250 · Supreme Court (M. Jagannadha Rao J.) · [Sections 69(2), 2(d)] · What kind of "right arising from a contract" does s. 69(2) bar — only a contract entered into by the plaintiff firm with the defendant in the course of its business, or any contract referred to in the plaint as the source of title?

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The two defendants, M/s Haldiram Bhujiawala and Shri Ashok Kumar, appealed against the judgment of the Delhi High Court in FAO No. 365 of 1999 dated 30-11-1999, by which the High Court summarily dismissed their appeal against the order of the learned Single Judge dated 2-11-1999 in IA No. 5996 of 1999 in Suit No. 635 of 1992. **The IA was filed under Order 7 Rule 11 CPC for rejection of the plaint** filed by two plaintiffs, Anand Kumar Deepak Kumar trading as Haldiram Bhujiawala and Shiv Kishan Aggarwal, **on the ground that the 1st plaintiff was a partnership not registered with the Registrar of Firms on the date of the suit i.e. on 10-12-1991, and that the subsequent registration of the firm on 29-5-1992 would not cure the initial defect.**

The suit was filed by the plaintiffs (1) for **permanent injunction** restraining the defendant appellants, their partners, servants etc. from infringing **Trademark No. 285062** and from using the trademark/name "HALDIRAM BHUJIAWALA" or any identical name/mark deceptively similar thereto, (2) for **damages in a sum of Rs 6 lakhs**, and (3) for destruction of the material etc.

Because the matter arose under **Order 7 Rule 11 CPC**, the Court went to the plaint allegations. The family history is worth following in full, because it is the whole case:

- One **Ganga Ram (sic Bishan) alias Haldiram** carried on business in the name "Haldiram Bhujiawala" **since 1941**.
- **In 1965** he constituted a partnership with his two sons **Moolchand, Shiv Kishan** and his daughter-in-law **Kamla Devi** (wife of another son R.L. Aggarwal) to carry on business under the same name.
- **In December 1972** the firm applied to the Registrar of Trade Marks for registration of the name "Haldiram Bhujiawala - Chand Mal - Ganga Bishan Bhujiawala, Bikaner". The Registrar granted registration with **No. 285062**.
- **On 16-11-1974 the partnership was dissolved**, and under the terms of the dissolution deed the trademark **fell exclusively to the share of Moolchand**, son of Ganga Bishan and father of the plaintiffs, for the whole country **except West Bengal**. Smt Kamla Devi was given ownership of the trademark rights for West Bengal.
- Lala Ganga Bishan Haldiram **executed his last will dated 3-4-1979**, reiterating the rights conferred by the dissolution deed. He **died in 1980**; his will was later acted upon.
- **Moolchand died in 1985**, leaving four sons — Shiv Kishan, Shiv Ratan, Manohar Lal and Madhusoodan. All of them got their names recorded as subsequent joint proprietors. **The latter three formed a partnership in 1983** and ran a shop in Chandni Chowk, New Delhi under the trademark.
- Meanwhile, on **10-10-1977**, Moolchand's brother **R.L. Aggarwal** (husband of Kamla Devi) and his son Prabhu Shankar of Calcutta applied for registration in the very same name at Calcutta, *without disclosing the dissolution deed dated 16-11-1974*.

The plaint then alleged that the defendants had **no right to use the said trademark beyond Calcutta**; that the plaintiffs' registered trademark was renewed on 29-12-1986 till 28-12-1993; that the plaintiffs had also acquired a right **on account of prior adoption and long user**; that the **1st plaintiff firm (three sons of Moolchand) and the 2nd plaintiff (the fourth son) are joint owners** of the trademark except in West Bengal; that the **1st defendant firm is a newly-constituted firm** formed by **Ashok Kumar, son of Kamla Devi**, and the 2nd defendant is Ashok Kumar himself; and that the plaintiffs came to know of the violation in **December 1991** when the defendants opened a shop at **Arya Samaj Road, Karol Bagh, New Delhi**.

The cause of action, as pleaded, was that the defendants acted *"in violation of the common law and contractual rights of the plaintiff"*.

ISSUES (AS FRAMED BY THE COURT, PARA 8)

1. **(i)** Whether Section 69(2) bars a suit by a firm not registered on the date of suit where permanent injunction and damages are claimed **in respect of a trademark as a statutory right or by invoking common law principles applicable to a passing-off action?**
2. **(ii)** Whether the words "arising from a contract" in Section 69(2) refer **only** to a situation where an unregistered firm is enforcing a right arising from a contract **entered into by the firm with the defendant during the course of its business**, or whether the bar **can be extended to any contract referred to in the plaint, unconnected with the defendant, as the source of title** to the suit property?

For the appellant-defendants (Shri Ashok Desai and Shri R.F. Nariman, Senior Counsel)

- The 1st plaintiff firm **was not registered** on the date of suit.
- The plaint **repeatedly referred to the proprietary right of the late Moolchand as having arisen out of the dissolution deed dated 16-11-1974**, "and that **without reference to the said document — which was a contract — the plaintiffs could not prove their right to the trademark** through Moolchand and the suit was barred since Section 69(2) referred to a right 'arising from a contract'." *The plaintiffs' right was based on the contract dated 16-11-1974.*
- **The words "arising from a contract" are akin to the words "arising out of a contract"** used in *Ruby General Insurance Co. Ltd. v. Pearey Lal Kumar* [AIR 1952 SC 119], where, while construing those words in relation to an arbitration clause, this Court **held that the said words had to be construed widely**.
- "On the facts of this case and as stated in the plaint at several places, the 1st plaintiff was **compelled to rely on the contract of dissolution dated 16-11-1974 to prove title** to the trademark and thereby for an injunction and hence **it was not a right claimed under common law or under any statute, like the Trade Marks Act**."

For the respondent-plaintiffs (Shri Gopal Subramanium, Senior Counsel)

- The suit for injunction was based upon **two rights**: (a) a **statutory right** under the Trade Marks Act arising out of prior registration of the trademark; and **alternatively** (b) the **common law right available in a passing-off action**.
- "The suit **was not based on any contract between the plaintiffs and the defendants**. The provision in Section 69(2) did not apply **if the right sought to be enforced did not arise out of a contract between the plaintiffs' firm and the defendants**."
- The reference in the plaint to the dissolution deed dated 16-11-1974 was **merely a reference to a historical fact** — that it was the source of the right of Moolchand, and that on his death the right devolved on his sons.
- **"The plaintiffs were not parties to the deed of dissolution. The defendants too were not parties to the dissolution deed though their mother was."** Hence the bar under s. 69(2) did not apply.

DECISION (M. JAGANNADHA RAO J.) — APPEAL DISMISSED

Point 1 — statutory and common law rights are outside the bar (paras 9-12).}

Point 2 — the meaning of "arising from a contract" (paras 13-26). This is the heart of the judgment, and the Court travelled a long way to get there:

The Committee and the Report (paras 17-19). The Committee consisted of **Sir Brojendra Lal Mitter, Sir Dinshah F. Mulla, Sir Alladi Krishnaswamy Iyer and Mr Arthur Eggar**. The Court quoted paras 16 to 19:

The English precedent (paras 19-21). The Court identified it as the **Registration of Business Names Act, 1916**, s. 8 of which speaks of

The **Business Names Act, 1985** replaced the 1916 Act; s. 4 provides for dismissal of the action "to enforce a right arising out of a contract **made in the course of a business**" (para 20). Hence para 21:

The two elements, and the motor-car illustration (paras 22-25).

paras 27-28: "...it is clear that the suit is based on infringement of statutory rights under the Trade Marks Act. It is also based upon the common law principles of tort applicable to passing-off actions. The suit is not for enforcement of any right arising out of a contract entered into by or on behalf of the unregistered firm with third parties in the course of the firm's business transactions. **The suit is therefore not barred by Section 69(2).** ... **the appeal fails and is dismissed without costs. We should not be understood as having said anything on the merits of the case** for we have confined ourselves to the allegations in the plaint as we are here only dealing with an application filed by the appellants under Order 7 Rule 11 CPC."

PRINCIPLES EVOLVED

1. **s. 69(2) bars only the enforcement of a right** *arising from a contract*. Statutory rights (Trade Marks Act, T.P. Act) and common law rights (passing off — an action in tort) are *outside* the bar (*Raptakos Brett* followed; *Virendra Dresses* approved).
2. **Two cumulative elements for the contract limb:** (a) the contract must be one **entered into by the plaintiff firm with the third-party defendant** — not with a stranger; and (b) it must be entered into **in the course of the business dealings** of the plaintiff firm with that defendant.
3. **A contract pleaded merely as the source of title is a "historical fact"** and does not attract the bar (the motor-car illustration).
4. **"Third party" = s. 2(d): a person who is not a partner of the firm.** The defendants here were third parties to the firm *and* to the 1974 dissolution deed.
5. **Ejusdem generis and the English statutes.** The Registration of Business Names Act 1916 s. 8 and the Business Names Act 1985 s. 4 both confine the disability to contracts made *in the course of the business* — and s. 69(2) was modelled on them.
6. **Reports of the Special Committee ARE admissible** to construe the Act; *Jayalakshmi*'s contrary view "is no longer good law" after *R.S. Nayak v. A.R. Antulay*. Even on the narrow *P.V. Narasimha Rao* view, s. 69(2) is ambiguous enough to permit it.
7. **Non-registration does not invalidate the contract.** It only bars the remedy. The plaintiff may withdraw with leave and sue afresh after registration, and **s. 14 of the Limitation Act 1963** ("other cause of like nature") saves the period (*Surajmal Dagduramji Shop*).

CASE #20 DU LL.B. PRESCRIBED AUTHORITY

M/s Umesh Goel v. Himachal Pradesh Cooperative Housing Society Ltd.

(2016) 11 SCC 313 · Supreme Court (F.M. Ibrahim Kalifulla J.) · "An interesting but very important legal question arises for consideration in this appeal relating to interpretation of Section 69(3) of the Indian Partnership Act with reference to its applicability to Arbitral proceedings."

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The respondent, a **Cooperative Group Housing Society**, invited tenders for construction of **102 dwelling units with basement at Plot No. 21, Sector 5, Dwarka, New Delhi**. Tenders were invited in **May 1998**. The appellant, **an unregistered partnership firm**, submitted its bid on **06.05.1998**, was the successful bidder, and the contract was awarded at an estimated cost of **Rs. 9.80 crores**. A letter of intent was issued. On **09.08.1998** the appellant submitted its first bill. The **agreement was entered into on 02.02.1999**. There was delay in getting the plan sanctioned which, according to the appellant, was not his responsibility.

A dispute arose, and the appellant moved the Delhi High Court under **Section 9 of the Arbitration and Conciliation Act, 1996** (filed **22.05.2005**) to restrain the respondent from dispossessing him from the worksite till the work executed was measured by a Commissioner. A Commissioner was appointed. A second s. 9 application was filed on **29.01.2003**.

On the dispute itself, the respondent appointed **Smt. Sangeeta Tomar, Advocate**, as arbitrator on **17.03.2003**. Though the appellant had earlier moved Arbitration Application No. 145 of 2003 on **09.07.2003** under **Section 11(5)** for appointment of an independent arbitrator, that application was **subsequently withdrawn**, and **the appellant participated in the arbitration** before the arbitrator appointed by the respondent. Claims and counter-claims were exchanged. The arbitrator passed an award on **05.05.2005** allowing the appellant's claim to the extent of **Rs. 1,36,24,886.08** with interest at 12% from 01.06.2002 till the award and 18% thereafter.

Crucially: "While resisting the claim of the appellant, the respondent did not specifically raise any plea under Section 69 of the Partnership Act." The respondent challenged the award under **Section 34** (A.A. No. 188 of 2005, filed 02.08.2005); the learned Single Judge dismissed it on 01.09.2005 and also dismissed Review Application No. 26 of 2005 on 03.10.2005. The respondent appealed in **FAO (OS) No. 376 of 2005** on 14.11.2005, and by the **impugned order dated 20.11.2007 the Division Bench allowed the appeal** — hence this appeal by the firm.

ISSUE

Whether **Section 69(3) of the Partnership Act applies to arbitral proceedings** under the Arbitration and Conciliation Act, 1996 — i.e. whether the expression **"other proceedings"** in s. 69(3) includes arbitration before an arbitrator.

For the appellant firm (Shri Dhruv Mehta, Senior Counsel) — accepted

- **Sub-sections (1) and (2) are bodily lifted into sub-section (3).** "When we read sub-section (3) … the provisions of sub-sections (1) and (2) have been impliedly incorporated … the entirety of the said two sub-sections should be held to be **bodily lifted and incorporated** in sub-section (3). It is difficult to state that any one part of sub-sections (1) and (2) alone should be held to be incorporated." Therefore **"other proceedings" must be proceedings connected with a suit in a court** and "cannot be read in isolation".
- **An arbitrator is not a court.** Applying the golden rule of construction, "an arbitrator by himself is not a court for the purpose of Section 69". There is "a vast difference between an arbitrator and the Court": **an arbitrator may exercise judicial powers but he does not derive such powers from the State; he derives them by the agreement of the parties under a contract.**
- **Section 36 of the 1996 Act is only a limited statutory fiction.** "It is only a statutory fiction by which for the purpose of enforcement, the award is deemed to be a decree and it cannot be enlarged … to mean that by virtue of the said award to be deemed as a decree, the arbitrator can be held to be a Court."
- **Three mandatory conditions** must coexist before s. 69(3) can be invoked: **(a)** there should be a suit and the other proceedings should be **intrinsically connected** to the suit; **(b)** such suit should have been laid to enforce a right arising from the contract; and **(c)** such a suit should have been **filed in a Court of law**.

For the respondent Society (Shri Amarendra Saran, Senior Counsel) — rejected

- **"Other proceedings" includes arbitral proceedings**, and the only foundation needed is **"a right in a contract"**.
- **Arbitral proceedings are on a par with civil proceedings.** Reliance on decisions interpreting **Section 14 of the Limitation Act** to that effect.
- **Under Section 2(a) of the Interest Act**, "Court" has been defined to **include a Tribunal and an Arbitrator**; therefore "the arbitrator should be held to be a Court and the proceedings pending before it are to be treated as a suit and consequently other proceedings".
- **Sections 35 and 36 of the 1996 Act** equate an award to a decree of the Court and apply the CPC for execution; therefore "the arbitral proceedings should be held to be civil proceedings before a Court".
- Reliance also placed on *Consolidated Engineering Enterprises* and *P. Sarathy*.

DECISION (F.M. IBRAHIM KALIFULLA J.) — APPEAL ALLOWED; DIVISION BENCH SET ASIDE

Step 1 — sub-ss (1) and (2) are wholly incorporated into (3).

Step 2 — the condition precedent is a suit in a court.

Step 3 — the 1940 Act and the 1996 Act are structurally different. The Court catalogued the 1940 Act's provisions (ss. 8, 11, 12, 14–21, 23–25, 28–41, 43, 47) and concluded:

Step 4 — *Jagdish Chander Gupta* **is distinguished, not overruled.**

Step 5 — *Kamal Pushp Enterprises* **approved.** Quoting para 9 of *Kamal Pushp Enterprises v. D.R. Construction Co.* [(2000) 6 SCC 659]:

Step 6 — the respondent's three answers all fail.

- *The Limitation Act s. 14 argument:* "it is always well settled that **a judgment can be a binding precedent on a question of law, which was canvassed before it and decided**. … a reading of Section 69 as a whole does not permit of any interpretation that would cover Arbitral proceedings, *de hors*, filing of a suit in a Court … Therefore, any interpretation made under the Limitation Act while construing Section 14 to treat Arbitral proceedings on par with civil proceedings cannot be applied to the case on hand." *Consolidated Engineering Enterprises* and *P. Sarathy* not applied.
- *The Interest Act s. 2(a) argument:* "If such a specific provision has been incorporated in the Partnership Act, there can be no difficulty in accepting the argument … **In the absence of such a specific provision, it will not be appropriate to import the definition clause under Section 2(a) of the Interest Act to the Partnership Act** in order to apply Section 69(3)."
- *The ss. 35–36 argument:* "by referring to Sections 35 and 36, it is difficult to draw an inference that based on the **deeming provision specifically meant for the enforcement and execution of an Award**, the Arbitral Proceedings can be equated to a Civil Court proceedings. As rightly contended by Mr. Dhruv Mehta … **Section 36 only creates a statutory fiction which is limited for the purpose of enforcement of the Award. The deeming fiction is specifically restricted to treat the Award as a decree of a Court, exclusively for the purpose of execution.** … it is a settled proposition, that a statutory provision will have to be construed from the words that are expressly used and it is not for the Court to add or substitute any word to it."

Step 7 — the law on legal fictions. The Court drew support from *Sadan K. Bormal* para 25 — "the Court must ascertain the purpose for which the fiction is created … and **having done so must assume all those facts and consequences which are incidental or inevitable corollaries** … In construing a fiction **it must not be extended beyond the purpose for which it is created** or beyond the language of the Section by which it is created. **It cannot be extended by importing another fiction**" — quoting Lord Asquith in *East End Dwelling Co. Ltd. v. Finsbury Borough Council* [(1951) 2 All ER 587]:

Conclusion: "Having regard to our conclusion that **Arbitral Proceedings will not come under the expression other proceedings of Section 69(3) of the Partnership Act**, the ban imposed under the said Section 69 can have no application to Arbitral proceedings as well as the Arbitration Award. Therefore, **the appeal stands allowed, the impugned judgment of the Division Bench is set aside and the judgment of the learned Single Judge stands restored. No costs.**"

PRINCIPLES EVOLVED

1. **Sub-sections (1) and (2) of s. 69 are bodily lifted into sub-section (3).** The ban in (3) therefore inherits every ingredient of (1) and (2) — including the requirement of a **suit in a court**.
2. **Condition precedent:** the launching of a suit in a court of law, by or on behalf of an unregistered firm or a person suing as its partner, to enforce a right arising from a contract; a **claim of set-off or "other proceeding" is caught only if it is** *intrinsically connected* **with that suit**.
3. **An arbitrator is not a court for the purposes of s. 69.** He exercises judicial power, but derives it from the agreement of the parties, not from the State.
4. **Arbitral proceedings under the 1996 Act are outside s. 69(3)** — the Court's role is confined to ss. 8, 9, 14, 27, 34, 36, 37, 39, 42, 43, 47–50, 56, 58, 59, unlike the 1940 Act where the court intervened at every stage "as if it were a regular civil suit".
5. *Jagdish Chander Gupta* **survives but is confined to 1940-Act proceedings** initiated *before a civil court* under s. 8.
6. *Kamal Pushp Enterprises* **approved:** post-award proceedings are outside s. 69, and at the enforcement stage what is enforced is **the award**, which crystallises rights under the Contract Act and the general law — not "any right arising only from the objectionable contract".
7. **A statutory fiction is not extended beyond the purpose for which it is created** (*Sadan K. Bormal* para 25; *East End Dwelling*; *Paramjeet Singh Patheja* para 42).
8. **A definition in one statute cannot be imported into another.** The Interest Act s. 2(a) definition of "Court" cannot be read into the Partnership Act.

PYQ ARCHIVE // CH.03 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. Examination How can a new partner be introduced into a firm? State the rights, duties and liabilities of a person who is admitted as a partner into an existing firm.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. Examination State the various modes of retirement of a partner from a firm. What are the rights and liabilities of a retiring partner?

Q.3 DU LL.B. Examination A, B and C are partners of a firm. They borrowed ₹2 lakh from a bank for the business of the firm. Later on A retired from the firm without giving public notice of his retirement. The firm failed to repay the loan. The bank filed a suit against the firm and A. Is A liable? Decide.

Q.4 DU LL.B. Examination "No partner can be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners." Comment.

Q.5 DU LL.B. Examination In how many ways can a partner cease to be a partner of a firm?

Q.6 DU LL.B. Examination A partner of a firm dies. His son claims to be admitted as a partner in place of his deceased father. Is he entitled to be so admitted? Is the estate of the deceased partner liable for the acts of the firm done after his death?

Q.7 DU LL.B. Examination Is the registration of a partnership firm compulsory under the Indian Partnership Act, 1932? What are the disabilities that attach to a firm which is not registered?

Q.8 DU LL.B. Examination "A suit was filed on 20-04-2004 by a firm which was not registered under the Indian Partnership Act, 1932. The firm got itself registered on 22-05-2004. The suit came up for hearing on 13-06-2004. Is the suit maintainable? Give reasons." (2004 Q.6(ii))

Q.9 DU LL.B. Examination "A and B are partners of an unregistered firm. A wants the firm to be registered. B refuses. Can A file a suit for a direction to B to join him in getting the firm registered?" (2003 Q.7(b); 1997 Q.5(b); 1995; 1993 Q.5(a))

MODULE 04 // Topic 4 · Chapter VI Cases #21 - #24

Dissolution of a Firm: Modes, Consequences & Settlement of Accounts

Indian Partnership Act, 1932: Ss. 39-55 (Dissolution by Agreement, Compulsory, Contingent, Notice, Court, Ss. 45-48)

The Five Routes, and the Court — Chapter VI, ss. 39 to 44

§1.0 — Entering Chapter VI: what this topic is really about

Everything you studied in Chapters III, IV and V assumed a firm that *exists*. Chapter VI is about what happens when it stops existing. That sounds like an ending, but it is not: the Act's central insight is that **a dissolved firm does not simply vanish**. It lingers, in a limited and carefully controlled way, for exactly as long as it takes to settle its affairs — and it is that lingering that generates almost every dispute in this topic.

A FIRM IS NOT A LEGAL ENTITY
s. 4 defines partnership as a **relation between persons**; the firm name is merely *"a compendious name"* for those persons (**S.V. Chandra Pandian v. S.V. Sivalinga Nadar**, para 8). So on dissolution the assets **vest in all the partners**, not in some abstract body — which is why the distribution of those assets is a **mutual adjustment of rights** and not a transfer.

DISSOLUTION IS A DATE, NOT A PROCESS
In this chapter **"when"** matters more than **"whether"**. The date of dissolution starts the limitation clock (**Art. 5**), fixes the cut-off for s. 45(1) liability, and opens the window for winding up under ss. 46 to 47. Most DU problems are really about **a date**.

WINDING UP IS THE SECOND ACT
Dissolution ends the **partnership relation**; winding up ends the **business**. The two are distinct, and the second can last years. **s. 47** keeps the partners' authority alive for exactly that interval — *"so far as may be necessary … but not otherwise"*.

How dissolution compares across the three business forms

Aspect	Partnership — PA 1932	LLP — LLP Act 2008	Company — Companies Act 2013
Legal status	not a legal entity; a compendious name (s. 4)	**a body corporate with separate legal personality** (s. 3)	a body corporate with separate legal personality
Governing provision	ss. 39 to 48 (Chapter VI)	ss. 63 to 65, and the winding-up provisions in Chapter VII	ss. 270 to 365 (winding up by the Tribunal); s. 248 (striking off)
Who decides	the partners (ss. 40–43) or the civil court (s. 44)	the partners, or the **NCLT**	the **NCLT**, on a petition
Who winds up	the partners themselves (ss. 46, 47)	a designated partner, or a **Liquidator** appointed by the Tribunal	a **Company Liquidator** under the Tribunal's supervision
Order of payment	s. 48(b)(i)–(iv)	the LLP Act read with the Insolvency and Bankruptcy Code waterfall	**s. 53, IBC 2016** — the statutory waterfall
Liability of members afterwards	continues until public notice (s. 45)	limited; partners are agents of the LLP, not of each other	limited; the company survives until dissolved
Public notice	**s. 72** — Gazette + vernacular newspaper (+ Registrar)	Registrar under s. 63/64	Registrar of Companies; Gazette notification
Limitation for accounts	**Art. 5** — 3 years from dissolution	Art. 113, Limitation Act	Art. 113; and the IBC limitation framework

§1.1 — Section 39: What "dissolution of a firm" means

THE SECTION, VERBATIM
39. Dissolution of firm.— *"The dissolution of partnership between all the partners of a firm is called the 'dissolution of the firm'."*

Eighteen words, and three of them do all the work: **"between all the partners"**. Those three words are the whole distinction between this topic and Topic 3. If *all* the partners go out together, the firm is dissolved and Chapter VI applies. If *one* goes out and the rest carry on, the firm survives and Chapter V (ss. 31–38) applies. The Act calls the first "the dissolution of the firm" and the second, by implication, merely "a dissolution of partnership".

ELEMENT ONE — A PARTNERSHIP MUST EXIST
There can be no dissolution of what never was. **s. 4** requires an agreement to share the profits of a business carried on by all or any of them acting for all, and **s. 5** insists that the relation arises from **contract** and not from status. Where no firm existed, the remedy is not dissolution but accounts — see **Dayalal v. Harjeevan, AIR 1983 NOC 20 (Guj)**.

ELEMENT TWO — "BETWEEN ALL THE PARTNERS"
The **entire** of relationships must snap. It is not enough that two of three partners fall out, or that a partner sells his share: the firm must lose *all* of its members simultaneously. Hence **s. 41(a)** — adjudication of all the partners *or of all but one* — is enough, because one person cannot be "partners".

ELEMENT THREE — IT IS A NAME, NOT A SEPARATE EVENT
s. 39 does **not** dissolve anything. It is a **definition section**. The dissolving is done by ss. 40 to 44. Writing "the firm is dissolved under s. 39" is the single most common error in DU scripts on this topic — s. 39 only tells you what to *call* it.

Six reasons the distinction matters in a DU answer

1. **Different sections, different chapters.** Chapter V (ss. 31–38) for an exit; Chapter VI (ss. 39–48) for a dissolution. Mis-citing is an instant deduction.
2. **Only a dissolution triggers winding up.** ss. 46 to 48 have no application where a single partner merely retires — his remedy is accounts under s. 26 read with s. 48, subject to the terms of the retirement deed.
3. **s. 42(c) and (d) convert one into the other.** Where the deed so provides, the death or insolvency of a partner *dissolves* the firm; without such a clause, ss. 34 and 35 apply and the firm continues. This is the pivot of **Saligram Ruplal Khanna v. Kanwar Rajnath** and of DU 1994 Q.7(a).
4. **Limitation runs differently.** A suit for an account of a dissolved partnership and for a share of its property is governed by **Article 5 of the Limitation Act, 1963** — three years from **the date of dissolution**. Once the firm is dissolved, the clock starts; while it subsists, it does not. This is precisely what defeated the plaintiffs in *Saligram*.
5. **The registration bar is lifted. s. 69(3)(a)** expressly preserves a suit for dissolution, for accounts of a dissolved firm, and for realising its property — so even an **unregistered** firm can be wound up through the court (DU 2013 OC Q.4(b); 2003 Q.6(b)).
6. **Tax and stamp consequences differ.** On a true dissolution the distribution of assets is a mutual adjustment and not a transfer (see **S.V. Chandra Pandian**, case 18) — so no capital gains, no stamp duty under Article 12 of Schedule I of the Indian Stamp Act, and no registration under s. 17 of the Registration Act, 1908.

Allied provision	Where it bears on s. 39
s. 4 & s. 5, PA 1932	A firm must first exist, and it arises from contract, not status.
ss. 31–38, PA 1932	The contrast: an exit without dissolution.
s. 42(c) & (d), PA 1932	The bridge clauses that turn an exit into a dissolution — but only "subject to contract".
s. 69(3)(a), PA 1932	Dissolution and accounts of a dissolved firm are outside the registration bar.
Art. 5, Limitation Act 1963	Three years for a suit for an account and a share of the property of a dissolved partnership, from the date of dissolution.
O. 30 r. 1 & r. 2, CPC 1908	Suing in, and being sued in, the firm name.

Allied provision	Where it bears on s. 39
O. 20 r. 15, CPC 1908	The form of a preliminary decree in a suit for dissolution and accounts — it must declare the shares and direct the taking of accounts.
s. 2(15), Civil Procedure Code / s. 3(17) General Clauses Act 1897	"Person" includes a body of individuals — but a firm is not a legal person.
ss. 4 & 176, Bharatiya Nyaya Sanhita 2023	Criminal breach of trust by a partner entrusted with firm property — relevant where a partner misappropriates assets on the eve of dissolution.
s. 184, Income-tax Act 1961	Registration of a firm for tax purposes — a separate requirement from registration under Chapter VII.

§1.2 — Section 40: Dissolution by agreement

THE SECTION, VERBATIM

40. Dissolution by agreement.— *"A firm may be dissolved with the consent of all the partners or in accordance with a contract between the partners."*

LIMB ONE — CONSENT OF ALL

A **fresh** agreement, made now, to bring the firm to an end. The four elements are: (1) an agreement; (2) between all the partners — not a majority (**contrast s. 23**, which lets a majority decide ordinary differences); (3) to dissolve; and (4) no form is prescribed.

LIMB TWO — BY AN EXISTING CONTRACT

The firm ends because an **event the partners provided for in advance** has happened: "this firm shall stand dissolved on 31 March 2027", or "on the sale of the Delhi branch", or "if the licence is not renewed". The dissolution is then **automatic** on that event — no further act is needed.

Five points that carry marks

1. **"Consent of all" is the same standard as s. 31(1) and s. 11(1).** The Act does not permit a majority to dissolve the firm by agreement, any more than it permits a majority to admit a partner or to vary the mutual rights and duties. A dissolution resolution passed 3–1 is a nullity as against the dissenter.
2. **No writing, no form, no registration is required.** Unlike a transfer of immovable property (**s. 54, T.P. Act 1882** read with **s. 17, Registration Act 1908**), a dissolution may be oral, or may be inferred from conduct. *But note the evidentiary trap*: in **Saligram Ruplal Khanna v. Kanwar Rajnath, AIR 1974 SC 1094** (case 15) the plaintiffs alleged an *oral* agreement to continue the firm after the lease had been cancelled, and the Supreme Court upheld the concurrent finding that it had not been proved. An oral dissolution is lawful but difficult to establish.
3. **Consent may be express or implied. s. 11(1)** recognises a course of dealing as a source of implied agreement; and a dissolution may be inferred where the partners have all acted on the footing that the business is over — closing the bank account, returning the licence, delivering possession. In **Juggilal Kamlapat v. Sew Chand Bagree, AIR 1960 Cal 463** (case 16) G.K. Mitter J. held the firm dissolved on precisely such material: a deed of agreement prepared by solicitors, the issue of a trade licence by the Corporation, the opening of a new bank account, and a letter to the bankers.
4. **A dissolution deed is nonetheless advisable** — and where it deals with immovable property worth ₹100 or more, the question of registration arises. It does **not** arise where the deed merely distributes the residue after settlement of accounts in accordance with **s. 48**, because the residue is money in the eye of the law (**S.V. Chandra Pandian v. S.V. Sivalinga Nadar, (1993) 1 SCC 589**, case 18).
5. **s. 40 is subject to the general law of contract.** The agreement must be **lawful** (s. 23, ICA 1872), free of fraud, coercion, undue influence and misrepresentation (ss. 14–19, ICA), and — where it is a compromise of pending litigation — must comply with **O. 23 r. 3, CPC 1908**.

Allied provision	Where it bears on s. 40
s. 11(1), PA 1932	Mutual rights and duties may be determined by contract, express or implied by a course of dealing, and varied by the consent of all.
s. 23, PA 1932	Majority may decide ordinary differences — but NOT dissolution.
s. 43, PA 1932	The unilateral route: notice, available only where the partnership is at will.
ss. 10–23, ICA 1872	Free consent and lawful consideration for the agreement to dissolve.
s. 62 & s. 63, ICA 1872	Novation and release — how creditors are dealt with on dissolution.
O. 23 r. 3, CPC 1908	Compromise of a suit; a dissolution agreed during pending litigation should be recorded.
s. 17, Registration Act 1908	Whether a dissolution deed dealing with immovable property needs registration — see case 18.
Art. 12, Sch. I, Indian Stamp Act 1899	Stamp duty on an award or a partition-type instrument; held not attracted to a s. 48 distribution.
Art. 5, Limitation Act 1963	Three years from the date of dissolution, for accounts and a share of the property.
s. 63(1), PA 1932	Notice of dissolution to the Registrar, where the firm is registered.
s. 72(a), PA 1932	Public notice of the dissolution of a registered firm.
AIR 1971 SC 1653: (1970) 2 SCC 724; AIR 1990 All 171	Direct authorities on s. 40 — consent of all, or a contract between the partners.
Madan Lal v. Shiv Narain, 1986 (1) CCC 464	A suit for rendition of accounts filed more than three years after the execution of the dissolution deed is barred by limitation.

THREE TRAPS

1. **"Dissolution by mutual agreement" in a deed is not s. 43.** Where the deed says the firm may be terminated only by mutual agreement, a single partner cannot dissolve it by notice — the firm is *not* at will. (DU 2001 Q.5(b); 2017 OC Q.6(b).)
2. **A clause that death or retirement "shall not dissolve the firm" is a contract to the contrary under s. 42** — and it also means the firm is not at will. (DU 2004 Q.3(ii); 1994 Q.7(a).)
3. **Agreement to dissolve ≠ agreement to distribute.** The second is governed by s. 48, whose waterfall cannot be contracted out of as against *creditors* — though it is "subject to agreement by the partners" as between themselves.

§1.3 — Section 41: Compulsory dissolution

THE SECTION, VERBATIM

41. Compulsory dissolution.— *"A firm is dissolved —*

(a) by the adjudication of all the partners or of all the partners but one as insolvent, or

(b) by the happening of any event which makes it unlawful for the business of the firm to be carried on or for the partners to carry it on in partnership:

Provided that, where more than one separate adventure or undertaking is carried on by the firm, the illegality of one or more shall not of itself cause the dissolution of the firm in respect of its lawful adventures and undertakings."

Note the absence of the words "subject to contract between the partners". s. 41 is **not** subject to contract: unlike s. 42, the partners cannot contract out of compulsory dissolution. That single drafting difference is the surest way to distinguish the two sections in an answer.

Reading limb (a) precisely

1. **"Adjudication", not "insolvency" in the commercial sense.** A partner who cannot pay his debts but has not been adjudicated does not dissolve the firm. The event is the **order of the court**.
2. **The date is the date of the order** — the same rule as **s. 34(1)**. Under the **Insolvency and Bankruptcy Code, 2016**, the analogous steps for an individual partner are the application by creditors under **ss. 95 to 100** and the bankruptcy order; the **Presidency-Towns Insolvency Act, 1909** and the **Provincial Insolvency Act, 1920** continue to apply where the IBC does not. And **s. 69(3)(b)** expressly preserves the powers of the Official Assignee, the Receiver and the court to realise the property of an insolvent partner, notwithstanding the registration bar.
3. **"All the partners or of all the partners but one."** The arithmetic is worth stating explicitly in the exam: in a two-partner firm, the insolvency of *either* dissolves it; in a five-partner firm, four must be adjudicated. The reason is conceptual — one person cannot be "partners" with himself, so there is no relationship left for the law to dissolve.
4. **Contrast s. 42(d)**, which dissolves the firm on the insolvency of *one* partner — but only "subject to contract between the partners". s. 41(a) needs all but one; s. 42(d) needs one. Both can be pleaded in the alternative.

Reading limb (b) and the proviso

- **"Unlawful for the business … to be carried on"** covers illegality attaching to the *business*: the excise licence is cancelled, the drug licence lapses, the trade is prohibited by a new statute, the import licence is not renewed.
- **"…or for the partners to carry it on in partnership"** covers illegality attaching to the *persons*: on the outbreak of war a partner becomes an alien enemy; a partner is convicted and disqualified from the profession; a statutory bar disqualifies a partner (compare the now-repealed s. 11 of the **Indian Contract Act, 1872** on competency).
- **The proviso is a severance rule.** If the firm carries on several separate adventures, the illegality of one does not infect the others. The test is whether the undertakings are genuinely *separate* — separate capital, separate accounts, separate management — or merely departments of one business.
- **Related authority and allied law: AIR 1933 Patna 239** (all partners, or all but one, adjudicated insolvent — firm dissolved); the **Indian Contract Act, 1872, s. 23** (unlawful consideration and object) and **s. 56** (agreement to do an impossible act becomes void — the contractual parallel of s. 41(b)); the **Foreign Exchange Management Act, 1999** and the **Consumer Protection Act, 2019** where a licence or registration is the thing withdrawn; and the **Insolvency and Bankruptcy Code, 2016, s. 79** for what counts as a bankruptcy debt.

§1.4 — Section 42: Dissolution on the happening of certain contingencies

THE SECTION, VERBATIM

42. Dissolution on the happening of certain contingencies.— *"Subject to contract between the partners a firm is dissolved —*
(a) if constituted for a fixed term, by the expiry of that term;
(b) if constituted to carry out one or more adventures or undertakings by the completion thereof;
(c) by the death of a partner; and
(d) by the adjudication of a partner as an insolvent."

The opening words — "Subject to contract between the partners" — are the most heavily examined words in Chapter VI. They mean that clauses (a) to (d) are **default rules**. Every one of the four can be excluded or modified by the partnership deed. Most well-drawn deeds exclude (c) and (d).

Clause-by-clause

Clause	Contingency	When it bites	What a deed usually does	Authority / allied law
(a)	Expiry of a fixed term	On the last day of the term — no notice, no resolution.	May extend the term, or convert the firm into one at will.	**Saligram Ruplal Khanna v. Kanwar Rajnath, AIR 1974 SC 1094** — the leading authority; **AIR 1946 All 489**.
(b)	Completion of the adventure or undertaking	When the object is achieved — or becomes impossible.	May define the adventure narrowly or widely.	**Dayalal v. Harjeevan, AIR 1983 NOC 20 (Guj)**; **Shanta Ram v. Sripada, AIR 1974 Kant 110**; **AIR 1954 Patna 63**; **s. 56, ICA 1872** (impossibility).
(c)	Death of a partner	On the date of death.	**Usually excluded** — "the death of a partner shall not dissolve the firm".	**s. 35** (estate not liable for later acts); **s. 37** (profits or 6%); **s. 48**; **Hindu Succession Act 1956, ss. 8 & 30**; **Indian Succession Act 1925**.
(d)	Adjudication of a partner as an insolvent	On the date of the order of adjudication.	**Usually excluded**.	**s. 34**; **IBC 2016, ss. 78, 79, 95–100**; **Provincial Insolvency Act 1920**; **Presidency-Towns Insolvency Act 1909**.

THE THREE-QUESTION TEST FOR ANY S. 42 PROBLEM

1. **What does the deed say?** This comes first because s. 42 is subject to contract. If the deed excludes death or insolvency, ss. 42(c) and (d) are simply not in play.
2. **If the deed is silent — which clause applies?** Fixed term (a), single adventure (b), death (c), insolvency (d). State the date on which it bites.
3. **What follows?** If the firm is dissolved: winding up (ss. 46–47) and settlement of accounts (s. 48), with **Article 5 of the Limitation Act, 1963** starting to run from the date of dissolution. If the firm continues: ss. 34, 35, 37 apply, and the outgoing partner or his estate has the profits-or-6% election.

Allied provision	Where it bears on s. 42
s. 7, PA 1932	Where no provision is made by contract for the duration, or for the determination, of the partnership, it is "partnership at will" — the gateway to s. 43.
ss. 17(a) & (b), PA 1932	On a change in the constitution of the firm, the mutual rights and duties of the partners remain the same — the firm is *reconstituted*, not dissolved (case 17).
ss. 34 & 35, PA 1932	What applies instead of s. 42(c) and (d) when the deed excludes them.
s. 30(5) & (7)(a), PA 1932	A minor admitted to the benefits of partnership who elects on attaining majority — a further change in constitution that is not a dissolution.
s. 42 Expln. / s. 17 Expln., PA 1932	The firm's personality for tax purposes survives a change in constitution.
Art. 5, Limitation Act 1963	Three years from the date of dissolution.
s. 5, Limitation Act 1963	Condonation of delay — relevant where the plaintiff did not know the firm stood dissolved.
s. 184, Income-tax Act 1961	Whether a reconstituted firm must be registered afresh — the subject of case 17.
s. 63(1), PA 1932	Notice of the change or dissolution to the Registrar.
Hindu Succession Act 1956, ss. 8 & 30; Indian Succession Act 1925	Devolution of the deceased partner's share.

by Ankur Upadhyay

Allied provision	Where it bears on s. 42
AIR 1974 SC 1094; AIR 1946 All 489; AIR 1974 Kant 110	Authorities on the expiry of a fixed term and on the completion of an adventure.

§1.5 — Section 43: Dissolution by notice, of a partnership at will

THE SECTION, VERBATIM

43. Dissolution by notice of partnership at will.—
(1) Where the partnership is at will, the firm may be dissolved by any partner giving notice in writing to all the other partners of his intention to dissolve the firm.
(2) The firm is dissolved as from the date mentioned in the notice as the date of dissolution or, if no date is so mentioned, as from the date of the communication of the notice.

THE FIRM MUST BE "AT WILL"
This is the **gateway**. **s. 7**: a partnership is "at will" where no provision is made by contract for the **duration** of the partnership *or* for its **determination**. Either limb is enough.

NOTICE MUST BE IN WRITING
Oral notice is worth nothing. **Asha Ram v. Ram Chander, (1993) (1) WLN 388**. A resolution is not a notice; a lawyer's letter, an e-mail or a registered letter is.

TO ALL THE OTHER PARTNERS
Service on one or two of three partners dissolves nothing. Every partner must receive it — **this is the single most common defect in DU problems**.

INTENTION TO DISSOLVE
The notice must express an **intention to dissolve**. A notice of retirement, or of an intention to retire, is not a notice of dissolution of the firm.

When is a firm "at will"? — the s. 7 test, applied

- **No clause on duration.** The deed is silent on how long the firm will last → at will.
- **No clause on determination.** The deed fixes a term but says nothing about how the firm may be brought to an end → at will, because s. 7 uses **"or"**.
- **Not at will where the deed fixes a term AND provides for determination** — e.g. "ten years, terminable earlier by mutual agreement". Then s. 43 is excluded and the aggrieved partner must rely on s. 40, s. 42 or s. 44. This is exactly DU 2001 Q.5(b) and 2017 OC Q.6(b).
- **Not at will where the deed excludes death or insolvency as a ground of dissolution** — the clause *is* a provision for determination, so s. 7's second limb is not satisfied (DU 2004 Q.3(ii); 1994 Q.7(a)).
- **A firm for a fixed term that continues to trade after the expiry of the term** becomes, in the absence of any agreement to the contrary, a partnership at will as regards its mutual rights and duties (**s. 17(b)**) — and thereafter s. 43 applies to it.
- **A partnership at will may later be converted** into one for a fixed term, or vice versa, by a contract between the partners (**s. 11(1)**) — but only by the consent of *all* of them.
- **An illegal firm is not a partnership at will** — it is no firm at all (**s. 23, ICA 1872**), and the court will not dissolve what does not exist.

Allied provision	Where it bears on s. 43
s. 7, PA 1932	Definition of "partnership at will" — the gateway to s. 43.
s. 17(b), PA 1932	A fixed-term firm continuing after expiry — mutual rights and duties consistent with a partnership at will.
s. 11(1), PA 1932	The partners may, by the consent of all, convert a firm at will into one for a fixed term.
s. 32(1)(c), PA 1932	The alternative route for a partner in a firm at will who wants only to RETIRE — notice of retirement, not dissolution.
s. 6, PA 1932	The test for determining whether a group is or is not a firm.
O. 30 rr. 1–3, CPC 1908	Procedure for suits by and against firms in the firm name.
O. 20 r. 15, CPC 1908	Preliminary decree for dissolution and accounts.
s. 63(1), PA 1932	Notice of dissolution to the Registrar where the firm is registered.
s. 72(a), PA 1932	Public notice of dissolution.
Art. 5, Limitation Act 1963	Three years from the date of dissolution.
Asha Ram v. Ram Chander, (1993) (1) WLN 388	Notice in writing is necessary — oral notice is ineffective.
AIR 1954 Patna 63; Shanta Ram v. Sripada, AIR 1974 Kant 110	Authorities on whether a firm is or is not one at will.

§1.6 — Section 44: Dissolution by the Court

THE SECTION, VERBATIM

44. Dissolution by the Court.— *"At the suit of a partner, the Court may dissolve a firm on any of the following grounds, namely:—*
(a) that a partner has become of unsound mind, in which case the suit may be brought as well by the next friend of the partner who has become of unsound mind as by any other partner;
(b) that a partner, other than the partner suing, has become in any way permanently incapable of performing his duties as partner;
(c) that a partner, other than the partner suing, is guilty of conduct which is likely to affect prejudicially the carrying on of the business, regard being had to the nature of the business;
(d) that a partner, other than the partner suing, wilfully or persistently commits breach of agreement relating to the management of the affairs of the firm or the conduct of its business, or otherwise so conducts himself in matters relating to the business that it is not reasonably practicable for the other partners to carry on the business in partnership with him;
(e) that a partner, other than the partner suing, has in any way transferred the whole of his interest in the firm to a third party, or has allowed his share to be charged under the provisions of rule 49 of Order XXI of the First Schedule to the Code of Civil Procedure, 1908, or has allowed it to be sold in the recovery of arrears of land revenue or of any dues recoverable as arrears of land revenue due by the partner;
(f) that the business of the firm cannot be carried on save at a loss; or
(g) on any other ground which renders it just and equitable that the firm should be dissolved."

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Ground-by-ground, with what the DU papers actually ask

Ground	What the plaintiff must prove	Typical DU fact-pattern	Authorities & allied law
(a) Unsound mind	Unsoundness of mind at the time of the suit. Standing: the next friend of that partner, or any other partner.	A partner is adjudged of unsound mind, or is confined to a mental hospital; DU 1995 Q.7 couples a prior insanity and suicide attempt with other grounds.	**Mental Healthcare Act 2017, ss. 2(s), 3, 103–105**; **Indian Lunacy Act 1912** (repealed); **O. 32 rr. 1–15, CPC 1908** (next friend); **s. 12, ICA 1872** (sound mind for contracting); **National Trust Act 1999**.
(b) Permanent incapacity	Incapacity that is **permanent** and that affects his **duties as a partner**. Temporary illness will not do.	Paralysis, loss of sight, permanent disablement in an accident.	**Rights of Persons with Disabilities Act 2016** (a disability is not by itself incapacity — the test is functional); **settled partnership doctrine** (the classic English text).
(c) Prejudicial conduct	Conduct **likely** to affect the business prejudicially — **regard being had to the nature of the business**. "Likely" = a real risk, not a fanciful one.	**Conviction for travelling without a ticket** in a banking firm (DU 1997 Q.3(b); 2014 OC Q.4(b)); **adultery at a private party** (DU 1998 Q.6(b); 2017 OC Q.3(b)); **intimacy with another partner's wife** (DU 1999 Q.6(b)); bigamy (DU 1995 Q.7).	The modern view is that **mere moral turpitude unconnected with the business is not enough** — the conduct must be likely to affect the *business*. A bank convicted of a fraud-adjacent default is different from a private indiscretion. Argue both ways, and then apply the "nature of the business" test: the higher the fiduciary and reputational demand of the business, the lower the threshold.
(d) Breach or unworkable conduct	Either (i) **wilful or persistent** breach of the management agreement; or (ii) conduct making it **not reasonably practicable** for the others to continue with him.	Refusing to render accounts, diverting firm funds, excluding the others from the books, registering a rival firm.	**ss. 9–13, PA 1932** (the mutual rights and duties that constitute "the agreement"); **s. 26** (agents, not trustees); **s. 16** (personal profits).
(e) Transfer, charge or sale	Transfer of the **whole** of his interest. A partial transfer is **not** a ground.	A partner sells his entire share to an outsider; his share is attached and sold in execution; his share is sold for arrears of land revenue.	**s. 29(1) & (2), PA 1932**; **O. 21 r. 49, CPC 1908** (attachment of a partner's share — by a prohibitory order, not by seizure); **s. 60(1)(i), CPC** (exemption of a partnership interest); **s. 69(3)(b), PA 1932** (Official Assignee / Receiver's powers preserved for a dissolved firm); **Revenue Recovery Act 1890**; **s. 41(a)** for the contrast.
(f) Cannot be carried on save at a loss	A commercial, forward-looking test. Not one bad year — a **sustained inability to trade profitably**.	A firm of ten years that has been running at a loss for three years (DU 2004 Q.7(ii); 1993 Q.4); a firm of twenty years that has lost money since year five (DU 1995 Q.7).	**s. 48(a)** (losses are paid first out of profits, then capital, then individually); **Insolvency and Bankruptcy Code 2016, ss. 4, 6, 7, 9, 10** for the corporate and personal-insolvency contrast; **O. 20 r. 15, CPC**.
(g) Just and equitable	A residuary ground. Read **eiusdem generis** with (a) to (f): the ground must be of the same kind as the enumerated ones.	Deadlock between the partners; irretrievable breakdown of mutual confidence; a partner permanently resident abroad; persistent refusal to meet.	The equitable jurisdiction of the civil court; **Specific Relief Act 1963, ss. 34, 38**; **O. 40 r. 1, CPC** (receiver); **settled partnership doctrine** on the "just and equitable" jurisdiction.

FIVE STRUCTURAL POINTS ABOUT S. 44

1. **The suit must be "at the suit of a partner".** A creditor, an assignee, or an heir who has not been admitted as a partner cannot invoke s. 44. This is why the plea in **Juggilal Kamlapat v. Sew Chand Bagree** (case 16) mattered — the question was who was *still* a partner liable on the award, not who could sue for dissolution.
2. **Grounds (b) to (e) are asymmetric.** Each is directed at "a partner *other than the partner suing*". The section is a weapon against the guilty partner, not a licence for a defaulting partner to walk out of his own breach. Ground (a) is the exception — it is neutral, and the next friend of the partner of unsound mind may sue.
3. **Dissolution is discretionary.** "The Court *may* dissolve". Even where a ground is made out, the court may refuse the decree — for instance where the dominant purpose of the suit is to escape a liability, or where a lesser remedy (an injunction, an account, a receiver) will do.
4. **Ground (g) is residuary, not free-standing.** The words "any other ground" take their colour from (a) to (f). A mere quarrel, or a fall in profits, is not enough; the ground must render it *just and equitable* in a sense analogous to the enumerated ones.
5. **The date of dissolution is the date of the decree** — not the date of the suit. Until the decree is passed, the firm subsists, and s. 45(1) continues to bind the partners for acts done in the meantime.

Allied provision	Where it bears on s. 44
O. 30 rr. 1–3, CPC 1908	A firm may sue and be sued in the firm name; disclosure of partners.
O. 20 r. 15, CPC 1908	Preliminary decree in a dissolution suit — declare shares, direct accounts, appoint a receiver if needed.
O. 40 r. 1, CPC 1908	Appointment of a receiver pending dissolution — the usual interim relief.
O. 39 rr. 1–2, CPC 1908	Temporary injunction to restrain a partner from dealing with firm property.
O. 21 r. 49, CPC 1908	Attachment of a partner's share — the exact provision named in s. 44(e).
s. 9, CPC 1908	Jurisdiction of the civil court; the suit is valued for court-fees under the Court-Fees Act 1870.
s. 69(3)(a), PA 1932	Dissolution and accounts of a dissolved firm are OUTSIDE the registration bar — so even an unregistered firm may be dissolved by the court.
Art. 5, Limitation Act 1963	Three years from the date of dissolution (i.e. the decree), for accounts and a share.
s. 23, ICA 1872	An agreement whose object is unlawful is void — the firm is then no firm at all.
Specific Relief Act 1963, ss. 34 & 38	Declaratory relief and injunctions where dissolution is refused.
Arbitration and Conciliation Act 1996, ss. 7, 8, 34	Where the deed contains an arbitration clause, the court may refer the parties; on the making of the award the dissolution dates from the award — see **Chandra Pandian** (case 18).

The Aftermath — ss. 45 to 48, and the allied ss. 49 to 55

§2.1 — Section 45: Liability for acts done after dissolution

THE SECTION, VERBATIM

45. Liability for acts of partners done after dissolution.—
(1) Notwithstanding the dissolution of a firm the partners continue to be liable as such to third parties for any act done by any of them which would have been an act of the firm if done before the dissolution, until public notice is given of the dissolution:

Provided that the estate of a partner who dies, or who is adjudicated an insolvent, or of a partner who, not having been known to the person dealing with the firm to be a partner, retires from the firm, is not liable under this section for acts done after the date on which he ceases to be a partner.

(2) Notices under sub-section (1) may be given by any partner.

WHY S. 45 EXISTS

Dissolution is a private event; third parties are not party to it. A customer who has dealt with "M/s Sharma & Sons" for years cannot be expected to know that the firm was dissolved last Tuesday. s. 45 therefore keeps the partners **holding out** as partners to the outside world until they **tell the world**. The section is the dissolution analogue of **s. 32(3)** (retirement) and of **s. 28(1)** (holding out) — learn the three together.

The five ingredients of s. 45(1)

1. **The firm has been dissolved** — by any of the five routes. If it has *not* been dissolved, s. 45 has no application and ordinary ss. 18–22 liability applies instead.
2. **An act is done by "any of them"** — by any one partner. It need not be by all, and it need not be authorised by the others.
3. **The act is one "which would have been an act of the firm if done before the dissolution"** — i.e. it must be within **s. 19(2)** implied authority, or expressly authorised, or at least within the ordinary course of the firm's business. A partner's wholly private borrowing after dissolution binds nobody.
4. **Liability is "as such"** — the partners are liable as partners, i.e. **jointly and severally** for all the acts of the firm (**s. 25**), and the creditor may sue any or all of them (**s. 43, ICA 1872**).
5. **It continues only "until public notice is given"** — the cut-off is **public** notice, not private knowledge. A creditor who happens to have heard of the dissolution is still entitled to rely on the absence of public notice, unless the partner proves he had actual knowledge at the time of the dealing.

WHAT "PUBLIC NOTICE" MEANS — S. 72

72. Mode of giving public notice.— *A public notice under this Act is given—*
(a) where it relates to the retirement or expulsion of a partner from a registered firm, or to the dissolution of a registered firm, or to the election to become or not to become a partner in a registered firm by a person attaining majority who was admitted as a minor to the benefits of partnership, by notice to the Registrar of Firms under section 63, and by publication in the Official Gazette and in at least one vernacular newspaper circulating in the district where the firm to which it relates has its place or principal place of business; and, by clause (b), by publication in the Official Gazette and in such a newspaper **where the firm is unregistered**.

So there are three steps for a registered firm: (1) a notice to the Registrar under **s. 63**; (2) publication in the **Official Gazette**; and (3) publication in **at least one vernacular newspaper** circulating in the district. Missing any one of them is fatal — the liability continues.

Allied provision	Where it bears on s. 45
s. 32(3), PA 1932	The retirement analogue — same rule, same proviso, same "not known to the person dealing" test.
s. 28(1), PA 1932	Holding out — anyone who represents himself, or knowingly permits himself to be represented, as a partner is liable to those who give credit on that representation.
s. 25, PA 1932	"Liable as such" = jointly and severally for all the acts of the firm.
s. 19(2), PA 1932	Implied authority — what counts as "an act of the firm".
s. 63(1), PA 1932	Notice of the change or dissolution to the Registrar.
s. 72(a) & (b), PA 1932	The mode of giving public notice — Gazette + vernacular newspaper (+ Registrar, if registered).
s. 68 & s. 69(3), PA 1932	Effect of non-registration; the exceptions that preserve suits for dissolution and accounts.
ss. 43 & 44, ICA 1872	Joint and several liability; release of one joint promisor does not discharge the others.
s. 3(17), General Clauses Act 1897	"Person" includes a body of individuals — a firm is not a legal person but may be proceeded against in the firm name.
O. 30 rr. 1–3, CPC 1908	Suing the firm and its partners in the firm name.
Art. 113, Limitation Act 1963	Three years for a suit for the price of goods sold and delivered on credit — the claim against the continuing partners.
Juggilal Kamlapat v. Sew Chand Bagree, AIR 1960 Cal 463	The leading authority on the proviso — see case 16 below.
English s. 36(1), Partnership Act 1890	The parent provision — but the Indian s. 45(1) says "any one who was a member, whether apparently so or not".

§2.2 — Section 46: Right of partners to have the business wound up

THE SECTION, VERBATIM

46. Right of partners to have business wound up after dissolution.— *"On the dissolution of a firm every partner or his representative is entitled, as against all the other partners or their representatives, to have the property of the firm applied in payment of the debts and liabilities of the firm, and to have the surplus distributed among the partners or their representatives according to their rights."*

A RIGHT, NOT A DISCRETION

The word is **"entitled"**. No partner can be compelled to leave the assets in another partner's hands, and no partner can appropriate them. This is the statutory answer to the recurring DU question *"Does dissolution result in the winding up of the firm?"* (2014 Q.5; 2012 Q.5) — yes, and every partner has an **enforceable right** to insist on it.

"EVERY PARTNER OR HIS REPRESENTATIVE"

The legal representatives of a **deceased** partner (**ss. 2(c), 35, 42(c)**), and the Official Assignee or Receiver of an **insolvent** partner (**ss. 34, 41(a), 69(3)(b)**), stand in his shoes. They may demand winding up even though they are not partners.

TWO LIMBS: DEBTS, THEN SURPLUS

First, the property must be **applied in payment of debts and liabilities**. Only then is the **surplus** distributed "according to their rights" — and what those rights are is spelled out in **s. 48**. s. 46 and s. 48 are therefore read together.

WHAT "WINDING UP" ACTUALLY INVOLVES — THE PRACTICAL LIST

1. **Realise** the assets — collect book debts, sell stock, close the lease, sell the goodwill (**s. 55(1)**).
2. **Pay** the creditors of the firm, in the order set by **s. 48(b)(i)** and **s. 49**.
3. **Complete** transactions begun but unfinished (**s. 47**).

by Ankur R. Upadhyay

4. **Render accounts** — each partner may demand a full account (**ss. 9, 26**; **O. 20 r. 15, CPC**).
5. **Distribute** the residue in the profit-sharing proportions (**s. 48(b)(iv)**).
6. **Give public notice** of the dissolution (**ss. 45, 72**).

§2.3 — Section 47: Continuing authority of partners for purposes of winding up

THE SECTION, VERBATIM

47. Continuing authority of partners for purposes of winding up.— *"After the dissolution of a firm the authority of each partner to bind the firm, and the other mutual rights and obligations of the partners, continue notwithstanding the dissolution, so far as may be necessary to wind up the affairs of the firm and to complete transactions begun but unfinished at the time of the dissolution, but not otherwise:*

Provided that the firm is in no case bound by the acts of a partner who has been adjudicated insolvent, but this proviso does not affect the liability of any person who has after the adjudication represented himself or knowingly permitted himself to be represented as a partner of the insolvent."

Five points on s. 47

1. **Both the authority AND the mutual obligations continue.** The section says "the authority of each partner to bind the firm, *and the other mutual rights and obligations of the partners*". So ss. 9 to 17 (diligence, indemnity, the duty to render true accounts, the duty not to compete) continue to apply during the winding-up period.
2. **The test is necessity.** "So far as may be *necessary*". Convenience is not necessity. In **Saligram Ruplal Khanna** the Supreme Court held that consenting to the Morarji Desai award was necessary — the transaction had been begun while the firm subsisted and had to be carried through.
3. **"Transaction" is a wide word.** Rejecting a narrow construction, the Court (per H.R. Khanna J.) quoted **settled partnership doctrine** and **settled English common law** for the proposition that "transaction" is **not confined to commercial purchase and sale** — it extends to whatever is necessary to wind up.
4. **The proviso is a carve-out and a sting.** The firm is "in no case" bound by the acts of an insolvent partner. But anyone who holds himself out, or knowingly lets himself be held out, as a partner of the insolvent, remains liable — the **s. 28(1)** principle applied to the insolvent's firm.
5. **Procedural consequence.** Because the authority continues for winding-up purposes, a surviving partner may continue a suit already filed by the firm. **Abdul Rehman v. Rameshwar Dayal, 1994 (2) WLC 260 (Raj)**: on the death of one of two partners who had sued on a pronote, the surviving partner was held competent to continue the suit.

Allied provision	Where it bears on s. 47
ss. 18–22, PA 1932	Authority to bind the firm — the pre-dissolution position that s. 47 narrows.
ss. 9–17, PA 1932	The "other mutual rights and obligations" that continue during winding up.
s. 28(1), PA 1932	Holding out — the principle behind the second half of the proviso.
s. 50, PA 1932	Personal profits earned by a surviving partner after dissolution — s. 16(a) applied (see §2.5).
s. 53, PA 1932	The right to restrain the use of the firm name or firm property "until the affairs of the firm have been completely wound up".
O. 30 rr. 1–4, CPC 1908	Suing in the firm name; a surviving partner continuing the suit.
O. 22 rr. 3, 10, CPC 1908	Abatement and legal representatives — a partner's death pending the suit.
O. 20 r. 15, CPC 1908	Preliminary decree directing the taking of accounts.
Abdul Rehman v. Rameshwar Dayal, 1994 (2) WLC 260 (Raj)	A surviving partner is competent to continue a suit on a pronote after the death of the other partner.
Saligram Ruplal Khanna v. Kanwar Rajnath, AIR 1974 SC 1094	The width of "transaction" and the necessity test — case 15.
Arbitration and Conciliation Act 1996, ss. 7, 16, 34	Whether an arbitration clause in the deed survives dissolution and whether an award can itself dissolve the firm — yes, on the authority of **Chandra Pandian**.

§2.4 — Section 48: Mode of settlement of accounts between partners

THE SECTION, VERBATIM

48. Mode of settlement of accounts between partners.— *"In settling the accounts of a firm after dissolution, the following rules shall, subject to agreement by the partners, be observed:—*

(a) Losses, including deficiencies of capital, shall be paid first out of profits, next out of capital, and, lastly, if necessary, by the partners individually in the proportions in which they were entitled to share profits;

(b) the assets of the firm, including any sums contributed by the partners to make up deficiencies of capital, shall be applied in the following manner and order:—
(i) in paying the debts of the firm to third parties;
(ii) in paying to each partner rateably what is due to him from the firm for advances as distinguished from capital;
(iii) in paying to each partner rateably what is due to him on account of capital; and
(iv) the residue, if any, shall be divided among the partners in the proportions in which they were entitled to share profits."

Worked example — the arithmetic DU examiners expect

FOUR TRAPS IN S. 48

1. **"Advances as distinguished from capital."** A partner who has *both* a capital account and a loan account is paid twice — first as a creditor (ii), then as a partner (iii). This is a favourite of examiners.
2. **"Rateably" ≠ equally.** It means *in proportion to the respective amounts due*.
3. **The residue follows profits, not capital.** s. 48(b)(iv) says "in the proportions in which they were entitled to share profits" — and **s. 13(b)** presumes equality where the deed is silent.
4. **s. 48 is "subject to agreement by the partners".** Partners may agree a different order *inter se*, but they cannot contract out of paying the firm's creditors first — those creditors are not parties to the agreement, and **s. 49** and the general law protect them.

Allied provision	Where it bears on s. 48
s. 13(a)–(f), PA 1932	The presumptions as to profit-sharing and interest — s. 13(b) presumes EQUAL sharing of profits.
s. 46, PA 1932	The right to have the property applied in payment of debts and the surplus distributed.
s. 47, PA 1932	Who may realise the assets during the winding up.
s. 49, PA 1932	Firm property pays firm debts first; a partner's separate property pays his separate debts first.

Allied provision	Where it bears on s. 48
s. 55(1), PA 1932	Goodwill shall, subject to contract between the partners, be INCLUDED IN THE ASSETS.
ss. 51–54, PA 1932	Return of premium, rescission for fraud, restraint of firm name, agreements in restraint of trade — see §2.5.
s. 37, PA 1932	Profits or 6% where a partner's estate is used after dissolution by death.
O. 20 r. 15, CPC 1908	The preliminary decree: declare the shares, direct accounts, then a final decree.
Art. 5, Limitation Act 1963	Three years from the date of dissolution, for an account and a share of the property.
Art. 12, Sch. I, Indian Stamp Act 1899 & s. 17, Registration Act 1908	Held NOT attracted to a distribution of the residue — see **Chandra Pandian** (case 18).
s. 2(47), Income-tax Act 1961	"Transfer" — held not to include the distribution of assets on dissolution (**Malabar Fisheries**).
S.V. Chandra Pandian v. S.V. Sivalinga Nadar, (1993) 1 SCC 589	The residue under s. 48(b)(iv) is MONEY — case 18.

§2.5 — The allied provisions: ss. 49 to 55, covered in place

WHY THESE SEVEN SECTIONS ARE HERE AT ALL

The DU syllabus for Chapter VI names only ss. 39 to 48. But the Act does not stop at s. 48 — ss. 49 to 55 are the *consequences* of dissolution, and DU problems routinely turn on them without naming them. They are therefore set out here, in place, rather than in an appendix: read them immediately after s. 48 and the chapter becomes a single continuous story.

The seven sections, one by one

S. 49 — PAYMENT OF FIRM DEBTS AND OF SEPARATE DEBTS

"Where there are joint debts due from the firm, and also separate debts due from any partner, the property of the firm shall be applied in the first instance in payment of the debts of the firm, and, if there is any surplus, then the separate property of any partner shall be applied first in the payment of his separate debts and the surplus, if any, in the payment of the debts of the firm."

The rule in one line: firm property → firm debts first; a partner's separate property → his separate debts first; only the surplus crosses over. This is the **"two estates" rule**, and it dovetails with **s. 48(b)(i)** and with **O. 21 r. 49, CPC** (a creditor of a partner can only attach that partner's *share*, not the firm's assets). **Contrast** ss. 60 and 61 of the CPC and the **Insolvency and Bankruptcy Code, 2016, ss. 140–142**, where firm creditors prove against the firm estate first.

S. 50 — PERSONAL PROFITS EARNED AFTER DISSOLUTION

"Subject to contract between the partners, the provisions of clause (a) of section 16 shall apply to transactions by any surviving partner or by the representatives of a deceased partner, undertaken after the firm is dissolved on account of the death of a partner and before its affairs have been completely wound up."

So **s. 16(a)** — a partner making personal profit from a transaction of the firm, or from the use of its property, name or business connection, must account for it — **continues to apply during the winding-up period after a death-dissolution**. This is the companion of **s. 37**, which gives the deceased partner's estate the election between a share of profits and 6% per annum. Note the opening words "subject to contract between the partners".

S. 51 — RETURN OF PREMIUM ON PREMATURE DISSOLUTION

"Where a partner has paid a premium on entering into partnership for a fixed term, and the firm is dissolved before the expiration of that term otherwise than by the death of a partner, he shall be entitled to repayment of the premium or of such part thereof as may be reasonable, regard being had to the terms upon which he became a partner and to the length of time during which he was a partner, unless— (a) the dissolution is mainly due to his own misconduct, or (b) the dissolution is in pursuance of an agreement containing no provision for the return of the premium or any part of it."

Four conditions: (1) a premium was paid; (2) the firm was for a **fixed term**; (3) it was dissolved **before** the term expired; and (4) the dissolution was **not** by death of a partner. Two exceptions: his own misconduct, and an agreement that says nothing about returning the premium. The measure is **what is reasonable** — ordinarily the unexpired proportion of the term.

S. 52 — RIGHTS WHERE THE PARTNERSHIP CONTRACT IS RESCINDED FOR FRAUD OR MISREPRESENTATION

"Where a contract creating partnership is rescinded on the ground of the fraud or misrepresentation of any of the parties thereto, the party entitled to rescind is, without prejudice to any other right, entitled—

(a) to a lien on, or a right of retention of, the surplus of the assets of the firm remaining after the debts of the firm have been paid, for any sum paid by him for the purchase of a share in the firm and for any capital contributed by him; (b) to rank as a creditor of the firm in respect of any payment made by him towards the debts of the firm; and (c) to be indemnified by the partner or partners guilty of the fraud or misrepresentation against all the debts of the firm."

Allied law: ss. 17 to 19 of the **Indian Contract Act, 1872** (fraud and misrepresentation); s. 19-A (power to set aside a contract induced by undue influence); s. 27 of the **Specific Relief Act, 1963** (rescission); and s. 62 of the ICA (novation).

S. 53 — RIGHT TO RESTRAIN THE USE OF THE FIRM NAME OR FIRM PROPERTY

"After a firm is dissolved, every partner or his representative may, in the absence of a contract between the partners to the contrary, restrain any other partner or his representative from carrying on a similar business in the firm name or from using any of the property of the firm for his own benefit, until the affairs of the firm have been completely wound up: Provided that where any partner or his representative has bought the goodwill of the firm, nothing in this section shall affect his right to use the firm name."

Allied law: the **Trade Marks Act, 1999, ss. 27, 28, 29, 134, 135** (passing off and infringement); the **Specific Relief Act, 1963, ss. 38, 39** (perpetual injunction); and **O. 39 rr. 1–2, CPC** for the interim injunction.

S. 54 — AGREEMENT IN RESTRAINT OF TRADE

"Partners may, upon or in anticipation of the dissolution of the firm, make an agreement that some or all of them will not carry on a business similar to that of the firm within a specified period or within specified local limits, and notwithstanding anything contained in section 27 of the Indian Contract Act, 1872, such agreement shall be valid if the restrictions imposed are reasonable."

This is the statutory exception to s. 27 of the ICA, which otherwise voids every agreement in restraint of trade. Three points: (1) the agreement must be made **upon or in anticipation of** the dissolution; (2) the restraint must be limited by **period or local limits** — and **1969 WLN 570** holds that the word **"or"** cannot be read as **"and"**, so a restraint specifying only a period, or only a locality, is good; and (3) the restriction must be **reasonable**.

S. 55 — SALE OF GOODWILL AFTER DISSOLUTION

(1) *"In settling the accounts of a firm after dissolution the goodwill shall, subject to contract between the partners, be included in the assets, and it may be sold either separately or along with other property of the firm."*

(2) *"Where the goodwill of a firm is sold after dissolution, a partner may carry on a business competing with that of the buyer and he may advertise such business, but, subject to agreement between him and the buyer, he may not— (a) use the firm name, (b) represent himself as carrying on the business of the firm, or (c) solicit the custom of persons who were dealing with the firm before the dissolution."*

So a selling partner keeps three freedoms (compete, advertise, and — by implication — deal with new customers) **and loses three** (the name, the representation, and solicitation of old customers). **Allied law:** the **Trade Marks Act, 1999**; s. 27 of the ICA read with **s. 54 of the Partnership Act**; and the **Income-tax Act, 1961, ss. 45, 48, 55(2)(a)** on the capital-gains treatment of goodwill.

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #21 - #24

CASE #21 DU LL.B. PRESCRIBED AUTHORITY

Saligram Ruplal Khanna and Pessumal Atalrai Shahani v. Kanwar Rajnath

AIR 1974 SC 1094 · Supreme Court (H.R. Khanna J.) · [Partnership for a fixed term — dissolution on expiry of the term: sections 42 and 47] — the leading authority on when a firm dissolves, and on how far a partner's authority survives afterwards.

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The two plaintiff-appellants, **Saligram Ruplal Khanna** and **Pessumal Atalrai Shahani**, sued **Kanwar Rajnath** for **dissolution of partnership and rendition of accounts**. The firm carried on business as **"Shri Ambernath Mills Corporation" (SAMCO)**. Its property comprised three mills at Ambernath — a woollen mill, a silk mill, and an oil and leather-cloth factory with land, bungalows and chawls — plus a bobbin factory at Taradeo with offices at Bombay, Ahmedabad and elsewhere. Together these were described, as in the High Court, as **"Ambernath Mills"**.

The background. The mills originally belonged to Ahmed Abdul Karim Bros. Private Ltd. They were declared **evacuee property** in September 1951 and the Custodian took over management under the **Administration of Evacuee Property Act, 1950**. It was decided that the mills should be managed by **displaced persons** who had been industrialists in Pakistan. A private limited company of 31 persons was formed, each contributing ₹25,000. The appellants and the respondent were members. The respondent was a big industrialist with a verified claim of **₹23 lakhs**; Appellant No. 1 had a verified claim of ₹22,000 and a disputed claim for industrial properties; Appellant No. 2 had a verified claim of about ₹30,000.

The two documents of 30 August 1952. By August 1952 all other members had dropped out, and the Custodian granted a **lease of the Ambernath Mills** to the respondent and the two appellants. On that day **two documents** were executed: (i) an **agreement of partnership** between the three for carrying on the business of Ambernath Mills under the lease, in the name of SAMCO; and (ii) the **agreement of lease**, executed by the Custodian as lessor and the three partners as lessees. The lease was to run **five years** from the date possession was handed over, subject to sooner determination on the contingencies in Clause 21, or on breach of condition, or *"in the event of any dispute among the lessees resulting in the closure of the mills"*. Rent was **₹6,00,000 a year** in four quarterly instalments of ₹1,50,000, and the lessees were to furnish a bank guarantee for **₹7,00,000**.

Under the partnership deed each partner was to contribute **₹1,00,000** (the ₹25,000 already paid to the Custodian counting as part payment). Each had a one-third share, adjustable if fresh partners were taken in. The respondent was to be **managing partner**, and the appellants agreed *not to interfere directly or indirectly* with his management and control. Critically, **the period of the partnership was five years, "being the period of said lease"** (Clause 16).

Possession and the second deed. Possession was taken on **31 August 1952**. Appellant No. 1 was put in charge of administration at Ambernath; Appellant No. 2, an engineer, of the properties, machinery and stores; the respondent was in overall charge. Stocks were valued by the Custodian's auditor at **₹30 lakhs**. The partnership could not pay the ₹7 lakhs (or furnish the guarantee) and the sixth rent instalment was partly dishonoured — ₹1,00,000 was arranged but **₹50,000 remained unpaid**.

On **12 February 1954** the Custodian served a show-cause notice. The partnership filed a writ petition on **16 February 1954** to quash it. Meanwhile, by letters of **8 February 1954**, both appellants offered to have their shares reduced. On **24 February 1954** a **second partnership deed** was executed: Appellant No. 1 to have **3 annas**, Appellant No. 2 **1 anna**, the respondent **12 annas**; the appellants were to have no right, title or interest in the name, capital assets or goodwill; the new firm was deemed formed from **1 October 1953**; the respondent was managing partner and to get 6% interest on finances arranged by him; and — the clause that decides the case — **the period of partnership was to be "the outstanding period of the lease"** (Clause 17).

The lease collapses. The writ petition succeeded before a Single Judge on **31 March 1954**, but a Division Bench **set it aside on 13 April 1954**. This Court granted a certificate and a stay on **5 May 1954**. The Custodian **cancelled the lease on 25 May 1954**, and the partnership **voluntarily delivered possession on 30 June 1954**. On **10 November 1955** this Court held there was no legal infirmity in the Custodian's notice. On **10 March 1955** the Central Government notified acquisition of the mills under **s. 12 of the Displaced Persons (Compensation and Rehabilitation) Act, 1954**. An injunction suit by all three against the Central Government and the Custodian was dismissed by the City Civil Court and, on appeal, by a Division Bench of the Bombay High Court on **14 January 1957** — the purchase agreement in Clauses 17 to 21 being held *indefinite and vague* and not capable of specific performance, and the acquisition being free of encumbrances. No appeal was filed, so that judgment became final.

The arbitration and the award. Arbitration proceedings had been started by an application under **s. 20 of the Arbitration Act on 21 April 1955**, while SAMCO was in existence. The Custodian claimed ₹30,00,000; SAMCO counter-claimed **₹17,67,080** by written statement dated **18 December 1956**. On **13 November 1957 the respondent, on behalf of SAMCO, consented to an award of ₹18,00,000 by Mr Morarji Desai** in favour of the Custodian. The respondent later entered an agreement with the President of India dated **14 August 1957**, and the **grant of the mills was made to him on 21 April 1960**; he mortgaged the mills for ₹48,11,000 and took possession on **22 April 1960**, the mills having lain idle for nearly six years since 30 June 1954. On **7 May 1960** he circularised the displaced persons whose claims had been transferred to him; Appellant No. 1 received a statement of account and, in September 1960, **a cheque for ₹204 by way of interest**.

The plaint. The appellants alleged that after **25 May 1954** the three had **orally agreed not to dissolve the partnership** notwithstanding the termination of the lease, and that the partnership should continue *"for the purpose of acquiring on behalf and for the benefit of the said partnership the properties (Ambernath Mills) and to exploit the said industries"*. They pleaded that the respondent had represented he was acquiring the mills on behalf of the partnership (the Central Government desiring to deal with one individual only), that he had admitted using **₹2,00,000 of partnership funds** for earnest money, that he stood in a **fiduciary character** and could not gain a pecuniary advantage for himself, and that the properties and profits acquired were for the benefit of the partnership. The original prayers were declarations that the partnership was still subsisting, that the mills belonged to it, and for rendition of accounts; by amendment a prayer was added **that the partnership be dissolved from the date of the filing of the suit**.

The written statement. The respondent denied the oral agreement. According to him the partnership stood dissolved on **10 March 1955** when the Central Government acquired the mills; the partnership funds had been used to pay creditors and were insufficient for the rest; Appellant No. 1 knew the mills were being acquired **for the respondent alone**; the respondent denied ever saying the ₹2,00,000 earnest money came from partnership funds; and he alleged Appellant No. 1 had asked for some benefit by way of an agency. **He pleaded that the claim for accounts was barred by limitation.** By an affidavit of **11 January 1961** he added that even if an oral partnership agreement were held proved, it should be taken to have been dissolved.

The courts below. The trial Judge held the oral agreement **not proved**; that there was no express or implied agreement to acquire the mills as a partnership asset; that **s. 88 of the Indian Trusts Act** could not be invoked; and that the claim was **barred by limitation** because the firm dissolved on **25 May 1954**, or in any case on **14 January 1957** or **30 August 1957**. The Division Bench repelled all four contentions, held the firm dissolved at the latest on **10 November 1955**, and held the suit filed on **20 December 1960** — more than three years later — **barred**. Hence this appeal by special leave.

ISSUES

1. **Was there an express oral agreement** of **25 May 1954** to continue the partnership for acquiring and exploiting the mills, so that the mills became an asset of the partnership?
2. **If not, can an implied agreement to that effect be inferred** from the conduct of the parties and the correspondence?
3. **Even absent such an agreement, are the rights acquired by the respondent** under his agreement of 14 August 1957 and the Presidential grant **impressed with a trust** in favour of the partnership under **s. 88 of the Indian Trusts Act**?
4. **Even if the mills are not a partnership asset, are the plaintiffs entitled to accounts** of the partnership which admittedly existed under the deeds of 30 August 1952 and 24 February 1954 — and is that claim **within time**?

For the plaintiff-appellants (S.T. Desai)

- **At the outset, a frank concession:** Mr Desai conceded he could not challenge the concurrent findings that the **express** oral agreement of 25 May 1954 was not proved. He also flagged, and then **did not press**, the s. 88 Indian Trusts Act contention.
- **The surviving case on implied agreement.** The appellants no longer claimed any interest in the *ownership* of the mills, which now vested in the respondent. But an agreement should be inferred from the parties' conduct that **the mills would be run by the respondent in partnership with the appellants**, even if ownership vested in him alone.
- **The main burden of the argument: limitation.** There had been **no dissolution prior to the institution of the suit**, so the suit for rendition of accounts was not barred. The High Court was in error in holding otherwise.
- **The consent to the award of 13 November 1957** shows that SAMCO **had not been dissolved before that date** — a dissolved firm does not consent to arbitration awards. The suit having been filed on 20 December 1960, three years had not run from November 1957.
- **The proposition of law relied on:** *a dissolution does not necessarily follow because a partnership has ceased to do business*. The mills may have been idle, but the firm subsisted.
- **The equity of the case.** Between June and September 1957 Appellant No. 1 entertained hopes of a benefit if the respondent acquired the mills; the respondent **"while not belying those hopes and expectations took care not to make any commitment"**, and after the acquisition **gave him a cold rebuff**.

For the defendant-respondent (Mr Cooper)

- **No oral agreement.** The alleged agreement of 25 May 1954 was denied outright; no such case had even been set up in the trial court, whether in the plaint or otherwise, nor before the Division Bench. What was contended below was an agreement to acquire the mills *as an asset of the partnership*.
- **That stand is contradicted by the lease itself.** The agreement of lease showed the mills would become the absolute property *not only* of the three but of **all persons associated with the lessees**, in proportion to their compensation claims; and the lessees' rights were **distinct from the proprietary interest**, the lessees being at liberty to continue the lease for the unexpired residue.
- **The respondent's representation of 9 August 1954** to the Custodian enclosed letters of authority and particulars of verified claims of **30 displaced persons** — implicitly, on transfer the mills would vest in all thirty, not in the three partners.
- **Two documents run counter to the appellants' case.** First, the **agreement of 20 September 1957** and the **bond of 21 September 1957**, by which Appellant No. 1 agreed to have his compensation claim of only **₹6,994** adjusted towards the price and received 6% interest on it, with an option to buy shares in a company the respondent might promote. **Had he any interest in the mills, there could have been no occasion for these documents** — and the amount was "wholly insignificant" compared with the price. No question would have arisen of the respondent *borrowing* from Appellant No. 1 to pay the price if the mills were being acquired for both. Second, the **letter of 18 December 1959 to the Collector of Bombay**, in which Appellant No. 1 said the sales-tax arrears were the respondent's responsibility and that he was **"no more in picture"** — a repudiation of liability by disclaiming his connection with the business.
- **Limitation.** The firm was dissolved at the latest on 10 November 1955; the suit of 20 December 1960 was more than three years out of time.

DECISION (H.R. KHANNA J.) — APPEAL DISMISSED

On the implied agreement (paras 20–24): rejected. No such case had been set up in the trial court or before the Division Bench. What was contended there was an agreement to acquire the mills *as a partnership asset*, and that stand *"could plainly be not accepted when one keeps in view the agreement of lease dated August 30, 1952 as well as other documents on record"*. The respondent was right on both documents.

On the date of dissolution (para 25) — the heart of the case. Possession under the lease was delivered on **31 August 1952**, so the five-year term expired on **30 August 1957**.

On the consent to the award (paras 30–31) — the s. 47 point. The consent of 13 November 1957 does *not* show the firm was undissolved. The arbitration had been commenced on **21 April 1955** when SAMCO was a running concern, and the consent was given *"with a view to get the dispute between SAMCO with the Custodian finally settled. This was a necessary step for the purpose of winding up the affairs of SAMCO and to complete transaction of arbitration proceedings which had been begun but remained unfinished at the time of dissolution."*

On the appellants' legal proposition (para 32): *"a dissolution does not necessarily follow because a partnership has ceased to do business"* — true, but unhelpful, because *"we are not basing our conclusion of the dissolution of the firm of the parties upon the fact that the partnership had ceased to do business. On the contrary, we have arrived at the above conclusion in accordance with the principle of law that a firm constituted for a fixed term shall stand dissolved, in the absence of a contract to the contrary, on the expiry of that term."*

On the "carrot dangling" (para 33): the respondent *"kept some kind of carrot dangling before Appellant No. 1 during the delicate stage of his negotiations with the Government for the acquisition of the mills lest Appellant No. 1 did something to sabotage those efforts. After acquisition of the mills by the respondent his attitude changed and he gave a cold rebuff to Appellant No. 1."* But that *"may have a bearing on the question of the award of costs, but it cannot affect our decision on the point as to whether the suit is within limitation or not."* The appeal was **dismissed**.

PRINCIPLES EVOLVED

1. **A firm constituted for a fixed term stands dissolved, in the absence of a contract to the contrary, on the expiry of that term — s. 42(a).** This is the leading Indian authority. Nothing more is required: no notice, no resolution, no agreement, no decree.
2. **Where the term is defined by reference to another instrument, that instrument governs.** Here the period was *"five years, being the period of said lease"* and later *"the outstanding period of such lease"* — so the five years ran from **31 August 1952**, the date possession was delivered, and expired on **30 August 1957**.
3. **"Transaction" in s. 47 is a wide word.** It is *not confined to commercial purchase and sale*; it includes every matter relating to the affairs of the partnership, and **the taking of necessary steps in the adjudication of a dispute to which the firm was a party before dissolution** — including consenting to an arbitral award.
4. **After dissolution the partnership subsists for three purposes only** — completing pending transactions, winding up the business, and adjusting the rights of the partners — *"and for these purposes, and these only"*.
5. **Article 5 of the Limitation Act is decisive.** Once the date of dissolution is fixed, three years runs from it, and everything else in the litigation becomes academic. This case is the classic illustration.
6. **An implied agreement to continue is a question of fact, and the burden is heavy.** The Court examined the contemporaneous documents and found two that *"run counter"* to the alleged agreement. A party who disclaims liability to a tax authority is poorly placed to assert he remained a partner.
7. **Unconscionable conduct affects costs, not limitation.** The "carrot dangling" observation is a classic illustration of the difference between a moral claim and a legal one.

CASE #22 DU LL.B. PRESCRIBED AUTHORITY

M/s. Juggilal Kamlapat v. M/s. Sew Chand Bagree

AIR 1960 Cal 463 · Calcutta High Court (G.K. Mitter J.) · [Dissolution of firm — no public notice under section 45(1)] — the leading authority on the proviso to s. 45(1): a partner who was not known to the person dealing with the firm is protected, and the proviso covers dissolution, not merely retirement.

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

This was an **application in execution of a decree on an award** made by the **Bengal Chamber of Commerce on 14 June 1950**, on a dispute between **Juggilal Kamlapat** (the award-holder) and **Sew Chand Bagree**, against whom the award was made. The **decree was passed on 28 May 1951** for a total sum of over **₹31,000**.

The award arose out of a **contract entered into between Sew Chand Bagree and Juggilal Kamlapat on 25 September 1948**.

The opposition. The application was opposed by **Manik Chand Bagree** and **Moti Chand Bagree**, whose case was that **the firm of Sew Chand Bagree was dissolved in October 1945 by mutual consent of its partners**, and that thereafter their brother **Jankidas Bagree** started a new business in the name of Sew Chand Bagree with which they had no concern. **Sew Chand Bagree the individual was the father of the three.**

The Register of Firms. From a copy of the entries in the Register of Firms maintained by the Registrar of Firms, West Bengal, it appeared that the business of Sew Chand Bagree was **established in 1924**, that it was formerly a **joint Hindu family business**, and that the partnership firm was started on **28 October 1933**. The three partners shown were **Manik Chand, Moti Chand and Jankidas Bagree**. **The document did not show any change in the constitution of the firm ever since its inception** — even though dissolution was alleged to have taken place in 1945, some fourteen years before the execution proceedings.

How the dissolution was proved. The Court accepted the oral testimony of the Bagrees, corroborated by: (i) a **deed of agreement prepared by Messrs Dutt and Sen** and signed by the Bagree brothers; (ii) the **issue of a trade licence by the Corporation of Calcutta**; (iii) the **opening of an account with Hindustan Commercial Bank Ltd.**; (iv) a **letter written to Bank of Baroda Ltd.**; and (v) the contracts of Juggilal Kamlapat with Manik Chand Bagree **in a name and style other than Sew Chand Bagree**, which tended to prove the disruption in the family.

The admission that decided the case. Rameshwar Agarwalla (for the decree-holder) **admitted that he did not know Manik Chand Bagree and Moti Chand Bagree to be partners of Sew Chand Bagree until six months or a year before the hearing — and even then only from a copy of the entries in the Register of Firms.**

ISSUE

The Court framed it itself: *"On this finding [that the firm was dissolved] the question is whether sub-section (1) of Section 45 of the Partnership Act is brought into play or whether the point is covered by the proviso to the said sub-section."* Two sub-questions followed: (a) was the firm in fact dissolved in 1945? and (b) does the proviso, which speaks of a partner who *"retires from the firm"*, apply at all where the firm has been *dissolved*?

For the decree-holder / award-holder (Mr Tibrewalla)

- **No dissolution was established at all.** No attempt had been made to get any alteration in the constitution of the firm noted in the records of the Registrar of Firms **up to the year 1959**, although dissolution was said to have taken place in 1945.
- **No publicity whatsoever.** The Bagrees had examined no disinterested third party to show that the dissolution was known to outsiders; **no advertisement had appeared in any newspaper**; there was no evidence of any circular; and no broker other than **Sriratan Damani** had been examined.
- **Adverse inference from the non-production of the books of account.** He relied strongly on the absence of the books of Sew Chand Bagree and contended that, if produced, they would have established that the firm had never been wound up. The Court acknowledged there was *"certainly some force in these contentions, specially the comment on the non-production of the books of account"*.
- **On construction — the main legal argument.** *"Mr Tibrewalla argued that the exception, if any, is limited to the case of a partner who 'retires from the firm' and does not apply to the case of a dissolution of the firm whereby the relationship of all the partners inter se is put an end to for ever."*
- **Reliance on the Contract Act antecedent.** He referred the Court to **Garth C.J. in** *Chundee Churn Dutt v. Eduljee Cowasjee Bijnee*, **ILR 8 Cal 678**, which turned on **s. 264 of the Contract Act, 1872**: *"Persons dealing with a firm will not be affected by dissolution of which no public notice has been given unless they themselves had notice of such dissolution."*

For the objectors (Manik Chand and Moti Chand Bagree)

- **The firm was dissolved in October 1945 by mutual consent** — i.e. squarely within **the first limb of s. 40** (consent of all the partners).
- **Thereafter Jankidas alone traded** in the name of Sew Chand Bagree; the other two brothers had no concern with it.
- **They were never known to the decree-holder to be partners** — a fact the decree-holder's own witness, Rameshwar Agarwalla, ultimately conceded, admitting he came to know of them only from the Register of Firms, and only six months to a year before the hearing.
- **Therefore the proviso to s. 45(1) applies**, and they cannot be made liable for the decretal amount.

DECISION (G.K. MITTER J.) — APPLICATION DISMISSED AGAINST MANIK CHAND AND MOTI CHAND

On dissolution — held proved. Despite the force in Mr Tibrewalla's criticisms, *"I must hold on a consideration of the entire evidence adduced that the firm had been dissolved."* The deed prepared by Messrs Dutt and Sen, the Corporation trade licence, the new bank account, the letter to Bank of Baroda and the contracts in a different name *"all corroborate the oral testimony"*.

On the scheme of the Act (para 13). The Court set out the registration framework: registration is **not compulsory**, but an unregistered firm cannot sue to enforce a right arising out of a contract; the application must comply with **s. 58**; registration is effected under **s. 59**; alterations in name, changes in partners, and **changes in and dissolution of the firm** are recorded under **ss. 60 and 63**; **s. 68** makes recorded statements conclusive proof against the signatory; and **s. 72** prescribes the mode of public notice — **notice to the Registrar, the local Official Gazette, and at least one vernacular newspaper** circulating in the district.

On the English comparison (para 19). s. 45(1) without the proviso is *"somewhat similar to"* **s. 36(1) of the English Partnership Act, 1890**, but the provisions are not identical:

On the function of a proviso (para 20). Quoting **Lord Macmillan in** *M. and S. M. Rly. Co. v. Bazwada Municipality*, **AIR 1944 PC 71**:

On the facts (para 21): *"These persons, therefore, were not known to Juggilal Kamlapat to have been partners of the firm and they had gone out of the firm before the contract in this case was entered into. Clearly the proviso is attracted to the facts of this case and Manik Chand Bagree and Moti Chand Bagree cannot be made liable for payment of the decretal amount."*

On the Register of Firms (para 23) — the evidentiary point: *"The fact that the entries in the record of the Registrar of Firms still show that Manik Chand Bagree and Moti Chand Bagree [are partners], does not help the decree-holder in this case. If the decree-holder had adduced evidence to the effect that these records had been scrutinized by it before the transaction was entered into the position might have been different."*

Disposal (para 25): *"The application will, therefore, be dismissed with costs as against Moti Chand Bagree and Manik Chand Bagree. There will be an order in terms of prayer (a) as against Jankidas Bagree."*

PRINCIPLES EVOLVED

1. **The proviso to s. 45(1) covers dissolution, not merely retirement.** Because retirement is already dealt with by **s. 32(3)**, the proviso to s. 45 would be otiose if it were confined to retirement. The better expression would have been *"severs his connection with the firm"*. This is the single most quotable holding of the case.
2. **Three categories are protected automatically, without notice** — a partner who **dies**, one who is **adjudicated insolvent**, and one who, **not having been known to the person dealing with the firm to be a partner**, retires (or, per this case, goes out on dissolution).
3. **The onus is on the person dealing with the firm to prove knowledge, in practice.** The protection is lost only if the outsider *knew* him to be a partner. Here the outsider's own witness conceded he did not.
4. **Mere entries in the Register of Firms do not prove knowledge.** The outsider must show that **he scrutinised the register before contracting**. Registration is not constructive notice to the world of who the partners are.
5. **The Indian s. 45(1) is wider than the English s. 36(1).** Under the English provision only an *apparent* member continues liable; under the Indian provision *"any one who was a member, whether apparently so or not"* remains liable until public notice.
6. **A proviso carves out of the main enactment a case that would otherwise fall within it** (Lord Macmillan). This is the standard rule of construction, and it is how Mitter J. reached his result.
7. **Dissolution may be proved by conduct.** A solicitor's draft deed, a municipal trade licence, a new bank account, a letter to the bankers and contracts in a different name were enough — even though the Register of Firms was never altered and no newspaper advertisement was published.

CASE #23 DU LL.B. PRESCRIBED AUTHORITY

Sharad Vasant Kotak v. Ramniklal Mohanlal Chawda

(1998) 2 SCC 171 · Supreme Court (K. Venkataswami J.) · [Section 46 / registration] — induction of a partner is reconstitution, not dissolution; a reconstituted firm does not need fresh registration; and s. 69(2-A) (Maharashtra) requires only that the firm is registered and that the person suing is or has been shown in the Register of Firms.

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The appellants are partners of a firm called **"M/s Paramount Builders"**. The partnership was entered into on **29 November 1979** with **seven individuals** as partners. (The judgment elsewhere refers to the first deed as dated 28 November 1979 — both dates appear in the report.)

The firm was **registered on 15 December 1980** under Registration No. 158675 with the Registrar of Firms. On **6 May 1986 Shri Mohanlal Hinji Chawda**, a partner, died, and **in his place his widow Smt Jijiben Mohanlal Chawda was admitted as a partner**. After her admission, **another deed of partnership was executed**, consisting of the six old partners and the newly admitted partner — dated **20 October 1986**. **The induction was not brought to the notice of the Registrar of Firms** by forwarding the required particulars.

Still later, on **3 November 1992**, a **third deed** was brought into existence consisting of the same partners. Yet another partner, **Smt Hemkuver B. Kotak**, died in September 1994 — **and that death too was not intimated to the Registrar**.

The suit. While so, the **first respondent gave a notice of dissolution of the firm** to the appellants and filed **Suit No. 5016 of 1994 on 15 December 1994** in the High Court of Judicature at Bombay on its original side, **for dissolution of the partnership firm and accounts**.

The amendment application. Initially the plaint did not raise the constitutional validity of **s. 69(2-A)** of the Act, as amended by the Maharashtra Act. The first respondent then took out **Chamber Summons No. 301 of 1997** seeking permission to amend. Two amendments were sought: (i) a **factual** plea that the changes under the deeds of 20 October 1986 and 3 November 1992 are merely changes/modifications **which do not affect the registration** of the firm, so as to entitle a partner to sue for reliefs on dissolution; and (ii) **in the alternative, a challenge to the vires of s. 69(2-A)** as in force in Maharashtra.

The Single Judge rejected the amendment, accepting the appellants' objections: s. 69(2-A) *"creates a bar on the threshold of the filing of the suit"*, the suit was *"incompetent"*, and so the amendment could not be permitted. The Division Bench **reversed**: registration continues in force notwithstanding reconstitution, and even **when dissolution takes place the registration of the firm continues**; s. 69(2-A) requires registration of a firm and **does not require a fresh registration each time a reconstitution or dissolution takes place**. It allowed the factual amendment and refused the constitutional one as unnecessary. Hence this appeal by special leave.

The statutory provision. s. 69(2-A) (Maharashtra): *"No suit to enforce any right for the dissolution of a firm or for accounts of a dissolved firm or any right or power to realise the property of a dissolved firm shall be instituted in any court by or on behalf of any person suing as a partner in a firm against the firm or any person alleged to be or to have been a partner in the firm, unless the firm is registered and the person suing is or has been shown in the Register of Firms as a partner in the firm: Provided that the requirement of registration of firm under this sub-section shall not apply to the suits or proceedings instituted by the heirs or legal representatives of the deceased partner of a firm for accounts of a dissolved firm or to realise the property of a dissolved firm."*

ISSUE

As framed by the Supreme Court (para 9): **"Whether on the facts of this case the suit for dissolution and account of partnership is hit by Section 69(2-A) of the Act as amended in the State of Maharashtra?"** The Court noted at para 11 that it was concerned with *"a suit filed by a partner for dissolution and accounts"* and that *"no third-party rights or liabilities are involved"*, and at para 12 that it would *"confine ourselves strictly to the facts of the case … because the maintainability of the suit is the sole issue"*.

For the appellants (Mr Nariman, Senior Counsel)

- **When a new partner was inducted under the deed of 20 October 1986, the firm registered under the 1979 deed ceased to be on the records of the Registrar of Firms**, and the registration already given will not enure to the benefit of the partnership entered on 20 October 1986. Hence **s. 69(2-A) is not satisfied and the suit is not maintainable**.
- **Reliance on s. 4.** Bearing in mind the definition of "partnership" in **s. 4**, the partners — including the second respondent (the widow) — will *collectively* be a firm, and **that firm is not registered**, since the second respondent's name does not appear in the Register. The mere fact that the plaintiff's name appears is not sufficient when one partner's name is absent.
- **Reliance on the language of ss. 31 and 32.** A comparison of those provisions shows that **whenever a partner is inducted, the old firm ceases to exist and an altogether new firm comes into existence** from the date of induction — and that new firm must obtain fresh registration.

For the first respondent (Mr Soli J. Sorabjee, Senior Counsel)

- **There is a well-recognised distinction between dissolution and reconstitution.** In the case of an incoming or outgoing partner there is only a **reconstitution**; in all other respects the existing firm continues with the old and new partners.
- **The structure of the Act proves it. Chapter V** deals with "Incoming and Outgoing Partners" while **Chapter VI** separately deals with "Dissolution of a Firm". *"The two are totally different concepts and cannot in law be equated with each other."*
- **Even dissolution does not deregister a firm.** *"even when there is a dissolution of a firm, it does not cease to be a registered firm but for the purposes of Partnership Act it continues to be registered"* — registration is valid **till it is cancelled in a manner known to law**.
- **Non-compliance attracts penalties, not deregistration.** Non-compliance with ss. 61, 62 and 63 (as amended in Maharashtra) attracts **s. 69-A** penalties and nothing more. *"As the consequence of deregistration is a drastic one, it is impermissible to hold that non-compliance with Sections 63(1) and 63(1-A) would lead to*

- **Reliance on clauses 4 and 5 of the 1986 deed** ("Commencement" and "Accounting Year"). Since the 1992 deed expressly used the word *"reconstituted"* in its preamble while the 1986 deed did not, the understanding under the 1986 deed was that **the old firm ceased and a new firm was brought into existence**.
- **Reliance settled principle:** *"after the admission of a new member, a new partnership is constituted, and thus special circumstances are required to be shown before the debts and liabilities of the old partnership are treated as having been undertaken by the new partnership."*
- **Purposive argument.** The object with which the Maharashtra Legislature introduced s. 69(2–A) **would be lost** if the respondents' view were accepted.
- **Procedure.** Without impleading the State of Maharashtra and the Union of India, the vires of s. 69(2–A) cannot be challenged.

deregistration of a firm in the absence of express and clear legislative provision to that effect."

- **Substance, not phraseology.** *"it is the substance of the matter that is relevant to be looked into and not the phraseology employed by the parties"* — the test is whether, after the 1986 deed, for all intents and purposes **the firm as reconstituted was a different unit or remained the same unit** despite the change in constitution. Looked at that way, **the unit remained the same**.
- **The dissimilarities are consequential.** Clauses 4 and 5 of the 1986 deed are *"really not dissimilarities but consequential and incidental changes"*.
- **The Rules and Forms support him** — the Maharashtra Rules of 1989 and **Forms E, G and H** in particular.
- **Reply on purpose:** failure to comply with ss. 61, 62 or 63 attracts **penalties**, not deregistration — the object of the amendment is not defeated.

DECISION (K. VENKATASWAMI J.) — APPEAL DISMISSED; SUIT HELD MAINTAINABLE

The two conditions of s. 69(2–A) (para 13): (1) the firm must be **registered**; and (2) the person suing **is or has been shown in the Register of Firms** as a partner. Both were satisfied: the 1979 partnership was duly registered and a certificate granted; the plaintiff was a founder partner whose name found a place in the register; and *"there is nothing to show that at any point of time, his name has been removed from the register of firms."*

On the deeds (para 20) — the decisive clause. *"It is relevant here to note that in both the deeds it was expressly made that the death, insolvency or retirement of any partner shall not dissolve the partnership firm. On the other hand, the partner shall be entitled to carry on the partnership business on the terms and conditions mutually agreed upon by the said partners (vide clause 11). Therefore, it cannot be contended by the appellants that by reason of death of one of the partners, the existing firm stands dissolved."*

On clauses 4 and 5 (para 20): *"Clauses 4 and 5 relate to commencement of the partnership and accounting year. These are minimal changes introduced in the second deed of partnership by reason of the introduction of a new partner … and in other respects, namely, the name of the partnership firm, the address and location of the firm, the business carried on and shares allotted among the partners and duration of the partnership, are identical. Moreover a careful reading of clauses 5 and 6 of the second partnership deed will give an impression that the partners have agreed to continue the existing firm. The profits or losses for the period prior to and up to the death of the deceased partner is dealt with and provided. There is no indication that the old firm was dissolved."* The word "reconstituted" in the preamble of the 1992 deed *"does not make any substantial difference when we look into the substance of the three deeds"*.

Reliance on *Pratapchand Ramchand & Co.*, **AIR 1940 Bom 257 (paras 27, 29).** The Bombay High Court (Bhandarkar/Beaumont C.J. line) there held, dealing with **s. 63(1)**, that the section *"evidently contemplates in the case of a dissolution of a firm by death that notwithstanding the death the firm should still be treated for the purpose of the Act as still registered"*; that *"No doubt it would have been logical having regard to Section 42 if the Act had so provided. But in fact it has not"*; that **no time-limit is fixed in any of ss. 60 to 63** for giving notice of alterations; and that on the facts the firm *"remained registered notwithstanding the death of one of the original partners"*. The Supreme Court: *"In our opinion, the view taken by the Bombay High Court and followed by the other High Courts is the right view."*

On the s. 4 argument (para 32): *"We are also not impressed by the arguments … that if the definition of Section 4 is applied to Section 69(2–A) then unless the names of all the partners find a place in the Register of Firms, the suit filed by the plaintiff cannot be sustained."* The newly inducted partner's absence from the register means **she** may incur disabilities — *"and that will not disable the plaintiff to press the suit against the firm, which was registered against the persons whose names find a place in the Register of Firms"*. *"For the purpose of Section 69(2–A), the partnership firm will mean the firm as found in the certificate of registration and the partners as found in the Register of Firms maintained as per rule in Form 'G'."*

Conclusion (paras 33–34): *"Our conclusion is that on the induction of the second respondent, the existing firm was only reconstituted on the facts of this case and, therefore, there is no necessity to get a fresh registration. If by virtue of non-compliance of certain mandatory provisions in not informing the Registrar of Firms about the change in the constitution of the firm, certain penalties provided in the Act alone are attracted and that will not lead to the conclusion that the registration of the firm ceased."* The suit was **not hit by s. 69(2–A)**; the appeal was **dismissed**, **with no order as to costs**.

PRINCIPLES EVOLVED

1. **Induction of a partner is reconstitution, not dissolution. s. 17(a)** says only that a change in the constitution produces a *reconstitution*; *"otherwise, the old firm remains the same"*. This is the direct link between Topic 3 (Chapter V) and Topic 4 (Chapter VI).
2. **A clause that death, insolvency or retirement shall not dissolve the firm is a contract to the contrary that excludes s. 42(c) and (d).** Here **clause 11** of both deeds did exactly that — so the death of Mohanlal did not dissolve the firm, and the induction of his widow was a mere reconstitution.
3. **No fresh registration is required on a change in the constitution.** There is *"a definite distinction between the Certificate of Registration given to the firm and any alterations to be entered in the Register of Firms"*. Information must be given under ss. 60 to 63, but non-compliance attracts **penalties under s. 69–A — not deregistration**.
4. **Deregistration is a drastic consequence and requires express legislative provision.** Courts will not infer it from silence.
5. **Substance, not phraseology, is the test** for whether a new firm has come into existence — compare the name, address, business, shares and duration; the words "reconstituted" or their absence are not decisive.
6. **s. 69(2–A) requires only two things** — the firm is registered, and the person suing is or has been shown in the Register of Firms. The absence of *another* partner's name does not bar the plaintiff.
7. **A firm remains registered even after dissolution.** Following *Pratapchand Ramchand & Co.*, *"even when there is a dissolution of a firm, it does not cease to be a registered firm"* — which is why **s. 63(1)** contemplates a notice of dissolution being recorded against an existing entry.

CASE #24 DU LL.B. PRESCRIBED AUTHORITY

S.V. Chandra Pandian v. S.V. Sivalinga Nadar

(1993) 1 SCC 589 · Supreme Court (A.M. Ahmadi J.) · [Mode of settlement of accounts — section 48(b)(iv)] — the residue falling to be divided on dissolution is money in the eye of the law, so allocating specific properties against a partner's share is not a partition, transfer or extinguishment, and s. 17 of the Registration Act is not attracted.

FACTS (VERBATIM FROM THE DU CASE MATERIAL)

The **four appellants and respondents 1 and 2 were brothers** carrying on business in partnership in the name and style of **Messrs Sivalinga Nadar & Brothers** and **S.V.S. Oil Mills**, **both partnerships being registered** under the Partnership Act, 1932. Most of the properties were acquired by the firm of Sivalinga Nadar & Brothers. The firm of M/s S.V.S. Oil Mills merely had **leasehold rights** in a parcel of land belonging to the first-named firm, on which the superstructure of the oil mill stood. **Both partnerships were of fixed durations.**

The arbitration agreement. Disputes arose between the six brothers regarding the business carried on in the aforesaid two names. For their resolution they entered into an **arbitration agreement dated 8 October 1981**:

The award. The arbitrators directed that **"the firms of M/s Sivalinga Nadar & Bros. and M/s S.V.S. Oil Mills and also the joint house property Rent Account be dissolved as at the close of business on 14 July 1984."** The award was made on **9 July 1984**. The arbitrators set out the properties belonging to or claimed to belong to the two firms in **paras 6 to 24**. **Para 25** was a residuary clause: any asset left out or realised thereafter, or any liability found due other than those reflected in the account books, was to be divided and/or borne **equally** among the disputants. **Paras 26 and 27** dealt with the use of the firm names. **Para 29** referred to businesses carried on by relatives in the names of Sri Brahmasakthi Agency and Srimagal Finance Corporation — even though not carried on by the disputants, the arbitrators thought it desirable to dissolve those firms too w.e.f. 24 July 1984 *"in the larger interest of peace and amity among the disputants and their relatives"*. **Para 30** referred to properties standing in the name of the father of the six disputants. **The award set out the share of the disputants**, and the properties were allotted by **Schedules A to F**.

The procedural history. After the award, **O.P. No. 230 of 1984** was filed by S.V. Chandrapandian and others for a direction to the arbitrators to file the award in court, which was done. The applicants then filed **Miscellaneous Application No. 3503 of 1984** for a decree in terms of the award. Before orders could be passed, **O.P. Nos. 247 and 275 of 1984** were filed by **S.V. Sivalinga Nadar** and **S.V. Harikrishnan** under **s. 30 of the Arbitration Act** to set aside the award.

The Single Judge made the award a rule of the Court. On the stamp and registration objection he noted that the award *"has been submitted for registration long ago on October 27, 1984 itself and it is stamped and if there is any deficiency, the registering authority could direct proper stamp to be affixed and therefore I feel there could be no impediment for the award being made a rule of the Court"*. He allowed Application No. 3505 of 1984, dismissed the setting-aside applications, and **directed the parties to take steps for getting the award registered**.

The Division Bench reversed. It concluded that **the award required registration under s. 17(1) of the Registration Act** — reasoning, at para 39, that the allotments are *"exclusive to the brothers and they get independent rights of their own under the award in the properties allotted under the schedule and hence it is not a case purely of assignment of the shares in the partnership but it confers exclusive rights to the allottees"*; and, at para 42, that the award also **partitions certain immovable properties jointly owned by the disputants**, relying on para 10(c). Since the award was not registered it **could not be made the rule of the Court**.

Note on the pleadings (para 9). Ahmadi J. recorded that *"No contention was raised regarding the want of registration of the award. However, being a question of law, the learned Single Judge entertained the plea and rejected it but it found favour with the Division Bench."* The objections actually taken under ss. 30 and 33 of the Arbitration Act concerned (i) the conduct of the arbitrators (alleged negligence, bias, breach of natural justice); (ii) the deliberate omission of certain properties — the shareholdings of Madras Vanaspati Ltd., stock-in-trade and cash deposits, the properties of Velayudha Perumal Nadar; and (iii) the failure to grant the objector a higher share.

ISSUE

As the Court framed it (para 9): *"The question which requires determination is whether on the dissolution of the partnership the distribution of the assets of the firm comprising both moveable and immovable properties after meeting its obligations on settlement of accounts amongst the partners of the firm in proportion to their respective shares amounts to a partition of immovable properties or a relinquishment or extinguishment of a share in immovable property requiring registration under Section 17 of the Registration Act if the allocation includes immovable property of the value of Rs 100 and above? In other words the question to be considered is whether the interest of a partner in partnership assets is to be treated as moveable property or both moveable and immovable depending on the character of the property for the purposes of Section 17 of the Registration Act?"*

For the appellants (those seeking to make the award a rule of the Court)

- **The award distributes the residue on dissolution, and the residue is money.** The mode of settlement in **s. 48** requires the partnership asset **in its entirety to be converted into money**, and only then disbursed; the residue under **s. 48(b)(iv)** is therefore cash, i.e. **movable property**.
- **Reliance on** *Addanki Narayanappa v. Bhaskara Krishtappa*, **AIR 1966 SC 1300** — the share of a partner in the assets of a partnership, even where the assets include immovable property, is **movable property**, and its assignment does not require registration.
- **Reliance on** *CIT v. Juggilal Kamalapat*, **AIR 1967 SC 401** — a deed of relinquishment of individual interests in the assets of a firm did not require registration even though the assets included immovable property.
- **Reliance on** *CIT v. Dewas Cine Corporation*, **AIR 1968 SC 676** — on dissolution, theatres returned to their original owners were **returned in satisfaction of a claim to a share in the residue**; there was *"no sale or transfer"*.
- **Reliance on** *CIT v. Bankey Lal Vaidya*, **AIR 1971 SC 2270** — a partner paid an amount in lieu of his share is not taxed on capital gains; it is not a sale, exchange or transfer.
- **Reliance on** *Malabar Fisheries Co. v. CIT*, **AIR 1980 SC 176** — the firm is not a distinct legal entity; on dissolution the distribution *"is nothing but a mutual adjustment of rights between the partners"* and there is no **transfer** under s. 2(47) of the Income-tax Act.
- **On the facts:** the arbitrators **confined themselves to the properties belonging to the two firms** and scrupulously avoided dealing with properties not belonging to the firm (see paras 15 to 18 of the award).

For the respondents (S.V. Sivalinga Nadar and others)

- **The award involves a partition of immovable properties** as a consequence of the dissolution of the firms, and the value of the immovable properties which are the subject-matter of the award **indisputably exceeds ₹100**, so the award was **compulsorily registrable** in view of the mandatory language of **s. 17(1)** ("shall be registered").
- **The allotments are exclusive.** As the Division Bench put it at para 39, *"the allotments are exclusive to the brothers and they get independent rights of their own under the award in the properties allotted under the schedule and hence it is not a case purely of assignment of the shares in the partnership but it confers exclusive rights to the allottees."*
- **The award also partitions jointly-owned immovable property** (para 42 of the Division Bench judgment), relying on **para 10(c)** of the award, which refers to properties *"otherwise jointly owned by the disputants"*.
- **Reliance on** *Ratan Lal Sharma v. Purshottam Harit*, **(1974) 1 SCC 671** — an award making an exclusive allotment of partnership assets including a factory to one partner **for consideration** was held compulsorily registrable.
- **Reliance on** *Lachhman Dass v. Ram Lal*, **(1989) 3 SCC 99** — an award transferring a half share in land worth more than ₹100 required registration.
- **Procedurally:** the respondent objected to registration before the Sub-Registrar through his lawyer, which was why registration was withheld.

DECISION (A.M. AHMADI J.) — APPEAL ALLOWED; DIVISION BENCH SET ASIDE; MATTERS REMITTED

The statutory survey (para 7). The Court walked through ss. 4, 14, 15, 18, 19, 22, 29, 30, 31 to 38, 40 to 44, 48 and 49, and then stated the core proposition (para 8):

On *Ratan Lal Sharma* **(para 17) — distinguished.** There *"the award did not seek to assign the share of the respondent to the appellant but on the contrary made an exclusive allotment of the partnership asset including the factory and liabilities to the appellant, thereby creating an absolute interest on payment of consideration of Rs 17,000 plus half the amount of the realisable debts, it was held to be compulsorily registrable."* But *"The Court did not depart from the principle that the share of a partner in the asset of the partnership inclusive of immovable properties, is moveable property and the assignment of the share on dissolution of the partnership did not require registration under Section 17 of the Registration Act. The decision, therefore, turned on the interpretation of the award."*

On *Lachhman Dass* **(para 17) — held to have no bearing:** that was *"not a case of assignment of partnership property under a dissolution deed"*; it concerned benami land, and the award *"transferred half share of the appellant to the respondent and since the value thereof exceeded Rs 100, it was held that it required registration."*

On the reading of the award (para 18). The Division Bench's conclusion *"appear[s] to be based on an erroneous reading of the award"*. A careful reading shows the arbitrators *"confined themselves to the properties belonging to the two firms in question and scrupulously avoided dealing with the properties not belonging to the firm"*.

Disposal (para 19): *"For the above reasons, we allow these appeals and set aside the impugned orders of the Division Bench and remit the matters to the Division Bench for answering the other contentions which arose in the appeal before it but which were not decided in view of its decision on the question of registration of the award. We also make it clear that the award which is pending for registration may be registered by the Sub-Registrar notwithstanding the objection raised by one of the partners, S.V. Sivalinga Nadar through his lawyer if that is the only reason for withholding registration. The appeals are allowed accordingly with costs."*

PRINCIPLES EVOLVED

1. **The partnership asset in its entirety must be converted into money.** That is what the s. 48 waterfall requires — which is why the residue is **cash**.
2. **The residue under s. 48(b)(iv) is movable property** in the eye of the law, regardless of the character of the assets out of which it arose.
3. **Allocating a specific property to a partner against his share is a mutual adjustment of rights** — **not** a partition, **not** a transfer, **not** a sale, and **not** an extinguishment of interest. Hence **s. 17(1) of the Registration Act, 1908 is not attracted**, and neither is **Article 12 of Schedule I of the Indian Stamp Act, 1899**.
4. **A partner's interest is a fluctuating, undefined interest in each and every asset.** *"He cannot predicate an earmarked share"* in any specific item; the extent of his interest cannot be determined until the accounts are settled and the residue ascertained.
5. **A firm is not a legal entity — it is a compendious name.** Its assets vest in all the partners jointly, which is why the "transfer" analysis fails: there is no separate owner to transfer from.
6. **An award may itself dissolve a firm** — here, as at the close of business on **14 July 1984**. This matters for **Article 5 of the Limitation Act** and for the date from which s. 45(1) liability ceases.
7. **Character follows substance.** *"Mere statements that a certain property will now exclusively belong to one partner … cannot change the character of the document."* This is the same "substance, not phraseology" test that laterappears in **Sharad Kotak**.
8. **Tax consequence:** no capital gains under **s. 45** read with **s. 2(47) of the Income-tax Act, 1961** (*Malabar Fisheries*; *Bankey Lal Vaidya*).

PYQ ARCHIVE // CH.04 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. Examination What do you understand by the expression 'dissolution of a firm'? State the various modes of dissolution of a partnership firm.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 DU LL.B. Examination "X, Y and Z are partners in a firm. The partnership deed provides that the firm may be terminated by mutual agreement of the partners. After six months X wants to retire from the firm. Can he do so?" (2017 OC Q.6(b))

Q.3 DU LL.B. Examination "Explain the circumstances in which a firm is compulsorily dissolved." (2017 OC Q.6(a))

Q.4 DU LL.B. Examination "A, B, C and D were partners in a firm. A, B and C were adjudicated insolvent. D continued to carry on the business of the firm. Is a suit for dissolution of the firm maintainable?" (2011 Q.3(a))

Q.5 DU LL.B. Examination "A is a partner in a firm carrying on banking business. He is convicted of travelling in a train without a ticket. Does the firm stand dissolved?" (2014 OC Q.4(b); 1997 Q.3(b))

Q.6 DU LL.B. Examination "Discuss the grounds on which a court may order dissolution of a partnership firm." (2015 Q.1(c))

Q.7 DU LL.B. Examination "A, B and C are partners in a firm constituted for ten years. For the last three years the firm has been running at a loss. Can the firm be dissolved?" (2004 Q.7(ii); 1993 Q.4)

Q.8 DU LL.B. Examination A, B, C and D have been partners for twenty years. For the last fifteen years the business has been running at a loss. B has committed bigamy. C was insane five years ago and attempted suicide. Advise A.

PART II // MODULES 05 TO 08 · CASES #25 TO #47

THE SALE OF GOODS ACT, 1930: FORMATION, STIPULATIONS, TITLE & UNPAID SELLER

MODULE 05 // Topic 5 · SOGA Chapter I-II Cases #25 – #35

Formation of Contracts of Sale, Concept of 'Goods' & Works Contracts

Sale of Goods Act, 1930: Ss. 1-10 · Constitution Art. 366(29-A)(b) (46th Amendment — Works & Catering Contracts)

Part A — The Statute: Sections 1 to 10 of the Sale of Goods Act, 1930

§1.0 · Five words that decide every case in this Topic

The Sale of Goods Act, 1930 is the oldest surviving codification in Indian commercial law. It received the Governor-General's assent on **15 March 1930** (Act No. III of 1930) and came into force on **1 July 1930**. It replaced Chapter VII of the Indian Contract Act, 1872 (ss. 76–123), which had itself been a hasty transplant of the English *Sale of Goods Act 1893*. Its structure is deceptively simple: **Part I (ss. 1–10)** deals with the *formation* of the contract; Part II (ss. 11–26) with its *terms*; Part III (ss. 27–44) with *performance* and transfer of property; Part IV (ss. 45–54) with the *unpaid seller*; Part V (ss. 55–61) with *suits for breach*; and Part VI (ss. 62–66) with *miscellaneous*.

Your syllabus stops at s. 10. That is not an accident. Sections 1 to 10 ask a single question — *has a contract of sale come into existence at all?* — and everything after s. 10 assumes the answer is yes. Sections 11 to 66 tell you what to do once you have a sale; sections 1 to 10 tell you whether you have one. And in a country where the State compels the supply of cement, pools the entire coffee crop, builds railway coaches on land it does not own and sells flats that do not yet exist, that prior question is *ferociously* contested. That is why the Faculty has put eleven cases on ten sections.

SECTION 4(1) — THE HINGE OF THE WHOLE ACT

"A contract of sale of goods is a contract whereby the seller **transfers or agrees to transfer** the **property** in **goods** to the **buyer** for a **price**."

THE FIVE CONTESTED WORDS

Word	What it excludes	The case that fights about it
transfers / agrees to transfer	A mere licence, bailment, hire, pledge or contract for work — anything short of passing *general property*.	**Gannon Dunkerley** (property passes by accretion, not by transfer as movables); **Northern India Caterers** (no transfer at all — the food is destroyed, not conveyed)
property	Possession, custody, special property, and (post-1983) immovable property as such.	**Hindustan Aeronautics** (the President owned the material *before* it was used, so nothing was left to transfer); **Sentinel Rolling Shutters** (the unit never existed as the manufacturer's property)

Word	What it excludes	The case that fights about it
goods	Immovable property, actionable claims and money; and things that cannot be *brought to market*.	**R.D. Saxena** (a case file has no marketability, so no lien under s. 171 ICA); **M.P. Electricity Board** (electricity *can* be transmitted, stored and stolen, so it *is* goods)
buyer / seller	Parties who are not *competent to contract* — and, in the sales-tax cases, a party acting in a sovereign rather than a commercial capacity.	**Coffee Board** (is the Board a buyer, or is it exercising eminent domain?)
for a price	Barter, gift, and — crucially for sales tax — payments that are *compensation* rather than price.	**Coffee Board** (pool payment held to be *price*, not compensation, which is why customs and excise duties under ss. 11–12 of the Coffee Act made sense); **M.P. Electricity Board** (steam charged at actual coal cost = labour, not price)

Read every case in Part C with these five words in front of you. In each one, the Revenue is arguing that all five are satisfied and the assessee is arguing that at least one is missing. That is the entire litigation.

§1.1 · Section 1 — Short title, extent and commencement

SECTION 1 — VERBATIM

"**(1)** This Act may be called the ~~Indian~~ Sale of Goods Act, 1930.
(2) It extends to the whole of India ~~except the State of Jammu and Kashmir~~.
(3) It shall come into force on the 1st day of July, 1930."

THREE POINTS EXAMINERS REWARD

1. **Act No. 3 of 1930; assent 15 March 1930; in force 1 July 1930.** The Preamble is "An Act to *define and amend* the law relating to the sale of goods" — the word *define* matters, because in **Gannon Dunkerley** the Supreme Court used it to hold that the expression 'sale of goods' is a *nomen juris* — a term of art with a fixed legal content that the legislature cannot redefine at will.
2. **The word 'Indian' was dropped** from the title by Act 33 of 1963 (w.e.f. 22-9-1963).
3. **Extent.** Originally 'whole of India except Jammu & Kashmir'; the words 'except the State of Jammu and Kashmir' were **omitted by Act 34 of 2019, s. 95 and the Fifth Schedule (w.e.f. 31-10-2019)**, following the re-organisation of that State. So today the Act extends to the **whole of India**. Before that it had been extended to Berar (Act 4 of 1941), Dadra and Nagar Haveli (Reg. 6 of 1963), Goa, Daman and Diu (Reg. 11 of 1963), Pondicherry (Act 26 of 1968), Lakshadweep (Reg. 8 of 1965, w.e.f. 1-10-1967) and Sikkim (w.e.f. 1-9-1984, Notif. S.O. 645(E) dated 24-8-1984).

§1.2 · Section 2 — the sixteen definitions

Section 2 opens with the standard qualifier — *"In this Act, unless there is anything repugnant in the subject or context"* — and then defines fifteen expressions, with sub-section (15) providing the residuary rule. Learn them in **four clusters**, because that is how examiners group them.

§1.2.1 · s. 2(4) — document of title: the list you must be able to recite

This definition is **inclusive**, not exhaustive: it "includes" seven named documents "and any other document used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by endorsement or by delivery, the possessor of the document to transfer or receive goods thereby represented."

bill of ladingdock-warrant warehouse keeper's certificatewharfinger's certificate railway receiptmultimodal transport document (ins. 1993) warrantorder for delivery of goods

§1.3 · Section 3 — the Indian Contract Act, 1872 continues to apply

SECTION 3 — VERBATIM

"The **unrepealed provisions** of the Indian Contract Act, 1872, save in so far as they are **inconsistent with the express provisions** of this Act, shall continue to apply to contracts for the sale of goods."

WHY S. 3 IS FAR MORE IMPORTANT THAN ITS LENGTH

The Sale of Goods Act is **not a complete code**. It supplies the *special* law of sale; the Indian Contract Act supplies the *general* law of contract. Section 3 is the pipe that connects them. Its three limbs are:

1. **Which provisions?** Only the *unrepealed* ones. Chapter VII of the ICA (ss. 76–123), which dealt with sale, *was* repealed when the SOGA was enacted in 1930 — so those are gone, and the SOGA occupies the field.
2. **How far?** Only so far as they are *not inconsistent with the express provisions* of the SOGA. Where the two collide, the SOGA wins.
3. **To what?** To "contracts for the sale of goods" — a phrase wide enough to cover both a sale and an agreement to sell (s. 4(3)).

This is reinforced by **s. 2(15)**, which imports ICA definitions for every expression the SOGA leaves undefined. In **Vishnu Agencies** (para 40) the Supreme Court used exactly this history to explain why the English 'mutual assent' formula had hardened in India: Chapter VII of the 1872 Act had "drawn inspiration from the English law of contract", whose "growth is marked by features peculiar to the social and economic history of England" and whose emphasis on consensuality came from the action of *assumpsit*.

ICA 1872 provision	What it supplies to a sale	SOGA provision that would override it if inconsistent
ss. 2, 10–30	Proposal, acceptance, free consent, competency, consideration, void and voidable agreements	s. 5 (only *supplements* s. 5(2) — no conflict)
s. 11	Who is competent to contract — age of majority, sound mind	—
s. 23–24, s. 56	Unlawful consideration; impossibility and frustration	ss. 7 & 8 (a *special* code for perishing goods — SOGA wins)
s. 73	Compensation for loss caused by breach	ss. 55–61 (Part V of the SOGA — special rules on damages for non-delivery etc.)
s. 171	General lien of bankers, factors, wharfingers, attorneys and *policy-brokers* — and, in the argument in **R.D. Saxena**, of advocates	s. 2(7) supplies the meaning of 'goods' for s. 171 — hence the decision
ss. 76–123 (Chapter VII)	**REPEALED** in 1930	The whole of the SOGA replaces them
s. 148–181 (bailment, pledge, agency)	Determine whether a transaction is bailment/hire/agency rather than sale	s. 4(1) — 'transfers the property'

§1.4 · Syllabus theme (a) — the concept of 'goods' (s. 2(7))

SECTION 2(7) — VERBATIM

"'goods' means every kind of moveable property other than actionable claims and money; and includes stock and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale."

Ankur R. Upadhyay

Read that definition twice. It does three different jobs at once, and the eleven cases in your syllabus are distributed across the three.

Limb 1 — the genus
"every kind of **moveable property**"
- The widest possible genus. Not 'chattels', not 'merchandise', not 'wares' — *every kind*.
- But *moveable*. Immovable property as such is outside the Act.
- Fought over in **M.P. Electricity Board** (is electricity moveable?).

Limb 2 — the exclusions
"other than **actionable claims and money**"
- *Actionable claim* — ICA s. 3: a claim to a debt or beneficial interest in moveable property not in possession, which courts recognise as affording grounds for relief. A debt, a share in a partnership, a claim for damages.
- *Money* — current coin and currency in circulation, not old/rare coins held as curios.
- Both are directly asked about in the **2017** and **2012** papers.

Limb 3 — the inclusive extension
"and **includes** stock and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed"
- Pulls in things that would otherwise be immovable — but *only* where there is an agreement to sever.
- The basis of the doctrine of **fructus industriales / emblements**.
- Asked as 'standing timber' in **2017**.

THE JUDICIAL GLOSS THE SYLLABUS ACTUALLY TESTS: MARKETABILITY
The statute says 'every kind of moveable property'. The Supreme Court has added a fourth, unwritten requirement. In **R.D. Saxena v. Balram Prasad Sharma** the Court read s. 171 of the ICA *together with* s. 2(7) of the SOGA and held that the 'goods' must be capable of being *sold in the market*: the test is **marketability**, derived from *Union of India v. Delhi Cloth & General Mills* (AIR 1963 SC 791) and *CCE v. Eastend Paper Industries* ((1989) 4 SCC 244). A thing may be moveable and yet not be 'goods' if there is *no market for it*. A lawyer's case file is moveable — you can pick it up and carry it — but there is no market in which it can be sold, so it is not 'goods' and cannot be the subject of a lien. **Learn this: moveability + marketability + severability.**

§1.4.1 · The 'things attached to land' limb — trees, timber and crops

This limb has caused more confusion in answer-scripts than any other eight words in the Act. The rule is **not** 'growing things are goods'. The rule is that three categories are pulled in outright and a fourth is pulled in *conditionally*:

Category	Status under s. 2(7)	Reason / authority
Stock and shares	**Goods** — unconditionally included	Expressly named. A share certificate is moveable property; the share itself is a chose in action but is brought in by the inclusive clause.
Growing crops	**Goods** — unconditionally included	Expressly named. Wheat standing in a field is goods *now*, before harvest.
Grass	**Goods** — unconditionally included	Expressly named, and separately from crops.
Standing timber (trees to be felled)	**Goods** — *if* agreed to be severed before sale or under the contract of sale	The **2017 DU question**. Timber = trees intended to be converted into timber, i.e. *fructus industriales*. Once there is an agreement to sever, the trees are moveable property for the purposes of the contract.
A fruit-bearing tree sold as a tree	**Not goods** — immovable	*Fructus naturales*: the tree is not 'attached' produce but part of the land. It needs the Transfer of Property Act and a registered instrument.
Minerals, coal, oil in situ	**Not goods** until severed and brought to the surface	Before extraction they form part of the land; sale requires compliance with the TPA.
A building / a flat	**Not goods**	Immovable; governed by the TPA and Registration Act. But see Art. 366(29–A)(b) — the *materials* are deemed goods for tax purposes after 1983.
Electricity, gas, water	**Goods**	*M.P. Electricity Board* (electricity); *Erie County Natural Gas* (gas). Capable of transmission, transfer, delivery, storage, possession *and theft*.
Steam	**Goods**, but the supply in *M.P. Electricity Board* was held to be a **works/service contract**, not a sale	See Case 20 — the Board supplied water free and charged only actual coal cost plus reimbursement for short offtake.
Human organs / a corpse	**Not goods**	No market; no property. **2012 DU question**. (The Transplantation of Human Organs Act, 1994 prohibits commercial dealing, which also makes any such contract void under s. 23 ICA.)
Currency in circulation	**Not goods** — it is 'money'	**2012 DU question**. But an *old or rare coin* sold as a curio **is** goods — **2015 DU question**.
Actionable claims	**Not goods** — expressly excluded	**2017 and 2012 DU questions**. But note: *a decree for money* is transferable under the TPA; *a share in a partnership* is expressly excluded from 'actionable claim' by ICA s. 3.
A lawyer's case file	**Not goods** — moveable but not marketable	**R.D. Saxena**, Case 19.
Software, drawings, designs	**Goods**	*ACC Ltd. v. CCE* — drawings, designs and manuals relating to machinery **are** goods and were dutiable on transaction value. Cited in **Pro Lab**, Case 29.

§1.5 · Syllabus theme (b) — 'Sale' and 'Agreement to sell' (s. 4)

SECTION 4 — VERBATIM
"**(1)** A contract of sale of goods is a contract whereby the seller **transfers or agrees to transfer** the property in goods to the buyer for a price. *There may be a contract of sale between one part-owner and another.*
(2) A contract of sale may be **absolute or conditional**.
(3) Where under a contract of sale **the property in the goods is transferred** from the seller to the buyer, the contract is called a **sale**, but where the transfer of the property in the goods is **to take place at a future time** or subject to some **condition thereafter to be fulfilled**, the contract is called an **agreement to sell**.
(4) An agreement to sell **becomes a sale** when the time elapses or the conditions are fulfilled subject to which the property in the goods is to be transferred."

§1.5.1 · The anatomy of s. 4(1)

1. Two parties
Seller and buyer must be *distinct* persons — but **one part-owner may sell to another** part-owner (s. 4(1), second sentence). ICA ss. 11–12 on competency apply through s. 3.

2. Subject-matter: goods
s. 2(7). Existing or future (s. 6). If future, s. 6(3) forces the contract into the *agreement to sell* box.

3. Transfer of property
Not possession — **general property** (s. 2(11)). This is the word every works-contract case turns on.

4. Money consideration
'Price' = money only (s. 2(10)). Barter or exchange is *not* a sale under this Act (though it may now be taxed).

THE THREE SENTENCES IN S. 4(1)–(2) THAT STUDENTS SKIP

1. *"There may be a contract of sale between one part-owner and another."* A and B jointly own a car. A sells his half-share to B. That is a sale. This reverses the common-law position and is worth a sentence in any 'essentials of sale' answer.
2. *"A contract of sale may be absolute or conditional"* (s. 4(2)). A sale on **'sale or return'** (s. 24), on **approval**, or subject to a **condition subsequent** is still a contract of sale — the condition governs *when* property passes, not *whether* there is a contract.
3. s. 4(3) uses the word '**called**': "the contract is *called* a sale". That is the language of nomenclature, and it is why Venkatarama Aiyar J. could say in **Gannon Dunkerley** that 'sale of goods' is a *nomen juris*.

§1.5.2 · The classic distinction table

Point of difference	Sale (s. 4(3), first limb)	Agreement to sell (s. 4(3), second limb)
Transfer of property	Property **passes immediately** to the buyer at the moment of contract.	Property is to pass **at a future time** or on the fulfilment of a condition.
Nature	**Executed** contract — "a contract *plus* a conveyance".	**Executory** contract — "a contract *pure and simple*".
Risk of loss (s. 26)	On the **buyer**, even if the goods remain in the seller's possession, because *res perit domino*.	On the **seller**, since he is still owner — subject to s. 8 and to any contrary agreement.
Remedy against the buyer	Seller may **sue for the price** (s. 55(1)) — the debt is due.	Seller may only **sue for damages** for non-acceptance (s. 56) — quantum meruit.
Remedy against the seller	Buyer may sue for **non-delivery** (s. 57) — and in a proper case for **specific performance** under the Specific Relief Act, since the goods are his.	Buyer sues for **damages** only; specific relief is discretionary and rarely granted for ordinary goods.
Buyer's insolvency	Seller is an **unpaid seller** with a lien (s. 47) or right of stoppage in transit (s. 50); he can **resell** under s. 54.	Seller has **no lien** (the goods are still his own anyway) and must prove in the insolvency.
Goods perishing	Not applicable — the sale is complete.	**s. 8** applies: the agreement is *avoided* if specific goods perish without fault before the risk passes.
Subsequent sale to a third party	The original buyer's title prevails — subject to the *nemo dat* exceptions in ss. 27–30.	The seller still owns the goods and can sell them to another; the first buyer has only a personal claim.
General property vs. special	Buyer has **general property** (s. 2(11)).	Buyer has **no property at all** — only a right in personam against the seller.

THE 2015 DU QUESTION, ANSWERED IN ONE PARAGRAPH

"'An agreement to sell is a contract pure and simple, whereas a sale is a contract plus conveyance.' Discuss." — **2015, Q8(a)**. This is the classical formulation of **common-law doctrine** and it was quoted with approval by Lord Denning M.R. in *C.E.B. Draper & Sons Ltd. v. Edward Turner & Sons Ltd.* ((1964) 3 All ER 148) — a case the Supreme Court reproduced verbatim in **Coffee Board**: *"I know that often times a contract for sale is spoken of as a sale. But the word 'sale' properly connotes the transfer of the absolute or general property in a thing for a price in money."* The 'conveyance' is the transfer of general property; the 'contract' is the consensus. An agreement to sell has the second but not the first.

§1.5.3 · Hire-purchase (Hire-Purchase Act, 1972, ss. 3–5) — and why it is not a sale

THE HIRE-PURCHASE ACT, 1972 — SS. 3 TO 5

s. 3. Every hire-purchase agreement shall be in writing, and shall be signed by all the parties thereto.
s. 4. Every hire-purchase agreement shall state — (a) the hire-purchase price of the goods to which the agreement relates; (b) the cash price of the goods …; (c) the date on which the agreement is entered into; (d) the number of instalments … (and where any of the instalments is other than an equal instalment, the amount of that instalment); (e) the date, or the mode of determining the date, upon which each instalment is payable; (f) the goods to which the agreement relates … (and, by s. 4(2), a description sufficient to identify them; by s. 4(3), the agreement shall be void if it does not state the hire-purchase price or the cash price);
s. 5. (1) An owner … shall, within the prescribed period, furnish to the hirer a copy of the agreement … (2) Where the owner fails to comply … he shall not be entitled to enforce the agreement … and the hirer shall be entitled to recover the amounts already paid.

Hire-purchase

- There is a **bailment** of the goods, coupled with an **option to purchase** exercisable on payment of the last instalment.
- Property passes **only when the option is exercised** — the hirer's payments before that are *hire*, not price.
- The hirer is a **bailee** until then (ICA ss. 148–152). He must take reasonable care; risk of loss is on the **owner** unless the hirer is at fault.
- The finance company is the **owner**, not a seller.
- Governed by the **Hire-Purchase Act 1972** (form, contents, statutory copy) — not by the SOGA.

Sale (including sale by instalments)

- Property passes **at once** (s. 4(3)); the buyer becomes owner immediately.
- Each payment is a payment of **price**, not hire.
- Risk passes with property (s. 26), even though the seller retains possession for the instalment period.
- The seller's remedy on default is a suit for **the balance of the price** (s. 55(1)); the hire-purchase owner's remedy is **repossession** plus damages for breach of the bailment.
- Governed by the **SOGA 1930**.

SUNDARAM FINANCE LTD. V. STATE OF KERALA (AIR 1966 SC 1178: (1966) 2 SCR 828)

The DU syllabus lists this case against the Hire-Purchase Act, 1972, ss. 3–5. A financier purchased vehicles from dealers at the request of customers, let them out on hire-purchase, and collected the instalments. The Kerala State was the *registered owner* of the vehicles throughout, and the hire-purchase agreement expressly provided that property would pass only on payment of the last instalment. The Supreme Court held that the **hiring is one transaction and the purchase is another**; the 'option to purchase' is not an agreement to sell, and during the hiring the finance company is the owner and the hirer is only a bailee. The practical consequences the Court identified:

- The transaction is **not a sale** for sales-tax purposes until the option is exercised — though modern sales-tax statutes (and Art. 366(29-A)(c), which taxes 'delivery of goods on hire-purchase or any system of payment by instalments') now deem it to be one.
- Because the hirer is a bailee, the financier's **location** as owner, not the hirer's possession, determines where the goods are.
- On the hirer's default, the financier **repossesses his own goods** rather than reselling goods he has sold.

§1.7 · Section 5 — how the contract of sale is made

SECTION 5 — VERBATIM

"**(1)** A contract of sale is made by **an offer to buy or sell goods for a price** and **the acceptance of such offer**. The contract may provide for the **immediate delivery** of the goods or **immediate payment** of the price or both, or for the delivery or payment **by instalments**, or that the delivery or payment or both shall be **postponed**.

(2) Subject to the provisions of any law for the time being in force, a contract of sale may be made **in writing or by word of mouth**, or **partly in writing and partly by word of mouth** or may be **implied from the conduct of the parties**."

FOUR PROPOSITIONS BURIED IN S. 5

1. **No formality is required.** This is the single most important word in the section: "Subject to the provisions of any law for the time being in force" — meaning that unless some *other* statute requires writing or registration, a sale of goods of *any value* can be made orally. Contrast s. 54 TPA, which requires a registered instrument for immoveable property worth more than Rs 100.
2. **Offer and acceptance are governed by the ICA** (ss. 2–9) through s. 3 — but note the *sequence*: s. 5(1) says the offer must be "to buy or sell goods *for a price*". An offer that leaves the price entirely at large may still be a contract (see s. 9(2) — reasonable price) where the parties intend to contract.
3. **Time of delivery and payment is irrelevant to formation.** Immediate, by instalments, or postponed — all three are contracts of sale. This is what lets an *instalment sale* be a **sale** (property passes at once) while a *hire-purchase* is not.
4. **"Implied from the conduct of the parties"** is the hook on which the whole law of **statutory transactions** hangs. Where a statute compels A to supply and B to take, the consent is found not in a bargain but in conduct — A chose to become a licensed dealer, B chose to apply for a permit. *That* is how **Vishnu Agencies** and **Coffee Board** find a sale inside a command.

Note also the placement of the heading in the Act: s. 5 sits under the marginal note "*Formalities of the contract*", and ss. 6–8 under "*Subject-matter of contract*".

§1.8 · Syllabus theme (c) — Statutory Transactions

A 'statutory transaction' — a phrase the DU syllabus uses but never defines — is a transaction which the parties enter into **because a statute obliges them to**, on terms the statute dictates, at a price the statute fixes, and usually with a penal sanction for refusal. The cement supplied against an allotment order. The paddy a grower must sell to a licensed procuring agent. The coffee a grower must deliver to the Coffee Board pool.

The question the Supreme Court has had to answer three times is deceptively narrow: **can a compelled transaction be a 'sale' at all?** There are two rival answers, and the syllabus deliberately gives you cases on both sides.

WHY THE SYLLABUS THEME IS CALLED 'STATUTORY TRANSACTIONS' AND NOT 'COMPULSORY SALES'

Because 'compulsory sale' is, strictly, a contradiction. Chandrachud J. (as he then was), opening the seven-Judge Bench judgment in **Vishnu Agencies**, called it "what is conveniently, though somewhat loosely, called a 'compulsory sale'". The Court's answer was that the compulsion in these cases is *antecedent*: nobody is compelled to deal in cement, and nobody is compelled to buy it; but *if* you choose to deal in cement you must deal on the statutory terms. The volition to enter the trade supplies the consent; the Control Order supplies only the terms. "*Such volition carries with it the willingness to trade in the commodity strictly on the terms of the Control Orders.*"

§1.9 · Section 6 — existing and future goods

SECTION 6 — VERBATIM

"**(1)** The goods which form the subject of a contract of sale may be either **existing goods**, owned or possessed by the seller, or **future goods**.
(2) There may be a contract for the sale of goods **the acquisition of which by the seller depends upon a contingency which may or may not happen**.
(3) Where by a contract of sale the seller **purports to effect a present sale of future goods**, the contract **operates as an agreement to sell** the goods."

Existing goods — s. 6(1)
Owned *or* possessed by the seller. Possession without ownership is enough (a mercantile agent can sell). These may be **specific** (s. 2(14)), **ascertained** or **unascertained**. Property *can* pass immediately.

Future goods — s. 6(1) & s. 2(6)
Goods **to be manufactured, produced or acquired** by the seller *after* the making of the contract. They do not yet exist, or are not yet his. Property *cannot* pass until they come into existence and are ascertained.

Contingent goods — s. 6(2)
A sub-species of future goods: the seller's *acquisition* depends on a contingency which may or may not happen. (The 'goods perishing' sections, ss. 7–8, use *specific* goods; s. 6(2) uses contingent acquisition.)

THE ONE LINE EXAMINERS WANT ON S. 6(3)

s. 6(3) is a rule of conversion, not of invalidity. A purported present sale of future goods is *not void*; it is *re-characterised* as an agreement to sell. The policy is obvious: *nemo dat quod non habet* — you cannot transfer what you do not have, so the law reads the contract as a promise to transfer later. Note the English contrast: at common law a purported present sale of future goods was void; s. 5(3) of the English 1893 Act (and s. 6(3) here) deliberately changed that. Cite **s. 6(3)** in every answer about crops to be grown, goods to be manufactured, or flats under construction.

§1.10 · Sections 7 and 8 — goods perishing

SECTION 7 — VERBATIM

"Where there is a contract for the sale of **specific goods**, the contract is **void** if the goods **without the knowledge of the seller** have, **at the time when the contract was made**, perished or become so damaged as no longer to answer to their description in the contract."

SECTION 8 — VERBATIM

"Where there is an **agreement to sell specific goods**, and subsequently the goods **without any fault on the part of the seller or buyer** perish or become so damaged as no longer to answer to their description in the agreement **before the risk passes to the buyer**, the agreement is thereby **avoided**."

Element	s. 7 — perishing BEFORE the contract	s. 8 — perishing AFTER the agreement
What is affected	A **contract for the sale** of specific goods (which, if it had been effective, would have been a *sale*)	An **agreement to sell** specific goods
When the goods perished	**Already** perished *at the moment the contract was made*	Perished *subsequently*, after the agreement but before the sale
Knowledge / fault requirement	**Without the knowledge of the seller** — if the seller *knew*, s. 7 does not save him; it is a breach (and possibly fraud under s. 17 ICA)	**Without any fault on the part of the seller or buyer** — the word is *'fault'* (s. 2(5) = wrongful act or default), a wider and more objective idea than knowledge
Risk	Irrelevant — the contract never bites	**Before the risk passes to the buyer.** Risk passes with property (s. 26), so the moment property passes, s. 8 switches off
Result	The contract is **void** — void *ab initio*, as if never made. Money paid is recoverable under s. 65 ICA	The agreement is **avoided** — it was valid and is now discharged. Money paid is recoverable under s. 65 ICA
Compare	Common-law *res extincta*; also compare s. 56 ICA (impossibility)	Common-law rule in *Tarling v. Baxter*; s. 56 ICA would give the same answer, but s. 8 is the *special* provision and prevails

Element	s. 7 — perishing BEFORE the contract	s. 8 — perishing AFTER the agreement
Goods must be specific?	**Yes** (s. 2(14)). If unascertained, the seller can simply supply other goods of the description	**Yes.** Same reason

§1.11 · Sections 9 and 10 — price

SECTION 9 — VERBATIM

"**(1)** The price in a contract of sale may be **fixed by the contract** or may be **left to be fixed in manner thereby agreed** or may be **determined by the course of dealing between the parties**.
(2) Where the price is **not determined** in accordance with the foregoing provisions, the buyer shall pay the seller a **reasonable price**. What is a reasonable price is a **question of fact** dependent on the circumstances of each particular case."

SECTION 10 — VERBATIM

"**(1)** Where there is an agreement to sell goods on the terms that the price is to be fixed by the **valuation of a third party** and such third party **cannot or does not make such valuation**, the agreement is thereby **avoided**:
Provided that, if the goods or any part thereof have been delivered to, and appropriated by, the buyer, he shall pay a reasonable price therefor.
(2) Where such third party is **prevented from making the valuation by the fault of the seller or buyer**, the party not in fault may maintain a **suit for damages** against the party in fault."

s. 9 — the three-tier price ladder

1. **Fixed by the contract** — the usual case.
2. **Fixed in a manner thereby agreed** — e.g. "at the market rate prevailing on the date of delivery", or "as certified by the Indian Sugar Mills Association".
3. **Determined by the course of dealing** — the parties have never discussed price but have traded for years at a known rate.
4. If *none* of the three: **reasonable price** — and 'what is reasonable is a question of fact' (s. 9(2)).

s. 10 — the valuation-of-a-third-party rule

- **The general rule:** if the valuer cannot or does not value, the agreement is **avoided** — not performed at a reasonable price.
- **The proviso:** if the goods have been *delivered to and appropriated by* the buyer, he must pay a **reasonable price**. Both limbs are required — delivery *and* appropriation.
- **s. 10(2):** if the valuer was prevented *by the fault of a party* (s. 2(5)), the innocent party gets **damages**, not avoidance.
- Contrast s. 9: an agreed *manner* of fixing price that fails leaves a reasonable-price contract; an agreed *valuer* who fails avoids the contract.

Part B — Syllabus theme (d): the contract for 'Works'/'Labour'

§2.0 · The problem, stated precisely

Every time a builder puts up a house, he uses bricks, cement, steel and timber. Those materials are unquestionably 'goods' within s. 2(7). And at the end of the job, they are undoubtedly the property of the house-owner. So why is the building contract not a *sale of those materials* for sales tax?

That question occupied the Supreme Court for sixty-five years, produced the most famous sales-tax judgment in Indian history, triggered a **constitutional amendment**, and was finally answered — in the opposite sense — by a three-Judge Bench in 2014. This Part tells that story in the order in which a DU examiner wants it.

§2.1 · The three forms of contract — Bhagwati J.'s taxonomy in Sentinel Rolling Shutters

The cleanest judicial statement of the *structure* of the problem is in **Sentinel Rolling Shutters & Engg. Co. (P) Ltd. v. CST** ((1978) 4 SCC 260). Bhagwati J. said that a contract in which work is to be done *and* goods are to be used may take one of **three** forms:

§2.2 · The pre-Amendment cases, in one table

Case	Subject-matter of the contract	Held	Reason in one line
State of Madras v. Gannon Dunkerley & Co. 1959 SCR 379	Building construction; Rs 29,51,528–7–4 of materials	**Works contract — no sale**	Entire and indivisible; no agreement to sell materials as such; property passes by accretion.
State of Rajasthan v. Man Industrial Corpn. (1969) 1 SCC 567	Providing and fixing four types of windows to specification	**Works contract**	Made to the buyer's specifications, designs, drawings and instructions; no prior individual existence as the manufacturer's property.
Commr. of M.P. v. Purshottam Premji (1970) 2 SCC 287	—	Formulated the test	'No property in the thing produced as a whole' (see Figure 10).
Commr. of Commercial Taxes v. Hindustan Aeronautics Ltd. AIR 1972 SC 744	Railway coaches, models 407, 408, 411, built for the Railway Board	**Works contract — no sale**	All the material was *already the property of the President* before it was used; the assessee held it "as his property in trust for him" under the indemnity bond. What was supplied was *services*.
Sentinel Rolling Shutters & Engg. Co. v. CST AIR 1978 SC 545	Fabrication, supply, erection and installation of rolling shutters at Rs 7 / Rs 9 per sq. ft., "inclusive of erection at site"	**Works contract — no sale**	A rolling shutter does not exist until the component parts are grouted, bolted and fitted on the premises. The manufacturer never owned the *unit*, so he could never transfer it. Erection was "a fundamental and integral part", not something incidental.
Vanguard Rolling Shutters of Steel Works v. CST, U.P. (1977) 2 SCC 250	Rolling shutters	**Works contract**	Applied and followed in *Sentinel*; Bhagwati J. was a party to both.
Northern India Caterers v. Lt. Governor of Delhi (1978) 4 SCC 36; review (1980) 2 SCR 650	Service of meals in a hotel restaurant	**Not a sale** (per the 1978 judgment); **may be a sale** where the dominant object is the sale of food (per the 1980 review)	The customer never becomes owner; "before consumption title does not pass; after consumption there remains nothing to become the subject of title." On review: it is a question of fact in each case.
State of Karnataka v. Udipikrishna Bhawan (1981) 3 SCC 76	Supply of refreshments in a hotel	**Remanded**	The bare finding "the assessee runs a hotel wherein food and drinks are served to visitors" is *not enough*; the taxing authority must find whether the *dominant object* was a sale of food.
State of Gujarat v. Kailash Engineering Co. (1967) 19 STC 13	—	Works contract	The decision Sikri C.J. found "closest to the facts" in *Hindustan Aeronautics*.

Case	Subject-matter of the contract	Held	Reason in one line
State of Madras v. Richardson & Cruddas Ltd. (1968) 21 STC 245 (SC)	Fabrication and erection, full price payable in advance	Works contract	Cited in *Sentinel* for the proposition that the **mode of payment does not determine the nature of the contract**.

THE CONSEQUENCE THE COURT FORESAW — AND THE AMENDMENT IT PRODUCED

Venkatarama Aiyar J. knew exactly what he was doing. He ended the judgment by acknowledging that if the Provinces could not tax the materials in a building contract, the revenue would suffer — and observed that "the Legislature alone can, if it so decides, enact a law amending the definition of 'sale' in the Act so as to bring within it transactions in which property in goods passes otherwise than by transfer *inter vivos*". Parliament did precisely that, thirty years later, by the **Constitution (Forty-sixth Amendment) Act, 1982**, which inserted **clause (29-A)** into **Article 366**. That is why your syllabus calls this theme "*Contract for 'Works'/'Labour' (Pre and Post 46th Constitutional Amendment)*".

§2.3 · The Forty-sixth Amendment — Article 366(29-A)

CONSTITUTION OF INDIA — ARTICLE 366(29-A) (INSERTED BY THE CONSTITUTION (FORTY-SIXTH AMENDMENT) ACT, 1982; IN FORCE FROM 2 FEBRUARY 1983)

"(29A) '*tax on the sale or purchase of goods*' includes —
(a) a tax on the transfer, otherwise than in pursuance of a contract, of property in any goods for cash, deferred payment or other valuable consideration;
(b) a tax on the transfer of property in goods **(whether as goods or in some other form)** involved in the execution of a **works contract**;
(c) a tax on the delivery of goods on hire-purchase or any system of payment by instalments;
(d) a tax on the transfer of the **right to use** any goods for any purpose (whether or not for a specified period) for cash, deferred payment or other valuable consideration;
(e) a tax on the supply of goods by any unincorporated association or body of persons to a member thereof for cash, deferred payment or other valuable consideration;
(f) a tax on the supply, by way of or as part of any service or in any other manner whatsoever, of goods, being food or any other article for human consumption or any drink (whether or not intoxicating), where such supply or service, is for cash, deferred payment or other valuable consideration;
and such transfer, delivery or supply of any goods shall be deemed to be a sale of those goods by the person making the transfer, delivery or supply and a purchase of those goods by the person to whom such transfer, delivery or supply is made."

SIX CHANGES WORKED BY THE AMENDMENT — THE LIST TO MEMORISE

1. **From indivisible to divisible.** The States may now, by legal fiction, *bifurcate* a single works contract into (i) a contract for the sale of the goods involved and (ii) a contract for labour and services, and tax the first.
2. **From 'goods' to 'goods or in some other form'.** The bracketed words in clause (b) are, in the words of *Larsen & Toubro*, "of utmost significance": they bring in goods that "have ceased to be chattels or movables or merchandise and become attached or embedded to earth".
3. **From transfer** *inter vivos* **to deemed sale.** The closing words deem the transfer to be a sale even where the essential ingredients of 'sale' in the SOGA are *absent*.
4. **From dominant intention to irrelevance.** After 1983 the 'dominant-nature test' "has no application" in matters of the nature contemplated by clause (29-A) (L&T, para 101(vi)).
5. **From 'no tax on the service element' to a hard boundary.** The *aspects theory* permits the State to tax the goods aspect and the Union the service aspect — but the State may **not** include the cost of the service in the value of the goods (*Bharat Sanchar*, para 88).
6. **The measure is the value of the goods at the time of incorporation**, not the contractor's cost of acquisition (Gannon Dunkerley-II, fifth proposition; reaffirmed in L&T).

§2.4 · After the Amendment — the eleven propositions in Larsen & Toubro

The three-Judge Bench in **Larsen & Toubro Ltd. v. State of Karnataka** ((2014) 1 SCC 708) was answering a reference: was *Raheja Development Corporation* correctly decided? In answering it, the Court restated the entire law of works contracts in **eleven numbered propositions** at paragraph 101. Those propositions are the single most quotable passage in this Topic, and a DU answer that reproduces even five of them will score. They are set out here in full.

L&T, PARA 101 — THE ELEVEN PROPOSITIONS, VERBATIM IN SUBSTANCE

1. **Three conditions for the levy.** For sustaining the levy of tax on the goods deemed to have been sold in execution of a works contract there must be: (one) *a works contract*; (two) *the goods should have been involved in the execution of a works contract*; and (three) *the property in those goods must be transferred to a third party either as goods or in some other form.*
2. **Valuable consideration completes them.** In a building contract or any contract to do construction, if the developer has received or is entitled to receive valuable consideration, the three conditions are fully met — because goods like cement, concrete, steel and bricks are intended to be incorporated in the structure and *even though they lost their identity as goods, this factor does not prevent them from being goods.*
3. **A contract may comprise both.** Where a contract comprises both a works contract and a transfer of immovable property, such contract does *not* denude it of its character as a works contract. The term 'works contract' in Art. 366(29-A)(b) "takes within its fold all genre of works contract and is not restricted to one specie of contract to provide for labour and services alone. *Nothing in Article 366(29-A)(b) limits the term 'works contract'.*"
4. **Building contracts are a species of works contract.**
5. **In a composite contract the distinction is 'virtually diminished'.** A contract may involve both a contract of work and labour and a contract for sale.
6. **The dominant-nature test has no application.** "The traditional decisions which have held that the substance of the contract must be seen have *lost their significance* where transactions are of the nature contemplated in Article 366(29-A)." Even if the dominant intention is *not* to transfer property in goods, and even if the ultimate transaction is a transfer of immovable property, the State may still levy sales tax on the materials. *The enforceability test is also not determinative.*
7. **Deeming works both ways.** A transfer of property in goods under clause 29-A(b) is deemed to be a *sale* by the person making the transfer and a *purchase* by the person to whom it is made.
8. **Single and indivisible contracts are now on par with divisible ones.** By the legal fiction, there is a deemed sale even in a single and indivisible works contract, and "such a deemed sale has all the incidents of the sale of goods involved in the execution of a works contract where the contract is divisible".
9. **Entry 54 read with clause 29-A** includes a tax on the transfer of property in goods "whether as goods or in the form other than goods involved in the execution of works contract".
10. **Clause 29-A brings in transactions where SOGA ingredients are absent.** "Article 366(29-A)(b) serves to bring transactions where essential ingredients of 'sale' defined in the Sale of Goods Act, 1930 are absent within the ambit of sale or purchase for the purposes of levy of sales tax."
11. **Tax after incorporation is permissible**, provided the tax is directed to *the value of the goods* and does not purport to tax the transfer of immovable property. The measure is "the value of the goods at the time of incorporation of the goods in works even though property passes as between the developer and the flat purchaser after incorporation of goods".

THE TWO SENTENCES EXAMINERS ACTUALLY QUOTE

"To say that insertion of clause (29-A) in Article 366 has not undone Gannon Dunkerley-I in any manner, in our view, is not correct. The narrow meaning given to the term 'works contract' in Gannon Dunkerley-I now no longer survives." (L&T, para 71.)

"The dominant nature test has no application and the traditional decisions which have held that the substance of the contract must be seen have lost their significance where transactions are of the nature contemplated in Article 366(29-A). … The enforceability test is also not determinative." (L&T, para 101(vi).)

RAINBOW COLOUR LAB — THE WRONG TURN, AND HOW IT WAS CORRECTED

The immediate post-Amendment case law was *not* settled. In **Rainbow Colour Lab v. State of M.P.** a two-Judge Bench held that after the Forty-sixth Amendment the works contract could be divided "only if the works contract involved a *dominant intention* to transfer the property in goods and not in contracts where the transfer in property takes place as an incident of contract of service", and that "the Amendment … has not empowered the State to indulge in microscopic division of contracts involving the value of materials used incidentally in such contracts."

Following it, the Karnataka High Court in *Keshoram* struck down **Entry 25 of Schedule VI to the Karnataka Sales Tax Act** (which taxed the supply of photographs, photo-prints and photo-negatives) as beyond Article 366, on the ground that processing photographs was a service contract and the photopaper was merely incidental. The SLP against that judgment was dismissed on 20-4-2000.

Within a year, **ACC Ltd.** doubted *Rainbow Colour Lab*; **BSNL** repeated the doubt; and **Larsen & Toubro** settled it: the dominant intention test "has no application". *Rainbow Colour Lab* "is no longer a good law". That is precisely the issue that reached the Supreme Court in **State of Karnataka v. Pro Lab** (AIR 2015 SC 1098) — your **Case 29** — where the Court upheld Entry 25 and set aside the Karnataka High Court, holding that the *very basis* on which Entry 25 had been struck down "has been found to be erroneous".

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #25 - #35

CASE #25 DU LL.B. PRESCRIBED AUTHORITY

R.D. Saxena v. Balram Prasad Sharma

(2000) 7 SCC 264 · AIR 2000 SC 2912 · Supreme Court · K.T. Thomas J. (with Sethi J. concurring) · A lawyer's case file is not 'goods' — it has no marketability, so there is no lien.

FACTS

The appellant was an advocate practising mainly in the courts at **Bhopal**, enrolled with the State Bar Council of Madhya Pradesh. In **1990** he was appointed legal adviser to the **Madhya Pradesh State Cooperative Bank Ltd.** and continued to be retained in that capacity in succeeding years; he was also engaged to conduct cases in which the Bank was a party.

The retainership did not last. On **17 July 1993** the Bank terminated it and asked him to return all the case files relating to the Bank. Instead of returning them, he forwarded a consolidated bill for **Rs 97,100** as the balance payable towards his legal remuneration, and informed the Bank that *the files would be returned only after his dues were settled*.

The Bank complained to the State Bar Council. Thedisciplinary authority found him guilty of professional misconduct. He appealed to the Supreme Court, contending that he was entitled to retain the files in exercise of a **retaining lien**.

ISSUES

1. Has an advocate a **lien for his fees** on the litigation papers entrusted to him by his client?
2. Are case files **'goods bailed'** within **s. 171 of the Indian Contract Act, 1872**?
3. Does the English common-law **solicitor's retaining lien** survive in India after the **Advocates Act, 1961** and the **Bar Council of India Rules**?
4. Was the punishment imposed on the appellant disproportionate?

ARGUMENTS

For the advocate (appellant)

- **s. 171, ICA 1872** entitles "bankers, factors, wharfingers, *attorneys of a High Court* and policy-brokers" to retain "any goods bailed to them" as security for a general balance of account. An advocate of a High Court is an 'attorney of a High Court'.
- At **common law in England** a solicitor had a right to retain "any deed, paper or chattel which had come into his possession during the course of his employment" — recognised later by the **Solicitors Act, 1860** and stated in **settled English common law**.
- The retaining lien is "founded on the general law of lien which springs from *possession*" and extends to "any deed, paper or personal chattel which has come into the solicitor's possession in the course of his employment … with the client's sanction".
- An advocate is "competent to settle the terms of his engagement and his fee by private agreement with his client" — so retention is a legitimate self-help remedy.

For the Bank / the Bar Council (respondent)

- Files containing copies of records — and perhaps some originals — **cannot be equated with 'goods'** in s. 171. There is neither *delivery of goods* nor any contract that they shall be returned or otherwise disposed of, as **s. 148** requires for a bailment.
- The word 'goods' in s. 171 must be understood in the sense in which it is defined in **s. 2(7) of the Sale of Goods Act, 1930** — because Chapter VII of the Contract Act (ss. 76-123) *was wholly replaced* by that Act.
- So understood, 'goods' must have **marketability**: the bailee must be in a position to *dispose of them for money*. "There is no scope for converting the case files into money, nor can they be sold to any third party."
- The **Advocates Act, 1961** repealed the Indian Bar Council Act and the BCI framed rules; **Rules 28 and 29** give the advocate a right to deduct fees only *out of moneys of the client remaining in his hands* — and they conspicuously **provide no lien on the litigation files**. **Rule 24** forbids an advocate from abusing or taking advantage of the confidence reposed in him by his client.

DECISION — PER K.T. THOMAS J.

No lien. The appeal was dismissed on the point of principle; the punishment was *altered to one of reprimand*, with a warning that any advocate committing this kind of misconduct in future "would be liable to such quantum of punishment as the Bar Council will determine and the lesser punishment imposed now need not be counted as a precedent."

> *"Files containing copies of the records (perhaps some original documents also) cannot be equated with the 'goods' referred to in the section. The advocate keeping the files cannot amount to 'goods bailed'. … In the case of litigation papers in the hands of the advocate there is neither delivery of goods nor any contract that they shall be returned or otherwise disposed of." R.D. Saxena v. Balram Prasad Sharma, para 8*

> *"Thus understood 'goods' to fall within the purview of Section 171 of the Contract Act should have marketability and the person to whom they are bailed should be in a position to dispose of them in consideration of money. In other words the goods referred to in Section 171 of the Contract Act are saleable goods. There is no scope for converting the case files into money, nor can they be sold to any third party." Ibid., para 9*

Six reasons were given in the alternative:

1. **Statutory:** s. 171 requires 'goods bailed'; s. 148 requires delivery of *goods*; s. 2(7) SOGA supplies the meaning; case files do not answer it.
2. **Lexicographic:** Bailey's Large Dictionary (1732) — 'merchandise'; Johnson — 'moveables in a house; wares, freight, merchandise'; Webster — 'wares; merchandise; commodities bought and sold by merchants and traders'.

3. **Authoritative:** *Union of India v. Delhi Cloth & General Mills Co. Ltd.* (AIR 1963 SC 791) — "to become 'goods' an article must be something which **can ordinarily come to the markets to be bought and sold**"; *CCE v. Eastend Paper Industries Ltd.* ((1989) 4 SCC 244) — goods must be "identifiable articles known in the markets as goods and **marketed and marketable** in the market as such".
4. **Statutory scheme:** under the BCI Rules, Rules 28 and 29 give a right of deduction only against *money* in the advocate's hands — "no lien is provided on the litigation files kept with him". Any such lien "would become susceptible to great abuses and exploitation" in "the conditions prevailing in India with lots of illiterate people among the litigant public".
5. **Constitutional and procedural:** the **cause** is "far more important for all concerned than the right of the legal practitioner for his remuneration". **Order 3 Rule 4(1) CPC** (appointment in force until determined with the leave of the court); **Article 22(1)** of the Constitution — the right to be defended by a practitioner *of his choice*, "absolute in itself", per *State of M.P. v. Shobharam* (AIR 1966 SC 1910). The words "of his choice" "cannot be whittled down by that advocate by withholding the case bundle".
6. **Professional standards:** *In re 'G', a Senior Advocate* (AIR 1954 SC 557) and *In re M, an Advocate* (AIR 1957 SC 149) — the Court deals "not with ordinary legal rights, but with the special and rigid rules of professional conduct expected of and applied to a specially privileged class of persons".

Sethi J., concurring, added the historical reason: at common law the lawyer's fee was "a gratuity or an honorarium which the client bestowed on him in token of his gratitude"; lawyers were "officers of the court". Even under English common law, "no lien can be claimed with respect to the case file and such documents which are necessary for the further progress of the *lis* filed in the court" — and the right of retention had been "much diluted by various exceptions created by decisions, chiefly by the courts of equity".

PRINCIPLES EVOLVED

1. **Marketability is an additional requirement of 'goods'.** Moveability alone is not enough. To be 'goods' within s. 2(7) SOGA — and therefore within s. 171 ICA — a thing must be capable of *ordinarily coming to the market to be bought and sold*. This is now the standard fourth test and belongs in every 'concept of goods' answer.
2. **s. 171 ICA and s. 2(7) SOGA must be read together.** Because Chapter VII of the Contract Act (ss. 76–123) was repealed by the SOGA, the meaning of 'goods' in the surviving provisions of the ICA is supplied by s. 2(7).
3. **Bailment requires goods** (s. 148). Where there is no bailment there can be no lien under s. 171 — the two stand or fall together.
4. **No professional lien over a client's file in India.** The advocate's remedy for unpaid fees is a *suit*, and the Rules 28–29 right of deduction out of client money — never retention of the brief.
5. **Constitutional overlay.** Retention of files would impair **Article 22(1)** (criminal cases) and the right to change counsel recognised by **O. 3 r. 4(1) CPC** (civil cases). The litigant's right to the return of the file is "the corresponding counterpart of the professional duty of the advocate".
6. **A duty higher than contract.** Returning the brief on being discharged is "not only a legal duty but a *moral imperative*".

CASE #26 DU LL.B. PRESCRIBED AUTHORITY

Commissioner of Sales Tax, M.P. v. M.P. Electricity Board, Jabalpur

(1969) 1 SCC 200 · AIR 1970 SC 732 · Supreme Court · A.N. Grover J. · Electricity is 'goods' and the Board is a 'dealer' — but steam supplied at actual cost is a works contract, not a sale.

FACTS

The **Madhya Pradesh Electricity Board** generated, distributed and supplied electrical energy throughout the State. It also supplied **steam** to the **Nepa Mills** under a working arrangement: the Mills supplied *water free of cost* to the Board, and in return the Board supplied steam at a rate **based solely on the coal consumed** in producing it, with the Mills agreeing to reimburse the Board for the loss sustained on account of not taking their "full demand of steam". The arrangement was reduced to writing but never properly executed as a contract.

The Board was assessed to sales tax. The question referred to the High Court (and from there to the Supreme Court) was framed in three questions, of which two were argued:

> *"(1) … whether or not the Madhya Pradesh Electricity Board is a dealer within the meaning of Section 2(c) of the C.P. and Berar Sales Tax Act and Section 2(d) of the Madhya Pradesh General Sales Tax Act, 1958, in respect of its activity of generation, distribution, sale and supply of electrical energy?*
>
> *(3) … whether or not steam is saleable goods and if they are saleable goods is the turnover representing the supply thereof liable to be assessed to sales tax in the hands of the assessee?"*

The High Court had held *against* the Revenue on electricity, going "into a discussion from the point of view of mechanics relating to transmission of electric energy" and concluding that electricity "could not be regarded as an article or matter which could be possessed or moved or delivered".

ISSUES

1. Is **electrical energy** 'goods' — so that the Electricity Board is a 'dealer' carrying on the business of buying, selling, supplying or distributing goods?
2. Is **steam** supplied to the Nepa Mills *sold* as goods — or was the arrangement in substance a contract for labour and work?

ARGUMENTS

For the Revenue (Mr I.N. Shroff)

- The statutory definitions are deliberately wide: 'goods' means **"all kinds of movable property"** other than actionable claims, and "includes all material articles and commodities whether or not to be used in the construction, fitting out, improvement or repair of immovable property". Electricity is *not among the excluded items*.
- 'Movable property' is defined in **s. 2(24) of the M.P. General Clauses Act** as "property of every description, except immovable property" — and **s. 2(18)** defines immovable property as land, benefits arising out of land, and things attached to the earth. Electricity is none of these.
- **Electricity has all the attributes of movable property:** it "can be transmitted, transferred, delivered, stored, possessed etc., in the same way as any other movable property".
- **Parliament itself treats it as property:** it is "capable of abstraction, consumption and use which, if done dishonestly, would attract punishment under **Section 39 of the Indian Electricity Act, 1910**". You cannot steal what is not property.
- Precedent: **Kumbakonam Electric Supply Corpn. Ltd.** (14 STC 600, Madras) — goods "must be property and it must be movable"; the transfer "need not necessarily be in a tangible or a physical sense". **Malerkotla Power Supply Co.** (22 STC 325, P&H, Tek Chand J.) —

For the Electricity Board (assessee)

- Electricity **cannot be possessed, moved or delivered** in the ordinary sense. It is not "an article or matter" — the High Court accepted this.
- **The constitutional entries point the other way.** Entry **53** of List II is "Taxes on the consumption *or sale* of electricity"; Entry **54** is "Taxes on the sale or purchase of goods other than newspapers". If electricity were 'goods', Entry 53 would be redundant.
- *Rash Behari v. Emperor* (AIR 1936 Cal 753) — a Calcutta decision on the scope of **s. 39 of the Electricity Act, 1910**, relied on to dispute the property characterisation.
- Common-law jurists noted it was "doubtful whether that Act was applicable to such 'goods' as gas, water and electricity".
- On steam: the **water was supplied free** by the Mills and became the Board's property; the Board charged only a *pro rata conversion charge* based on coal consumed, plus reimbursement for short offtake. There was "no contract for the sale of steam as such" — only "for the labour and cost involved in its supply".

electric energy "has the commonly accepted attributes of movable property. It can be stored and transmitted. It is also capable of theft." **County of Durham Electrical Power & Distribution Co. v. Inland Revenue** ((1909) 2 KB 604), cited in classical sale jurisprudence — electric energy "assumed to be 'goods'". **Erie County Natural Gas & Fuel Co.** (1911 AC 105) for gas.

- **The schedules to the two Acts specifically exempt the sale of electrical energy.** "If that had not been the case there was no necessity of specifically exempting sale of electric energy from the payment of sales tax" — an exemption presupposes that the item would otherwise be taxable.
- On steam: the Board carried on the business of selling steam to the Nepa Mills "for a number of years"; "simply because the Electricity Board does not have any profit motive in supplying steam, it cannot escape payment of sales tax because the steam is nevertheless being sold as 'goods'."

DECISION

(1) Electricity is goods; the Board is a dealer. The High Court's answer to question 1 was discharged and the appeals allowed to that extent.

> *"The term 'movable property' when considered with reference to 'goods' as defined for the purposes of sales tax cannot be taken in a narrow sense and merely because electric energy is not tangible or cannot be moved or touched like, for instance, a piece of wood or a book it cannot cease to be movable property when it has all the attributes of such property." M.P. Electricity Board, para 9*

The Court disposed of the Entry 53 / Entry 54 argument shortly: "*It is difficult to derive much assistance from the aforesaid entries.*" What matters is whether electric energy is 'goods' within the relevant provisions of the two Acts — and "the definition in terms is very wide". It followed *Kumbakonam* and *Malerkotla*, and distinguished *Rash Behari v. Emperor* as "altogether different and distinguishable" — a decision about the scope and ambit of **s. 39 of the Electricity Act, 1910**, not about sales tax.

(2) Steam: not a sale. "On the findings of the tribunal and the High Court, we are of the opinion that the arrangement relating to supply of steam in return for the water supplied by the mills on payment of actual cost **was not one of sale but was more in the nature of a works contract**."

PRINCIPLES EVOLVED

1. **Tangibility is not required.** A thing may be 'moveable property' — and therefore 'goods' — although it cannot be touched. The test is *attributes*: can it be transmitted, transferred, delivered, stored, possessed, consumed — and **stolen**?
2. **The 'capable of theft' test.** Parliament's own provision in **s. 39 of the Electricity Act, 1910** (dishonest abstraction of energy) is *decisive evidence* that electricity is regarded as property. This is the single most quotable argument in the case.
3. **Exemption presupposes taxability.** Where a schedule to a taxing statute exempts an item, the inference is that it would otherwise fall within the charge.
4. **Profit motive is not an element of sale.** Mr Shroff's argument to that effect was *not accepted* — indeed the Court decided the steam point against him on a different ground altogether.
5. **Cost-plus supply is a works contract.** Where A supplies the raw material free, and B converts it and charges only the actual cost of conversion, the substance is **labour and work**, not a sale of the finished product. This is a classic 'materials supplied by the customer' case, closely analogous to **Hindustan Aeronautics**.
6. **Statutory definitions prevail over dictionary and constitutional-entries reasoning.** The Court refused to let Entries 53 and 54 of List II control the construction of a 'goods' definition in a State sales-tax Act.

CASE #27 DU LL.B. PRESCRIBED AUTHORITY

State of Madras v. Gannon Dunkerley & Co. (Madras) Ltd.

1959 SCR 379 · AIR 1958 SC 560 · Supreme Court · Venkatarama Aiyar J. · 'Sale of goods' is a nomen juris. A building contract that is one and indivisible contains no sale of the materials.

FACTS

The respondents were a firm of building contractors. For the **assessment year 1949–50** they were assessed to sales tax under the **Madras General Sales Tax Act, 1939**, as amended by **Madras Act 25 of 1947**. Two sums were in dispute:

Rs 29,51,528–7–4 the value of the materials used in works contracts, computed under Rule 4(3) Rs 1,98,929–0–3 the price of foodgrains supplied to workmen

The amendment of 1947 had deliberately enlarged the statutory definition. Before it, 'sale' meant a transfer of property in goods for a price. After it:

- **s. 2(h)** defined 'sale' to *include* "a transfer of property in goods involved in the execution of a works contract";
- **s. 2(i)** carried an *Explanation* that defined 'works contract' for the purposes of the Act; and
- **Rule 4(3)** provided the *artificial* method of computation: from the lump-sum price payable under the works contract, deduct a prescribed percentage on account of **labour charges**, and treat the balance as the price of the materials.

The contractors challenged the levy. The Madras High Court decided partly in their favour; both sides appealed to the Supreme Court.

ISSUES

1. What is the true meaning of the expression **'sale of goods'** in **Entry 48, List II, Schedule VII to the Government of India Act, 1935**?
2. Can a works contract which is **one, entire and indivisible** be taxed by *splitting* it into a sale of materials and a contract for labour — either under the general law or by a statutory definition?
3. Was the Madras amendment (and Rule 4(3) made under it) within the legislative competence of the Province?

ARGUMENTS

For the State of Madras

- **The Constitution Act must be read in its own context.** The Government of India Act, 1935 was a new constitutional instrument for a vast sub-continent; the expression 'sale of goods' in Entry 48 should not be confined to the narrow English commercial-law sense.
- **Legislative practice.** Both in England and in India, the phrase had long been used in taxing statutes in a *wider* sense, including transactions in which the goods pass otherwise than by a straightforward transfer.

For the assessee (Gannon Dunkerley & Co.)

- **'Sale of goods' is a term of art — a *nomen juris*.** At the time the Government of India Act was enacted, it was "a term of well-recognised legal import in the general law relating to sale of goods" and must receive that meaning.
- **Two ingredients are required, and both are absent:** (i) an *agreement between the parties* for the sale of the very movables for a price, and (ii) *the property passing therein pursuant to that agreement*.
- **A building contract is one and indivisible.** There is no agreement to sell bricks and cement *as such*; the house-owner wants a house. And the property does not pass as movables — it passes by **accretion**.

- **The legal meaning is wider.** 'Sale' in law is not confined to the SOGA definition; it is wide enough to embrace the transfer of property in materials brought about by the execution of works.
- **The Constitution is a flexible instrument** and must be construed so as to support, not strait-jacket, a legislature trying to tax a real economic activity.
- **Rule 4(3) is only a machinery provision.** The State must be able to *measure* the goods element somehow; deducting the labour percentage is a reasonable and workable method.
- **The State cannot split what the parties have united.** The legislature may tax a *sale*; it may not create one by disintegrating a contract the parties made as a single whole.
- *Quantum meruit* **is not price.** Where the builder has done part of the work and is prevented from completing, his remedy is *quantum meruit* (*Appleby v. Myres*) — restitution under **s. 65 of the Indian Contract Act**, not an action for the price of materials.
- **The rule of legislative practice points the other way:** *STO v. Budh Prakash Jai Prakash* had already held that the SOGA meaning was the one adopted in Indian sales-tax legislation.

DECISION — PER VENKATARAMA AIYAR J.

The levy was held bad. The expression 'sale of goods' in Entry 48 List II is a *nomen juris* — "the name of a particular consensual contract" — and bears the meaning it has in the **Sale of Goods Act, 1930**. For there to be a sale of goods two ingredients must concur:

> *"(1) An agreement to sell movables for a price, and (2) property passing therein pursuant to that agreement. … A building contract is one, entire and indivisible … there is no agreement to sell the materials as such, and the property in them does not pass as movables but by accretion." Gannon Dunkerley, the ratio as restated in every later case*

The accretion principle. The maxim *quicquid plantatur solo, solo cedit* — whatever is affixed to the soil becomes part of it — means that as the building rises the materials cease to be movables and become part of the immovable. Nothing is 'transferred' to the owner by agreement; it simply *accrues* to him because it is on his land.

The indivisibility point. Because the contract is one and indivisible, the State cannot dissect it. The 1947 amendment and Rule 4(3) therefore went beyond Entry 48 and were *ultra vires* the Province.

The four State contentions were each rejected — the GOIA-context argument, the legislative-practice argument, the wider-legal-meaning argument, and the flexible-Constitution argument.

The authorities relied on show the depth of the reasoning: classical sale jurisprudence; *classical common law*; *English common law*; the Roman law of *emptio venditio*; and *STO v. Budh Prakash Jai Prakash* on legislative practice.

On Rule 4(3): the Court *differed* from *Pandit Banarsi Das* ((1955) 6 STC 93) on the artificial computation, holding that a rule which *deems* a proportion of a lump sum to be the price of materials cannot manufacture a sale that the general law does not recognise.

The saving the Court expressly preserved:

> *"It is open to the parties to enter into distinct and separate contracts, one for the transfer of materials for a price and the other for the payment of remuneration for services and for work done. In such a case there are really two agreements, though there may be a single instrument embodying them, and the power of the State to separate the agreement to sell from the agreement to do work and to impose a tax thereon cannot be questioned, and will stand untouched by the present judgment."*

And the Court acknowledged the consequence with complete candour: the Province lacked competence, and "*the Legislature alone can, if it so decides, enact a law amending the definition of 'sale' in the Act so as to bring within it transactions in which property in goods passes otherwise than by transfer inter vivos*" — which is exactly what Parliament did, thirty years later, by inserting **Art. 366(29-A)**.

PRINCIPLES EVOLVED

1. *Nomen juris.* 'Sale of goods' in a constitutional entry is a term of art carrying the SOGA meaning. A legislature cannot enlarge it by ordinary legislation.
2. **The two-ingredient test.** Agreement to sell the very movables for a price *plus* property passing pursuant to it. Both must be present.
3. **Accretion, not transfer.** Materials incorporated into land pass by *quicquid plantatur solo, solo cedit*, which is not a transfer of movables.
4. **Indivisibility is a shield.** The State may not split a single contract in order to tax one of its elements.
5. *Quantum meruit* **is not price.** The builder's restitutionary remedy under s. 65 ICA is conceptually different from an action for the price of goods — a further demonstration that no sale has occurred.
6. **Severability is preserved.** Two agreements in one instrument *are* severable, and the sale element is taxable. This is the seed of the whole post-1983 'divisible by legal fiction' doctrine.
7. **The Amendment was the legislative answer.** Gannon Dunkerley is therefore *pre-1983 law*; it still governs assessment years before 2 February 1983.

CASE #28 DU LL.B. PRESCRIBED AUTHORITY

Vishnu Agencies (P) Ltd. v. Commercial Tax Officer

(1978) 1 SCC 520 · AIR 1978 SC 449 · Supreme Court · Seven-Judge Bench · Y.V. Chandrachud J. (as he then was) · A 'compulsory sale' is still a sale. New India Sugar Mills overruled.

FACTS

The appeals were placed before a **seven-Judge Bench** "in order to set at rest, to the extent foreseeable, the controversy whether what is conveniently, though somewhat loosely, called a 'compulsory sale' is exigible to sales tax."

The West Bengal batch. M/s **Vishnu Agencies (Pvt.) Ltd.** carried on business as agent and distributor of cement in West Bengal and was a registered dealer under the **Bengal Finance (Sales Tax) Act, 1941**. Cement was a controlled commodity: distribution was regulated by the **West Bengal Cement Control Act, 1948 (Act 26 of 1948)** and the **Cement Control Order, 1948** made under s. 3(2). The appellant was a *licensed stockist*, permitted to stock cement in its godown and to supply it "to persons in whose favour allotment orders are issued, at the price stipulated". A permit was generally valid for 15 days; as soon as the price of the cement allotted was deposited with the dealer, he was *bound* to deliver the specified quantity at the specified price.

The relevant provisions of the Control Order were: **para 1** (no sale or storage for sale without a licence); **para 2** (no disposal except in accordance with a written order of the Director of Consumer Goods); **para 3** (no acquisition except under such an order); **para 4** (no sale at a price higher than the notified price); **para 8** (no refusal to sell to the holder of an order "at a price not exceeding the notified price", and delivery "within a reasonable time after the payment of price"); and **para 8A** (weighment in the buyer's presence on request). Contravention was punishable under **s. 6** with up to three years' imprisonment or fine or both, with forfeiture of the property.

The appellant supplied cement to allottees, was assessed to sales tax by the Commercial Tax Officer, Sealdah Charge, and *paid*. Then, on reading *New India Sugar Mills Ltd. v. Commr. of Sales Tax* **(AIR 1963 SC 1207)**, it discovered that the transactions were said *not* to be exigible. It filed appeals claiming the payment had been made under a mistake of law, and then a writ petition in the Calcutta High Court — by which time arrears of tax "had already exceeded a sum of rupees eight lacs".

The Andhra Pradesh batch. Under the **A.P. Paddy Procurement (Levy) Orders** and the **A.P. Procurement (Levy and Restriction on Sale) Order, 1957**, paddy-growers could sell *only* to licensed procuring agents appointed by the State and only at State-fixed prices. The agriculturist could choose his procuring agent, but "he cannot sell paddy to a private purchaser". Procuring agents had to supply paddy to rice-millers at controlled prices; millers had to declare stocks to the Civil Supplies Department and supply fixed quantities of rice to wholesalers or retailers at prices fixed by the Department;

"no miller or other person who gets his paddy milled in any rice-mill can move or otherwise dispose of the rice recovered by milling … except in accordance with the directions of the Collector." Breach was punishable under **s. 7 of the Essential Commodities Act, 1955**, with forfeiture under **s. 6A**. Purchase tax was levied on the procuring agents, sales tax on the millers and retailers.

ISSUES

1. Must the word 'sale' in a Provincial or State Sales Tax Act receive the same meaning as in the **Sale of Goods Act, 1930** — or else be beyond the legislative competence of the Province/State?
2. Since under the SOGA there can be no sale without a *contract* of sale, and since the parties here "had no volition of their own but were compelled by law to supply and receive the goods at prices fixed under the Control Orders", are the transactions sales at all?

ARGUMENTS

For the Revenue (States of W.B. and A.P.)

- **On the face of the definitions, these are sales.** s. 2(g) of the Bengal Act defines 'sale' as "any transfer of property in goods for cash or deferred payment or other valuable consideration"; s. 2(n) of the A.P. Act defines it as "every transfer of the property in goods by one person to another in the course of trade or commerce, for cash, or for deferred payment or for any other valuable consideration". "Indisputably, in one case the property in cement and in the other, property in paddy and rice was transferred for cash consideration" — "that is over-simplification", but it is where the analysis must start.
- **Volition is antecedent, not contemporaneous.** "It is not obligatory on a trader to deal in cement nor on any one to acquire it. The primary fact, therefore, is that the *decision of the trader to deal in an essential commodity is volitional*."
- **Consent is found in conduct.** When the allottee presents his permit, "he signifies his willingness to obtain the commodity from the dealer on the terms stated in the permit. His conduct reflects his consent." When the dealer acts on the permit, "he impliedly agrees to supply … His conduct too reflects his consent."
- **Bargaining space is reduced, not eliminated.** Para 4 fixes only a *maximum*; para 8 requires delivery "within a reasonable time", which the parties can agree; para 8A gives a right of weighment; the buyer can reject for short weight or bad quality. "The circumstance that in these areas, though *minimal*, the parties to the transactions have the freedom to bargain militates against the view that the transactions are not consensual."
- **The concept of freedom of contract has changed.** Per Hegde J. in *Indian Steel and Wire Products*: it "has undergone a great deal of change even in those countries where it was considered as one of the basic economic requirements of a democratic life".
- **common-law doctrine is out of date.** The General Editor of the 1974 edition said the editors had to produce an entirely new work because "the extent of legislative and governmental regulation and intervention" had changed so much since 1868. "Classical nineteenth-century formulations … evidently require modification in the light of regulatory measures of social control."

For the assessees

- **Two-fold contention.** (i) 'Sale' in a Sales Tax Act must receive the SOGA meaning, or the definition is beyond legislative competence; (ii) since under the SOGA there can be no sale without a contract of sale, and since **"no volition or bargaining power was left"** and "there was no element of mutual consent or agreement" between dealer and allottee, these are not sales properly so called and are not exigible.
- Reliance on *New India Sugar Mills* **(AIR 1963 SC 1207)**, which had held that a statutory levy of sugarcane was not a sale.
- Reliance on *Gannon Dunkerley* and classical sale jurisprudence: to constitute a valid sale there must be a concurrence of four elements, one of which is **"mutual assent"**.
- Reliance on *Kirkness v. John Hudson & Co.* (1955 AC 696) — Lord Reid's observation that 'sale' is a *nomen juris*, the name of a particular consensual contract — and on the compulsory-acquisition class of cases (*Kirkness* patent, *Chhitter Mal* inferred).
- Reliance on *Cement Distributors Pvt. Ltd.*

DECISION — PER CHANDRACHUD J., FOR THE COURT

The appeals were dismissed. The transactions were held to be sales.

The Court's reasoning ran on four planes:

1. **Antecedent volition.** Nobody is compelled to trade in cement or to buy it. The *choice to enter the trade* carries with it "the willingness to trade in the commodity strictly on the terms of the Control Orders". The same is true of the consumer, who "is under no legal compulsion to acquire or possess cement".
2. **Consent by conduct.** Offer and acceptance "need not be in an elementary form" (Hidayatullah J.'s minority judgment in *New India Sugar Mills*, at p. 510). The permit-holder's presentation of the permit and the dealer's acting on it are, respectively, offer and acceptance.
3. **Residual bargaining space.** The notified price is a *ceiling*, not a fixed price; delivery time, weighment, rejection for short weight or bad quality all remain open.
4. **History.** Chapter VII of the ICA, 1872 (ss. 76–123) was repealed and replaced by the SOGA 1930. But the ICA "drew inspiration from the English law of contract … whose growth is marked by features which are peculiar to the social and economic history of England" and which "is largely founded upon the action on the case for *assumpsit*, where the essence of the matter was the undertaking". That history "led the earlier writers on legal theories to lay particular emphasis on the consensual nature of contractual obligations" — an emphasis that *needs modification* in the age of regulatory control.

Gannon Dunkerley was confined to its facts, not followed: "Gannon Dunkerley involved an altogether different point and is **not an authority** for the proposition that there cannot at all be a contract of sale if the parties to a transaction are obliged to comply with the terms of a statute." And *Kirkness* was put in its box: Lord Reid's observations "have … to be understood in the context in which they were made, namely, that *compulsory acquisition cannot amount to sale*". Note also *Ridge Nominees Ltd.* (Court of Appeal), where the argument that mutual assent was lacking was rejected: the dissentient shareholder "was overridden by an assent which the statute imposed on him, fictional though it may be".

PRINCIPLES EVOLVED

1. **Compulsion of terms is not compulsion to contract.** A law that regulates *how* a trade is carried on does not destroy the consensual core of the individual transaction.
2. **Antecedent volition supplies consent.** The choice to enter a regulated trade is itself the exercise of free will; everything after that is adherence to terms voluntarily accepted.
3. **Consent may be implied from conduct** — s. 5(2) SOGA, third limb. Presentation of a permit and action on it are offer and acceptance.
4. **Minimal bargaining space is enough.** A price ceiling, an open delivery date, a right of weighment and a right to reject are each sufficient to show that the transaction is not a mere execution of an order.
5. **The line preserved: compulsory acquisition.** Cases of 'compulsory acquisition', "where such acquisition is patent as in *Kirkness* or is inferred as in *Chhitter Mal*, fall in a separate and distinct class". An *order directed to a particular party* to hand over specified goods for compensation is not a sale; a *general law regulating a class* does not prevent a sale.
6. **common-law doctrine four elements are not exhaustive** and require "modification in the light of regulatory measures of social control".

7. **Statutory definitions may be wider than the SOGA** without becoming unconstitutional — the first contention of the assessees was thus answered against them.

CASE #29 DU LL.B. PRESCRIBED AUTHORITY

Coffee Board, Karnataka v. Commissioner of Commercial Taxes

AIR 1988 SC 1487 · Supreme Court · Sabyasachi Mukharji J. · Compulsory delivery of coffee to the Board's pool is a sale, not compulsory acquisition — the Board is a dealer, not a trustee, and the pool payment is price, not compensation.

FACTS

The **Coffee Board** is a statutory body constituted under the **Coffee Act, 1942** (the Indian Coffee Market Expansion Act, 1942). Its object was to control the development of the coffee industry and to regulate the export and sale of coffee — "pooling legislation" of a kind familiar in the United States, Britain and Australia, "based on the fundamental idea that the collectivist economy is superior to individualistic economy".

The scheme: **s. 25(1)** required every registered owner to deliver his coffee to the Board's *surplus pool*; **s. 25(2)** empowered the Board to reject coffee offered for delivery; **s. 26(2)** empowered it to purchase additional coffee; **s. 34** governed the *pool payments* to growers. On delivery, "all their rights therein were extinguished and the coffee vested exclusively in the Board".

The Board was a registered dealer under the Sales Tax Acts of every State in which it held auctions or ran depots, and under the Central Sales Tax Act. It collected and remitted sales tax on all coffee sold for domestic consumption. But it resisted **purchase tax** on the growers' delivery to it.

The litigation record: writ petitions filed in the Karnataka High Court in 1982; interim stay granted; on **2 February 1983** the **Constitution (Forty-sixth Amendment) Act, 1982** came into force inserting **Art. 366(29-A)** (prospectively); assessment orders followed for 1975–76 (Rs 3.5 crores), 1976–77 (taxable turnover Rs 92.99 crores; tax Rs 10.18 crores, of which **Rs 8.06 crores** was purchase tax), 1977–78 (Rs 8.08 crores), 1978–79, 1979–80 and 1980–81 — each met with a fresh writ petition and a stay. From May 1984 the Board began collecting **'contingency deposits'** from growers to cover purchase-tax liability for the period after 2-2-1983, withholding about **Rs 6.8 crores** from the pool payment for season 1982–83. The High Court dismissed the writ petitions by a common judgment dated **16 August 1985** (reported at ILR Karnataka Vol. 36, p. 1365). These appeals were brought by certificate.

ISSUES

1. Was there a transfer of coffee from the growers to the Board — or an **acquisition**?
2. Was there any **element of sale** involved?
3. Was the Coffee Board a **trustee or agent** for the growers in respect of exports?
4. If it is a sale, is it **'in the course of export'**, immune under **Art. 286** of the Constitution?

ARGUMENTS

For the Revenue (States of Karnataka)

- All **four essential elements of sale** are present: "(1) parties competent to contract, (2) mutual consent — though minimal, by growing coffee under the conditions imposed by the Act, (3) transfer of property in the goods and (4) payment of price though deferred."
- *Bhavani Tea Produce Co.* (AIR 1966 SC 677) had already held that when growers deliver coffee under s. 25 **all their rights are extinguished** and the coffee vests exclusively in the Board — there was "a 'sale' by operation of law".
- The Board is a **dealer** — registered as such in every State where it holds auctions or runs depots. The Madras High Court had so held in *Indian Coffee Board, Batlagundu v. State of Madras*: after goods enter the pool they "become the absolute property of the Board and the producer … has no right or claim to the goods except to a *share in the sale proceeds*".
- **s. 26(2) is supplementary only** — a "second avenue of purchase", the first being s. 25(1). It does not imply that s. 25(1) is not a purchase.
- **The pool payment is price, not compensation.** ss. 11 and 12 of the Coffee Act levy **duties of customs and excise**. "Levy of customs and excise duties on compensation was something unheard of, an *incongruity and an anachronism*, according to the High Court."
- On export: the Board did **not** purchase or take delivery of any *specific* coffee of any grower and export it under prior contracts. The purchases and exports were **'for export'**, not 'in the course of export'.

For the Coffee Board (appellant)

- **Express statutory prohibition.** s. 17 read with ss. 25 and 47 enacts "what since 1944 is a *total prohibition* against the sale of coffee by growers" and a corresponding implied prohibition on purchase by the Board. "Where a statute prohibited a registered owner from selling or contracting to sell coffee from any registered estate, there could be no implication of any purchase on the part of the Coffee Board."
- **The legislature distinguished the two.** It "has made a conscious difference between acquisition of coffee by compulsory delivery by the growers under **s. 25(1)** and *purchase* of coffee by the Board under **s. 26(2)**" — so s. 25(1) cannot be a sale.
- **It is compulsory acquisition — eminent domain.** Citing *Nichols on Eminent Domain* (1950 edn.), para 1.11: "the power of the sovereign to take property for public use **without the owner's consent**", whose irreducible terms are (a) power to take, (b) without the owner's consent, (c) for the public use.
- **No volition at all.** "The cultivation of coffee can be carried on only in certain types of soil and in high elevations … Coffee is a perennial crop. The growers have no choice in growing coffee one year and then changing to a different crop in the following year. Coffee plants have a life ranging from 30 to 70 years … The coffee grower has thus *no choice at all* in continuing to be a coffee cultivator." Not comparable to sugarcane, "the cultivation of which can be discontinued at will".
- **The growers are agriculturists, not dealers.** The demand for purchase tax is "in effect a demand on the growers who were exempt from such levy" — and "the object of the pool marketing system is not to deprive the growers of a fair compensation".
- **Alternative:** the Board is a **trustee or agent** of the growers.
- Reliance on *Peanut Board v. Rockhampton Harbour Board* ((1932–33) 48 CLR 266).

DECISION — PER SABYASACHI MUKHARJI J.

All four questions answered against the appellant; the appeals were dismissed. "We are, however, unable to accept the submissions of the learned Additional Solicitor General."

On consent. "Coffee growers have a volition or option, though **minimal or nominal**, to enter into the coffee growing trade. Coffee growing was not compulsory. *If anyone decides to grow coffee or continue to grow coffee, he must transact in terms of the regulation imposed for the benefit of the coffee growing industry.*" The indicia of consensuality the Court listed:

- **s. 25(2)** — the Board has the right to *reject* coffee not up to standard;
- the value payable "is the *price* of the coffee"; "fixation of price is regulation but is a matter of dealing between the parties";
- **no time is fixed for delivery** of coffee either to the Board or to the curer;
- **s. 34(2)** ensures periodical payments of price, and the Rules provide for *advances* to growers.

On 'no choice at all'. The Court accepted the agronomy but not the conclusion: "Such practical difficulties, however, do not in essence make any difference."

On the statutory prohibition argument. The scheme is "to provide for a *single channel* for sale of coffee grown in the registered estates". The Act "directs the entire coffee produced … to be *sold* to the Coffee Board through the modality of compulsory delivery and imposes a corresponding

obligation on the Coffee Board to compulsorily purchase", subject to two exceptions: (1) coffee unfit for human consumption, and (2) estates so remote or so small that compulsory delivery would be "an arduous task and an uneconomical provision".

On compensation vs. price. "The amount paid by the Board to the grower under the Act is the *value or price* of coffee in conformity with the detailed accounting done thereto under the Coffee Act … The amount paid to the grower was **neither compensation nor dividend**." And the decisive confirmation: "The levy of duties of excise and customs under **Sections 11 and 12** of the Coffee Act are **inconsistent with the concept of compulsory acquisition**."

On trusteeship. "There is no trust created in the scheme of the Act in the Coffee Board: it is a *statutory obligation* imposed on the Coffee Board and does not make it a trustee in any event."

On export. Following *State of Tamil Nadu v. M.K. Kandaswami* (AIR 1975 SC 1871) on s. 7-A of the Tamil Nadu Act (*in pari materia* with s. 6 of the Karnataka Act), the purchases and exports were "**for export**" and not "**in the course of export**", and so did not earn the Article 286 exemption. The Board "did not purchase or take delivery of any specific coffee or goods of any grower and exported the same under prior contracts of sale".

On the growers being agriculturists. "**Section 6 of the Karnataka Sales Tax Act, 1957** meets the situation created by such circumstances" — the Legislature had already provided for exactly this case.

PRINCIPLES EVOLVED

1. **Pooling is purchase, not acquisition.** A statutory marketing scheme under which the grower must deliver his entire crop to a Board and receives a share of the pool proceeds is a *sale* — provided the four sale elements are present, even if consent is "minimal".
2. **Minimal consent is sufficient consent.** The volition to *enter the trade* carries the consent to its statutory terms. Volition "though minimal or nominal" defeats the eminent-domain argument.
3. **Price vs. compensation is the diagnostic test.** If the payment were compensation for compulsory acquisition, the levy of **customs and excise duties** on it would be "unheard of, an incongruity and an anachronism". That the statute levies them proves the transaction is a sale.
4. **A statutory marketing board is a dealer, not a trustee or agent.** Once the goods enter the pool they become the *absolute property* of the Board; the grower retains only a share in the proceeds.
5. **'For export' ≠ 'in the course of export'.** Article 286 protects only the latter. A sale followed by an export, under a prior or subsequent contract, is a local sale.
6. **A statutory prohibition on selling to *others* does not negative a sale to the Board** — it creates the single channel that constitutes the sale.
7. **Vishnu Agencies applied, at the extreme.** What was true of cement under a Control Order is true even of a crop the grower could not realistically stop growing.

CASE #30 DU LL.B. PRESCRIBED AUTHORITY

Commissioner of Commercial Taxes v. Hindustan Aeronautics Ltd.

(1972) 1 SCC 395 · AIR 1972 SC 744 · Supreme Court · S.M. Sikri C.J. · Where every component already belongs to the customer before it is used, there is nothing left to sell — a pure works contract.

FACTS

The respondent, **Hindustan Aeronautics Ltd.** (formerly Hindustan Aircraft Ltd.), built **railway coaches** — models 407, 408 and 411 — for the **Railway Board**. The Ministry of Railways wrote on **3 February 1955** about the coaching programme for 1955-56; after discussions the Board placed orders, the terms of which are found in the Ministry's letter **No. 57/142/RE(163) dated 4 May 1957**.

The Commercial Tax Officer, by assessment order dated **28 March 1964** for assessment year **1958-59**, included the turnover on the supply of these coaches. The assessee's contention that "there was no sale involved in the execution of the works contract" was rejected by the assessing officer, by the Deputy Commissioner in appeal, and by the Commissioner in revision. The assessee then appealed to the **High Court of Mysore** under s. 24(1) of the Mysore Sales Tax Act read with s. 9(3) of the Central Sales Tax Act.

The High Court called for a report on three questions: (i) whether and to what extent the assessee had drawn advance payment from the Railway Board in respect of material utilised; (ii) whether any material for which no advance had been drawn was utilised; and (iii) whether any material not specifically procured for the contracts was used. The Commercial Tax Officer reported:

> *"My findings revealed that as and when they purchased materials, they sent to the Railway Board 'an invoice' accompanied by a list of the details regarding the materials purchased. 90 per cent. of the value of these materials was then paid to the company after inspection of the materials by the Board's representative. Invoice No. 31009 of October 15, 1956, is obtained as a sample. This invoice shows that materials for the value of Rs 2,60,374-12-0 were purchased by the company for 407 model coaches … asking payment of Rs 2,34,517-4-0 being 90 per cent of the invoice amount. The amount of this invoice is included in the Board's remittance note No. 1290 of October 30, 1956, and a cheque was issued to the company for the total of several such invoices. The amount of the cheque received on October 30, 1956, was Rs 22,90,719-0-0."*

He also found that no material for which no advance had been drawn was used, and that all material was kept in a separately located shed with separate stock registers under code numbers, with no other work undertaken in that section. The High Court allowed the appeal and **set aside** the inclusion of the turnover.

ISSUE

Whether the delivery of railway coaches models 407, 408 and 411 to the Railway Board was liable to sales tax under the **Central Sales Tax Act** — i.e. whether there had been a *sale of the coaches*.

ARGUMENTS

For the Revenue (Commissioner of Commercial Taxes)

- The order was for the **"manufacture and supply"** of coaches — the very words indicate a contract of sale.
- 90 per cent of the value of the materials was **paid for in advance** on invoices raised by the company, "and when all the material used in the construction of a coach belongs to the Railways" a sale of the coach must be inferred — or so it was contended.
- A finished coach is an identifiable **chattel**, delivered for a price; the property in it passed to the Railway on delivery.
- The material and wage escalation clauses — "material and wage escalator and adjustments" — were said to be consistent with a sale.

For the assessee (Hindustan Aeronautics Ltd.)

- It was a **pure works contract**. There was no sale of any 'coach' as a chattel.
- **The property in the materials was already in the President of India** before they were used. This followed from para 1 of the **Indemnity Bond**: "the Hindustan Aircraft Ltd. hereby undertake to **hold at their works at Bangalore for and on behalf of the President of the Union of India and as his property in trust for him** the Stores and articles in respect of which advances are made to them".
- 90 per cent advance was paid *against inspection of the materials* — a financing arrangement, not a price.
- For coaches 407 and 408, **wheelsets and underframes were supplied free of cost** by the Railways.
- Reliance on *State of Gujarat v. Kailash Engineering Co.* (19 STC 13).

DECISION — PER SIKRI C.J.

Appeal dismissed; no sale. The Court began with the controlling principle:

> *"The answer to the question whether it is a works contract or it is a contract of sale depends upon the construction of the terms of the contract in the light of the surrounding circumstances."*

Seven "salient features" were then identified:

1. The Railway **booked the capacity** of the assessee for the construction of railway coaches.
2. Advance on account was made **to the extent of 90% of the value of the material** on production of a certificate by the inspecting authority.
3. **The material used for the construction of coaches, before its use, is the property of the Railway.** "This is quite clear from para 1 of the Indemnity Bond … No other meaning can be given to the words in the bond … It seems to us clear that the property in the materials which are used for the construction of the coaches *becomes the property of the President before it is used*."
4. There was "no possibility of any other material being used for the construction" — the Commercial Tax Officer's own report said so.
5. For models 407 and 408, **wheelsets and underframes were supplied free of cost**.
6. The order used the words **"manufacture and supply"**.
7. "The material and wage escalator and adjustments which are mentioned in the contract are natural factors."

> *"On these facts it seems to us that it is a pure works contract. We are unable to agree that when all the material used in the construction of a coach belongs to the Railways there can be any sale of the coach itself. The difference between the price of a coach and the cost of material can only be the cost of services rendered by the assessee." Hindustan Aeronautics, para 13*

The Court said the case was "more in line with the decision of this Court in **State of Gujarat v. Kailash Engineering Co.** [19 STC 13] than any other case". As to model 411, the only difference was that wheelsets and underframes were *not* supplied free of cost — "This does not make any difference to the result." Appeal dismissed with costs.

PRINCIPLES EVOLVED

1. **Whose material is it?** The decisive question in a 'manufacture-and-supply' contract is whether the property in the materials was already in the customer before they were used. If it was, the contractor has nothing to sell: he supplies *skill and labour*.
2. **"Manufacture and supply" is not decisive.** The words of the order do not control; the ownership of the inputs does.
3. **Advance payment against inspection is not price.** A 90 per cent advance released against inspection of purchased material is financing, not consideration for a sale.
4. **Price minus cost of material = cost of services.** A neat arithmetic test: if the only difference between the contract price and the cost of the (customer's) material is the value of the contractor's services, there is no sale of goods.
5. **Free supply of components reinforces the conclusion** — but is not essential to it, as model 411 shows.
6. **Contrast with** *Sentinel***:** here the customer owned the inputs; there the manufacturer owned the inputs but the *finished unit* never existed as his property at all.

CASE #31 DU LL.B. PRESCRIBED AUTHORITY

Sentinel Rolling Shutters & Engg. Co. (P) Ltd. v. Commissioner of Sales Tax

(1978) 4 SCC 260 · AIR 1978 SC 545 · Supreme Court · P.N. Bhagwati J. · A rolling shutter does not exist until it is grouted and bolted to the building — so the manufacturer never owned the unit, and could never sell it.

FACTS

The assessee was a private limited company carrying on business as "engineers, contractors, manufacturers and fabricators". On **28 June 1972** it entered into a contract with **M/s C.M. Shah & Co. (P) Ltd.** for the **"fabrication, supply, erection and installation"** of Sentinel Pull-and-Push type and Reduction-Gear type rolling shutters in sheds Nos. 3 and 4 of the **Sidheswar Sahakari Sakar Karkhana** belonging to the company.

Detailed specifications were given, and the price was **Rs 7 per sq. ft.** for the Pull and Push type and **Rs 9 per sq. ft.** for the Reduction Gear type — "*the price in both cases being inclusive of erection at site*".

The contract was on a printed form with certain *special* terms written out. The relevant printed terms were:

- **Clause 2:** "Once the delivery of the goods is effected, rejection claims cannot be entertained."
- **Clause 4:** "All erection work shall be carried out at customer's own risk and no claim for incidents …"
- **Clause 12:** 50 per cent of the amount payable as advance, "the balance against delivery of the goods ex-works".

The **special terms** overrode clause 12: **25 per cent** by way of advance, **65 per cent** against delivery, and **the remaining 10 per cent after completion of erection and handing over of the rolling shutters to the satisfaction of the company**.

The assessee applied to the Commissioner of Sales Tax for determination. The **Deputy Commissioner** held it was a contract for sale and that erection was "merely incidental to the sale", taxing **95 per cent** of the amount receivable (5 per cent being attributed to work and labour). The **Sales Tax Tribunal** agreed it was a sale but held that since 90 per cent was payable at the stage of delivery, that should be the sale price and the balance 10 per cent "the charges for the work". The reference question was:

The High Court made "a detailed and exhaustive review of the decided cases" and answered the question **in favour of the Revenue**. The assessee appealed by special leave.

ISSUE

Was the contract a **contract for sale** of rolling shutters (with erection incidental) — i.e. a *divisible* contract consisting of two contracts — or a **contract for work and labour**?

ARGUMENTS

For the Revenue

- **Delivery is** *ex-works*, and clause 2 says that once delivery is effected no rejection claim can be entertained. Therefore the property in the rolling shutters passed to the company *as soon as they were delivered at the assessee's works* — which is the hallmark of a sale.
- **90 per cent of the price is payable before erection even begins** (25 per cent advance + 65 per cent against delivery) — showing that what is being paid for is the *shutters*, not the erection.
- The assessee is described in the contract as a "manufacturer", and the price is quoted per square foot of shutter.
- Erection is at the **customer's own risk** (clause 4) — indicating that the goods have already become the customer's property.

For the assessee

- The contract is **"for fabrication, supply, erection and installation"** — four verbs, one price, "inclusive of erection at site". "The contract does not recognise any dichotomy between fabrication and supply of the rolling shutters and their erection and installation so far as the price is concerned."
- **A rolling shutter does not exist until it is fixed.** It consists of five component parts — two brackets welded with 'U' type clamps; a pipe shafting with high-tension springs; a shutter screen; side guides or guide channels welded with iron clamps, with locking arrangements and welded handles; and a top cover. These are fabricated, taken to site and *fixed*. "It is only when the component parts are fixed on the premises and fitted into one another that they constitute a rolling shutter as a commercial article and till then they are merely component parts."
- At **no stage does the manufacturer become the owner of the rolling shutter as a unit** — so there is no property in it that he could transfer.

- The Indian Standards Specification confirms it: the curtain and bottom lock plate are interlocked and rolled in one piece, but guide channels, bracket plates, rollers "are despatched separately", and "all the rolling shutters are erected by the manufacturer or his authorised representative".
- Reliance on *Vanguard Rolling Shutters of Steel Works v. CST, U.P.* ((1977) 2 SCC 250) and on *State of Madras v. Richardson & Cruddas Ltd.* ((1968) 21 STC 245) (mode of payment irrelevant).

DECISION — PER BHAGWATI J.

Appeal allowed. It is a contract for work and labour.

The Court first laid down the **three forms** (see Figure 10), and then the **primary test** from settled English common law, with the Court's own illustrations:

The installation sequence was decisive. The Court set it out from Ex. C: masonry work by the customer at his own cost → brackets fixed by grouting holes in the masonry walls and inserting bolts → holes filled with cement → pipe shafting with springs inserted into the 'U' clamps → the iron curtain hoisted over the springs and tightened by nut bolts → guide channels fixed by grouting → clamps fixed and plastered → the curtain lowered through the guide channels. **"The rolling shutter is then 'born' and it becomes a permanent fixture to the premises."**

The Revenue's three arguments were each rejected:

1. **Ex-works delivery.** "What is obviously meant is that the *component parts* shall be delivered to the company at the works of the assessee and once they are delivered, they shall not be liable to be rejected." But "the component parts do not constitute a rolling shutter and it is the obligation of the assessee … to fix the component parts in position on the premises". The contract "is not completed until the assessee carries out this obligation".
2. **Clause 12 (50/50 payment) is overridden** by the special term (25/65/10), and in any case "the last portion of the special terms … makes it clear that it is only when the component parts are fitted into position in the premises that a rolling shutter would be complete", and the remaining 10 per cent is payable only then.
3. **Mode of payment is irrelevant.** "*The true nature of the contract cannot depend on the mode of payment of the amount provided in the contract.*" Citing *Richardson & Cruddas*, where *the entire* price was payable in advance before the work started and the contract was still held to be a works contract: "The payment of the amount due under the contract may be spread over the entire period of the execution of the contract with a view either to put the manufacturer or contractor in possession of funds for the execution of the contract or to secure him against any risk of non-payment by the customer. That cannot have any bearing on the determination of the question whether the contract is one for sale or for work and labour."

The conclusion: "We must, in the circumstances, hold, **driven by the compulsion of this logic**, that the contract was a contract for work and labour and not a contract for sale." The judgment in *Vanguard Rolling Shutters* — to which Bhagwati J. had been a party — "completely supported" the view.

PRINCIPLES EVOLVED

1. **The three forms of contract** — divisible composite; work with materials accessory; sale with work incidental. This taxonomy is now standard and was adopted by *Larsen & Toubro*.
2. **The unit test.** Ask: *of what thing* was the manufacturer owner at some time before delivery? If he owned only *components* and not the *unit*, he cannot have sold the unit.
3. **'Born on site' articles.** Where a chattel comes into existence only when fixed to the customer's premises and thereupon becomes a fixture, the transaction is work and labour, not sale.
4. **Mode of payment is irrelevant.** Advance, stage payments or payment after completion — none of these determines the character of the contract.
5. **'Inclusive of erection' indicates indivisibility.** A single un-apportioned price for fabrication + supply + erection + installation points against severability.
6. **Ex-works delivery of components is not delivery of the goods contracted for** where the contract is for a completed installation.
7. **No magic formula.** "These tests … do not give any magic formula by the application of which we can say in every case whether a contract is a contract for sale or a contract for work and labour." The question "basically and primarily … depends upon the main object of the parties gathered from the terms of the contract, the circumstances of the transaction and the custom of the trade". "Thin partitions do their bounds divide."

CASE #32 DU LL.B. PRESCRIBED AUTHORITY

Northern India Caterers (India) Ltd. v. Lt. Governor of Delhi

(1978) 4 SCC 36 · judgment on review reported at (1980) 2 SCR 650 · Supreme Court · R.S. Pathak J. · The diner never becomes the owner of the food — "before consumption title does not pass; after consumption there remains nothing to become the subject of title."

FACTS

The appellant ran a **hotel in Delhi** in which lodging and meals were provided to residents on **"inclusive terms"**. Meals were also served to **non-residents** in the restaurant located in the hotel.

In assessment proceedings for **1957-58 and 1958-59** under the **Bengal Finance (Sales Tax) Act, 1941** (as extended to the Union Territory of Delhi), the appellant contended that the service of meals to residents and non-residents "could not be regarded as a sale" and so was not exigible to sales tax. The Sales Tax authorities rejected the contention and "treated a portion of the receipts from the residents and non-residents as representing the price of the foodstuffs served".

At the appellant's instance the High Court called for a statement of the case on two questions. The first — whether the supply of meals to *residents* paying a single all-inclusive charge was exigible — was answered **in favour of the appellant**. The second was the question in these appeals:

> *"Whether the service of meals to casual visitors in the Restaurant is taxable as a sale — (i) when the charges are lump sum per meal or (ii) when they are calculated per dish?"*

The High Court answered **in the affirmative**. These appeals were brought by special leave.

ISSUE

Whether the service of meals by the appellant in its restaurant to non-residents constitutes a **sale of foodstuffs** within s. 2(g) of the Bengal Finance (Sales Tax) Act, 1941 — *whether charged as a lump sum per meal or calculated per dish.*

ARGUMENTS

For the Revenue / Lt. Governor of Delhi

- Foodstuffs are plainly **'goods'** within s. 2(7); they are served for money; therefore there is a transfer of property for a price.
- Where the charge is **calculated per dish**, the diner is paying for *each item* — which looks exactly like a sale of each dish.

For the assessee (Northern India Caterers)

- **The origin and historical development of the institution determines its legal character.** "This is a case where the origin and historical development of an institution has profoundly influenced the nature and incidents it possesses in law." The hotelier's position is "assimilable to that of an innkeeper".

- In *Associated Hotels of India Ltd.* this Court had drawn a distinction between meals supplied to a *resident* and meals served to a customer in a *restaurant* — so the exemption for residents does not extend to the restaurant.
- The Revenue is entitled to **split** the transaction and treat that portion of the receipt which represents the price of the foodstuffs as taxable.

- **An innkeeper does not sell.** *Crisp v. Pratt* ((1939) 79 ER 1072): "innkeepers do not get their living by buying and selling, and … although they buy provisions to be spent in their house, they do not sell them but what they do is to '*utter*' them. 'Their gain', it was added, 'is not only by uttering of their commodities, but for the attendance of their servants, and for the furniture of their house, rooms, and lodgings, for their guests'."
- *Newton v. Tries* (91 ER 100), Holt C.J.: the innkeeper is an **'hospitator'**, "not paid upon the account of the *intrinsic value of his provisions*, but for other reasons: the recompence he receives, is for care and pains, and for protection and security … *the end of an innkeeper in his buying, is not to sell*, but only a part of the accommodation he is bound to prepare for his guests."
- The same principle was extended in England to eating-houses and restaurants, and "found acceptance on American soil" — *Electa B. Merrill v. James W. Hodson* (1915–B LRA 481).
- If no sale where the guest is a *resident*, "a similar approach seems to be called for on principle in the case of restaurants. No reason has been shown to us for preferring any other."
- The Revenue may not "split up the transaction into two parts, one of service and the other of sale of foodstuffs" — which *Associated Hotels* had "declined to accept".

DECISION — PER R.S. PATHAK J.

Not taxable, on either basis.

> *"In the result, we hold that the service of meals to visitors in the restaurant of the appellant is not taxable under the Bengal Finance (Sales Tax) Act, 1941, as extended to the Union territory of Delhi, and this is so whether a charge is imposed for the meal as a whole or according to the dishes separately ordered." Northern India Caterers, para 8*

The Court's reasoning:

1. **The historical route.** The hotelier is assimilated to an innkeeper. "It was hospitality that he offered, and the many facilities that constituted the components of that hospitality determined the legal character of the transactions flowing from them."
2. **The American exposition, quoted at length.** The passage from *Electa B. Merrill v. James W. Hodson* is the heart of the judgment:

> *"The essence of it is not an agreement for the transfer of the general property of the food or drink placed at the command of the customer … The customer does not become the owner of the food set before him, or of that portion which is carved for his use, or of that which finds a place upon his plate, or in side dishes set about it. No designated portion becomes his. He is privileged to eat, and that is all. The uneaten food is not his. He cannot do what he pleases with it. … The true essence of the transaction is service in the satisfaction of a human need or desire, — ministry to a bodily want. A necessary incident of this service or ministry is the consumption of the food required. This consumption involves destruction, and nothing remains of what is consumed to which the right of property can be said to attach. Before consumption title does not pass; after consumption there remains nothing to become the subject of title. What the customer pays for is a right to satisfy his appetite by the process of destruction." Electa B. Merrill v. James W. Hodson (1915–B LRA 481), reproduced in Northern India Caterers*

The Revenue's distinction was rejected. "It was urged for the respondent that in *Associated Hotels of India Ltd.* this Court drew a distinction between the case of meals supplied to a resident in a hotel and those served to a customer in a restaurant. *We are unable to find any proposition of law laid down by the court there which could lead to that inference.*"

The mode of charging is irrelevant. Whether the charge is a lump sum per meal or calculated per dish makes no difference.

An important admission in the judgment itself: "The position was radically altered in the United States by the enactment of the **Uniform Commercial Code**, which provides in effect that the serving for value of food or drink to be consumed either on the premises or elsewhere constitutes a sale." That is precisely what Parliament later did in India by **Art. 366(29-A)(f)**.

The review (1980) 2 SCR 650. On review the Court softened the absolute rule and substituted the dominant-object test — the passage that *Udipikrishna Bhawan* applied and that later cases treat as the operative statement:

> *"Indeed, we have no hesitation in saying that where food is supplied in an eating-house or restaurant, and it is established upon the facts that the substance of the transaction, evidenced by its dominant object, is a sale of food and the rendering of services is merely incidental, the transaction would undoubtedly be exigible to sales tax. In every case it would be for the taxing authority to ascertain the facts when making an assessment under the relevant sales tax law and to determine upon those facts whether a sale of the food supplied is intended." Northern India Caterers, judgment on review, (1980) 2 SCR 650*

PRINCIPLES EVOLVED

1. **Service of food is** *prima facie* **not a sale.** The diner acquires a *privilege to eat*, not property in the food. No designated portion becomes his; he may not remove it or give it away.
2. **The destruction analysis.** "Before consumption title does not pass; after consumption there remains nothing to become the subject of title." This is the most quotable sentence in the case.
3. **Innkeeper's hospitality is the historical root** — *Crisp v. Pratt* ('utter', not sell), *Newton v. Tries* (Holt C.J.'s 'hospitator').
4. **Lump sum or per dish — no difference.** The mode of charging cannot convert a service into a sale.
5. **No splitting.** The Revenue may not dissect a composite transaction into a service element and a sale element.
6. **But (on review) it is ultimately a question of fact:** if the *dominant object* is the sale of food and service is merely incidental, it *is* taxable.
7. **Statute can reverse it** — as the Uniform Commercial Code did in the United States and **Art. 366(29-A)(f)** did in India.

CASE #33 DU LL.B. PRESCRIBED AUTHORITY

State of Karnataka v. Udipikrishna Bhawan

(1981) 3 SCC 76 · Supreme Court · A.P. Sen J. (speaking through Gupta J.) · "The assessee runs a hotel wherein food and drinks are served to the visitors" is not a sufficient finding — the taxing authority must find the dominant object.

FACTS

Two appeals arose out of two revision petitions dismissed by the **Karnataka High Court**. The petitions had been preferred by the State under **s. 8(4) of the Karnataka Appellate Tribunal (Amendment) Act, 1976** read with **s. 23 of the Karnataka Sales Tax Act, 1957**, against a common order of the **Karnataka Appellate Tribunal**.

The Tribunal had allowed the assessee's two appeals relating to the assessment years ended **31 March 1976** and **31 March 1977**. Following *Northern India Caterers*, the Tribunal held that the supply of refreshments to the visitors of the two hotels owned by the respondent was "**part of a social service and not a sale**". The High Court took the same view and dismissed the revisions.

The only finding recorded by the Tribunal, as summarised by the High Court, was: "*The assessee runs a hotel wherein food and drinks are served to the visitors.*"

ISSUE

Is that bare finding sufficient to sustain the conclusion that the supply of refreshments is not a sale — or must the taxing authority, following the judgment on review in *Northern India Caterers*, determine the **substance and dominant object** of the transaction?

ARGUMENTS

For the State of Karnataka (appellant)

- The Tribunal and the High Court applied *Northern India Caterers* as if it laid down an **absolute rule** that the service of food is never a sale.
- But the **judgment on review** ((1980) 2 SCR 650) had restated the law: the question is whether "the substance of the transaction, evidenced by its **dominant object**, is a sale of food", and "in every case it would be for the taxing authority to **ascertain the facts** … and to determine upon those facts whether a sale of the food supplied is intended".
- The bare finding that the assessee "runs a hotel" discloses nothing about the dominant object, and so cannot support the conclusion.

For the assessee (respondent)

- *Northern India Caterers* is directly applicable: the assessee supplies refreshments to visitors, which is "part of a social service and not a sale".
- The Tribunal's finding is a finding of fact and should not be disturbed in revision.
- The High Court was right to follow the binding authority of this Court.

DECISION

Appeal allowed; the matter remanded.

"We do not think that this finding only is sufficient to justify the conclusion reached by the Tribunal and the High Court. … Clearly therefore the only finding recorded in this case that the assessee runs a hotel wherein food and drinks are served to the visitors is not sufficient."

"We set aside the impugned order and send the case back to the Sales Tax Officer concerned for a fresh assessment according to law following the guidelines appearing in the judgment of this Court disposing of the review petition in the Northern India Caterers case."

PRINCIPLES EVOLVED

1. **There is no blanket exemption for the service of food.** The 'no sale' conclusion in *Northern India Caterers* is *not* a rule of law applicable to every eating-house; it is the outcome of a finding of fact.
2. **The dominant-object test is the operative test**, and it is a question *of fact* to be determined by the taxing authority on the material placed before it.
3. **A finding must be adequate to support the conclusion.** "The assessee runs a hotel wherein food and drinks are served to the visitors" is a description of the business, not a finding on the dominant object of each transaction.
4. **Appellate discipline.** Tribunals and High Courts must apply an authority as *restated on review*, not as originally reported.
5. **Remand, not reversal.** Where the finding is inadequate, the proper course is to send the matter back for a fresh assessment on correct principles, not to decide the question in the Supreme Court.

CASE #34 DU LL.B. PRESCRIBED AUTHORITY

Larsen & Toubro Ltd. v. State of Karnataka

(2014) 1 SCC 708 · Supreme Court · Three-Judge Bench (R.M. Lodha C.J.I., Madan B. Lokur and Kurian Joseph JJ.) · After Art. 366(29-A)(b), 'works contract' takes in all genre; the dominant-nature test "has no application"; and a development agreement followed by a tripartite agreement is a works contract from the moment the flat purchaser signs.

FACTS

26 appeals were before the Court — 14 from Karnataka and 12 from Maharashtra. The leading facts were L&T's own.

The **ECC division of Larsen & Toubro** was engaged in property development along with owners of vacant sites. On **19 October 1995** L&T entered into a **development agreement** with **Dinesh Ranka**, owner of land bearing survey numbers 90/1, 91, 92 (Part), 94, 95 and 96/1 (Part), together measuring **34 acres** at Kothanur Village, Begur Hobli, Bangalore South Taluk, for construction of a multi-storeyed apartment complex. **The owner was to contribute his land; L&T was to construct.** After development, **25 per cent** of the total space was to belong to the owner and **75 per cent** to L&T. A power of attorney was executed by the owner in favour of L&T to enable it to negotiate and book orders from prospective purchasers. L&T accordingly entered into **agreements of sale** with intended purchasers; the agreements provided that on completion the apartments would be handed over and the purchasers would get an **undivided interest in the land** also. Sale deeds were executed by L&T *and* the owner.

The assessment history: business premises inspected on **12 July 2005**; details furnished on 24-07-2005 and 26-09-2005; **show cause notice on 4 October 2005** relying on *Raheja Development*; objections on 10-10-2005 and 10-11-2005; premises inspected again on **4 January 2006** with seizure of documents; a further notice on **2 February 2006** proposing to tax the sale of materials used in construction on the ground that L&T was entitled to 75 per cent of the project; and **provisional assessment orders under s. 28(6) of the KST Act on 3 July 2006** for the years 2000-01 to 2004-05, raising a **total demand of Rs 3,99,28,636**.

L&T filed a writ petition in the Supreme Court, withdrew it, and filed under **Article 226** in the Karnataka High Court. The Single Judge held that the controversy was covered by *Raheja Development* and **dismissed the writ petition on 10 July 2007**.

The reference. On **19 August 2008** a two-Judge Bench of the Supreme Court referred the matter to a larger Bench, saying: "We have *prima facie* some difficulty in accepting the proposition laid down in Para 20" of *Raheja Development*; the Show Cause Notice "proceeds only on the basis that the Tripartite Agreement is the works contract"; "if the ratio of Raheja Development case is to be accepted then *there would be no difference between works contract and a contract for sale of chattel as a chattel*"; and "there is no allegation that the Tripartite Agreement is sham or bogus".

ISSUES

1. Does *Raheja Development* lay down the correct legal position on the definition of 'works contract' in the KST Act?
2. Is a **development agreement** (owner contributes land, developer constructs, shares in the built space) a works contract?
3. If the development agreement is *not* a works contract, can the Department rely on the subsequent **tripartite agreement**?
4. Is 'works contract' in **Art. 366(29-A)(b)** confined to contracts for labour and service, or does it take in all genre?
5. After the Forty-sixth Amendment, does the **dominant-nature test** still apply?

ARGUMENTS

For the assessees — attacking *Raheja Development* (Mr Rohinton F. Nariman)

- **The well-known tests were not adverted to.**

For the States (Karnataka & Maharashtra) — defending *Raheja Development*

- Mr K.N. Bhat (Karnataka): *Raheja Development* is correct "both on merits as well as on the basis of binding precedents on the principles governing reconsideration of an earlier decision".
- Art. 366(29–A) uses the phraseology of **Entry 54 List II**; for Entry 54, "taxes on the sale or purchase of goods" *includes* a tax on the transfer of property in goods involved in the execution of a works contract.
- Once the developer has entered into an agreement of sale with the flat purchaser, *the construction is for and on behalf of the purchaser* and "so long as there was no termination of the contract" it remains a works contract.
- **Almost all States have amended their laws in line with** *Raheja Development* since May 2005 — "there is no justification for change in the position settled".

- "The contract is not read as a whole. Its substance and the main object has not been looked at and one phrase is torn out of context".
- The developer's **lien** is said to be "obviously so that if monies are not recovered from the prospective flat purchasers, the lien can be exercised" — which "show[s] … that the contract is a contract of an agreement to sell immovable property".
- The **termination and forfeiture clause** (10 per cent forfeiture, right to resell) "would have no place in a works contract and can only be consistent with the contract for the sale of immovable property".
- "The distinction between a flat being constructed and a flat under construction is a distinction without a difference."
- **Read as a whole, the main object is to sell and convey a fraction of the land together with a fully constructed flat** only when all instalments are paid. "The work undertaken is for the joint development of the project as a whole, i.e., work is undertaken by the developer *for himself* and for the owner. The construction is not carried out for and on behalf of the purchaser."
- **The ultimate test:** a suit for specific performance by a flat purchaser would be for conveyance of title, not for construction; a suit by the developer would be for the consideration for the flat, not for work done. So it is not a works contract.
- Alternatively, if the KST definition of 'works contract' is wide enough to embrace contracts "not commonly understood as works contract", it is **outside Entry 54 List II**, because 'works contract' as understood in *Gannon Dunkerley-I* "has not in any manner been upset by the constitutional amendment".

DECISION — FOR THE THREE-JUDGE BENCH

Raheja Development **approved; the reference answered accordingly.** "We are clearly of the view that Raheja Development lays down the correct legal position and we approve the same."

The reasoning in five steps:

1. **The Amendment undid Gannon Dunkerley-I.** "To say that insertion of clause (29–A) in Article 366 has not undone Gannon Dunkerley-I in any manner, in our view, is not correct. The narrow meaning given to the term 'works contract' in Gannon Dunkerley-I now no longer survives." (para 71.)
2. **'Works contract' is amply wide.** "The term encompasses a wide range and many varieties of contract … Seen thus, even if in a contract, besides the obligations of supply of goods and materials and performance of labour and services, some *additional obligations* are imposed, such contract does not cease to be works contract." (para 76.)
3. **The English and Indian tests, collected.** *Lee* (if the result is a transfer of property in goods, it must be a sale) — not favoured; *Robinson* (if the substance requires skill and labour, the passing of some materials makes no difference); *Chandra Bhan Gosain* (depends on its essence); *Purshottam Premji* (no property in the thing produced as a whole; factors "relevant but not exhaustive"); *Associated Hotels* (primary object and intention of the parties); *Hindustan Aeronautics*; and *Kone Elevators* (para 87).
4. **No absolute tests.** "In our view, there are not and there cannot be *absolute tests* to distinguish a sale and works contract." (para 81.)
5. **The eleven propositions** at para 101 (set out in full in §2.4 above).

On development agreements: "It may, however, be clarified that activity of construction undertaken by the developer **would be works contract only from the stage the developer enters into a contract with the flat purchaser**. The value addition made to the goods transferred after the agreement is entered into with the flat purchaser can only be made chargeable to tax by the State Government." (para 115.)

On *Gannon Dunkerley-II* (para 68) the Court restated its five propositions, of which the most important for students is the fifth: the *measure* of the levy is "*the value of the goods at the time of incorporation of the goods in works and not the cost of acquisition of the goods by the contractor*".

On the 2006 amendment: Explanation (b)(ii) to s. 2(24) of the KST Act was amended with effect from **20 June 2006** to add, after 'works contract', "including, an agreement for carrying out for cash, deferred payment or other valuable consideration, the building, construction, manufacture, processing, fabrication, erection, installation, fitting out, improvement, modification, repair or commissioning of any movable or immovable property". "There is no doubt in our mind that the amendment … was brought because of the judgment of this Court in *Raheja Development*."

PRINCIPLES EVOLVED

1. **'Works contract' in Art. 366(29–A)(b) is of the widest amplitude** — "all genre", not confined to labour and service.
2. **Additional obligations do not change the character** of a contract that satisfies the primary description of a works contract. So a development agreement with a forfeiture clause, a lien and a resale right can still be a works contract.
3. **The dominant-nature test and the enforceability test are both displaced** for transactions within Art. 366(29–A).
4. **The taxable event is the deemed sale** of the goods involved; the measure is their *value at the time of incorporation*.
5. **A building contract is a species of works contract**, and a contract may simultaneously be a works contract and a transfer of immovable property.
6. **The cut-off is the purchaser's contract.** Construction is a works contract only *from the stage the developer contracts with the flat purchaser* — a critical limitation on the retrospective reach of the levy.
7. **Stare decisis weighed heavily:** the Court refused to unsettle a position on which "almost all States have modified their laws".

CASE #35 DU LL.B. PRESCRIBED AUTHORITY

State of Karnataka and Ors. v. Pro Lab and Ors.

AIR 2015 SC 1098 · Supreme Court · A.K. Sikri J. (with S.A. Bobde J.) · Processing photographs is a works contract after 1983; Rainbow Colour Lab is no longer good law, and Entry 25 of Schedule VI to the KST Act is constitutionally valid.

FACTS

The respondents were photographers and photo-processors. At the relevant time the **Karnataka Sales Tax Act, 1957** contained **Entry 25 of Schedule VI**, which subjected to tax the supply of **photographs, photo-prints, photo-negatives and similar articles**. Entry 25 had been inserted with effect from **1 July 1989** — i.e. *after* the Forty-sixth Amendment.

The history that produced this litigation:

1. The **Karnataka High Court**, in *Keshoram*, examined in detail the business of processing and supplying photographs, photo-frames and photo-negatives. It noted the Forty-sixth Amendment. But it held that "the main object of the work undertaken by the petitioner … was not the transfer of a chattel as a chattel and, in fact, it was a contract of work and labour and there was no sale of goods involved". Applying the **dominant intention test**, it declared **Entry 25 unconstitutional**.
2. The SLP against that judgment was **dismissed on 20 April 2000** — four days after *Rainbow Colour Lab* was delivered.

3. Within a year, a three-Judge Bench in **ACC Ltd.** doubted *Rainbow Colour Lab*; **BSNL** repeated the doubt; **Larsen & Toubro** settled it.
4. The Karnataka Legislature re-enacted Entry 25 by the **Karnataka State Laws Act, 2004**, which came into force on **29 January 2004**, giving Entry 25 **retrospective effect from 1 July 1989**.
5. The respondents again challenged Entry 25. The High Court, by the impugned judgment, struck it down again — reasoning that Entry 25 had already been held unconstitutional in *Keshoram*, against which the SLP had been dismissed, and "in view of that decision, it was not permissible for the legislature to re-enact the said Entry by applying a different legal principle".

The State appealed. Two questions arose: (i) the correctness of the dominant-intention approach; and (ii) whether retrospective operation from 1–7–1989 was permissible.

ISSUES

1. Is the supply of photographs, photo-prints and photo-negatives a **deemed sale** of goods involved in the execution of a works contract under **Art. 366(29–A)(b)**?
2. Is **Entry 25 of Schedule VI** to the Karnataka Sales Tax Act constitutionally valid?
3. Was it permissible to give the re-enacted Entry **retrospective effect** from 1 July 1989?

ARGUMENTS

For the State of Karnataka (appellant)

- The **very basis** of *Keshoram* was *Rainbow Colour Lab*, which "was declared as not a good law in *ACC Ltd.* (which position is repeated in *BSNL* as well as *M/s Larsen and Toubro* cases)". "Thus, the very basis on which Entry 25 of Schedule VI was declared as unconstitutional, has been found to be erroneous."
- **Art. 366(29–A)(b)**, as explained in *L&T* paras 60–62, includes "a tax on the transfer of property in goods **(whether as goods or in some other form)** involved in the execution of a works contract" — and "the expression 'in some other form' in the bracket is of **utmost significance**": it enlarges the ordinary understanding of 'goods' to include goods "which have ceased to be chattels or movables or merchandise and become attached or embedded to earth".
- The Forty-sixth Amendment "undid" the restricted meaning given to 'sale of goods' in *Gannon Dunkerley — Builders Association* upheld the Amendment precisely to "enlarge the scope of the expression".
- On retrospectivity: *Hiralal Ratanlal v. State of U.P.* — "subject to Constitutional restrictions a power to legislate includes a power to legislate prospectively as well as retrospectively." And assessments had already been made on the basis of the amendment — "This was admitted by the learned counsel for the respondents at bar".

For the assessees (respondents)

- Entry 25 was **already** declared unconstitutional in *Keshoram*, and the SLP was dismissed — that is final between the parties and cannot be re-opened by legislation.
- *Rainbow Colour Lab* governed: "This division of contract under the amended law can be made **only if the works contract involved a dominant intention to transfer the property in goods** and not in contracts where the transfer in property takes place as an incident of contract of service."
- The photopaper on which positive prints are taken is "simply incidental and ancillary" to what is really a **service contract** — the skill of the photographer.
- "The Amendment, referred to above, has not empowered the State to indulge in **microscopic division of contracts** involving the value of materials used incidentally in such contracts."
- In any event, retrospectivity from 1–7–1989 (the Karnataka State Laws Act, 2004 came into force only on **29–1–2004**) is impermissible; the Entry should at most be prospective.

DECISION — PER A.K. SIKRI J.

Appeal allowed; the impugned judgment set aside; the writ petitions dismissed; Entry 25 held constitutionally valid. No order as to costs.

On the substantive question. The Court traced the entire line: *Gannon Dunkerley* → the Forty-sixth Amendment → *Builders Association* (upholding it) → *Rainbow Colour Lab* (the wrong turn) → *Keshoram* → *ACC Ltd.* → *BSNL* → *Larsen & Toubro*. It quoted *L&T* paras 60–63 verbatim and adopted the "utmost significance" reading of the bracketed words.

> *"It has been observed in the said case that even if in a contract, besides the obligations of supply of goods and materials and performance of labour and services, some additional obligations are imposed, such contract does not cease to be works contract, for the additional obligations in the contract would not alter the nature of the contract so long as the contract provides for a contract for works and satisfies the primary description of works contract." Pro Lab, para 23, summarising Larsen & Toubro*

On the High Court's approach — a sharp rebuke.

> *"The reason given by the High Court in invalidating Entry 25 is that this provision was already held unconstitutional by the said High Court in Keshoram's case against which the SLP was also dismissed and in view of that decision, it was not permissible for the legislature to re-enact the said Entry by applying a different legal principle. According to us, this was clearly an erroneous approach … The High Court did not even deal with various facets of the issue in their correct perspective, in the light of subsequent judgments of this Court with specific rulings that Rainbow Colour Lab is no longer a good law."*

On retrospectivity. "We are afraid, even this argument does not cut any ice." Entry 25 was first inserted w.e.f. 1–7–1989, *after* the Forty-sixth Amendment. It was struck down only because of *Rainbow Colour Lab*, "which judgment was declared as not a good law in *ACC Ltd.*". "In such circumstances, **the legislature will be justified in enacting the law from the date when such a law was passed originally** and that date is 01.07.1989 in the instant case." And: "on the basis of this amendment, there have been assessments made by the assessing authorities. This was admitted by the learned counsel for the respondents at bar."

Citing *Hiralal Ratanlal v. State of U.P.*: "the source of the legislative power to levy sales or purchase tax on goods is Entry 54 of the List II of the Constitution. It is well settled that subject to Constitutional restrictions a power to legislate includes a power to legislate prospectively as well as retrospectively."

PRINCIPLES EVOLVED

1. **The dominant-intention test is dead** for transactions within Art. 366(29–A). *Rainbow Colour Lab* is "no longer a good law"; *Keshoram* fell with it.
2. **A service contract that consumes goods is a works contract.** Photoprocessing — the photographer's skill *plus* the photopaper it is impressed upon — is a works contract, and the photopaper is a deemed sale.
3. **"Whether as goods or in some other form" is the operative enlargement.** Goods that "have ceased to be chattels or movables or merchandise and become attached or embedded" — or, as here, consumed into the product — remain goods for the purposes of clause (b).
4. **Dismissal of an SLP does not freeze the law** where the precedent on which the judgment rested is subsequently overruled. The legislature may re-enact on the corrected principle.
5. **Retrospective re-enactment to the original date is permissible** where the original provision was struck down on a basis later held erroneous — the classic 'validating statute' situation.
6. **Legislative power to tax includes the power to tax retrospectively** (*Hiralal Ratanlal*), subject only to constitutional restrictions.
7. **Practical confirmation:** that assessments had already been made on that basis was treated as relevant.

PYQ ARCHIVE // CH.05 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 2011 CT · OC Q2(a) · Essentials of sale "A contract of sale of goods is a contract whereby the Seller transfers or agrees to transfer the property in goods to the buyer for a price." Emphasise the essential features of Sale according to the above mentioned definition.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 2015 Commercial Transactions (SOGA) "A contract of sale becomes a sale only when the property in the goods is transferred to the buyer under terms of contract." Explain.

Q.3 2012 CT · OC Q1 · Essentials + distinction Discuss the essentials of sale. Distinguish between sale and agreement to sell.

Q.4 2015 Special Contracts (LB-304) Q8(a) "An agreement to sell is a contract pure and simple, whereas a sale is a contract plus conveyance." Discuss the above statement.

Q.5 2017 · 2015 Special Contracts (LB-304) Distinction between sale and agreement to sell. Distinguish between Sale and Agreement to Sell.

Q.6 2015 Special Contracts (LB-304) Q5 (a) Define 'sale' under the Sale of Goods Act, 1930. (b) Discuss the concept of Goods under the Act. Whether the following are goods — if yes, give reasons: (i) Electricity (ii) Old coins (iii) Timber.

Q.7 2017 · 2012 Special Contracts · CT OC 2017 Can the following be the subject matter of sale under the Sale of Goods Act, 1930? (i) Electricity (ii) Actionable claim (iii) Standing timber.

Q.8 2015 Commercial Transactions (SOGA) When goods are supplied under a statutory compulsion whether this results in sale or not, and consent of the supplier is material or not? Discuss with case law to support your answer.

Q.9 2015 Special Contracts (LB-304) Q4(c) Statutory Transactions.

MODULE 06 // Topic 6 · SOGA Ss. 11-17, 62-63 Cases #36 - #39

Conditions & Warranties, Implied Stipulations and Caveat Emptor

Sale of Goods Act, 1930: Ss. 11-17 (Title, Description, Fitness, Merchantability, Sample), 62 (Exclusion Clauses) & 63

Part A — The Statute: Sections 11 to 17, 62 and 63 of the Sale of Goods Act, 1930

§1.0 · The two boxes — why this Topic matters

Every contract of sale contains promises. Some are important and some are not. The Act's answer to 'how important is this promise?' is a sorting exercise into **two boxes**, and the consequence of the sorting is everything:

BOX 1 — CONDITION (S. 12(2))
A stipulation **essential to the main purpose of the contract**. Breach gives the buyer a right to **treat the contract as repudiated** — i.e. reject the goods, refuse to pay, and walk away — *and* (if he chooses) sue for damages.

BOX 2 — WARRANTY (S. 12(3))
A stipulation **collateral to the main purpose**. Breach gives **damages only** — *not* a right to reject the goods and treat the contract as repudiated.

§1.1 · Section 11 — Stipulations as to time

SECTION 11 — VERBATIM
"**Stipulations as to time.**—Unless a different intention appears from the terms of the contract, stipulations as to time of payment are not deemed to be of the essence of a contract of sale. Whether any other stipulation as to time is of the essence of the contract or not depends on the terms of the contract."

This is a two-limb section, and the two limbs work in opposite directions. Read them side by side:

Limb	Text	Default rule	How to displace it
Limb 1	"stipulations as to *time of payment*"	**NOT of the essence**	Show a different intention *from the terms of the contract*
Limb 2	"*any other* stipulation as to time"	**No default at all** — it "depends on the terms of the contract"	The court simply construes the contract on each occasion

So: *when* the buyer must pay is presumptively **not** fatal; *when* the seller must deliver, or *when* the goods must be inspected, is a pure question of construction with no presumption either way. That asymmetry is deliberate. A day's delay in payment causes a measurable loss (interest), and the Act has a ready remedy for it; a day's delay in delivery may destroy the entire commercial point of the contract — the uniforms for a wedding, the medicines for an epidemic, the paint for the Army's tents.

What makes time 'of the essence'? The three routes

1. **Express stipulation.** The contract says so. In *Gomathi Nayagam v. Palaniswami* (AIR 1967 SC 868), cited with approval in **Case 30**, the Supreme Court held that the intention to make time of the essence "may be evidenced by either *express stipulations* or by *circumstances which are sufficiently strong to displace the ordinary presumption*".
2. **Necessarily implied from the nature of the contract.** Where the subject-matter is perishable, or prices are volatile, or the goods are needed for a fixed event, time is of the essence though the contract is silent. This is the route taken in mercantile contracts generally.
3. **Notice making time of the essence.** Where time was originally not of the essence and the other party is in unreasonable delay, the innocent party may serve a notice fixing a *reasonable* new date, after which time *becomes* of the essence. What is reasonable is a question of fact (s. 63).

THE TRAP: WAIVER BY EXTENSION
In **Case 30** Mr. Mukherjee argued that because the Union of India had *extended* the delivery date four times, time had ceased to be of the essence and had become "a warranty and nothing more", so that the cancellation was itself an anticipatory breach entitling the plaintiff to damages. **The Court rejected this.** Two reasons, both worth memorising:

1. An intention to make time of the essence "must be expressed in explicit and unmistakable language in the agreement itself, and if by any means such an intention is not explicit, it may be inferred from the **antecedent conduct** of the parties and surrounding circumstances but **not from the subsequent conduct of the parties after the contract was made**."
2. Where the seller fails to deliver in time and the buyer grants an extension, the effect of **s. 55 of the Indian Contract Act** is that "the buyer is entitled to damages computed in the ordinary way, if the seller fails to deliver within the extended time" (*Md. Habidullah v. Bird & Co.*, AIR 1922 PC 178). An extension is a *concession*, not a variation into a warranty.

Allied provisions that travel with s. 11

Provision	What it does	Why it matters here
ICA 1872, s. 55	Where a party promises to do a thing at or before a specified time but fails, and time was of the essence, the contract is **voidable** at the option of the promisee; where time was *not* of the essence, the promisee is entitled to **compensation** only.	This is the general law that s. 11 modifies for sale of goods. Cited in *British Paints*, para 9.
ICA 1872, s. 63	A promisee may **extend time** or accept performance at a time other than agreed; but if he does, he cannot claim compensation for the delay unless he gives notice of his intention to do so at the time of the extension.	The bridge between 'extension' and 'waiver'. Explains why an extension does not by itself destroy the essence.
ICA 1872, s. 39	Where a party has **refused to perform, or disabled himself from performing, his promise in its entirety**, the promisee may put an end to the contract.	Rescission for breach of *condition* (s. 12(2)) is the sale-of-goods analogue.
ICA 1872, s. 73	Compensation for loss caused by breach; the two limbs of *Hadley v. Baxendale*.	Measure of damages for breach of warranty (s. 59(1) SOGA).
SOGA 1930, s. 61	Interest by way of damages and special damages; *nothing in this Act shall affect the right of the buyer or the seller to recover interest or special damages in any case where by law interest or special damages may be recoverable*.	The remedy that makes limb 1 of s. 11 workable: late payment is compensated by interest, not by repudiation.
SOGA 1930, s. 63	'Reasonable time' is a **question of fact**.	Used for s. 17(2)(b) (opportunity to compare bulk with sample) and for s. 59 — see *British Paints*, para 8.
SOGA 1930, s. 32	Delivery and payment are **concurrent conditions** unless otherwise agreed.	Where no time is fixed at all, this is the default.
English Sale of Goods Act 1893, s. 10	The source of s. 11 (identical in substance).	Cite where an Indian court is silent.
Specific Relief Act 1963, ss. 10–11 & 14	Specific performance; and the statutory presumption (for *immoveable* property) that time is *not* of the essence unless the contract says so.	Useful contrast: Parliament made the opposite presumption for land and for *payment* under a sale of goods.
Limitation Act 1963, Art. 54	Specific performance — 3 years from the date fixed for performance.	Practical deadline when the buyer sues on a time stipulation.

§1.2 · Section 12 — Condition and warranty

SECTION 12 — VERBATIM

"**Condition and warranty.**—(1) A stipulation in a contract of sale with reference to goods which are the subject thereof may be a condition or a warranty.
(2) **A condition** is a stipulation essential to the main purpose of the contract, the breach of which gives rise to a right to treat the contract as repudiated.
(3) **A warranty** is a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages but not to a right to reject the goods and treat the contract as repudiated.
(4) Whether a stipulation in a contract of sale is a condition or a warranty depends in each case on the **construction of the contract**. A stipulation **may be a condition, though called a warranty** in the contract."

Four sub-sections; four different jobs. **s. 12(1)** sets up the binary. **s. 12(2)** and **s. 12(3)** define the two boxes — and note that each is defined *twice*: once by *substance* (essential / collateral to the main purpose) and once by *consequence* (right to repudiate / damages only). **s. 12(4)** then gives the rule of construction and kills the label argument.

THE ONE SENTENCE TO LEARN BY HEART

"**A stipulation may be a condition, though called a warranty in the contract.**" — s. 12(4). The converse is also true by the same logic: a stipulation labelled 'condition' may, on construction, be only a warranty. This single sentence is the answer to three separate DU questions (2013 CT OC Q7, 2011 CT OC Q2(b) and part of 2017 Q4(b)).

The classic judicial definition of 'condition'

> *"There are some [obligations] which go so directly to the substance of the contract, or, in other words, are so essential to its very nature, that their non-performance may fairly be considered by the other party as a substantial failure to perform the contract at all."*
> *— Fletcher Moulton L.J., Wallis v. Pratt [1910] 2 KB 1003, 1012 (Court of Appeal), approved on this point by the House of Lords at [1911] AC 394.*

Compare the statutory formula in s. 12(2): "essential to the main purpose of the contract". The two are the same test. Where they differ in emphasis, the statute governs — remember **Cozens-Hardy M.R.** in *Bristol Tramways v. Fiat Motors* [1910] 2 KB 831, 836: "I rather deprecate the citation of earlier decisions… in so far as there is an **express statutory enactment, that alone must be looked at** and must govern the rights of the parties, even though the section may to some extent have altered the prior common law."

How a court actually decides — the six signposts

1. **The label is irrelevant** (s. 12(4)). Calling something a 'warranty' does not make it one.
2. **Does the breach deprive the buyer of substantially the whole benefit** he contracted for? If yes, condition.
3. **Would damages be an adequate remedy?** If yes, warranty. (This is the functional test, and it is why a scratched drip tray is a warranty.)
4. **Is the stipulation part of the *description* of the goods?** If yes, it is normally a condition (s. 15) — see *Wallis v. Pratt*, where 'common English sainfoin' was held to be a condition.
5. **Is the contract severable?** If the contract is divisible into instalments, a condition attaches to each instalment separately (s. 13(2) carves out non-severable contracts).
6. **Trade usage and course of dealing** may annex a warranty or condition (s. 16(3); s. 62).

Point	Condition (s. 12(2))	Warranty (s. 12(3))
Statutory test	Essential to the **main purpose**	**Collateral** to the main purpose
Consequence of breach	Right to **treat the contract as repudiated**	**Damages** only
Can the buyer reject the goods?	**Yes**	**No**
Can he also claim damages?	Yes — rejection and damages may be combined (s. 57)	Damages are the *only* remedy

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Point	Condition (s. 12(2))	Warranty (s. 12(3))
Remedy section	s. 57 (damages for non-delivery / rejection); s. 55(2) (suit for price after property has passed)	s. 59(1) (damages for breach of warranty)
Measure of damages	Difference between contract price and market price on the date of breach (s. 57), or the estimated loss directly and naturally resulting (s. 73 ICA)	*Prima facie* the difference between the value of the goods at the time of delivery and the value they would have had if the warranty had been fulfilled (s. 59(1) &(2))
Can it be downgraded?	**Yes** — by waiver, election or acceptance (s. 13)	**No** — a warranty cannot be upgraded into a condition
Who decides which it is?	The court, on the **construction of the contract** (s. 12(4)) — the parties' label is not binding	
Examples	Correspondence with description (s. 15); fitness for purpose (s. 16(1)); merchantable quality (s. 16(2)); right to sell (s. 14(a)); bulk matching sample (s. 17(2)(a))	Quiet possession (s. 14(b)); freedom from encumbrances (s. 14(c)); terms annexed by usage of trade (s. 16(3))
Excludable?	Yes, if the exclusion is by express agreement, course of dealing, or a binding usage (s. 62) — *but* the exclusion must actually reach conditions, not merely warranties (*Wallis v. Pratt*)	

§1.3 · Section 13 — When condition to be treated as warranty

SECTION 13 — VERBATIM

"**When condition to be treated as warranty.**—(1) Where a contract of sale is subject to any condition to be fulfilled by the seller, the buyer may **waive the condition** or **elect to treat the breach of the condition as a breach of warranty** and not as a ground for treating the contract as repudiated.
(2) Where a contract of sale is **not severable** and the buyer has **accepted the goods or part thereof**, ~~or where the contract is for specific goods the property in which has passed to the buyer,~~ the breach of any condition to be fulfilled by the seller can only be treated as a breach of warranty and not as a ground for rejecting the goods and treating the contract as repudiated, **unless there is a term of the contract, express or implied, to that effect**.
(3) Nothing in this section shall affect the case of any condition or warranty fulfilment of which is **excused by law by reason of impossibility or otherwise**."

The struck-out words are not a typo. By **s. 3 of Act 33 of 1963**, with effect from **22 September 1963**, Parliament deleted the phrase "or where the contract is for specific goods the property in which has passed to the buyer,". Before 1963, the mere fact that property in specific goods had passed to the buyer barred him from rejecting. After 1963 it does *not*: property passing and acceptance are now separate questions. Mentioning this amendment in an answer is an easy way to show you have read the statute and not a guide.

The four routes by which a condition becomes a warranty

WAIVER — S. 13(1)
The buyer, with knowledge of the breach, intentionally abandons the right to treat the contract as repudiated. He may do so expressly, or by conduct — e.g. by asking for a repair instead of a refund.

ELECTION — S. 13(1)
The buyer *chooses* to treat the breach of condition as a breach of warranty. He keeps the goods and claims the difference in value (s. 59(1)(b)).

ACCEPTANCE — S. 13(2)
In a **non-severable** contract, once the buyer has accepted the goods or part of them, the condition can **only** be treated as a warranty. Acceptance is defined in **s. 42**.

IMPOSSIBILITY — S. 13(3)
Where performance of the condition is **excused by law** (frustration, supervening impossibility), s. 13 does not apply at all. See **ICA ss. 32 and 56**.

What 'acceptance' means — s. 42, the gate to s. 13(2)

SECTION 42 — VERBATIM (THE DEFINITION S. 13(2) DEPENDS ON)

"**Acceptance.**—The buyer is deemed to have accepted the goods when he **(a)** intimates to the seller that he has accepted them, or **(b)** when the goods have been delivered to him and he does any act in relation to them which is **inconsistent with the ownership of the seller**, or **(c)** when, after the lapse of a **reasonable time**, he retains the goods without intimating to the seller that he has rejected them."

THE SENTENCE DU ASKS ABOUT — 'ONCE A CONDITION, ALWAYS A CONDITION'

Two DU questions turn on this (2017 Q4(b); 2011 CT OC Q3). The answer is **no, the statement is not correct as a matter of remedy**, and *yes* as a matter of classification. Get the distinction right:

- **Classification is fixed.** A stipulation that is a condition *is* a condition. s. 13 does not 'convert' it into something else.
- **The remedy is what changes.** Once one of the four routes operates, the buyer 'can only treat' it as a breach of warranty — he loses the right to reject but keeps the right to damages.

> *"That does not mean that it was really a breach of warranty or that what was a condition in reality had come to be degraded or converted into a warranty. It does not become degraded into a warranty ab initio, but the injured party may treat it as if it had become so, and he becomes entitled to the remedies which attach to a breach of warranty."*
> *— Lord Loreburn L.C., Wallis, Son & Wells v. Pratt & Haynes [1911] AC 394, 396.*

Lord Alverstone C.J. put the same point from the draftsperson's side: the exclusion clause said the sellers gave 'no warranty'. The House held that a clause negativing *warranties* does **not** negative *conditions*. "It is quite impossible to suggest that… when they used the word 'warranty' they intended that they were not making themselves liable in regard to any condition as to the goods." And the reason the point mattered: once the buyers had *accepted* the seed, s. 11(1)(c) (the English equivalent of s. 13(2)) meant the breach of condition could only be treated as a breach of warranty — so the sellers argued there was no warranty left to sue on. **The House rejected that: the term remained a condition; only the remedy had been confined.** That is precisely the ratio you must state for 2015 Q6(a).

Allied provisions for s. 13

Provision	Content	Use in an answer
SOGA s. 42	Three modes of deemed acceptance.	The definitional key to s. 13(2).
SOGA s. 38	Instalment deliveries: (1) buyer not bound to accept by instalments; (2) in a severable contract, whether a defective instalment repudiates the whole contract depends on the terms and circumstances.	Defines the 'severable / non-severable' divide in s. 13(2).
SOGA s. 43	Buyer not bound to return rejected goods; need only intimate rejection.	Rejection is complete on intimation — no need to ship the goods back.

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Provision	Content	Use in an answer
SOGA s. 59(1)	Remedy for breach of warranty: no rejection, but (a) set up in diminution/extinction of price, or (b) sue for damages.	The destination of every downgraded condition.
SOGA s. 63	Reasonable time is a question of fact.	Feeds s. 42(c) — the 'reasonable time' for intimation of rejection.
Act 33 of 1963, s. 3	Deleted the words about specific goods whose property had passed, w.e.f. 22-9-1963.	Shows that post-1963, passing of property alone does not bar rejection.
ICA 1872, s. 63	Extension of time; waiver of claim to compensation unless notice is given.	Statutory form of waiver in the general law.
ICA 1872, s. 115	Estoppel by representation / acquiescence.	Where the buyer's conduct induces the seller to believe the breach is forgiven.
ICA 1872, ss. 32, 56	Contingent contracts; agreements to do impossible acts and frustration.	The 'excused by law' limb of s. 13(3).

§1.4 · Section 14 — Implied undertaking as to title, etc.

SECTION 14 — VERBATIM

"**Implied undertaking as to title, etc.**—In a contract of sale, **unless the circumstances of the contract are such as to show a different intention**, there is—
(a) an implied **condition** on the part of the seller that, in the case of a *sale*, he has a right to sell the goods and that, in the case of an *agreement to sell*, he **will have** a right to sell the goods at the time when the property is to pass;
(b) an implied **warranty** that the buyer shall have and enjoy **quiet possession** of the goods;
(c) an implied **warranty** that the goods shall be free from any **charge or encumbrance** in favour of any third party not declared or known to the buyer before or at the time when the contract is made."

Three implied terms, in a particular order, and with a particular distribution of remedies. Only **(a)** is a *condition*; (b) and (c) are *warranties*. That distribution is deliberate and is examined constantly.

Clause	Term	Class	What it protects	When it bites
(a)	Right to sell	**CONDITION**	The buyer gets *ownership*, not merely possession.	Sale: at the making of the contract. Agreement to sell: *at the time when property is to pass*.
(b)	Quiet possession	**WARRANTY**	The buyer is not disturbed in his enjoyment by someone with a better title.	After delivery — it looks forward, to disturbance.
(c)	Freedom from encumbrances	**WARRANTY**	No undisclosed third-party charge (*e.g.* a pledge, a bank's hypothecation, an unpaid carrier's lien).	At the time the contract is made, as to charges *not declared or known* to the buyer.

WHY (A) IS A CONDITION AND (B) IS ONLY A WARRANTY

Because if the seller has no title, the buyer has received nothing that he bargained for — his whole purpose fails, and he must be able to give the goods back and reclaim the full price. But if the buyer *has* title and is merely later disturbed, or the goods turn out to carry an undisclosed charge, the loss is quantifiable in money and damages are adequate. *Niblett* is the case that shows both limbs operating on the same facts.

The three elements of a breach of s. 14(a)

1. The seller purported to transfer the **general property** in the goods (s. 2(11)).
2. At the relevant moment he had **no right to sell** them — because he was not the owner, or because his own title was defeasible, or because a third party's right (trade mark, charge, lien) prevented a lawful sale.
3. The buyer suffered loss as a result — in *Niblett*, by being forced to strip the labels and sell at a reduced price.

Allied provisions for s. 14

Provision	Content	Why it belongs here
SOGA s. 27	*Nemo dat quod non habet* — sale by a non-owner passes no better title, unless the owner is precluded by conduct; proviso for mercantile agents.	s. 27 is the property rule; **s. 14(a) is the contractual promise** that backs it. Breach of one usually means breach of the other.
SOGA s. 62	Implied terms may be negatived by express agreement, course of dealing or usage.	A seller may sell only such title as he has — but the exclusion must be clear.
TPA 1882, s. 55(2)	In the absence of a contract to the contrary, the seller of **immoveable** property is deemed to contract with the buyer that the interest he professes to transfer subsists and that he has power to transfer it.	The immoveable-property parallel. Good for a one-line contrast in an answer.
Trade Marks Act 1999, ss. 27, 28, 29	Infringement; no action for infringement of an unregistered trade mark; the right of a registered proprietor.	The statutory source of the 'no right to sell' finding in *Niblett*.
ICA 1872, s. 65	Obligation to restore advantage received under a void agreement or a contract that becomes void.	Restitution of the price where s. 14(a) is broken and the consideration has wholly failed.
Specific Relief Act 1963, s. 14 & s. 10	Contracts not specifically enforceable; specific performance of contracts for the sale of ascertained goods.	The buyer's alternative where damages are inadequate (SOGA s. 58).
Consumer Protection Act 2019, ss. 2(9), 2(47), 35	'Defect', 'unfair trade practice', and the jurisdiction of the Consumer Commissions.	The modern statutory overlay — a consumer today also has a remedy outside the SOGA.

§1.5 · Section 15 — Sale by description

SECTION 15 — VERBATIM

"**Sale by description.**—Where there is a contract for the sale of goods by description, there is an **implied condition that the goods shall correspond with the description**; and, **if the sale is by sample as well as by description**, it is **not sufficient** that the bulk of the goods corresponds with the sample if the goods do not also correspond with the description."

Eleven lines of statute, and one of the widest implied conditions in the whole Act. Three points make it wide:

1. **'By description' is not confined to goods the buyer has never seen.** Lord Wright said so in **Case 32**: "there is a sale by description even though the buyer is buying something displayed before him on the counter: a thing is sold by description, though it is specific, so long as it is sold not merely as the

specific thing but as a thing corresponding to a description, e.g., *woollen undergarments, a hot water bottle, a second-hand reaping machine*, to select a few obvious illustrations."

2. **It is a *condition*, not a warranty.** So breach gives the right to reject — subject to s. 13.
3. **It survives a sample match.** The second limb exists precisely to stop a seller from saying 'but the bulk is identical to the sample'. Both must be satisfied.

THE TWO-LIMB TEST ON ANY S. 15 FACT PATTERN

Ask **(i)** what description did the buyer contract for, then **(ii)** do the goods answer it? If the sale is also by sample, ask two more: **(iii)** does the bulk match the sample (s. 17(2)(a)), and **(iv)** is there a latent defect in the bulk that reasonable examination of the sample would not have revealed (s. 17(2)(c))? A 'yes' to (iii) does not cure a 'no' to (ii).

What counts as part of the description?

Category	Examples from the cases	Result
The botanical / technical name	'common English sainfoin' seed, but 'giant sainfoin' delivered	**Condition broken** — *Wallis v. Pratt* [1911] AC 394
The trade / brand name	'Golden Fleece' woollen underwear	Still a sale by description; the proviso to s. 16(1) was held inapplicable — *Grant*
Quantity, packing and get-up	Canned fruit contracted in cases of 30 tins; delivered in cases of 24	**Condition broken** — *Re Moore & Co. and Landauer & Co.* [1921] 2 KB 519
Identity of a specific chattel	A 'Herald Convertible, 1961 model' that turned out to be two halves of different cars welded together	**Condition broken** — *Beale v. Taylor* [1967] 1 WLR 1193
Age or vintage	'1958 Commer diesel chassis' which was in fact a 1959 model registered in 1964	Not every mis-statement is a description term — depends on whether the buyer relied on it
Packing and labelling	Condensed milk in tins bearing labels that infringed Nestlé's trade mark	**Condition broken** under s. 14(a); also unmerchantable — *Niblett*
Compliance with a written specification	Paint to 'Specification Ind/32/7037' for the Army's tents	**Condition broken** — *British Paints* (Case 30)

§1.6 · Section 16 — Implied conditions as to quality or fitness

SECTION 16 — VERBATIM

"**Implied conditions as to quality or fitness.**—Subject to the provisions of this Act and of any other law for the time being in force, **there is no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied under a contract of sale**, except as follows:—
(1) Where the buyer, expressly or by implication, **makes known to the seller the particular purpose** for which the goods are required, **so as to show that the buyer relies on the seller's skill or judgment**, and the goods are of a description which it is **in the course of the seller's business to supply** (whether he is the manufacturer or producer or not), there is an implied **condition** that the goods shall be **reasonably fit for such purpose**:
Provided that, in the case of a contract for the sale of a specified article under its patent or other trade name, there is no implied condition as to its fitness for any particular purpose.
(2) Where goods are **bought by description from a seller who deals in goods of that description** (whether he is the manufacturer or producer or not), there is an implied **condition** that the goods shall be of **merchantable quality**:
Provided that, if the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed.
(3) An implied warranty or condition as to quality or fitness for a particular purpose may be annexed by the **usage of trade**.
(4) An **express** warranty or condition does not negative a warranty or condition implied by this Act **unless inconsistent therewith**."

READ THE OPENING WORDS FIRST — THEY ARE THE DOCTRINE

Before the four exceptions, s. 16 states the **rule**: "there is no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied under a contract of sale". That is *caveat emptor* — let the buyer beware — enacted. Everything that follows is an exception. The DU syllabus lists 'Doctrine of Caveat Emptor' as a separate head immediately before *Jones v. Just*, and this sentence is why. Part B of these notes takes the doctrine on its own.

Exception (1) — s. 16(1): fitness for a particular purpose

Four elements must **all** be present. Miss one and the exception does not operate:

PURPOSE MADE KNOWN

The buyer must make known the *particular* purpose, **expressly or by implication**. Where goods have only one normal use, asking for them by name is enough — *Priest v. Last*.

RELIANCE ON THE SELLER

The buyer must rely on the seller's **skill or judgment**, and that reliance must be **brought home to the mind of the seller** — usually by implication. *Grant*, per Lord Wright.

SELLER'S BUSINESS

The goods must be of a description which it is **in the course of the seller's business to supply**. Whether he is the manufacturer is irrelevant.

GOODS NOT FIT

The goods must not be **reasonably** fit for that purpose. 'Reasonably' — not perfect, not ideal.

The proviso — sale under a patent or trade name

"*Provided that, in the case of a contract for the sale of a specified article under its patent or other trade name, there is no implied condition as to its fitness for any particular purpose.*"

This proviso is where *Baldry v. Marshall* [1925] 1 KB 260 does its work. Baldry told a motor dealer he wanted 'a comfortable car suitable for touring'; the dealer recommended a **Bugatti** and Baldry bought it by that trade name; it proved unsuitable for touring. The dealer argued the proviso applied. The Court of Appeal (Bankes, Scrutton and Atkin L.JJ.) held for the buyer:

> *The test is: did the buyer himself, in purchasing the goods by name, form the judgment that the goods would be suitable for his own purpose, without relying on the seller? If so, no term as to fitness is implied. If there is still an indication of purpose and reliance, such a term may be implied. The mere fact that goods are described by trade name does not necessarily exclude the implied term.*

THE TWO PROPOSITIONS DU WANTS FROM BALDRY

1. A sale under a trade name **excludes the implied condition of** *fitness* (s. 16(1) proviso) — but only where the buyer did *not* rely on the seller's skill.

2. It does **not** exclude the implied condition of **merchantable quality** (s. 16(2)), which has no such proviso. Where goods are sold under their trade name, merchantability still applies although fitness is excluded.

Exception (2) — s. 16(2): merchantable quality

BOUGHT BY DESCRIPTION
Same wide meaning as s. 15 — including goods picked off a counter.

FROM A DEALER IN THAT DESCRIPTION
A seller who **deals in goods of that description** — manufacturer or not. A private one-off sale is outside the section.

NOT MERCHANTABLE
The goods must fail the merchantability standard — and the proviso removes defects the buyer's examination *ought* to have revealed.

What 'merchantable quality' means

> *"The phrase in s. 14, sub-s. (2), is, in my opinion, used as meaning that the article is of such quality and in such condition that a reasonable man acting reasonably would after a full examination accept it under the circumstances of the case in performance of his offer to buy that article, whether he buys for his own use or to sell it again."*
> *— Farwell L.J., Bristol Tramways & Carriage Co. Ltd. v. Fiat Motors Ltd. [1910] 2 KB 831.*

Lord Wright, in **Case 32**, gave the gloss that DU actually examines:

> *"Whatever else merchantable may mean it does mean that the article sold, if only meant for one particular use in ordinary course, is fit for that use; merchantable does not mean that the thing is saleable in the market simply because it looks all right. It is not merchantable in that event if it has defects unfitting it for its only proper use but not apparent on ordinary examination: that is clear from the proviso…"*

And Bankes L.J. supplied the point that ties merchantability to the packaging, in *Niblett*: "Quality includes the state or condition of the goods… The labels were as much part of the state or condition of the goods as the tins were. The state of the packing affected the merchantable quality of the goods." Goods can be physically perfect and still unmerchantable, if they cannot lawfully be sold.

AN IMPORTANT STATUTORY CONTRAST WITH ENGLAND
The United Kingdom replaced 'merchantable quality' with '**satisfactory quality**' by the Sale and Supply of Goods Act 1994 (now s. 14(2) of the Sale of Goods Act 1979, with the s. 14(2A) 'reasonable person' test). **India has not followed.** The Sale of Goods Act, 1930 still uses the 1893 expression 'merchantable quality' in s. 16(2). For a DU answer, therefore, rely on *Bristol Tramways*, *Grant v. AKM* and *Niblett* — not on the modern English case-law on 'satisfactory quality', which is not authority on the Indian text.

Fitness (s. 16(1)) versus merchantability (s. 16(2))

Point	s. 16(1) — fitness for purpose	s. 16(2) — merchantable quality
What must be shown	A *particular* purpose, made known	No purpose need be disclosed
Reliance	Essential — must be brought home to the seller	Not required
Seller	Supplies in the course of his business	Deals in goods of that description
Standard	Reasonably fit for *that* purpose	Fit for *the ordinary purposes* for which such goods are bought
Proviso	Sale under patent or trade name → no implied condition	If the buyer examined the goods → no implied condition as to defects that examination *ought* to have revealed
Overlap	"In effect the implied condition of being fit for the particular purpose… and [that] of being merchantable **produce in cases of this type the same result**." — Lord Wright, *Grant*, p. 222	
Can goods be merchantable but not fit?	**Yes** — this is **2015 Q2(b)**. A pair of shoes may be perfectly merchantable (fit for the ordinary purpose of footwear) yet unfit for the particular purpose the buyer disclosed — Himalayan trekking. Conversely, goods may be fit for the disclosed purpose yet unmerchantable because they cannot lawfully be resold (*Niblett*).	

Exceptions (3) and (4)

- **s. 16(3) — usage of trade.** An implied warranty *or* condition as to quality or fitness may be **annexed by the usage of trade**. Note the drafting: this is the one place in s. 16 where the Act expressly contemplates an implied *warranty* as well as an implied *condition*. Read with s. 62, which lets usage *negative* an implied term as well.
- **s. 16(4) — express terms do not negative implied ones unless inconsistent.** So a seller who gives an express warranty of, say, mileage does not thereby lose the implied conditions of fitness and merchantability; he loses them only where the express term is *inconsistent* with the implied one. This is the statutory version of the rule applied in *Baldry v. Marshall*, where a clause disclaiming 'guarantee or warranty, statutory or otherwise' failed to exclude the implied condition.

Allied statutes that now overlay s. 16

Statute	Relevant provision	How it adds to s. 16
Consumer Protection Act, 2019	s. 2(9) 'defect'; s. 2(11) 'deficiency'; ss. 35–39 (Consumer Commissions); Chapter IV (product liability).	Gives a **consumer** a statutory remedy that does *not* depend on privity or on the SOGA. Where both apply, the consumer may choose. Note the definition of 'defect' is broader than 'unmerchantable'.
Sale of Goods Act, 1893 (UK)	s. 14 — the source of s. 16, in identical terms.	English decisions before 1930 (*Jones v. Just*, *Priest v. Last*, *Bristol Tramways*, *Wallis v. Pratt*, *Baldry*) are persuasive authority on the identical Indian text.
Food Safety and Standards Act, 2006	s. 3(1)(f) 'food'; s. 26 (responsibilities of the food business operator).	If goods are food, merchantability now carries a statutory floor — unsafe food is *per se* unmerchantable.
Drugs and Cosmetics Act, 1940	ss. 16–18 (standards of quality; misbranded, adulterated and spurious drugs).	A drug that is misbranded or adulterated is unmerchantable and, in addition, the seller has no 'right to sell' it (s. 14(a)).
Bureau of Indian Standards Act, 2016	Standard Mark; compulsory certification.	Goods required to carry an ISI mark and sold without it may be unmerchantable.
Legal Metrology Act, 2009	ss. 18–32 (pre-packaged commodities; declarations).	Net-quantity and MRP declarations are part of the 'description' for s. 15 purposes.
Indian Contract Act 1872, s. 17	Fraud — active concealment of a defect.	Where the seller conceals a latent defect, the buyer has an *additional* remedy in fraud; and the concealment prevents the s. 16(2) proviso from applying.

Statute	Relevant provision	How it adds to s. 16
Hire-Purchase Act, 1972, ss. 6–7	s. 6 — right of the hirer to purchase at any time before the final payment; s. 7 — rights and liabilities where the owner retakes possession.	Listed in the DU question-bank against Topic 6; the implied-conditions machinery applies *mutatis mutandis* once the hirer exercises the option to purchase.

§1.7 · Section 17 — Sale by sample

SECTION 17 — VERBATIM

"**Sale by sample.**—(1) A contract of sale is a contract for sale by sample where there is a **term in the contract, express or implied, to that effect**.
(2) In the case of a contract for sale by sample there is an implied condition—
(a) that the **bulk shall correspond with the sample in quality**;
(b) that the buyer shall have a **reasonable opportunity of comparing the bulk with the sample**;
(c) that the goods shall be free from any defect, **rendering them unmerchantable, which would not be apparent on reasonable examination of the sample**."

s. 17(1) is a definitional gate. The sale is by sample only where the contract so provides — expressly or by implication. The classic implication is the trade practice of the showroom: you pick from a swatch, a chip, a handful of grain, a test strip, and the goods are later delivered in bulk.

s. 17(2) then imposes three implied conditions, and note that **all three are conditions** — s. 17 does not use the word 'warranty' at all. Each does different work:

BULK = SAMPLE IN QUALITY
The delivered goods must match the sample. This is the sample analogue of s. 15's description condition. It is **not** enough by itself where the sale is also by description (s. 15, second limb).

OPPORTUNITY TO COMPARE
The buyer must be given a **reasonable opportunity** of comparing bulk with sample. The seller who tenders the bulk at the very end of the last delivery day breaches this — **that was held in Case 30**. What is reasonable is a question of **fact** (s. 63).

NO LATENT UNMERCHANTABILITY
The goods must be free of defects making them **unmerchantable** that reasonable examination of the *sample* would **not** have revealed. This is the overlap with s. 16(2) — and it is the condition that catches defects present in *both* the sample and the bulk.

WHY S. 17(2)(C) EXISTS AT ALL
Without (c), a seller could hand over a defective sample, deliver a bulk that faithfully reproduces the defect, and say 'the bulk corresponds with the sample'. Clause (c) closes that door: **matching the sample is no answer where the defect makes the goods unmerchantable and reasonable examination of the sample would not have shown it.** It is the sample-sale counterpart of the proviso to s. 16(2).

§1.8 · Section 62 — Exclusion of implied terms and conditions

SECTION 62 — VERBATIM

"**Exclusion of implied terms and conditions.**—Where any right, duty or liability would arise under a contract of sale **by implication of law**, it may be **negatived or varied** by **express agreement** or by the **course of dealing** between the parties, or by **usage**, if the usage is such as to bind both parties to the contract."

Three modes of exclusion, one precondition, and one important limit.

EXPRESS AGREEMENT
An exclusion clause in the contract. This is the mode used — and defeated — in *Wallis v. Pratt* and *Baldry v. Marshall*.

COURSE OF DEALING
A regular and consistent course of dealing between the same parties may import an exclusion even where the particular contract is silent.

USAGE
A trade usage — but only "if the usage is such as to **bind both parties**". A usage the buyer did not know is no answer.

The precondition: the term must arise 'by implication of law'

s. 62 reaches **only** terms the law implies — i.e. ss. 14, 15, 16, 17, and terms annexed by usage under s. 16(3). It does **not** touch terms the parties have expressly agreed. So where the parties have written an express promise into the contract, s. 62 is simply not engaged: the express term governs, read with s. 16(4) (an express term does not negative an implied one unless inconsistent).

The limit: the clause must actually reach conditions

This is the entire point of *Wallis v. Pratt* and it is worth stating precisely, because it is **2015 Q6(a)**:

> *"It is admitted that the language of the contract creates the obligation to deliver common English sainfoin, and that this has the status of a condition. It cannot, therefore, be affected or limited by a clause which only negatives the existence of warranties." — Fletcher Moulton L.J.; and in the House of Lords, Lord Alverstone C.J.: "when the sellers said that they gave no warranty they [did not mean] that they would not be responsible for any breaches of condition".*

The clause read: "Sellers give no warranty, express or implied, as to growth, description, or any other matters." The House held it did **not** exclude the implied condition under s. 13 of the 1893 Act (our s. 15) — even though, because the buyers had *accepted* the seed, their only remedy was in damages for breach of warranty. The condition survived as a condition; the remedy was confined. Contrast *Andrews v. Singer* [1934] 1 KB 17, where the draftsman had expressly included the word 'conditions' in the exclusion clause, and the exclusion succeeded.

THE THREE LIMITS ON S. 62 THAT DU LIKES

1. **Construction.** A clause negativing 'warranties' does not negative 'conditions' (*Wallis v. Pratt*).
2. **Consistency.** Under s. 16(4), an express term negatives an implied one only where the two are inconsistent.
3. **Fairness.** Where the exclusion is part of a standard-form contract and there is a gross inequality of bargaining power, the general law may still strike it down — ICA **s. 23** (unlawful object or consideration; opposed to public policy) and **s. 28** (agreements in restraint of legal proceedings void). And for consumers the **Consumer Protection Act, 2019** now supplies a statutory overlay.

§1.9 · Section 63 — Reasonable time a question of fact

SECTION 63 — VERBATIM

"**Reasonable time a question of fact.**—Where in this Act any reference is made to a **reasonable time**, the question what is a reasonable time is a question of **fact**."

Nine words of substance, and they do more work than they look like doing. 'Reasonable time' appears in the Act at four places that matter to this Topic:

Where	The 'reasonable time'	Consequence
s. 17(2)(b)	Opportunity to compare the bulk with the sample	Too little time = breach of an implied *condition* — *British Paints*

Where	The 'reasonable time'	Consequence
s. 24(b)	Goods sent on approval or 'on sale or return': the time for return where none is fixed	Property passes to the buyer on expiry
s. 42	Time within which the buyer must intimate rejection after delivery	Retention beyond it = **acceptance** → s. 13(2) reduces conditions to warranties
s. 52 / s. 55	Notice and performance periods in the remedies chapter	Affects the availability of the remedy

HOW BRITISH PAINTS USED S. 63 — AND WHY IT MATTERS IN AN EXAM

Mr. P.K. Sengupta, the Government Advocate, argued that the plaintiff "did not give sufficient time for inspection even". The Court accepted this, and grounded it in statute:

> *"It would appear from Section 17(2) of the Indian Sale of Goods Act that if the purchase was being made on the basis of a sample, some reasonable time must be given to the purchaser to find out if the goods offered were in accordance with the sample." DU p. 209, para 8*

On the facts: after manufacture the plaintiff had to notify the Inspector in Calcutta, he had to take samples, they had to be sent to Kanpur, and "the test alone would take at least three days" — all of which was within the plaintiff's knowledge. Yet the reconditioned second supply and the fourth and fifth instalments were offered on 29 April for a 30 April delivery date. **There was no reasonable time, and the tender was bad.**

§1.10 · Allied provisions — the consolidated table

Provision	Content	Where it fits in Topic 6
SOGA s. 2(14)	'Specific goods' — identified and agreed upon at the time the contract of sale is made.	Feeds s. 15: specific goods may still be sold *by description*.
SOGA s. 2(11)	'Property' means the *general* property, not merely a special property.	s. 14(a) is a promise about the general property.
SOGA s. 2(12)	'Quality" includes their state or condition.	The hook Bankes L.J. used in *Niblett* to bring the labels into 'merchantable quality'.
SOGA s. 3	The unrepealed provisions of the ICA 1872 continue to apply.	Brings in ss. 39, 55, 63, 73, 115.
SOGA ss. 38, 42, 43, 57, 58, 59	Instalments; acceptance; no need to return rejected goods; damages for non-delivery; specific performance; remedy for breach of warranty.	The remedy chapter that gives ss. 12–13 their bite.
Hire-Purchase Act 1972, s. 6(1)	Implied **warranties**: (a) quiet possession; (b) freedom from any charge or encumbrance in favour of a third party *at the time when the property is to pass*.	The hire-purchase mirror of SOGA s. 14(b)–(c).
Hire-Purchase Act 1972, s. 6(2)	Implied **conditions**: (a) the owner has a right to sell at the time when the property is to pass; (b) the goods are of *merchantable quality* — subject to four exceptions: defects the owner could not reasonably have known of; defects specified in the agreement; defects the hirer's examination of the goods or a sample ought to have revealed; and **second-hand goods where the agreement says so**.	The mirror of SOGA s. 14(a) and s. 16(2). Note the fourth exception has no SOGA equivalent.
Hire-Purchase Act 1972, s. 6(3)	Implied condition of **reasonable fitness** where the hirer, expressly or by implication, made known the particular purpose — *and* it is enough that in the course of any **antecedent negotiations** he made that purpose known to **any other person by whom those negotiations were conducted** (e.g. the dealer).	**Wider than SOGA s. 16(1)**, which requires the purpose to be made known to the seller himself, and which also requires reliance to be shown.
Hire-Purchase Act 1972, s. 6(4)–(5)	Sample: bulk will correspond; hirer will have a reasonable opportunity to compare (s. 6(4)). Description: goods will correspond; and where both sample and description apply, matching the sample is not enough (s. 6(5)).	Verbatim the scheme of SOGA ss. 15 and 17.
Hire-Purchase Act 1972, s. 6(6)	"An owner shall **not** be entitled to rely on any provision… excluding or modifying the condition set out in sub-section (3) unless he proves that before the agreement was made the provision was **brought to the notice of the hirer and its effect made clear to him**."	**A statutory override of SOGA s. 62** for the fitness condition. A superb one-line contrast in any answer on exclusion clauses.
Hire-Purchase Act 1972, s. 7	Limitation on hire-purchase charges. 'Statutory charges' are computed by the formula **SC = CI × R × T/100** at **30% per annum** (or such lower rate, not below 10%, as the Central Government notifies after consulting the RBI). Where the net hire-purchase charges exceed the statutory charges, the hirer may by written notice **elect to treat the agreement as void** or to have his liability reduced by the excess.	Listed against Topic 6 in the DU question-bank; it sits in the same chapter of the Act as s. 6.
Hire-Purchase Act 1972, s. 8	Property passes to the hirer only on completion of the purchase in the manner provided in the agreement.	Explains why s. 6 speaks of 'the time when the property is to pass' rather than of the date of the contract.
ICA 1872, ss. 23, 28	Objects and considerations opposed to public policy; agreements in restraint of legal proceedings void.	The outer limits of an exclusion clause under s. 62.
English Sale of Goods Act 1893, ss. 10–15, 53, 62	The source of SOGA ss. 11–17, 59 and 62 respectively.	Pre-1930 English decisions are persuasive on identical Indian text.

Part B — The Doctrine of Caveat Emptor

§2.1 · The rule and where it came from

Caveat emptor — "let the buyer beware". The maxim expresses the common-law position that, in a sale of goods, the seller is not answerable for the quality or fitness of what he sells unless he has expressly promised something about it. The buyer must look after himself: he may inspect, he may ask for an express warranty, and if he does neither he takes the risk.

In India the maxim is not merely a judge-made rule — it is **enacted**. The opening words of s. 16 are its statutory form: "Subject to the provisions of this Act and of any other law for the time being in force, **there is no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied under a contract of sale**, except as follows…". So **s. 16 is a code**: rule first, exceptions after.

> *"S. 14 begins by a general enunciation of the old rule of caveat emptor and proceeds to state by way of exception the two implied conditions by which it has been said the old rule has been changed to a rule of caveat venditor; the change has been rendered necessary by the conditions of modern*

> *commerce and trade."*
> *— Lord Wright, Grant v. Australian Knitting Mills, AIR 1936 PC 34.*

§2.2 · Why the rule made sense — and why it stopped making sense

The 2015 question puts the history in the examiner's own words, and the passage is worth knowing:

> *"The exceptions to the rule of Caveat Emptor have now become more prominent than the rule itself. The rule owes its origin to the times, when nearly all sales took place in the market. The buyer and the seller came face to face, the seller exhibited his wares, the buyer examined them and bought them if he liked. But as trade grew and assumed global dimensions, it became difficult for buyers to examine goods beforehand, most transactions being concluded by correspondence. Further on account of the complex structure of modern goods, it is only the sellers who can assure the co[ntents] and quality of goods." DU question paper, 2015 Q3*

That is the whole argument in four sentences, and *Jones v. Just* (Case 31) is the case that decided it. The buyer bought Manila hemp "to arrive" from Singapore. Nobody had seen it — not the buyer, not the seller, not even the shippers. The hemp had been wetted by seawater in a shipwreck between Manila and Singapore, unpacked, dried and repacked. It fetched 75% of the sound price. The seller's counsel, **Mr. Brett** (later Lord Esher M.R.), argued that the only term was that the bales should answer the description "bales of Manilla hemp", which they did, and that "as to quality or condition there was no warranty; that consequently the maxim *caveat emptor* applied".

Mellor J., delivering the judgment of the Court of Queen's Bench, rejected that, and the decisive sentence is the one to quote in every caveat-emptor answer:

> *"We are aware of no case in which the maxim, caveat emptor, has been applied where there has been no opportunity of inspection, or where that opportunity had not been waived."*

§2.3 · The exceptions — six of them, with the case for each

#	Exception	Statutory home	Leading case
1	**Fitness for a disclosed purpose**, with reliance on the seller's skill or judgment	s. 16(1)	*Priest v. Last*; *Baldry v. Marshall*; *Grant v. AKM*
2	**Merchantable quality**, where goods are bought by description from a dealer in that description	s. 16(2)	*Jones v. Just*; *Bristol Tramways v. Fiat Motors*; *Niblett*
3	**Correspondence with description**	s. 15	*Wallis v. Pratt*; *Re Moore & Landauer*
4	**Correspondence with sample**, plus opportunity to compare, plus freedom from latent unmerchantability	s. 17	*British Paints* (Case 30)
5	**Title, quiet possession and freedom from encumbrances**	s. 14	*Niblett*; *Rowland v. Divall*
6	**Conditions or warranties annexed by usage of trade**	s. 16(3)	See also s. 62 (usage may negative as well as annex)

To those six the general law adds two more, which are **not** in s. 16 but are regularly asked and must be stated:

- **Fraud or misrepresentation.** Where the seller actively conceals a defect or makes a false representation, *caveat emptor* never applied at all. ICA **ss. 17–19**. And, critically, fraud prevents the *proviso* to s. 16(2) from running: a defect the seller has concealed is not one the buyer's examination 'ought to have revealed'.
- **Where the buyer makes known his purpose and the seller undertakes to supply goods fit for it** — that is s. 16(1) itself, but it is worth restating because it is the exception that converts the rule into its opposite.

§2.4 · From caveat emptor to caveat venditor

The Latin tag for the modern position is *caveat venditor* — let the *seller* beware. Lord Wright used it in *Grant* and described the transition as "rendered necessary by the conditions of modern commerce and trade". In Indian law today the shift has three statutory layers:

1. **The Sale of Goods Act, 1930** — s. 16's exceptions, which are the original shift.
2. **The Consumer Protection Act, 2019** — 'defect', 'deficiency', 'unfair trade practice' and **product liability** (Chapter IV), which give a consumer remedies that do not depend on the SOGA at all and, in the product-liability action, do not depend on privity.
3. **Sectoral quality statutes** — the Food Safety and Standards Act 2006, the Drugs and Cosmetics Act 1940, the Legal Metrology Act 2009 and the Bureau of Indian Standards Act 2016, each of which fixes a statutory floor below which goods are simply not merchantable.

§2.5 · The 2015 question, in outline

2015 Q3 — "THE EXCEPTIONS … HAVE NOW BECOME MORE PROMINENT THAN THE RULE ITSELF"

Suggested structure (five paragraphs, about 400 words):

1. **State the rule** and its statutory home: s. 16's opening words; the buyer must inspect or bargain for a warranty.
2. **State the origin** in the face-to-face market, and quote the 2015 passage about correspondence trade and the complex structure of modern goods.
3. **Give the exceptions** — six statutory (s. 15, s. 16(1), s. 16(2), s. 16(3), s. 17, s. 14) plus fraud — each with *one* case.
4. **Give the limiting principle** from *Jones v. Just*: no *caveat emptor* without an opportunity of inspection.
5. **Conclude** that the rule is now the residual category and the exceptions the working law — the '*caveat venditor*' shift described by Lord Wright in *Grant*.

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #36 – #39

CASE #36 — DU LL.B. PRESCRIBED AUTHORITY

British Paints (India) Ltd. v. Union of India

AIR 1971 Cal. 393 · Calcutta High Court (Appellate Side) · S.K. Chakravarti J. · Time expressly made of the essence; an extension is a concession, not a downgrade to a warranty; and a tender that leaves no reasonable time to inspect against the sample is a bad tender.

FACTS

The **Union of India** invited tenders for the supply of paint described as "*compound recolouring Olive Green Scamic 314 for faded tents*", to **Specification Ind/32/7037**. The plaintiff company submitted a tender. The laboratory did not consider the sample up to the mark, but the higher authorities of the Defence Department accepted the tender and placed an order for **500 cwt.** at **Rs. 256 F.O.R. Calcutta per cwt.**

Under the contract the goods were to be **inspected by the Inspector at Calcutta**, and only if he was satisfied that they were up to the mark could the plaintiff dispatch them on receipt of the inspection notes. The original delivery date was **15 October 1952**; because some ingredients had to be indented from the United Kingdom, time was extended on the plaintiff's successive applications, finally to **30 April 1953**.

What happened to the five lots was this:

Lot	Quantity	Inspected	Outcome
First	9 cwt.	16–10–1952	**Accepted**, dispatched 5–12–1952
Second	59½ cwt.	16–03–1953	Rejected 22–04–1953; re-offered after reconditioning 30–04–1953; rejected again 19–05–1953
Third	150 cwt.	30–03–1953	**Accepted**, dispatched 17–04–1953
Fourth	188 cwt.	13–04–1953	Rejected 07–05–1953
Fifth	93½ cwt. (with the 59½ cwt. reconditioned lot)	30–04–1953	Rejected 19–05–1953

So the defendant had accepted **159 cwt.** and **341 cwt.** remained in dispute. By letter dated **1 May 1953** the defendant terminated the contract for failure to deliver by 30 April.

Before that letter arrived, **Mr. Bogh**, the plaintiff's Technical Director, had gone to Kanpur — where the tests were actually carried out — and was given every opportunity to see how the testing was done. Afterwards the plaintiff asked the Kanpur authorities to allow its chemist, **Mr. I.B. Ghosh**, to see why the goods were rejected. Mr. Ghosh went in the third week of May 1953 with a reconditioned sample; on **30 May 1953** the Kanpur authorities wrote to the Inspector in Calcutta, with a copy to the plaintiff, that the reconditioned sample was *"found to conform to the quoted particulars in all respects and is therefore acceptable"*.

There was further correspondence, but by letter dated **30 September 1953** the defendant intimated that its decision of 1 May 1953 was final and that the stores offered "were not in accordance with the terms of the Contract for quality." The plaintiff served notices, and the matter went to arbitration; the **arbitrators held that the Inspector's decision was final and binding** and that they therefore had no jurisdiction over the rejection.

The plaintiff then sued for **Rs 88,496** as damages (including storage charges) plus **Rs 5,228** interest — a total claim of **Rs 93,724**. The learned Subordinate Judge at Alipore **dismissed the suit** on all points. This was the appeal.

ISSUES

1. Is the plaintiff bound by the **Inspector's reports**, the contract providing that "the Inspector's decision as regards rejections aforesaid shall be final and binding on the parties"?
2. Were the **tests at Kanpur** carried out in accordance with the contract — in particular, were they done against the accepted sample **30/100**, or against a 'tinted slip' prepared months earlier; and had sample 30/100 been **destroyed**?
3. Was **time of the essence**, and had the extensions converted it into a **warranty**?
4. Had the defendant **waived quality** by the Kanpur authorities' letter of 30 May 1953?
5. Does **s. 23 of the Sale of Goods Act** apply?
6. Does the fact that the defendant **reserved a claim to liquidated damages** prevent it from cancelling the contract?

ARGUMENTS

For the plaintiff / appellant — Mr. Rabindra Mohan Mukherjee

- The Inspector **did not apply his mind** and merely "dittoed" what the Kanpur authorities wrote; his reports are therefore **perverse and arbitrary** and cannot bind the parties.
- The Kanpur tests were **not in accordance with the contract**: they compared the supplied material with *"a tinted slip prepared some months ago with the paint from the said sample No. 30/100"*, not with the sample itself at the time of examination.
- **Sample 30/100 had already been destroyed** — so no valid comparison was possible at all.
- The goods were specially manufactured for this tender and **could not be resold** in the market.
- An independent expert, **Mr. Monk**, tested the rejected supplies and reported that they were of the same quality as the tender sample 30/100, a duplicate of which the plaintiff firm had kept.
- **Time was not of the essence.** It had been extended again and again, which shows the Union of India treated the date as a *warranty and nothing more*; its unilateral cancellation was therefore itself an **anticipatory breach** entitling the plaintiff to damages.
- The Kanpur authorities found the reconditioned sample acceptable in May, so the defendant was not entitled to cancel — and **s. 23 of the Sale of Goods Act** applies.
- The defendant's own pleading relies on **liquidated damages**, which is inconsistent with cancelling the contract.
- Reliance was placed on *Burn & Co. v. Morvi State* (AIR 1925 PC 188) and particularly on *Hindusthan Construction Co. v. State of Bihar* (AIR 1963 Pat 254).

For the Union of India / respondent — Mr. P.K. Sengupta, Government Advocate

- Time was **expressly made of the essence** by the contract itself.
- The tests at Kanpur were carried on **in accordance with the rules**; the Inspector's reports were not arbitrary; the supplies were rejected because they were **not of the requisite quality**.
- Further, the plaintiff **did not give sufficient time for inspection even**. Under **s. 17(2)** of the Sale of Goods Act, where the purchase is on the basis of a sample, **some reasonable time must be given to the purchaser** to find out whether the goods offered accord with the sample. Here the plaintiff knew perfectly well that samples had to go from Calcutta to Kanpur and that *"the test alone would take at least three days"* — yet it offered the reconditioned second supply and the fourth and fifth instalments by letters dated 29 April, for a delivery date of 30 April.
- The contract condition (Ext. 3–C) defined 'delivery' as *"Delivery by the dates specified in the acceptance of tender of stores which are found acceptable by the Inspector"* — not the mere submission of stores. There was therefore **no delivery** by 30 April 1953.
- Under *Nune Siwayya v. Maddu* ((1935) 62 IA 89, 98 (PC)), a defendant who repudiates may rely on **any ground existing at the time of repudiation**, not only the ground he then stated.

DECISION — PER S.K. CHAKRAVARTI J.

The appeal was dismissed — "the defendant, therefore, was within its rights to repudiate the contract for the supply of the remaining portion of the goods, and this appeal therefore, must fail" — but, on the special facts, **each party was directed to bear its own costs**.

(1) The Inspector did apply his mind. Colonel Pillay gave evidence that he *"waited for 3 to 4 days to make up his mind after obtaining the reports from Kanpur"* and took other factors into account. There were no proper testing facilities in Calcutta; the procedure was to send samples to Kanpur and decide on their reports; and the Kanpur tests were done by experts, **Dr. Ranganathan and Dr. Balakrishnan**. "If the Inspector acted on the basis of such reports, it cannot be said that he did not apply his mind thereto."

(2) The tests were in accordance with the contract. Drs. Ranganathan and Balakrishnan deposed that they tested every sample against sample 30/100, including the three rejected supplies, and **emphatically denied that sample 30/100 had been destroyed**. Mr. Bogh, who visited on 1 May 1953, never asked whether it had been destroyed; he only wanted to see the method. No complaint was made in writing. The trial judge preferred the testimony of the two responsible officers to that of Mr. Ghosh, and the appellate court saw no reason to differ. "Under the rules so long as the Contract is alive they are bound to keep it".

Two further facts told against the plaintiff: it had itself written offering the 59½ cwt. *after reconditioning*, which "would also disclose that the supplies which had been made and rejected did not conform to the required specification"; and the contract required the test to be made by applying the sample *"to a piece of cotton dosootie or sheeting used in the manufacture of tents"* — **which the plaintiff never did**. As for the grievance that Kanpur used *scoured* rather than unscoured dosootie: "Scoured cotton dosootie is also cotton dosootie, and in the circumstances it cannot be said that the test carried on by the Kanpur authorities on scoured cotton dosootie would be inconsistent with the terms of the contract."

(3) Mr. Monk's evidence was rejected, for four reasons: he tested *in the absence of the defendant*; he tested *more than three years after* the articles were made and himself said they were not exactly of the same quality as before, something having evaporated; he did not apply the paint to any scoured dosootie or tent sheeting; and "what is worse, he took samples from each of the rejected barrels and made a **hotchpot** of the same, and then made the comparison." The Inspector's report is "final and conclusive".

(4) No waiver of quality. "At no stage was there any waiver of the quality." The contract was cancelled on 1 May 1953 by the Director-General of Supply; "the Kanpur authorities cannot extend the time of delivery, and therefore, this point also fails."

(5) Time was of the essence — the central holding.

The Court then met the 'extension = warranty' argument head-on. It accepted the general principle from *Gomathi Nayagam v. Palaniswami* (AIR 1967 SC 868) that an intention to make time of the essence "may be evidenced by either express stipulations or by circumstances which are sufficiently strong to displace the ordinary presumption", but held that the intention must appear from the agreement or from *antecedent* conduct:

And the extensions themselves did no work for the appellant. In its telegram and letter of 2/3 March 1953 the defendant made it clear that **"there would be no further extension of time"**. Moreover, applying *Md. Habidullah v. Bird & Co.* (AIR 1922 PC 178):

The two authorities the appellant relied on were distinguished. In *Burn & Co. v. Morvi State* the Privy Council had found, on the terms, that time *was* of the essence. In *Hindusthan Construction Co.* there was a provision for daily damages and the State of Bihar had not availed itself of its option to determine — "The facts in that case are entirely different from the facts of the present case wherein the plaintiff had asked for extension of time again and again and the defendant had **reluctantly** to agree thereto." The conclusion:

(6) The s. 17(2) / s. 63 point — the plaintiff never had a reasonable opportunity to have the goods inspected. This is the ground the Government Advocate argued and the Court accepted:

(7) The s. 23 argument failed. Mr. Mukherjee relied on **s. 23 of the Sale of Goods Act** on the footing that the Kanpur authorities had found the reconditioned sample acceptable in May. The Court held this could not help: the contract had been cancelled on 1 May 1953, and the Kanpur authorities had no power to extend the time for delivery.

(8) The repudiating party may rely on a ground not stated at the time. Following *Nune Siwayya v. Maddu* ((1935) 62 IA 89, 98 (PC)):

(9) The liquidated-damages point failed. Condition 3-C expressly gave the Secretary three liberties where stores are rejected: (a) allow resubmission within a time specified, (b) buy the rejected quantity elsewhere at the contractor's risk and cost, or (c) **terminate the contract** and recover the loss. "Therefore, it was within the rights of the defendant to terminate the contract." No claim for liquidated damages was actually made — the defendant had merely *reserved* the right, and the subsequent letter did not even refer to it.

(10) A note of sympathy, and costs. "we do not find that there has been any deliberate negligence on the part of the plaintiff. They had difficulties of their own, inasmuch as they had to import some of the ingredients, and the defendant itself was also responsible for some delay, inasmuch as, in the month of January it suddenly directed [the plaintiff] to supply the goods in galvanized sheets." But the goods were urgently required for military purposes. **Appeal dismissed; each party to bear its own costs.**

Note on the text: the DU Case Material prints "30th of September 1953" in para 10 where the sense requires "30th April 1953", and "directed the defendant" in para 13 where the sense requires "the plaintiff". These are printing errors in the reader; the reasoning is unaffected.

PRINCIPLES EVOLVED

1. **Express stipulation wins.** Where the contract says time is of the essence, it is. s. 11 limb 2 sends you to "the terms of the contract", and that is where you go.
2. **Extensions do not dilute the term.** Granting an extension is a *concession*. Under **s. 55 ICA** the buyer who extends still recovers damages if the extended date is missed. An extension is not an election to treat the date as a warranty.
3. **Intention must be antecedent.** You read the intention from the agreement or from conduct *before* the contract — never from what parties did afterwards.
4. *Hindusthan Construction* **is not a general licence.** A liquidated-damages clause plus a failure to exercise an option may show time was not of the essence on those facts; it does not do so where the seller begged for extensions and the buyer "reluctantly" agreed.
5. **s. 17(2) is a real obligation.** A sale by sample carries an implied *condition* that the buyer will have a **reasonable opportunity** of comparing bulk with sample; and by **s. 63** what is reasonable is a **question of fact**. A tender on the last day, where the test alone takes three days, is not a tender at all.
6. **A repudiating party is not locked into his stated ground.** *Nune Siwayya*: he may rely on any ground that existed at the time.
7. **An expert clause is a clause like any other.** Where the contract makes an Inspector's decision final, the courts will not interfere unless the decision is *perverse or arbitrary* — i.e. unless he did not apply his mind or acted outside the contract.
8. **A rejection does not require the buyer to choose only one path.** The contract may give cumulative options (resubmission, risk purchase, termination); reserving liquidated damages does not waive the right to terminate.

CASE #37 LEADING COMMON-LAW AUTHORITY (S. 13)

Wallis, Son & Wells v. Pratt & Haynes

[1911] AC 394 · [1911] UKHL 620 · House of Lords, 5 May 1911 · Lord Loreburn L.C., Lord Alverstone C.J., Lord Atkinson, Lord Gorell · Reversing the Court of Appeal (Vaughan Williams and Farwell L.JJ.; Fletcher Moulton L.J. dissenting) · A clause excluding 'warranties' does not exclude 'conditions'. And when s. 13 confines a condition to a warranty remedy, the term remains a condition — only the remedy changes.

FACTS

The appellants (buyers, seed merchants) bought seed from the respondents (sellers) described in the written contract as **'common English sainfoin'**. The contract carried the now-famous proviso:

> *"Sellers give no warranty, express or implied, as to growth, description, or any other matters."*

What was delivered was **'giant sainfoin'** — a different and inferior seed. The buyers did not discover this; they **accepted** the seed and resold it to third parties as common English sainfoin. They were then obliged to pay damages to their sub-buyers, and sought to recover that amount from the sellers.

A first-instance judgment in the buyers' favour was **reversed by the Court of Appeal** by a majority (Vaughan Williams and Farwell L.JJ., with Fletcher Moulton L.J. dissenting). The buyers appealed to the House of Lords. As Lord Loreburn observed at the outset, "two Judges have been in favour of the appellants and two in favour of the respondents, and therefore it is impossible to doubt that there must be room for controversy".

ISSUES

1. Was the **description** 'common English sainfoin' a *condition* or a mere *warranty* of the contract?
2. Did the exclusion clause — which mentioned only **warranties** — relieve the sellers of liability for breach of that **condition**?
3. Where a buyer has **accepted** the goods, so that the breach of condition can only be treated as a breach of warranty, **what exactly happens to the term**?

ARGUMENTS

For the buyers (appellants)

- It was admitted — and the House recorded it as admitted — that the contract required common English sainfoin to be delivered, and that this obligation "has the status of a **condition**".

For the sellers (respondents)

- They had expressly stipulated that they gave 'no warranty, express or implied, as to growth, description, or any other matters'. The word

- A clause which only negatives **warranties** "cannot… be affected or limited by a clause which only negatives the existence of warranties" (Fletcher Moulton L.J.).
- Statutorily, s. 13 of the 1893 Act (our **s. 15**) uses the word *condition*, not warranty: "Where there is a contract for the sale of goods by description, there is an implied **condition** that the goods shall correspond with the description."
- The seeds delivered were "a thing as distinct in agricultural knowledge from common English sainfoin as in ordinary commerce a silver watch would be distinct from a gold watch".

'description' appears in the clause, and the buyers' complaint is precisely about description.

- Once the buyers had **accepted** the seed, s. 11(1)(c) of the 1893 Act (our **s. 13(2)**) meant the breach could only be treated as a breach of warranty — and the contract had excluded warranties. Nothing was left to sue on.
- In the Court of Appeal the majority accepted that the word 'warranty' was used by these commercial men in an "ambulatory sense", covering whatever remedy the buyer happened to be left with.

DECISION — HOUSE OF LORDS

Appeal allowed. The respondents' failure to supply common English sainfoin **amounted to a breach of condition**, which, notwithstanding the terms of the contract, entitled the appellants to recover the amount of their loss. The judgment of the Chief Justice was restored. The petition for leave to adduce further evidence was dismissed without costs.

Lord Loreburn L.C. gave the passage that DU asks about. It must be quoted in full:

> *"If a man agrees to sell something of a particular description he cannot require the buyer to take something which is of a different description, and a sale of goods by description implies a condition that the goods shall correspond to it. But if a thing of a different description is accepted in the belief that it is according to the contract, then the buyer cannot return it after having accepted it; but he may treat the breach of the condition as if it were a breach of warranty — that is to say, he may have the remedies applicable to a breach of warranty. That does not mean that it was really a breach of warranty or that what was a condition in reality had come to be degraded or converted into a warranty. It does not become degraded into a warranty ab initio, but the injured party may treat it as if it had become so, and he becomes entitled to the remedies which attach to a breach of warranty." Lord Loreburn L.C., Wallis v. Pratt, [1911] AC 394, 396*

Lord Alverstone C.J. added the drafting point. He walked through the statute — s. 62 (the definition of 'warranty'), s. 11(1)(a) and (b) (our s. 13(1) and s. 12(4)) and s. 13 (our s. 15) — and concluded:

> *"it is quite impossible to suggest that in the year 1906, when these parties made a contract whereby they required that the goods should be common English sainfoin, and the sellers put in a stipulation that they would not give any warranty, express or implied, it was intended that it was always to be understood that they were not making themselves liable in regard to any condition as to the goods or for the consequences of a breach."*

And on the sellers' 'ambulatory' reading of the word: "I do not think that these two English commercial men meant 'warranty' in a sense of any greater refinement than the breadth of the definition in the Sale of Goods Act."

Fletcher Moulton L.J. in the Court of Appeal had supplied the definition of 'condition' recognized in Indian law, and the House approved it:

> *"There are some [obligations] which go so directly to the substance of the contract, or, in other words, are so essential to its very nature, that their non-performance may fairly be considered by the other party as a substantial failure to perform the contract at all." Fletcher Moulton L.J., [1910] 2 KB 1003, 1012*

PRINCIPLES EVOLVED

1. **Condition and warranty are different categories with different remedies.** A clause that names one does not automatically reach the other.
2. **Exclusion clauses are construed against the party relying on them, and against the statutory background.** Where the Act calls something a 'condition', a clause speaking only of 'warranties' will not exclude it. (*Contrast Andrews v. Singer* [1934] 1 KB 17, where the draftsman expressly included 'conditions' and the exclusion succeeded.)
3. **s. 13 changes the remedy, not the term.** This is the answer to 'once a condition, always a condition': the classification is permanent; the *remedy* is what is confined.
4. **Description goes to the root.** Delivering a different article is *not* a collateral matter, and it is emphatically not 'collateral to the main purpose of such contract' within the statutory definition of a warranty.
5. **The sub-buyer's damages are recoverable.** The buyers recovered what they had to pay their own customers — a straightforward application of the first limb of *Hadley v. Baxendale* (ICA s. 73).

CASE #38 DU LL.B. PRESCRIBED AUTHORITY

Jones v. Just

(1868) 3 Q.B. 197 · Court of Queen's Bench (Mellor J., delivering the judgment of the Court; Blackburn J. at nisi prius) · English · headnote under the syllabus rubric "Doctrine of Caveat Emptor" · "Where there is no opportunity to inspect the commodity the maxim, caveat emptor, does not apply" — and the measure of damages gives the buyer the benefit of a rising market.

FACTS

The plaintiffs, through their brokers **Messrs. Beneke & Co.**, contracted with the defendant for the purchase of a quantity of **Manila hemp, 'to arrive'**. The shipping documents were duly delivered and the price was paid.

All the vessels named in the contract arrived in due course, with the respective numbers of bales having marks corresponding to those specified in the contract on board, and the bales were delivered to the plaintiffs.

On examination it was found that the whole of those marked J.H.V. were in such a state as to afford strong evidence that they had at some time — probably from a shipwreck when on the voyage from Manilla to Singapore — been wetted through with salt water, had afterwards been unpacked and dried, and then repacked in the bales which were afterwards shipped at Singapore.

Manila hemp is divided into several qualities. The hemp in the bales in question, if in good condition, would have been what is called "*fair current Manilla hemp*" — not the lowest quality. In all the bales the hemp was damaged to some extent, **though not so far as to make it lose the character of hemp**.

After correspondence, the hemp was sold by auction by the plaintiffs' orders as "*Manilla hemp, with all faults*", and realised about **75 per cent** of the price which similar hemp would have fetched if undamaged. The price of hemp had risen considerably since the contract, so that the proceeds of the sale were very nearly equal to the invoice price.

There was no attempt to show that the defendant knew of the state in which the hemp had been shipped at Singapore.

ISSUES

1. In a contract to supply goods of a specified description **which the buyer has no opportunity to inspect**, is there an implied term that the goods shall be not merely of that description but **merchantable** under it?
2. Does *caveat emptor* apply to such a contract?
3. If there was a breach, what is the **measure of damages**?

ARGUMENTS

For the plaintiffs (buyers)

- The sale was of goods *to arrive*, and **neither party had any opportunity of inspecting** them before shipment. That is the whole commercial premise of the contract.
- Where goods are supplied under a particular description and cannot be inspected, the cases establish an implied term that they must be **saleable or merchantable under that description**: *Gardiner v. Gray* (waste silk — "a right to expect a saleable article answering the description in the contract"); *Laing v. Fidgeon*; *Shepherd v. Pybus*; *Bigge v. Parkinson*.
- The fifth class of case identified by the Court is precisely this one: a seller who supplies goods the buyer has had no opportunity of inspecting must supply a **merchantable article**.
- The defendant sold to arrive but purchased from the shippers, and "must at least have purchased from them, and had **recourse against them** for not supplying an article reasonably merchantable". There is no hardship in passing that liability down the chain.
- On damages: the true measure puts the plaintiffs "**in the position in which they would have been if the contract had been fulfilled**" — i.e. the difference between the value on arrival and the value the hemp would have had if shipped sound, which gives them the benefit of the rise in the market.

For the defendant (seller) — Mr. Brett

- At the close of the plaintiffs' case, Mr. Brett contended that in point of law, under this written contract, "there was **no further condition or warranty than that the bales on their arrival should answer the description of bales of Manilla hemp**, which they did, as was proved by the fact that the hemp, though sold with a stigma upon it, fetched a price only 25 per cent below that of sound hemp".
- "as to **quality or condition there was no warranty**; that consequently **the maxim caveat emptor applied**."
- There was **no fraud**; both parties were equally ignorant of the past history and actual condition of the article; neither had the opportunity of inspecting it. It was therefore the duty of the vendees to stipulate for a merchantable article if that was what they intended to contract for.
- On the authorities, this was simply the sale of a specific article by a person who was not the manufacturer or producer, in which even a **latent** defect not discoverable on examination is the buyer's risk: *Parkinson v. Lee*.
- *Turner v. Mucklow* — a sale of 'spent madder' where the buyer had not inspected before delivery and could not make marketable garancine from it — was **exactly this case**, and the direction there had been held right.
- The Scottish statute **19 & 20 Vict. c. 60, s. 5** showed the legislature's own view of the law: without knowledge of a defect, and absent express warranty or an express sale for a specified purpose, "the goods with all faults shall be at the risk of the purchaser".
- Chancellor **Kent's** opinion supported the seller.
- On damages, he contended the measure should at most be the difference between the value of the article actually delivered (fair average Manilla hemp in a damaged state) and the value of **sound Manilla hemp of the lowest quality** which might have been supplied at Singapore.

DECISION — PER MELLOR J.

Rule discharged. The Court held that "**Blackburn J.'s direction was substantially correct**", that "the maxim of *caveat emptor* cannot apply", and that the damages had been correctly measured.

(a) The trial direction. Blackburn J. had told the jury that the question was "whether what was supplied under this contract was, when shipped at Singapore, such as to answer the description of **reasonably merchantable Manilla hemp**, that being the warranty which, I think, the law implies in a contract to supply, as this is: though it would be different in a **sale of specific things which the purchaser might examine, or of things sold by sample**."

(b) The five-fold classification. Mellor J. said that "The cases which bear upon the subject do not appear to be in conflict, when the circumstances of each are considered. They may, we think, be classified as follows":

Class	Situation	Result	Authority
First	Goods **in esse**, inspectable by the buyer, no fraud — even where the defect is latent and not discoverable, at least where the seller is **neither the grower nor the manufacturer**	*Caveat emptor* **applies.** "if he distrusts his own judgment he may if he chooses require a warranty"	*Parkinson v. Lee* (2 East, 314); *Emmerton v. Mathews* (31 L.J. Ex. 139 — diseased meat in a market)
Second	Sale of a **definite existing chattel specifically described**, the actual condition of which is capable of being ascertained by either party	**No implied warranty**	*Barr v. Gibson* (3 M. & W. 390)
Third	A **known, described and defined article** ordered of a manufacturer, though stated to be required for a particular purpose: if the known, described and defined thing is actually supplied	**No warranty** that it shall answer the particular purpose intended	*Chanter v. Hopkins* (4 M. & W. 399)
Fourth	A manufacturer or dealer contracts to supply an article **which he manufactures or produces, or in which he deals**, to be applied to a particular purpose, so that the buyer **necessarily trusts to the judgment or skill** of the manufacturer or dealer	**Implied term or warranty** that it shall be reasonably fit for that purpose	*Brown v. Edgington* (2 Man. & G. 279)
Fifth	A manufacturer undertakes to supply goods manufactured by himself, or in which he deals, **but which the vendee has not had the opportunity of inspecting**	**Implied term that he shall supply a merchantable article**	*Laing v. Fidgeon* (4 Camp. 169); *Shepherd v. Pybus* (3 Man. & G. 868 — a barge afloat, not completely rigged, seen only when built)

(c) The step the Court then took. Having classified the cases, Mellor J. asked why the fifth class should stop at manufacturers:

The answer, supplied by *Bigge v. Parkinson* (31 L.J. Ex. 301), was that it **is** so implied.

(d) The decisive sentence.

(e) The holding on the facts.

(f) Distinguishing *Turner v. Mucklow*. In that case the plaintiffs were calico printers who sold the defendant, a drysalter and dye-extract manufacturer, a boat-load of 'spent madder' from the refuse heap in their yard. The garancine made from it was unmarketable. Martin B. had said "no direction was ever more correct". Mellor J. distinguished it on three facts:

(g) The Scottish statute and Chancellor Kent. On 19 & 20 Vict. c. 60, s. 5, Mellor J. observed that it "applies only to Scotland" and that on examination "it does not appear to bear out that view" — all it declares is that a seller without knowledge of a defect "shall not be held to have warranted their quality or sufficiency". As to Kent: "as the American cases which he cites are generally adverse to his opinion, it can at most be said that the opinion of an eminent writer is opposed to the authority of the cases which he cites".

(h) Damages. The jury had been told to measure damages "by the rate which the hemp was worth when it arrived compared with the rate which the same hemp would have realised, had it been shipped in the state in which it ought to have been shipped: **thus, in effect, giving the plaintiffs the benefit of the rise in the market**". The Court upheld this: "if the contract had the effect which the direction stated it to have, the true measure of the damages was given, as it **put the plaintiffs in the position in which they would have been if the contract had been fulfilled**". Mr. Brett's proposed measure — sound hemp of the *lowest* quality — was rejected.

(i) The reason at the root of it.

PRINCIPLES EVOLVED

1. *Caveat emptor* **requires an opportunity to inspect.** This is the master-principle, and it is the sentence the Faculty has put in your reader for a reason. "Where there is no opportunity to inspect the commodity the maxim, *caveat emptor*, does not apply" (Lord Ellenborough, quoted at p. 213).
2. **Description carries merchantability with it.** In every contract to supply goods of a specified description which the buyer cannot inspect, the goods must both *answer the description* and *be merchantable under it*. That is the ancestor of India's **ss. 15 and 16(2)** read together.
3. **The five-fold classification is still the map.** It tells you exactly when *caveat emptor* applies (classes 1–3) and when an implied term arises (classes 4–5).
4. **No opportunity of inspection is the organising idea, not the identity of the seller.** Mellor J. expressly extended the manufacturer's implied term to "a sale by a merchant to a merchant".
5. **Reliance is inferred from helplessness.** "the buyer must be taken to have trusted to the judgment, knowledge, and information of the seller, as it is clear that he could exercise no judgment of his own" — the direct ancestor of Lord Wright's reliance reasoning in *Grant*.
6. **Damages put the buyer in the position of performance.** Where the market has risen, the buyer gets the benefit; the measure is not limited to the cheapest conforming substitute.
7. **Ignorance is no defence for the seller.** "There was no attempt to shew that the defendant knew" — and it made no difference. The implied term is strict, not fault-based. (Contrast the manufacturer's liability, which is in *tort* and which *Grant* held did require negligence.)

CASE #39 DU LL.B. PRESCRIBED AUTHORITY

Richard Thorold Grant v. Australian Knitting Mills, Ltd.

AIR 1936 PC 34 · [1936] AC 85 · Privy Council (Lord Wright, delivering the advice of the Board) · On appeal from the High Court of Australia, restoring Sir George Murray C.J. · marginal note in the reader: "Section 16 — Reliance by buyer on seller's skill" · Woollen underwear carrying hidden sulphites: both implied conditions broken; the retailer liable in contract without negligence, the manufacturer liable in tort for it.

FACTS

The plaintiff. The appellant was "a fully qualified medical man practising at Adelaide in South Australia".

The purchase. On **3 June 1931** he bought from the shop of the respondents **John Martin & Co., Ltd.** (the *retailers*, who dealt in such goods) **two pairs of underpants and two singlets**. The retailers had in ordinary course bought them with other stock from the respondents **Australian Knitting Mills, Ltd.** (the *manufacturers*). The garments were of the manufacturers' make known as **'Golden Fleece'**.

The onset. He put one suit on the morning of **Sunday, 28 June 1931**. By the evening he felt itching on the ankles; no objective symptoms appeared until the next day, when redness appeared on each ankle, in front, over an area of about **2½ inches by 1½ inches**. He treated himself with calamine lotion but scratched until he bled.

The second suit. On **Sunday, 5 July** he changed into the other set; the first was washed. He changed again the following Sunday into the washed set and sent the others to the wash; he changed again on **12 July**.

The diagnosis. His skin trouble got worse but **he did not attribute it to the underwear** until **13 July**, when he consulted a dermatologist, **Dr. Upton**, who advised him to discard the underwear. He did so, returning the garments to the retailers with the intimation that they had given him dermatitis. By then **one set had been washed twice and the other once**.

The illness. He got worse and worse: confined to bed from **21 July for seventeen weeks**; the rash became generalised and very acute. In November he became convalescent and went to New Zealand to recuperate; he returned the following February and resumed practice, but soon relapsed; by March his condition was so serious that in April he went into hospital, where he remained until July. **Dr. Upton was his medical attendant throughout**; **Dr. de Crespigny** also attended from 22 July 1931. "The illness was most severe, involving acute suffering and at times Dr. Upton feared that his patient might die."

The litigation. He commenced the action in **April 1932**; it was tried in and after November 1932, and **the trial lasted twenty days**. **Sir George Murray, Chief Justice of South Australia**, gave judgment against *both* respondents for **£2,450 and costs**. The **High Court of Australia set that judgment aside by a majority**: **Evatt J. dissented** (agreeing with the Chief Justice); **Dixon J.**, with whom **McTiernan J.** concurred, thought the evidence was "not sufficient to make it safe to find for the appellant" (not that there was none); **Starke J.** accepted substantially all the Chief Justice's detailed findings but differed from him on his general conclusions of liability.

The cause of action pleaded was that the disease "was caused by the presence in the cuffs or ankle ends of the underpants … of an irritating chemical, viz., **free sulphite**, the presence of which was due to **negligence in manufacture**, and also involved on the part of the retailers a breach of the relevant **implied conditions under the Sale of Goods Act**."

ISSUES

1. Was the dermatitis **of external origin**, or was it *dermatitis herpetiformis* (generally regarded as of internal origin)?
2. Was the appellant's **skin normal**, or was he abnormally sensitive — so that the mischief was "attributable to the appellant's own physical defect and not to any defect in the garments"?
3. Was there in the garments "a **detrimental quantity of any mischievous chemical**"?
4. Were the **retailers** liable in **contract** under s. 14 of the South Australian Sale of Goods Act, 1895 (in identical terms with s. 14 of the English Act of 1893 — which is our **s. 16**)?
5. Were the **manufacturers** liable in **tort**, there being no privity of contract between them and the appellant?

ARGUMENTS

For the appellant (the doctor / buyer)

- The disease was **external** in origin. Dr. Wigley, "a very eminent dermatologist", was "confident that in the appellant's case the origin of the disease was external"; and the symptoms and course of the disease, described by the two doctors who attended him, were decisive against *dermatitis herpetiformis* — that disease "present[s] in general certain characteristic features, in particular bullae or blisters and symmetrical grouping of the inflammatory features, **which were never present in the appellant**".
- **The place and time of the original infection point to the garments**: the inflammation began "at the front of the shins where the skin is drawn tight over the bone, and where the cuff of the pants presses tightly under the socks against the skin, and began about **nine or ten hours after the pants were first put on**".
- It was **admitted in the respondents' Answers to Interrogatories** that the garments, when delivered by the manufacturers to the retailers, **contained sulphur dioxide** — and the presence of sulphur dioxide

For the respondents — Mr. Greene

- The dermatitis was "initially produced and was of the type described as **herpetiformis**, which is generally regarded as of internal origin" — a contention "strenuously advanced".
- Alternatively the disease "may have been contracted by the appellant from some external irritant the presence of which argued **no imperfection in the garments** but which only did harm *because of the appellant's peculiar susceptibility*": mechanical irritation of the wool, or a chemical "something in itself harmless … so that the mischief was attributable to the appellant's own physical defect and not to any defect in the garments". "the respondents … could not be held responsible for anything in the garments which would not be harmful in normal use."
- The appellant had **suffered from tuberculosis**, which "weakens the resistance of the skin and lowers the patient's vitality" — though "this contention did not appear to be established".

indicated the presence of free sulphites. Sweat "combines with the free sulphites to form successively sulphur dioxide, sulphurous acid and **sulphuric acid**" — "an irritant which would produce dermatitis in a normal skin if applied in garments under the conditions existing".

- **Professor Hicks**, "a very eminent scientist", gave his opinion that the garments **before washing** must have had sulphites in considerably greater quantity; and Mr. Anderson's tests were of each garment *as a whole*, whereas the relevant parts were the **ankle ends**.
- His skin was normal: he "had habitually up to the material time worn woolen undergarments without inconvenience", and his doctors' experiment — placing a piece of scoured wool on a clear area of his skin — produced "no trace of irritation".
- The retailers are liable under **both** exceptions to s. 14: the garments were "naturally intended and only intended to be worn next the skin", so the purpose was made known by implication; and they were not merchantable.

- It was **"crucial"** for the appellant to prove by positive evidence that the garments he wore contained an excess of free sulphites. His case "**involved arguing in a circle**": the garments must have caused the dermatitis because they contained excess sulphites, and must have contained excess sulphites because they caused the dermatitis — "**nought added to nought still is no more than nought**".
- Mr. Anderson's analyses found only 0.0070, 0.0082 and 0.0201 per cent sulphur dioxide, and a nil return in one singlet — "not such as to show quantities likely to cause irritation". **Dr. Hargreaves**, for the manufacturers, found "only negligible quantities".
- The manufacturers' secretary deposed that in the previous six years they had treated by a similar process **4,737,600 garments**, sold to drapers throughout Australia, "and he had no recollection of any complaints".
- As to the manufacturers: **there is no privity of contract** between them and the appellant. "the manufacturers … parted once and for all with the garments when they sold them to the retailers"; "at no time … had they any knowledge of the existence of the appellant"; the contractual relationships "covered the whole field and excluded any question of tort liability".
- *Donoghue v. Stevenson* (1932 AC 562) is distinguishable: it was "a case of food or drink to be consumed internally"; and there the makers "had retained **'control'** over it in the sense that they had placed it in **stoppered and sealed bottles**, so that it would not be tampered with", whereas these garments "were merely put into paper packets, each containing six sets".
- If *Donoghue* were "extended even a hairsbreadth, no line could be drawn" — he instanced a foundry that had cast a rudder for a liner with a latent defect, which broke years later, wrecking the vessel: "the maker of the rudder would be held liable for damages of an indefinite amount, after an indefinite time and to claimants indeterminate until the event".

DECISION — PER LORD WRIGHT

Appeal allowed with costs here and in the Courts below; the judgment of the Chief Justice restored against both respondents; the petition for leave to adduce further evidence dismissed without costs.

(1) External origin — yes. "their Lordships are of opinion that the disease was of external origin." The herpetiformis contention "may now be taken to have failed: it has been rejected by the Chief Justice at the trial and in the High Court, by Starke and Evatt, JJ., and, in effect also, by Dixon and McTiernan, JJ."

(2) Normal skin — yes. The Chief Justice's finding was upheld: he habitually wore wool next to the skin without inconvenience; the scoured-wool experiment produced no irritation; the tuberculosis contention "did not appear to be established"; and the admitted fact that his skin had since become 'allergic' "could throw no light on the original skin condition".

(3) Free sulphite — yes, and on circumstantial evidence. Mr. Greene's 'nought added to nought' argument was rejected in one of the most quotable passages in the reader:

And: "it is admitted … that some sulphites were present in the garments, and **there is nothing to exclude the possibility of a quantity sufficient to do the harm**". The onus was on a defendant who contends on appeal that a judgment should be upset: "he has to show that it is wrong". The Board was "not satisfied … that the Chief Justice was wrong".

(4) The retailers — liable in contract, under BOTH exceptions. Mr. Greene had conceded liability under exception (ii) (merchantable quality) but not (i) (fitness). Lord Wright held both, "out of deference to the views expressed in the Court below".

(The word 'rather' in the reader is a printing slip for 'not' — "Golden Fleece is *not* a patent or trade name" is what the sentence means, and is what the Board held.)

Finally, on the standard of liability: "so far as [the retailers] are concerned, **no question of negligence is relevant to the liability in contract**."

(5) The manufacturers — liable in tort. "between them the liability, if any, must be in tort, and **the gist of the cause of action is negligence**."

The manufacturing process itself mattered: of the six processes, the second (shrinking, with calcium hypochloride and hydrochloric acid), the third (removal with a solution of **bisulphite of soda**) and the fourth (neutralisation with **bicarbonate of soda**) were decisive. "If the fourth process did not neutralise the added bisulphite, **free sulphites would remain**, which the subsequent washing might not entirely remove." The foreman scourer Smith was not called; the scourer Ashworth said "they had to be very careful that there was no excess of one chemical or the other". Professor Hicks's experiment — agitating a singlet in unheated water for two minutes and finding **0.11 per cent** sulphite — showed that "however well designed the manufacturers' proved systems may be to eliminate deleterious substances **it may not invariably work according to plan. Some employee may blunder**."

On *Donoghue v. Stevenson* (1932 AC 562). The Board applied it, quoting Lord Atkin at p. 599 — a manufacturer who sells products "in such a form as to show that he intends them to reach the ultimate consumer in the form in which they left him **with no reasonable possibility of intermediate examination**." Every one of Mr. Greene's attempts to distinguish it failed:

- **Food versus external application:** "No distinction, however can be logically drawn for this purpose between a noxious thing taken internally and a noxious thing applied externally… indeed Lord Atkin specifically puts as examples of what is covered by the principle he is enunciating things operating externally, such as **'an ointment, a soap, a cleaning fluid or cleaning powder'**."
- **Control / sealed bottle:** "The decision in (1932) AC 562 **did not depend on the bottle being stoppered and sealed**: the essential point in this regard was that **the article should reach the consumer or user subject to the same defect as it had when it left the manufacturer**." And "Nothing happened between the making of the garments and their being worn to change their condition" — they were "made by the manufacturers for the purpose of being worn exactly as they were worn in fact", and "it was not contemplated that they should be first washed".
- **'Privity' and 'proximity':** "the use of the word 'privity' in this connexion is apt to mislead because of the suggestion of some overt relationship like that in contract… proximity can only properly be used to exclude any element of remoteness". "Equally also may the word 'control' embarrass" — it is used only "to emphasise the essential factor that the consumer must use the article exactly as it left the maker, that is in all material features, and use it as it was intended to be used".
- **Indefinite liability:** the rudder hypothetical was met with remoteness and directness: "So many contingencies must have intervened between the lack of care on the part of the makers and the casualty that it may be that the law would apply… the rule that **cause and effect must not be too remote**: in any case **the element of directness would obviously be lacking**." And "It is enough now to say that their Lordships hold the present case to come within the principle of (1932) AC 562."
- **Two causes of action, one damage:** "It is immaterial that the appellant has a claim in contract against the retailers, because that is **a quite independent cause of action, based on different considerations, even though the damage may be the same**. Equally irrelevant is any question of

liability between the retailers and the manufacturers on the contract of sale between them. **The tort liability is independent of any question of contract.**"

PRINCIPLES EVOLVED

1. **Reliance is usually inferred, and inferred from the shop itself.** "A buyer goes to the shop in the confidence that the tradesman has selected his stock with skill and judgment." There is no need to prove an express statement of reliance.
2. **Goods with one ordinary use disclose the purpose by implication.** Underwear is "naturally intended and only intended to be worn next the skin", and that *is* the 'particular purpose' within s. 16(1). This is *Priest v. Last* applied.
3. **The trade-name proviso is narrow.** A brand or make name such as 'Golden Fleece' is not enough to exclude the implied condition where the buyer relied on the seller. This is *Baldry v. Marshall* applied.
4. **'Merchantable' means fit for the purpose, not merely saleable.** "merchantable does not mean that the thing is saleable in the market simply because it looks all right" — the sentence to quote whenever s. 16(2) is in issue.
5. **The proviso to s. 16(2) protects only what examination could have revealed.** A hidden chemical is outside it.
6. **There is a sale by description even over the counter.** Goods displayed in a shop are still sold as 'a thing corresponding to a description' — so **s. 15** and **s. 16(2)** both apply to ordinary retail purchases.
7. **Fitness and merchantability overlap and usually produce the same result** in the single-use-goods case.
8. **Contractual liability under s. 16 is strict.** "no question of negligence is relevant to the liability in contract". The retailer is liable though he could not possibly have detected the defect.
9. **The manufacturer's liability is in tort and does require negligence** — but negligence may be *inferred* from the existence of the defect taken with all the known circumstances; the plaintiff need not identify the individual at fault.
10. **The contract and tort claims are independent** and may be pursued together for the same damage, without double recovery.
11. **Circumstantial evidence suffices.** "Pieces of evidence, each by itself insufficient, may together constitute a significant whole" — a proposition about evidence that travels well beyond sale of goods.
12. **A latent defect is the gateway to** *Donoghue*. The principle applies "only where the defect is hidden and unknown to the consumer, otherwise the directness of cause and effect is absent".

PYQ ARCHIVE // CH.06 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 2013 CT · OC Q7 · the fullest version Define the term 'Condition'. How does it differ from 'Warranty'? A stipulation may be a condition though called a warranty in the contract. Explain bringing out the distinction between conditions and warranties.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 2011 CT · OC Q2(b) · the short form Distinguish between Conditions and Warranties.

Q.3 2017 Special Contracts (LB-304) Q4(b) Discuss the statement ' once a condition is always a condition '. How does condition differ from warranty under the Sale of Goods Act, 1930?

Q.4 2015 Special Contracts (LB-304) Q6(a) Discuss the observations of House of Lords in Wallis Son and Well v/s Pratt (1911) A.C. 394 that " when a condition is reduced to warranty, the effect is not that the condition becomes warranty ".

Q.5 2011 CT · OC Q3 · when, and with what effect? When can a breach of condition be treated as a breach of Warranty and what are its consequential effects? Do you agree with the following statement: " Once a condition is always a condition …… whether or not the remedies remained the same."

Q.6 2015 Special Contracts (LB-304) Q2(a) What are the options to the buyer on breach of condition by the seller?

Q.7 2015 Special Contracts (LB-304) Q7(b) What remedies are available to buyers for breach of Condition and Warranty ?

Q.8 2015 Special Contracts (LB-304) Q3 "The exceptions to the rule of Caveat Emptor have now become more prominent than the rule itself. The rule owes its origin to the times, when nearly all sales took place in the market. The buyer and the seller came face to face, the seller exhibited his wares, the buyer examined them and bought them if he liked. But as trade grew and assumed global dimensions, it became difficult for buyers to examine goods beforehand, most transactions being concluded by correspondence. Further on account of the complex structure of modern goods, it is only the sellers who can assure the co[ntents] and quality of goods." For these reasons it became necessary to restrict the rule of Caveat Emptor by grafting a few exceptions upon its scope. Discuss the essence of these exceptions with the help of decided cases.

Q.9 2015 Special Contracts (LB-304) Q6(b) Discuss the doctrine of caveat emptor. Is there any exception to it? State in brief if any.

MODULE 07 // Topic 7 · SOGA Chapter III Cases #40 - #43

Effects of the Contract: Transfer of Property, Risk & Nemo Dat Quod Non Habet

Sale of Goods Act, 1930: Ss. 18-26 (Passing of Property, Appropriation, Risk) & Ss. 27-30 (Transfer of Title Exceptions)

Part A — Transfer of Property: Sections 18 to 26 of the Sale of Goods Act, 1930

§1.0 · Property, possession, risk and title — the four-way distinction

A contract of sale is defined by **s. 4(1)** as "a contract whereby the seller *transfers or agrees to transfer the property in goods* to the buyer for a price". The whole of Chapter III of the Act is machinery for answering two questions about that transfer. Before using the machinery you must separate four ideas that students habitually run together:

Concept	What it means	Governing provision	Why it matters
Property (ownership / 'general property')	The legal title in the goods — *res* itself, not merely possession of it	**ss. 18–25**	Decides who owns the goods; who can sue a stranger in conversion; who bears the loss if the goods perish; whether the seller can resell under s. 54(2); whether the buyer's trustee in insolvency or the seller's takes them
Possession (custody / delivery)	Physical control. Addressed in Part A of Chapter IV, ss. 33–39	**ss. 33–39**	Decides whether the seller may exercise lien or stoppage in transitu; whether delivery has been made so as to end the seller's duties
Risk	Who loses if the goods are destroyed *without anyone's fault*	**s. 26**	'*Res perit domino*' — the loss falls on the owner. But the rule is only *prima facie* and is displaced by agreement, by fault, and by the bailee proviso

Concept	What it means	Governing provision	Why it matters
Title (good/valid title)	Whether the transferor had the *right* to transfer at all	**ss. 27–30**	Decides whether an innocent buyer is protected against the true owner. A buyer may have 'property' as against his seller and yet be defeated by the true owner

The scheme of Chapter III, Part A, in one sentence each: s. 18 is a *gateway* (no property until the goods are ascertained); s. 19 is the *governing principle* (property passes when the parties intend); ss. 20–24 are the *default rules* the court uses when the parties' intention cannot be found; s. 25 is an *override* (the seller may reserve the right of disposal and thereby stop property passing even though he has handed the goods over); s. 26 is the *consequence* (risk follows property). Figure 1 shows the whole thing on one page.

§1.1 · Section 18 — Goods must be ascertained

SECTION 18 — VERBATIM

"**Goods must be ascertained.**—Where there is a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer unless and until the goods are ascertained."

Twenty-nine words, and they defeat more sale-of-goods claims than any other sentence in the Act. s. 18 is not a rule about *when* property passes; it is a rule about *whether it can pass at all*. It is a condition precedent. If the goods are not ascertained, there is nothing for property to attach to, and the buyer has **no proprietary interest whatsoever** — not even an equitable one.

Element	What it requires	Comment
1. A contract for the **sale**	Includes both a sale and an agreement to sell (s. 4)	s. 4(4): an agreement to sell becomes a sale when the time elapses or the conditions are fulfilled
2. Of **unascertained** goods	Goods not 'identified and agreed upon at the time the contract is made'	Defined negatively against s. 2(14): *"specific goods" means goods identified and agreed upon at the time a contract of sale is made*
3. **No property is transferred**	Not 'no property passes at a particular time' — *none passes at all*	The buyer is an unsecured creditor, not an owner; on the seller's insolvency he ranks with the other creditors
4. **"Unless and until"**	Ascertainment is a condition precedent, not a question of timing	Compare s. 19, which *assumes* ascertainment and then asks when the parties intended property to move
5. **"the goods are ascertained"**	Identified *and* irrevocably attached to the contract	See s. 23: identified + in a deliverable state + *unconditionally* appropriated with mutual assent

The three categories of goods — get these labels right

SPECIFIC GOODS

s. 2(14): "goods identified and agreed upon at the time a contract of sale is made". The parties have pointed at *this* thing. ss. 20–22 and s. 25(1) apply to them directly.

UNASCERTAINED GOODS

Generic or future goods not yet identified. **Future goods — s. 2(6)**: "goods to be manufactured or produced or acquired by the seller after the making of the contract of sale". s. 23 is the rule that ascertains them.

ASCERTAINED GOODS

Goods that were unascertained when the contract was made but have since been identified and attached to it by appropriation. Once ascertained, ss. 19–25 apply to them as if they had been specific all along.

The one way round s. 18 — ascertainment 'by exhaustion'

If the seller sells the **whole** of an identified bulk, no selection is needed and no selection is possible: the bulk identifies itself. This is called **ascertainment by exhaustion**. It is why *Re Wait* [1927] 1 Ch 606 and *Wait & James v. Midland Bank* (1926) 31 Com Cas 172 came out differently on almost identical facts:

	Re Wait [1927] 1 Ch 606 (CA)	Wait & James v. Midland Bank (1926)
Bulk	1,000 tons of wheat on board a named ship	1,000 tons of wheat on board a named ship
Sold	500 tons — *the rest remained the seller's*	500 tons *to each of two buyers* — the whole bulk was sold
Held	**No property.** Until the seller made his selection no one could say which 500 tons the buyer had bought; the buyer had no equitable interest either, and was a mere unsecured creditor for the price he had prepaid	**Property passed.** Since the entire bulk was exhausted by the two contracts, the goods were identified *without any selection being needed*
Exam value	Authority for the strictness of s. 18: no equitable exception	Authority for the exhaustion doctrine — the safety valve

TWO MISTAKES TO AVOID

- **"The stock is identified, so the goods are ascertained."** No. Identification of the *source* is not identification of the *goods sold*. Bayley B. said it best in *Gillett v. Hill* (1814) 149 ER 871, 873 — quoted with approval by the Supreme Court in **Case 34** — "If I agree to deliver a certain quantity of oil as ten out of eighteen tons, no one can say which part of the whole quantity I have agreed to deliver until a selection is made. **There is no individuality until it has been divided.**"
- **"The buyer has an equitable interest in the bulk."** No, in India as in England before the 1995 amendments. Contrast the position in England today under ss. 20A–20B of the Sale of Goods Act 1979 (inserted by the Sale of Goods (Amendment) Act 1995), which give a buyer of an undivided share in an identified bulk a statutory co-ownership. **India has no equivalent.**

§1.2 · Section 19 — Property passes when intended to pass

SECTION 19 — VERBATIM

"**Property passes when intended to pass.**—(1) Where there is a contract for the sale of *specific or ascertained* goods the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred.

(2) For the purpose of ascertaining the intention of the parties regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case.

(3) Unless a different intention appears, the rules contained in sections 20 to 24 are rules for ascertaining the intention of the parties as to the time at which the property in the goods is to pass to the buyer."

THE SINGLE MOST IMPORTANT SENTENCE IN CHAPTER III

It is **s. 19(3)**'s opening phrase: *"Unless a different intention appears."* Sections 20 to 24 are **not** the law of passing of property. They are **defaults** — the machinery a court falls back on only when it cannot find the parties' actual intention. The Supreme Court said exactly this in **Case 35**: "*This exercise has*

to be done to give effect to the opening words, namely, 'Unless a different intention appears' occurring in Section 19(3)." A student who answers "property passed under s. 20" without first looking for a contrary intention has skipped the step that carries the marks.

The three sub-sections, and what each does

Sub-section	Role	Operative words	Exam note
s. 19(1)	The **governing principle**	"at such time as the parties to the contract *intend* it to be transferred"	Applies only to **specific or ascertained** goods — i.e. after the s. 18 gate is passed. Intention, not delivery and not payment, is decisive
s. 19(2)	The **evidence rule** — how intention is proved	"regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case"	A three-source list. *Case 35* is decided almost entirely on **conduct**: who insured the goods, and who bore the risk of transit
s. 19(3)	The **resort to rules**	"*Unless a different intention appears*, the rules contained in sections 20 to 24 are rules for ascertaining the intention"	ss. 20–24 are therefore *presumptions*, not substantive law. They can always be displaced

Ascertaining intention — the three sources in s. 19(2)

1 · TERMS OF THE CONTRACT
The written or spoken bargain. Does it say 'property passes on shipment'? An F.O.B., C.I.F. or ex-works clause? A 'no title until payment in full' (Romalpa) clause? An express reservation under s. 25?

2 · CONDUCT OF THE PARTIES
What they *did*. Who took out insurance? Who paid the freight? Whose name is on the bill of lading? Was the buyer asked to approve the goods? Was the price paid into a bank as the seller's agent, or as the buyer's? *Case 35* turns on this.

3 · CIRCUMSTANCES OF THE CASE
The surrounding matrix: the trade usage, the nature of the goods, whether a document of title exists, whether the goods are on the seller's premises or in transit, whether the parties dealt at arm's length.

THE TWO AUTHORITIES ON S. 19 THE SUPREME COURT USES

- **Hoe Kim Seing v. Maung Ba Chit**, AIR 1935 PC 182 — cited in *Case 35*: "intention of the parties was the **decisive factor** as to when the property in goods passes to the purchaser. If the contract is silent, intention has to be gathered from the conduct and circumstances of the case."
- **Consolidated Coffee Ltd. v. Coffee Board**, AIR 1980 SC 1468 — also cited in *Case 35*: in an auction-sale of chattels, property passes to the purchaser **on the acceptance of his bid**. The Supreme Court made a subtle point DU examiners like: this happens "**not because of Section 64(2)** but because of the rule contained in **Section 20**" — s. 64(2) fixes the moment the *contract* is complete; s. 20 fixes the moment *property* passes.

§1.3 · The five rules — Sections 20 to 24 at a glance

These five sections are the court's *fallback*. Remember the order in Figure 3: the court first looks for a real intention under s. 19(2); only if the contract is silent does it turn to these rules "for ascertaining the intention of the parties". Two structural points before the detail:

1. **Rules 1–3 (ss. 20–22) are about** *specific* **goods.** Rules 4–5 (ss. 23–24) are about *unascertained / future* goods and about goods the buyer has not yet committed himself to.
2. **Rules 1–3 are three different answers to one question**: is anything left for the seller to do? Rule 1 — nothing left → property passes at once. Rule 2 — something left to the *goods* → wait. Rule 3 — something left to ascertain the *price* → wait. The recurring idea is that property cannot pass while the seller still has work to do that is essential to the goods.

Rule	Section	Situation	When property passes	Classic authority
1	**s. 20**	Unconditional contract for *specific* goods in a *deliverable state*	**When the contract is made.** Time of payment and time of delivery are both immaterial	*Tarling v. Baxter* (1827) 6 B & C 360 (haystack); *Dennant v. Skinner* [1948] 2 KB 164 (auction)
2	**s. 21**	Specific goods, but the seller must *do something to the goods* to put them into a deliverable state	When that thing **is done** *and* **the buyer has notice**	*Underwood Ltd. v. Burgh Castle Brick & Cement Syndicate* [1922] 1 KB 343 (condensing engine to be dismantled and loaded)
3	**s. 22**	Specific goods *already* in a deliverable state, but the seller must weigh / measure / test to *ascertain the price*	When that act **is done** *and* **the buyer has notice**	*Simmons v. Swift* (1826) 5 B & C 857 (oxen to be weighed by the seller's agent)
4	**s. 23**	Unascertained or future goods by description, in a deliverable state, *unconditionally appropriated* with mutual assent	**On the appropriation.** s. 23(2): delivery to a carrier without reserving disposal = deemed unconditional appropriation	*Aldridge v. Johnson* (1857) 7 E & B 885; *Healy v. Howlett & Sons* [1917] 1 KB 337; *Case 35*
5	**s. 24**	Goods delivered *on approval* or 'on sale or return'	When the buyer **adopts** the transaction, or on expiry of the fixed / reasonable time	*Kirkham v. Attenborough* [1897] 1 QB 201 (pledge = adoption); *Poole v. Smith's Car Sales* [1962] 2 All ER 482

§1.4 · Rule 1 — Section 20: specific goods in a deliverable state

SECTION 20 — VERBATIM
"**Specific goods in a deliverable state.**—Where there is an *unconditional* contract for the sale of *specific* goods in a *deliverable state*, the property in the goods passes to the buyer *when the contract is made*, and it is immaterial whether the time of payment of the price or the time of delivery of the goods, or both, is postponed."

The three conditions, and the one consequence

CONDITION 1 — UNCONDITIONAL
No term suspends the transfer. A condition precedent, a 'subject to inspection' clause, a reservation under **s. 25**, or a requirement that the seller do something first (taking you into s. 21 or s. 22) all make the contract *conditional* and take it out of s. 20.

CONDITION 2 — SPECIFIC GOODS
s. 2(14): "identified and agreed upon at the time a contract of sale is made". Note that s. 20 also covers goods that were *ascertained* later, because s. 19(1) speaks of "specific or ascertained goods". (The Supreme Court in **Case 35** treats ss. 19 and 20 as applying to 'specific or ascertained' goods alike.)

CONDITION 3 — DELIVERABLE STATE
s. 2(3): goods are in a "deliverable state" when they are "in such state that the buyer would under the contract be bound to take delivery of them". It is a *contractual* test, not a physical one: goods still needing packing may be deliverable if the contract does not require the seller to pack.

THE CONSEQUENCE — LEARN THIS SENTENCE VERBATIM

"…the property in the goods passes to the buyer **when the contract is made**, and it is immaterial whether the time of payment of the price or the time of delivery of the goods, or both, is postponed." Three things follow immediately: (i) **risk passes at once** under s. 26, even though the buyer has neither paid nor taken delivery; (ii) the seller may **sue for the price** under s. 55 rather than merely for damages; (iii) the buyer can **pass a good title** to a sub-buyer immediately, and can sue a third party in conversion.

§1.5 · Rule 2 — Section 21: specific goods to be put into a deliverable state

SECTION 21 — VERBATIM

"**Specific goods to be put into a deliverable state.**—Where there is a contract for the sale of specific goods and the seller is bound to *do something to the goods* for the purpose of putting them into a deliverable state, the property does not pass until *such thing is done and the buyer has notice thereof*."

The structure is a mirror image of s. 20. s. 20 asks whether the goods are *already* deliverable; s. 21 asks whether the seller must still *make* them deliverable. Two elements must **both** be satisfied before property passes, and students routinely forget the second:

THE ACT MUST BE DONE

"such thing is done" — the seller must actually complete the work he is bound to do. Starting it, or nearly finishing it, is not enough.

THE BUYER MUST HAVE NOTICE

"*and the buyer has notice thereof*" — the seller must communicate that the work is finished. Silence leaves the property with the seller. Notice need not be formal; it may be inferred from conduct.

§1.6 · Rule 3 — Section 22: the seller must do something to ascertain the price

SECTION 22 — VERBATIM

"**Specific goods in a deliverable state, when the seller has to do anything thereto in order to ascertain price.**—Where there is a contract for the sale of specific goods in a deliverable state, but the seller is bound to *weigh, measure, test* or do some other act or thing with reference to the goods *for the purpose of ascertaining the price*, the property does not pass until *such act or thing is done and the buyer has notice thereof*."

	s. 21	s. 22
State of the goods	NOT in a deliverable state	**Already** in a deliverable state
What is left to do	Something *to the goods* to make them deliverable	Weigh / measure / test — not to make them deliverable, but *to fix the price*
When property passes	Act done + notice to buyer	Act done + notice to buyer (identical formula)
Why the rules differ	The buyer is not bound to take delivery of goods that are not ready	The buyer *would* be bound to take delivery, but the parties have made the price depend on a measurement
Authority	*Underwood v. Burgh Castle* [1922] 1 KB 343	*Simmons v. Swift* (1826) 5 B & C 857; *Acraman v. Morrice* (1849) 8 CB 449

§1.7 · Rule 4 — Section 23: unascertained goods and appropriation

SECTION 23 — VERBATIM

"**Sale of unascertained goods and appropriation.**—(1) Where there is a contract for the sale of unascertained or future goods by description and goods of that description and in a deliverable state are *unconditionally appropriated to the contract*, either by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Such assent may be express or implied, and may be given either before or after the appropriation is made.

Delivery to carrier.—(2) Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not) for the purpose of transmission to the buyer, and *does not reserve the right of disposal*, he is *deemed to have unconditionally appropriated* the goods to the contract."

WHY S. 23 IS THE MOST HEAVILY EXAMINED RULE

It is the bridge between s. 18 and everything else. s. 18 says no property passes while goods are unascertained; s. 23(1) is the machine that *ascertains* them and, in the same breath, passes the property. And s. 23(2) is the everyday commercial case — almost every sale involving a courier, a lorry or a ship is decided by it. **Case 35** is an s. 23(2) case, and the Andhra Pradesh High Court's reasoning (approved by the Supreme Court) is the clearest statement of the rule you will find: "*Where goods have been delivered to a common carrier to be sent to the person, by whom they have been ordered, the carrier becomes the agent of the vendee and such a delivery amounts to delivery to the vendee under Section 23(2) of the Sale of Goods Act.*"

The four elements of s. 23(1)

Element	Text	What it demands
1. Contract **by description**	"contract for the sale of unascertained or future goods by description"	The contract must describe a *kind*, not point at a thing. This is the s. 15 (sale by description) concept imported into Chapter III
2. Goods **of that description**	"goods of that description"	What is appropriated must answer the contract description. Appropriating non-conforming goods is ineffective to pass property
3. **In a deliverable state**	"and in a deliverable state"	s. 2(3): in such state that the buyer would be bound to take delivery
4. **UNCONDITIONALLY** appropriated, **with mutual assent**	"unconditionally appropriated to the contract, either by the seller with the assent of the buyer or by the buyer with the assent of the seller"	The twin requirement. *Case 33* turns entirely on the word **"unconditionally"**: "This argument … overlooks the important word 'unconditionally' used in the section. The requirement of the section is not only that there shall be appropriation of the goods to the contract but that such appropriation must be made **unconditionally**."
4(a). **Assent**	"Such assent may be express or implied, and may be given either before or after the appropriation is made"	Assent may be *antecedent* (authority given in the contract) or *subsequent* (ratification). *Pignataro v. Gilroy* [1919] 1 KB 459 — assent given after appropriation is good

THE FIVE-POINT TEST FOR AN EFFECTIVE APPROPRIATION

The classic modern statement is that of Pearson J. in *Carlos Federspiel & Co. S.A. v. Charles Twigg & Co. Ltd.* [1957] 1 Lloyd's Rep 240, and Indian courts use the same ideas. An appropriation must be:

1. a **differentiation** of the goods from the bulk — the goods must be earmarked, packed, marked or otherwise set apart;
2. an **irrevocable** act — the seller must have finally committed himself; an intention to change his mind defeats it;
3. of goods **conforming to the contract description**;

4. of goods **in a deliverable state**;
5. made **unconditionally** — no reservation of disposal (see s. 25).

s. 23(2) — the carrier rule, and why the carrier is the buyer's agent

This fiction is one of the most useful shortcuts in the whole Act. Once the seller hands conforming goods to a carrier for transmission to the buyer, and does *not* reserve the right of disposal, the law **deems** an unconditional appropriation. The consequences are immediate:

PROPERTY PASSES
At the moment of delivery to the carrier — not on arrival.

RISK PASSES
Under **s. 26**, transit loss is the buyer's. This is the single biggest practical consequence.

THE CARRIER IS THE BUYER'S AGENT
For the purpose of taking delivery — per the Andhra Pradesh High Court in **Case 35**.

LIEN IS LOST
s. 49(1)(a): the unpaid seller loses his lien when he delivers to a carrier *without reserving the right of disposal*.

THE THREE WORDS IN S. 23(2) THAT DECIDE THE CASE
s. 23(2) is switched **off** by the phrase "*and does not reserve the right of disposal*". In practice, reservation is usually achieved by taking the **bill of lading or railway receipt in the seller's own name or to his order** — which is then reinforced by **s. 25(2)**, a *prima facie* presumption of reservation. That is precisely the mechanism in **Case 33**, and it is why the chromite was held to have been sold in London and not in Madras.

§1.8 · Rule 5 — Section 24: goods sent on approval or 'on sale or return'

SECTION 24 — VERBATIM

"**Goods sent on approval or "on sale or return".**—When goods are delivered to the buyer on approval or 'on sale or return' or other similar terms, the property therein passes to the buyer—

(a) when he *signifies his approval or acceptance* to the seller or does *any other act adopting the transaction*;

(b) if he does not signify his approval or acceptance to the seller but *retains the goods without giving notice of rejection*, then, if a time has been fixed for the return of the goods, on the *expiration of such time*, and, if no time has been fixed, on the *expiration of a reasonable time*."

The commercial point of s. 24. In an ordinary sale the buyer cannot hand the goods back. Here he can — he has possession but *not* property, and he holds an **option** to become the owner. The Act must therefore say when the option is exercised. It gives two routes, and they are cumulative, not alternative.

ROUTE (A) — ADOPTION
The buyer does something positive: he **signifies approval or acceptance**, or does **"any other act adopting the transaction"**. The classic adopting acts are **reselling, pledging, consuming, or altering the goods** beyond what trial requires. *Kirkham v. Attenborough* [1897] 1 QB 201: jewellery delivered on sale-or-return and **pledged** by the buyer — pledging was an act adopting the transaction, so property had passed and the pledgee defeated the seller.

ROUTE (B) — EXPIRY
The buyer does **nothing**. Silence is not neutral: if he **retains the goods without giving notice of rejection**, property passes on the expiry of the **fixed time**, or of a **reasonable time** where no time is fixed. What is reasonable is, by **s. 63**, a **question of fact**.

TWO TRAPS ON 'ON SALE OR RETURN'

1. **Risk does *not* automatically follow.** Property passes under **s. 24**, but **s. 26** asks separately whether the goods were at the buyer's risk. Where goods are returned damaged *without fault* within the trial period, the loss stays with the seller — *Head v. Tattersall* (1871) LR 7 Ex 7 (a horse on trial was injured without anyone's fault; the buyer was entitled to return it and the seller bore the loss). Contrast *Elphick v. Barnes* (1880) 5 CPD 321, where the horse died on the third day *without fault* and, property not having passed, the seller bore the loss — *res perit domino*.
2. **'On approval' vs 'on sale or return'.** Both are in s. 24 and both work the same way, but the *purpose* differs: 'on approval' means the buyer is testing the goods; 'on sale or return' means the buyer (often a retailer) takes them to try to resell them. In the second case the buyer may resell and, on doing so, **adopts** the transaction under limb (a).

§1.9 · Section 25 — Reservation of the right of disposal

SECTION 25 — VERBATIM

"**Reservation of right of disposal.**—(1) Where there is a contract for the sale of specific goods *or where goods are subsequently appropriated to the contract*, the seller may, by the terms of the contract or appropriation, *reserve the right of disposal of the goods until certain conditions are fulfilled*. In such case, *notwithstanding the delivery of the goods to a buyer or to a carrier or other bailee* for the purpose of transmission to the buyer, the property in the goods does not pass to the buyer until the conditions imposed by the seller are fulfilled.

(2) Where goods are shipped or delivered to a railway administration for carriage by railway and by the bill of lading or railway receipt, as the case may be, the goods are *deliverable to the order of the seller or his agent*, the seller is *prima facie* deemed to reserve the right of disposal.

(3) Where the seller of goods draws on the buyer for the price and transmits to the buyer the bill of exchange together with the bill of lading or, as the case may be, the railway receipt, to secure acceptance or payment of the bill of exchange, the buyer is *bound to return the bill of lading or the railway receipt if he does not honour the bill of exchange*; and, if he wrongfully retains the bill of lading or the railway receipt, the property in the goods does not pass to him.

Explanation.—In this section, the expressions "railway" and "railway administration" shall have the meanings respectively assigned to them under the Indian Railways Act, 1890 (9 of 1890)."

Sub-sections (2) and (3) were substituted by **Act 33 of 1963, s. 4**, with effect from 22-9-1963.

THE ONE-SENTENCE IDEA, AND THE CASE THAT PROVES IT
s. 25 lets the seller hand over the goods and still keep the property. Delivery is not ownership. And **Case 33** is the Supreme Court's own illustration. S.R. Das J. put the point in a passage you should be able to reproduce: *"Placing of the goods on board the steamer named by the buyer under a F.O.B. contract clearly discharges the contractual liability of the seller as seller and the delivery to the buyer is complete and the goods may thenceforward be also at the risk of the buyer … Prima facie such delivery of the goods to the buyer and the passing of the risk in respect of the goods from the seller to the buyer are strong indications as to the passing also of the property in the goods to the buyer but they are not decisive and may be negatived, for*

under Section 25 the seller may yet reserve to himself the right of disposal of the goods until the fulfilment of certain conditions and thereby prevent the passing of property in the goods from him to the buyer."

The three sub-sections, and the two standard mechanisms

Provision	What it does	Standard of proof
s. 25(1)	The general power. The seller may reserve disposal *either* in the contract itself *or* at the moment of appropriation. Applies to specific goods and to goods later appropriated.	Ordinary: show the term or the act of appropriation was conditional
s. 25(2)	The **bill of lading / railway receipt** presumption. If the document makes the goods deliverable *to the order of the seller or his agent*, the seller is *prima facie* deemed to have reserved the right of disposal.	**Prima facie** — rebuttable, but the burden shifts to the buyer
s. 25(3)	The **documentary-bill** rule. Seller draws a bill of exchange and sends it with the bill of lading / railway receipt to secure acceptance or payment. The buyer who does not honour the draft **must return the document**; if he wrongfully keeps it, property does not pass.	Automatic once the facts are shown

MECHANISM 1 — THE DOCUMENT OF TITLE

Take the bill of lading, railway receipt or lorry receipt **in your own name or to your own order**, and release it only against payment or acceptance. Control of the document = control of the goods, because a **document of title** (s. 2(4)) is the key to possession. This is **Case 33**, and it is how every C.I.F. and D/P transaction in international trade works.

MECHANISM 2 — THE CONTRACTUAL CLAUSE

Insert an express term: "property shall not pass until the price is paid in full". These are **Romalpa** or retention-of-title clauses (*Aluminium Industrie Vaassen B.V. v. Romalpa Aluminium Ltd.* [1976] 1 WLR 676). They are valid under s. 25(1), and usually also create an **equitable charge** over the goods and their proceeds — but the charge must be registered (s. 77, Companies Act 2013) to bind a liquidator.

§1.10 · Section 26 — Risk prima facie passes with property

SECTION 26 — VERBATIM

"**Risk** *prima facie* **passes with property.**—Unless otherwise agreed, the goods remain at the *seller's risk* until the property therein is transferred to the buyer, but when the property therein is transferred to the buyer, the goods are at the *buyer's risk whether delivery has been made or not*:

Provided that, where delivery has been delayed through the *fault* of either buyer or seller, the goods are at the risk of the *party in fault* as regards any loss which might not have occurred but for such fault:

Provided also that nothing in this section shall affect the duties or liabilities of either seller or buyer as a *bailee* of the goods of the other party."

The Latin tag is *res perit domino* **— the thing perishes to its owner.** s. 26 is the Act's version of it, and it answers the question that arises in nearly every sale-of-goods problem paper: the goods have been destroyed or damaged, *no one is at fault*, and someone must bear the loss. The answer is: **whoever owned them at the moment of destruction**. Which means the whole of ss. 18–25 has been leading up to this.

THE MAIN RULE

Before property passes → **seller's risk**. After property passes → **buyer's risk**, and the decisive words are "*whether delivery has been made or not*". Delivery is **irrelevant** to risk. This is the sentence students forget: a buyer can be carrying the risk of goods he has never touched, and a seller can carry the risk of goods sitting in the buyer's warehouse.

THE TWO PROVISOS

Proviso 1 — fault. Where delivery is delayed by the fault of one party, that party bears the loss "as regards any loss which might not have occurred but for such fault". **Proviso 2 — bailment.** s. 26 does not disturb the duties either owes the other as **bailee** (ss. 151–152, Contract Act): a seller holding the buyer's goods must still take reasonable care of them.

Situation	Who owns?	Who bears the loss?	Authority / provision
Specific goods, unconditional contract, deliverable state; destroyed before payment or delivery	**Buyer** (s. 20, from the moment of contract)	**Buyer.** He must still pay the price	*Tarling v. Baxter* (1827) 6 B & C 360; s. 55 (suit for price)
Seller must still weigh to fix the price; destroyed before weighing	**Seller** (s. 22)	**Seller**	*Simmons v. Swift* (1826) 5 B & C 857 (contrast: there the weighing was done)
Goods handed to a carrier, no reservation; lost in transit	**Buyer** (s. 23(2))	**Buyer** — which is why buyers insure	**Case 35** (the buyer insured and paid the premium)
Goods shipped under a bill of lading in the seller's name; lost at sea	**Seller** (s. 25(1)–(2))	**Buyer** — property and risk are split by the F.O.B. term	**Case 33**: delivery complete at Madras, risk on the buyer, property only in London
Horse on sale-or-return dies on day 3, *without fault*	**Seller** (s. 24 — no adoption yet)	**Seller**	*Elphick v. Barnes* (1880) 5 CPD 321
Horse on trial injured *without fault* and returned within the trial period	Property had not passed	**Seller** — the buyer may return it	*Head v. Tattersall* (1871) LR 7 Ex 7
Delivery delayed by the **buyer's** fault; goods then destroyed by a flood	Buyer (property passed)	**Buyer** anyway — but even if property had not passed, **Proviso 1** puts the loss on him	s. 26, first proviso; *Demby Hamilton & Co. v. Barden* [1949] 1 All ER 435
Goods in the seller's custody after property has passed; destroyed by the seller's negligence	Buyer	**Seller** — not under s. 26, but under the **second proviso** (bailment) and ss. 151–152 ICA	s. 26, second proviso

§1.11 · Why the moment of transfer matters — seven practical consequences

Students sometimes ask "what does it matter when property passed?" Here is the answer, and it is worth memorising because almost every DU problem question is decided by one of these seven consequences.

#	Consequence	Provision	Practical effect
1	**Risk**	**s. 26**	Discussed above — the loss falls on the owner
2	**Suit for price vs. damages**	**s. 55 / s. 56**	Where property *has* passed and the buyer wrongly neglects to pay, the seller may sue for the **price**. Where it has *not*, his only remedy is **damages for non-acceptance** under s. 56 (though the price is usually the measure)

#	Consequence	Provision	Practical effect
3	**The seller's right of resale**	**s. 54(2)**	The statutory power of resale arises **only where the property has passed to the buyer subject to the unpaid seller's lien**. Where property has not passed, there is no resale under s. 54(2) — this is the whole of **Case 34**
4	**Insolvency**	Provincial Insolvency Act, 1920 / IBC, 2016	If the buyer is insolvent and property has not passed, the seller can **reclaim** the goods instead of proving in the bankruptcy. If it has passed, he is an unsecured creditor
5	**Attachment by creditors**	CPC, O. 21	Only the owner's goods can be attached for the owner's debts. Goods of which property has passed to the buyer cannot be attached for the seller's debts
6	**Action in conversion / suit for the goods**	Common law; **s. 58** (specific performance)	Only an owner can sue a third party in conversion. A buyer whose goods are still unascertained has no such action — *Re Wait* [1927] 1 Ch 606
7	**Right to sue on the insurance / to the proceeds**	Marine Insurance Act, 1963; general insurance	Only a person with an insurable interest (an owner, or a person at risk) recovers. An unpaid seller who has reserved disposal retains an insurable interest

§1.12 · Allied provisions — the sections you must cite alongside ss. 18–26

Provision	Statute	Text / gist	Why it belongs here
s. 2(2)	SOGA 1930	"delivery" means voluntary transfer of possession from one person to another	Delivery ≠ property. The distinction s. 25 depends on
s. 2(3)	SOGA 1930	goods are in a "deliverable state" when the buyer would under the contract be bound to take delivery of them	The key term in ss. 20, 22 and 23(1)
s. 2(4)	SOGA 1930	"document of title to goods" includes a bill of lading, dock-warrant, warehouse-keeper's certificate, wharfinger's certificate, railway receipt, multimodal transport document, warrant or order for delivery, and any other document used in the ordinary course of business as proof of possession or control	The instrument through which s. 25 reservation is normally worked
s. 2(11)	SOGA 1930	"property" means the *general* property in goods, and not merely a special property	Explains why a pledgee or a bailee is not 'owner' for these purposes
s. 2(14)	SOGA 1930	"specific goods" means goods identified and agreed upon at the time a contract of sale is made	The definition s. 18 works against
s. 6(3)	SOGA 1930	Where the seller purports to effect a *present sale of future goods*, the contract operates as an **agreement to sell**	Why futures contracts cannot pass property at once
s. 7 & s. 8	SOGA 1930	Goods perishing before the contract (s. 7, void) or before the sale but after the agreement to sell (s. 8, avoided)	s. 8 applies only where the risk has **not** passed — read it with s. 26
s. 49(1)(a)	SOGA 1930	The unpaid seller loses his lien when he delivers to a carrier or other bailee *without reserving the right of disposal*	The exact mirror of s. 23(2)
s. 54(2)	SOGA 1930	Where goods are perishable, or notice of intention to resell is given, the unpaid seller who has exercised lien or stoppage may resell and recover the loss	Available **only where property has passed** — Case 34
s. 55	SOGA 1930	Suit for price: lies where the property in the goods has passed to the buyer and he wrongly neglects or refuses to pay	Consequence 2 above
s. 64(2)	SOGA 1930	In a sale by auction, the sale is complete when the auctioneer announces its completion by the fall of the hammer; until then a bidder may retract	Fixes when the *contract* is made; s. 20 then fixes when *property* passes. See *Consolidated Coffee*, AIR 1980 SC 1468
ss. 151–152	Contract Act, 1872	Duty of a bailee to take as much care of the goods bailed as a man of ordinary prudence would of his own	The content of s. 26's second proviso
s. 23 & s. 25	Contract Act, 1872	Consideration / agreement without consideration — relevant to whether the transfer is a 'sale' for tax purposes	**Case 35** turns on whether a notified 'purchase' attracted market fee
s. 115	Evidence Act, 1872	Estoppel: where a person by his declaration, act or omission has caused another to believe a thing to be true and to act on it, he may not deny it	The statutory form of s. 27's estoppel limb
s. 12(1)	A.P. (Agricultural Produce & Livestock) Markets Act, 1966	The Act contains **no definition of sale or purchase**	Which is why the Supreme Court in **Case 35** had to borrow ss. 19–20 of the SOGA
Rule 74(2) / Bye-law 24(5)	A.P. Markets Rules, 1969 / Committee Bye-laws	Statutory presumption that notified produce weighed or measured within the notified area is **deemed** to have been purchased there	The presumption the Supreme Court struck down in **Case 35** as contrary to ss. 19–23

Part B — Transfer of Title: Nemo Dat Quod Non Habet — Sections 27 to 30

HOW PART B IS ARRANGED, AND WHY

Chapter III of the Act has two parts, and this one is headed *Transfer of title*. Everything in Part A was about **when** ownership moves. Everything here is about **whether a seller who is not the owner can pass ownership at all**. The two questions are independent: a buyer may have taken 'property' under ss. 18–25 and yet be defeated by the true owner because the seller had no title to give.

DU has asked the *nemo dat* question in **2011, 2012, 2013 and twice in 2015** — it is the single most repeated question on this Topic. The answer has a fixed shape: **(1)** state the maxim; **(2)** set out s. 27 verbatim; **(3)** explain the estoppel limb inside the section; **(4)** run through the five statutory exceptions, each with its conditions and its leading case; **(5)** note that market overt is *not* part of Indian law; **(6)** close with what the disappointed buyer gets instead. §§2.1–2.11 build exactly that answer.

§2.1 · Section 27 — Sale by person not the owner

SECTION 27 — VERBATIM

"**Sale by person not the owner.**—*Subject to the provisions of this Act and of any other law for the time being in force*, where goods are sold by a person *who is not the owner* thereof and who *does not sell them under the authority or with the consent of the owner*, the buyer acquires *no better title to the goods than the seller had, unless* the owner of the goods is *by his conduct precluded* from denying the seller's authority to sell:

Provided that, where a *mercantile agent* is, *with the consent of the owner*, in possession of the goods or of a document of title to the goods, any sale made by him, *when acting in the ordinary course of business of a mercantile agent*, shall be as valid as if he were expressly authorised by the owner of the goods to make the same; provided that the buyer *acts in good faith* and has not at the time of the contract of sale *notice that the seller has not authority to sell*."

The section parsed into its five components

Component	Words	Meaning
0. The opening reservation	"Subject to the provisions of this Act and of any other law for the time being in force"	Critical and often overlooked. s. 27 is **not absolute**: it yields to the rest of the Act (ss. 28, 29, 30) *and* to other statutes — the Hire-Purchase Act 1972, the Negotiable Instruments Act 1881, provincial tenancy and market statutes, and the general law of estoppel
1. The trigger	"sold by a person who is not the owner … and who does not sell them under the authority or with the consent of the owner"	Three cumulative negatives. If the seller *is* the owner, s. 27 is irrelevant. If he sells *with authority*, he passes title as agent under the Contract Act, not under s. 27
2. The rule	"the buyer acquires no better title to the goods than the seller had"	Note the comparative: **no better**, not *no*. If the seller had a limited interest (a pledgee's special property, an unpaid seller's lien), the buyer takes subject to exactly that
3. The in-built exception	"unless the owner of the goods is by his conduct precluded from denying the seller's authority to sell"	**Estoppel** — sitting *inside* the rule, not outside it. Statutory form: s. 115, Indian Evidence Act, 1872
4. The proviso	sale by a **mercantile agent**	Exception 1. Four cumulative conditions — see §2.4 and Figure 10. This is **Case 36**

TWO THINGS S. 27 DOES NOT SAY

- **It does not say the buyer gets *nothing*.** He gets whatever the seller had. A seller who is a **pledgee** with a power of sale, a **pawnee**, a **co-owner** with possession, or an **unpaid seller** exercising s. 54(2) all have *some* title, and s. 27 passes exactly that much. This is why the draftsmen wrote "no better title" rather than "no title".
- **It does not require the seller to be a thief.** The section applies to every sale by a non-owner: a thief, a rogue who bought under a voidable contract, a bailee, a hirer under a hire-purchase agreement, a person who has already sold the goods to someone else, a person who has *agreed* to buy but has not yet become owner. The exceptions are what distinguish these cases.

§2.2 · The maxim — origin, scope and justification

THE TWO LATIN FORMS

Nemo dat quod non habet — "no one gives what he does not have". The civilian parallel is *nemo plus iuris ad alium transferre potest quam ipse habet* — "one cannot transfer to another more right than he himself has". Both express the same idea.

ITS HISTORY IN ONE QUOTATION

Denning L.J. in **Case 36**: "*In the early days of the common law the governing principle of our law of property was that no person could give a better title than he himself had got, but the needs of commerce have led to a progressive modification of this principle so as to protect innocent purchasers.*"

THE PROBLEM IT CREATES

Two innocent parties — the true owner (O) and the good-faith purchaser (P) — and one rogue (R) who has vanished. *Someone* must lose. Denning L.J. again in **Case 36**: "The cases show **how difficult it is to strike the right balance** between the claims of true owners and the claims of innocent purchasers."

Why the law carves out exceptions — the three justifications

1. **Estoppel.** Where the true owner has *held the seller out* as owner or as authorised to sell, it would be dishonest for him to deny it afterwards. This is the in-built limb of s. 27 and s. 115 of the Evidence Act.
2. **Apparent authority / agency.** Where the owner has entrusted goods to a *mercantile agent*, he has clothed that agent with the appearance of authority. Denning L.J. in **Case 36**: "Parliament has **not** protected the true owner if he has himself **consented to a mercantile agent having possession** of them, because, by leaving them in the agent's possession, he has **clothed the agent with apparent authority to sell them**, and he should not, therefore, be allowed to claim them back from an innocent purchaser."
3. **Commercial convenience.** In a market economy buyers cannot investigate title in every transaction. Scrutton L.J. in *Folkes v. King* [1923] 1 KB 282, 305, quoted by Denning L.J. in **Case 36**, put the point in the language of the motor trade: if purchasers insisted on the registration book, "it would be **very difficult to find a market for the cars which have lately been stolen in such large numbers**".

§2.3 · The estoppel limb inside s. 27

Before the five exceptions there is the exception *inside the rule*. s. 27 protects the buyer where "the owner of the goods is **by his conduct precluded** from denying the seller's authority to sell." That is estoppel, and its statutory home is **s. 115 of the Indian Evidence Act, 1872**:

SECTION 115, INDIAN EVIDENCE ACT, 1872 — ESTOPPEL

"When one person has, *by his declaration, act or omission*, intentionally caused or permitted another person to *believe a thing to be true and to act upon such belief*, neither he nor his representative shall be allowed, in any suit or proceeding between himself and such person or his representative, to *deny the truth of that thing*."

Ingredient	What must be shown	Typical facts
1. A representation	By declaration, act, omission — or, where a duty of care exists, by negligence — that the seller *is* the owner or *is authorised* to sell	Handing over the registration book (*Central Newbury Car Auctions*); allowing a name to be on the invoice; standing by while the sale is negotiated
2. Reliance	The buyer must have acted *on the faith of* the representation	The buyer checked the documents, or asked and was told
3. Detriment	The buyer must have altered his position — normally by paying the price	Payment in full, or part payment
4. No notice	The buyer must not know the true position	Good faith and absence of notice is required throughout

THE PAIR OF CASES THAT FIX THE BOUNDARY

- **Central Newbury Car Auctions Ltd. v. Unity Finance Ltd.** [1957] 1 QB 371. The owner of a car allowed a rogue to have **both the car and its registration book**. **Held:** by parting with the registration book — the document that in the motor trade is treated as the badge of title — the owner made a representation that the rogue was entitled to sell, and was **estopped** from denying it. The innocent purchaser won.
- **Moorgate Mercantile Co. Ltd. v. Twitchings** [1977] AC 890 (HL). The owner of a car let a dealer have **possession only**, without the registration book, and the dealer sold it. **Held: no estoppel.** Merely parting with possession is *not* a representation of ownership, and the owner owed **no duty of care** to a potential purchaser at large. (The decision is also the reason Hire-Purchase Information — the trade's register — came to matter so much.)

HOW ESTOPPEL AND CASE 36 FIT TOGETHER

Pearson v. Rose & Young is **not** an estoppel case — it is a case on the **proviso to s. 27** (the mercantile-agent exception). But the same fact decides both: **the plaintiff kept the registration book**. Denning L.J. spells out why that matters: "So long as the owner retains the log book, the mercantile agent **cannot dispose of the car in the ordinary course of his business**, because it is not in the ordinary course of anyone's business to dispose of a second-hand car without a log book." Retention of the log book therefore "**effectually prevents**" the exception from operating. Learn the two doctrines together: **possession + log book with consent → protection**; **possession without log book → no protection**.

§2.4 · Exception 1 — Sale by a mercantile agent (proviso to s. 27)

PROVISO TO SECTION 27 — VERBATIM

"**Provided** that, where a *mercantile agent* is, *with the consent of the owner*, in possession of the goods or of a document of title to the goods, any sale made by him, *when acting in the ordinary course of business of a mercantile agent*, shall be as valid as if he were expressly authorised by the owner of the goods to make the same; provided that the buyer *acts in good faith* and has not at the time of the contract of sale *notice that the seller has not authority to sell*."

SECTION 2(9) — 'MERCANTILE AGENT' — VERBATIM

"**"mercantile agent"** means a mercantile agent having in the customary course of business as such agent authority either to *sell goods*, or to *consign goods for the purposes of sale*, or to *buy goods*, or to *raise money on the security of goods*."

A MNEMONIC THAT ALSO TELLS YOU THE LAW

A mercantile agent has authority to **S–C–B–R**: **S**ell · **C**onsign for sale · **B**uy · **R**aise money on the security of goods. A person who cannot do at least one of those four things in the customary course of his business is not a mercantile agent, and the proviso cannot apply to him. A carrier, a warehouseman, a repairer, a servant, or a friend looking after your buffaloes is **not** a mercantile agent.

The five cumulative conditions

All five must be satisfied. If any one fails, the buyer gets no title and the true owner recovers the goods.

#	Condition	Statutory words	Leading authority
1	He must be a **mercantile agent**	"where a mercantile agent is…" (s. 2(9))	*Heap v. Motorists' Advisory Agency* [1923] 1 KB 577 — a motor dealer who takes a car in part-exchange and then sells it is acting as a *principal*, not as an agent, so the proviso did not apply
2	In possession **as a mercantile agent** — in that capacity, not merely in some other capacity	"is … in possession of the goods or of a document of title to the goods"	*Staffs Motor Guarantee Ltd. v. British Wagon Co. Ltd.* [1934] 2 KB 305 — a dealer who had *sold* his lorry and taken it back on hire-purchase held it as **hirer**, not as agent: no protection
3	Possession must be **with the consent of the owner**	"with the consent of the owner"	**Case 36** (*Pearson v. Rose & Young*) — consent must cover **everything** that makes the sale possible, including the registration book. *Oppenheimer v. Frazer & Wyatt* [1907] 1 KB 519 and *Folkes v. King* [1923] 1 KB 282 on whether larceny by a trick destroys consent
4	He must be acting **in the ordinary course of business of a mercantile agent**	"when acting in the ordinary course of business of a mercantile agent"	**Case 36** — selling a car *without its log book* is not in the ordinary course. *Lowther v. Harris* [1927] 1 KB 393 — selling *below the owner's stated price* is not in the ordinary course. *Jerome v. Bentley & Co.* [1952] 2 All ER 114
5	The buyer must act **in good faith and without notice** at the time of the contract of sale	"provided that the buyer acts in good faith and has not at the time of the contract of sale notice that the seller has not authority to sell"	The notice must be absent **at the time of the contract of sale** — that is the moment that matters, not the moment of delivery or payment

CONDITION 4 IN DETAIL — WHAT 'ORDINARY COURSE OF BUSINESS' MEANS

This is the condition DU has examined, and it is the heart of **Case 36**. Three propositions come out of the cases:

1. **It is an objective test about the transaction, not about the agent's honesty.** The question is whether a sale of *this kind* is one that a mercantile agent would ordinarily make.
2. **Selling outside the owner's instructions is usually still within the ordinary course.** That is the entire point of the exception: the agent is protected *precisely because* he disobeyed. Selling at a lower price than instructed, or keeping the proceeds, does not by itself take the sale outside the ordinary course — but see *Lowther v. Harris* below.
3. **Selling without the documents that the trade treats as essential is not.** Vaisey J. in **Case 36** put it vividly: a dealer "cannot be said to be 'acting in the ordinary course of' his business as such when selling a car without its log book, **any more … than he would be so acting if he sold a car with only three wheels**".

THE 2017 DU QUESTION, ANSWERED

Q (2017, Q6(b)): "Mercantile agent was entrusted with car by G to sell the same at *stated price*. The agent sold the car to bonafide purchaser *below stated price* and misappropriated the proceeds. Whether buyer will acquire a good title of car under Sale of Goods Act, 1930? Refer case law."

A: *No.* Conditions 1–3 and 5 are satisfied (he is a mercantile agent; the car was entrusted to him as such; with the owner's consent; the buyer is bona fide and without notice). The case fails on **condition 4**. Wright J. held in *Lowther v. Harris* [1927] 1 KB 393 that where an owner entrusts goods to a mercantile agent to be sold *at a specified minimum price*, a sale at a **lower price** is **not** a sale in the ordinary course of business; the agent is doing something of a different kind from that which he was authorised to do. The buyer therefore acquires **no title** and must return the car to G.

But add the refinement that earns the extra marks. Had G entrusted the car *without* stipulating a price, a sale below market value would *still* have been in the ordinary course — an agent is expected to sell, and the owner's private reserve price does not define the 'ordinary course' unless it was communicated to, and formed part of the terms of, the agency. Contrast *Jerome v. Bentley & Co.* [1952] 2 All ER 114, where a rogue instructed to sell a ring for not less than £550 sold it for £175 and the Court of Appeal held the sale was **not** in the ordinary course — the buyer should have been put on inquiry by the suspiciously low price.

§2.5 · Exception 2 — Sale by one of joint owners (s. 28)

SECTION 28 — VERBATIM

"**Sale by one of joint owners.**—If one of several joint owners of goods has the *sole possession* of them *by permission of the co-owners*, the property in the goods is transferred to any person who buys them of such joint owner *in good faith* and has not at the time of the contract of sale *notice that the seller has not authority to sell*."

s. 28 "is a reproduction of **Exception 2 to section 108 of the Indian Contract Act, 1872**" and "has been applied to a **joint Hindu family**".

The four elements

JOINT OWNERSHIP

SOLE POSSESSION

There must be **several joint owners** of the goods — co-owners, partners, co-sharers, or members of a **joint Hindu family**. Each owns the whole together with the others; none owns an identified share of the physical thing.

One of them must have **sole possession**. If all the co-owners have the goods, or if the seller is only a part-possessor, s. 28 does not apply. The section protects buyers who deal with the person who *appears* to be in charge.

BY PERMISSION

The possession must be **by permission of the co-owners**. Permission may be express or implied, and may be inferred from the ordinary arrangements of the family or firm.

GOOD FAITH + NO NOTICE

The buyer must buy **in good faith** and without notice **at the time of the contract of sale** that the seller had no authority. This is the same formula as in the proviso to s. 27.

THE SURPRISING CONSEQUENCE — THE WHOLE PROPERTY PASSES

Note the wording: "the **property in the goods** is transferred" — not "the seller's share". A joint owner who sells with permission and in good faith transfers the **entire** property, defeating his co-owners. Their remedy is against him for their share of the proceeds, not against the buyer. This is what makes s. 28 a real exception to *nemo dat* rather than a mere restatement of it.

DO NOT CONFUSE S. 28 WITH CASE 34

Case 34 sounds as if it should be a joint-ownership case — the trial judge held that after the variation the parties "became joint owners of the stock 415 tons" — but the Supreme Court **rejected** that analysis: "In our opinion, this was not the correct legal position. The parties did not intend that the appellants would buy *undivided share* in 415 tons of newsprint." The truth was that after 26 November 1951, the bargain was to buy **300 tons out of a larger stock of 415 tons**, which is a contract for **unascertained** goods governed by **s. 18**, not a case of joint ownership under s. 28. Keep the two apart: *joint ownership* is an *interest in every particle*; *a portion out of a bulk* is *no interest in anything until selection*.

§2.6 · Exception 3 — Sale by a person in possession under a voidable contract (s. 29)

SECTION 29 — VERBATIM

"**Sale by person in possession under voidable contract.**—When the seller of goods has obtained possession thereof under a contract *voidable under section 19 or section 19A of the Indian Contract Act, 1872* (9 of 1872), but *the contract has not been rescinded at the time of the sale*, the buyer acquires a *good title* to the goods, provided he buys them *in good faith and without notice of the seller's defect of title*."

s. 29 "is, in effect, the first part of **Exception 3 to section 108 of the Indian Contract Act, 1872** ... The wording of the section is taken from **section 23 of the English Sale of Goods Act, 1893**".

THE WHOLE SECTION IN ONE DISTINCTION: VOIDABLE, NOT VOID

A contract induced by **coercion, undue influence, fraud or misrepresentation** is **voidable** at the option of the party whose consent was so caused (**s. 19** and **s. 19A**, Contract Act) — but it is **valid until it is rescinded**. So the rogue who buys goods by fraud *does* acquire a title: a **defective but real** title. If he resells *before* the defrauded seller rescinds, the sub-buyer gets a **good title** and the original owner loses his goods. The race is therefore won by whoever moves first — **rescind first, or lose your goods.**

	VOID contract	VOIDABLE contract
Effect	A nullity from the beginning; no title ever passes to the rogue	Valid and effective until rescinded; title passes, but defectively
s. 29	**Does not apply.** The rogue never had a title to give, so the sub-buyer gets nothing (s. 27)	**Applies.** The sub-buyer in good faith gets a good title
Typical cause	Fundamental mistake as to the *identity* of the other party in a written (distance) contract — *Cundy v. Lindsay* (1878) 3 App Cas 459	Fraud, misrepresentation, coercion, undue influence — and mistake as to an *attribute* rather than identity — *Phillips v. Brooks* [1919] 2 KB 243
Result for the innocent sub-buyer	Loses the goods; claims his money back from the rogue	**Keeps the goods** — if he bought before rescission, in good faith and without notice

THE FOUR CASES THAT DRAW THE VOID / VOIDABLE LINE

- **Cundy v. Lindsay** (1878) 3 App Cas 459 (HL) — **VOID**. A rogue signing himself 'Blenkarn' ordered handkerchiefs from Lindsay & Co., who knew of a reputable firm called Blenkiron & Co. and believed they were dealing with *that* firm. The House of Lords held there was **no contract at all** — the Lindsay firm never intended to contract with the writer of the letters. Title never passed to Blenkarn, so the innocent sub-purchaser had to return the goods.
- **Phillips v. Brooks Ltd.** [1919] 2 KB 243 — **VOIDABLE**. A rogue went into a jeweller's shop, said "I am Sir George Bullough" and produced a cheque. The jeweller *intended to contract with the person physically in front of him*; the mistake was as to an **attribute** (his creditworthiness), not his identity. The contract was merely voidable; the pledgee who took the ring before rescission got a **good title**.
- **Ingram v. Little** [1961] 1 QB 31 — **VOID**, on a narrow view. Two sisters sold a car to a rogue who said he was 'P.G.M. Hutchinson' of a named address; one sister checked the telephone directory and confirmed it. The Court of Appeal held they intended to deal with *that* Hutchinson, not with the man in front of them. (Much criticised, and confined to its facts.)
- **Lewis v. Averay** [1972] 1 QB 198 — **VOIDABLE**. A rogue posed as the actor Richard Greene and produced a studio pass. The Court of Appeal preferred *Phillips v. Brooks* to *Ingram v. Little* and held the presumption, in a **face-to-face** transaction, is that you intend to deal with the person present. The contract was voidable; the innocent sub-buyer was protected.

How rescission works — and how to make it effective

1. **Who may rescind?** The party whose consent was caused by coercion, undue influence, fraud or misrepresentation (**s. 19A**, Contract Act — the party whose consent was so caused "may ... rescind"; and under **s. 19** he may, at his option, insist on performance and be put in the position he would have been in had the representation been true).
2. **How is it rescinded?** By **notice** to the guilty party (**s. 66**, Contract Act) or by filing a suit. Communication to the rogue is normally required — but see *Car & Universal Finance Co. Ltd. v. Caldwell* [1965] 1 QB 525, where the Court of Appeal held that where the rogue has disappeared, the defrauded owner may rescind by **any overt act evidencing an intention to rescind** — informing the police and the trade association was enough.
3. **Bars to rescission** (**ss. 25, 28, 63, 67**, Contract Act): affirmation after discovering the truth; lapse of a reasonable time; restoration of benefits being impossible; and — decisively — **the intervention of third-party rights**. s. 29 is the statutory form of that last bar.
4. **The practical point.** Notify the rogue, notify the police, and notify the trade *immediately*. Every hour of delay is an hour in which the rogue may sell to an innocent buyer.

§2.7 · Exceptions 4 and 5 — Seller or buyer in possession after sale (s. 30)

SECTION 30 — VERBATIM

by Ankur R. Upadhyay

"**Seller or buyer in possession after sale.**—(1) Where a person, *having sold goods*, *continues or is in possession* of the goods or of the documents of title to the goods, the delivery or transfer by that person or by a mercantile agent acting for him, of the goods or documents of title under any *sale, pledge or other disposition* thereof to any person receiving the same *in good faith and without notice of the previous sale* shall have the same effect as if the person making the delivery or transfer were expressly authorised by the owner of the goods to make the same.

(2) Where a person, *having bought or agreed to buy goods*, obtains, *with the consent of the seller*, possession of the goods or of the documents of title to the goods, the delivery or transfer by that person or by a mercantile agent acting for him, of the goods or documents of title under any *sale, pledge or other disposition* thereof to any person receiving the same *in good faith and without notice of any lien or other right of the original seller* in respect of the goods shall have effect *as if such lien or right did not exist*."

SELLER IN POSSESSION

The seller has sold (property has passed to B) but **continues or is** in possession of the goods or of a document of title. He then disposes of them to C. **C gets a good title and B loses the goods.** The disposition may be a **sale, pledge** *or other disposition* — the words are deliberately wide.

BUYER IN POSSESSION

The buyer has bought *or agreed to buy* and has obtained possession **with the seller's consent** — but property has **not** yet passed to him. He then disposes of the goods to C. C takes **free of the unpaid seller's lien or other right**. The original seller loses his lien; his remedy is against B for the price.

s. 30(1) — conditions and cases

Condition	Comment	Authority
The seller must have **sold** the goods	i.e. property has passed. s. 30(1) presupposes a prior sale	Read with ss. 18–25; *Nicholson v. Harper* [1895] 2 Ch 415
He must **continue or be** in possession	"Continues" covers the seller who never delivered; "is" covers a seller who got possession back. Possession must be *as seller*, in the strict sense	*Pacific Motor Auctions Pty. Ltd. v. Motor Credits (Hire Finance) Ltd.* [1965] AC 867 (PC) — possession need not be continuous; a seller who resumed possession after the sale was still within the section
There must be a **delivery or transfer** by him (or by a mercantile agent for him)	An actual transfer is required; a mere agreement to sell to C is not enough	*F. E. Hookway & Co. v. Alfred Isaacs & Sons* [1954] 1 Lloyd's Rep 491 — there must be a delivery or transfer, actual or constructive
C must receive **in good faith, without notice** of the previous sale	Notice of the first sale is fatal; constructive notice is enough	Text of s. 30(1)
The disposition may be a sale, pledge *or other disposition*	Wider than the proviso to s. 27, which speaks only of 'sale'	*Pacific Motor Auctions* — a disposition by way of a hire-purchase bailment to a finance company was within the section

s. 30(2) — conditions and cases

Condition	Comment	Authority
The disposer must have **bought or agreed to buy**	The words "or agreed to buy" are essential: they cover the case where property has **not** passed but there is a binding agreement	Text of s. 30(2)
He must have obtained possession **with the consent of the seller**	Consent is the whole basis; a buyer who takes possession without consent (a thief) can never rely on s. 30(2)	*Cahn v. Pockett's Bristol Channel Steam Packet Co. Ltd.* [1899] 1 QB 643 — buyer who obtained the bill of lading by fraud did **not** obtain possession with the seller's consent
The transferee must take **in good faith and without notice of any lien or other right** of the original seller	The notice here is notice of the *lien*, not of a prior sale	Text of s. 30(2)
The effect is **as if such lien or right did not exist**	The unpaid seller's lien, and his right of stoppage in transitu, are defeated	Read with ss. 47–52 and s. 53(1)
A **hirer under a hire-purchase agreement** 'has agreed to buy'	Controversial but now settled: a hirer with an option to purchase is within 'agreed to buy'	*Worcester Works Finance Ltd. v. Cooden Engineering Co. Ltd.* [1972] 1 QB 210, approved by the House of Lords in *National Employers' Mutual General Insurance Association Ltd. v. Jones* [1990] 1 AC 24
But a buyer who has only an **option** and has not exercised it is not protected in England	The English Act added a proviso (SOGA 1979 s. 25(2)) protecting dispositions by a buyer in possession after sale; and the *market overt* proviso pending reacquisition	*Stadium Finance Ltd. v. Robbins* [1962] 2 QB 664 — a hirer who had **not** given the notice exercising his option was a mere bailee and could not pass title

NOTE THE DIFFERENCE BETWEEN S. 30(2) AND S. 53(1)

Both deal with a buyer who disposes of goods before paying. But **s. 53(1)** is the *default*: "the unpaid seller's right of lien or stoppage in transit is **not affected** by any sale or other disposition which the buyer may have made, **unless the seller has assented thereto**" — subject to a proviso where a **document of title** has been lawfully transferred to a person who transfers it in good faith and for consideration. **s. 30(2)** is the *exception* to that default where the buyer has possession **with the seller's consent** and the transferee is in good faith. In an exam, run s. 53(1) first and s. 30(2) second.

§2.8 · Sale in Market Overt — the exception India does not have

START HERE: THERE IS NO MARKET-OVERT PROVISION IN THE SALE OF GOODS ACT, 1930

The DU syllabus lists "sale in Market Overt" as a head under Topic 7. **The Sale of Goods Act, 1930 contains no provision for it.** If your answer opens with the Indian statutory text, you have made a mistake. Open instead with the *absence*: state that the rule exists in the English Sale of Goods Act 1893 (s. 22(1)), that the Indian legislature deliberately left it out, and that England has since abolished it. Then explain what the rule *was*. That is the answer that scores.

What the rule was

Market overt (Law French *marché ouvert*) was a medieval English institution. Where goods were **openly sold** in a **legally constituted open market or fair**, **between sunrise and sunset**, and in accordance with the usage of the market, a buyer who bought **in good faith and without notice of any defect in the seller's title** acquired a **good title** — even if the goods had been stolen. It was the most dramatic of all the *nemo dat* exceptions, because it protected the buyer *even where the true owner had done nothing at all*.

Element of the rule	Requirement
An open market	A market that was "open, public and legally constituted" — established by charter, prescription or statute. A private shop was not enough, even in a market town. By the twentieth century the rule was in practice confined largely to a handful of City of London markets
Sale in the open	The sale had to be conducted openly, in a stall or shop within the market, so that anyone could see it — not in a back room or a warehouse
Between sunrise and sunset	A sale after dark did not qualify
According to the usage of the market	The sale had to follow the customs of that particular market
Good faith and no notice	The buyer had to be innocent of any defect in the seller's title
Effect	The buyer acquired a good title *against all the world*. The true owner's only remedies were (a) to prosecute, and (b) under the old rule, on conviction of the thief, to have his goods restored

Why India never adopted it — the reason is worth quoting

Legislative history: "*The Select Committee to which the Bill was referred objected to this clause, the ground of objection being substantially that the provision would make British India an asylum for cattle stealers from the native States. The clause, after a good deal of controversy, was ultimately moulded in a different form and it appeared as section 108 in the Indian Contract Act, 1872.*"

So the ancestor of ss. 27–30 — s. 108 of the Contract Act — *is* the market-overt clause, recast. Instead of protecting a buyer who buys in a market, the Indian legislature protected buyers who deal with a person the owner has *armed*: an agent, a co-owner, a rogue under a voidable contract, a seller or buyer in possession. The emphasis moved from **where** you bought to **whom** you bought from.

Why England abolished it

The **Sale of Goods (Amendment) Act 1994** (c. 32) received Royal Assent on 3 November 1994 and came into force on **3 January 1995**. Its long title is simply "An Act to abolish the rule of law relating to the sale of goods in market overt". It repealed **s. 22(1) of the Sale of Goods Act 1979** and **s. 47 of the Laws in Wales Act 1542**. The reasons were the growth of car-boot sales and similar venues where stolen property could be 'fenced' easily — Parliament called market overt a "thieves' charter". The rule survives in a few common-law jurisdictions, including **Hong Kong** and **British Columbia**.

§2.9 · Exceptions outside the Act

Remember the opening words of s. 27: "*Subject to the provisions of this Act and of any other law for the time being in force…*" The statutory list is therefore not exhaustive. Six further situations in which a non-owner can pass a good title:

Situation	Source	Explanation
Sale by auction	**s. 64(2)**, SOGA	Once the hammer falls the sale is complete and the buyer gets the seller's title; the auctioneer is the seller's agent, and a buyer from a seller who turns out not to own the goods is protected only by the ordinary exceptions
Sale by a pledgee / pawnee exercising a power of sale	**ss. 176–177**, Contract Act, 1872	A pawnee may sell on default after reasonable notice; the buyer gets the pawnor's title free of the equity of redemption
Sale by an official assignee, liquidator, receiver or the court	Insolvency & Bankruptcy Code, 2016; Provincial Insolvency Act, 1920; CPC, O. 21	A court sale passes whatever title the judgment-debtor had, and the sale is good against the world once confirmed
Sale by a finder or bailee with a statutory power	ss. 148–181, Contract Act; s. 169 (finder's sale where the owner cannot be found or refuses to pay lawful charges)	Narrow and conditional: the sale must be of perishable goods, or goods whose owner cannot with reasonable diligence be found, or who refuses to pay lawful charges
Negotiable instruments and money	**Negotiable Instruments Act, 1881**, ss. 9, 14, 118–122	*Nemo dat* is heavily qualified for negotiable instruments: a holder in due course takes free of defects in title (s. 53, NIA) and of prior equities. Currency notes pass by delivery
Sale under a statutory market or regulated mandi	State APMC Acts and rules	Case 35 shows the limits: a statutory *presumption* that goods weighed within a notified area were sold there cannot override ss. 19–23 of the SOGA

§2.10 · Master table — the five statutory exceptions compared

	1 · Mercantile agent	2 · Joint owner	3 · Voidable title	4 · Seller in possession	5 · Buyer in possession
Provision	proviso to s. 27	s. 28	s. 29	s. 30(1)	s. 30(2)
Who sells	a mercantile agent (s. 2(9))	one of several joint owners	a person holding under a voidable contract	a person who has already sold	a person who has bought or agreed to buy
Had property passed to him?	No — he is an agent	Yes, jointly	Yes, but defectively	Yes — he was the owner, now is not	Not necessarily; 'agreed to buy' is enough
Key requirement	possession as agent, *with the owner's consent*, acting *in the ordinary course of business*	*sole* possession *by permission* of the co-owners	contract *not yet rescinded* at the time of the sale	he *continues or is* in possession of goods or a document of title	possession obtained *with the seller's consent*
What the buyer must lack notice of	the agent's want of authority	the seller's want of authority	the seller's defect of title	the *previous sale*	any *lien or other right* of the original seller
Disposition covered	*sale* only	sale	sale	sale, *pledge or other disposition*	sale, *pledge or other disposition*
Documents of title included?	Yes	No	No	**Yes**	**Yes**
Who loses	the true owner	the co-owners (for their shares)	the defrauded original seller	the *first* buyer	the unpaid original seller (lien)

	1 · Mercantile agent	2 · Joint owner	3 · Voidable title	4 · Seller in possession	5 · Buyer in possession
Leading case	**Case 36** *Pearson v. Rose & Young*; *Folkes v. King*; *Lowther v. Harris*	joint-cattle illustration; applied to a joint Hindu family	*Phillips v. Brooks*; *Lewis v. Averay*; *Butterworth v. Kingsway Motors*	*Pacific Motor Auctions* [1965] AC 867	*Worcester Works Finance* [1972] 1 QB 210; *National Employers' Mutual v. Jones* [1990] 1 AC 24

§2.11 · What the disappointed buyer recovers

If s. 27 bites, the buyer loses the goods to the true owner. He is not without a remedy against his own seller — and the measure is more generous than students expect.

ROWLAND V. DIVALL — TOTAL FAILURE OF CONSIDERATION

Rowland v. Divall [1923] 1 KB 500 (CA). The plaintiff bought a motor car from the defendant for £334 and used it for four months. It turned out to have been stolen; the plaintiff was compelled to return it to the true owner. He sued to recover the **whole £334**.

Held: he recovered the entire price, with no deduction for the four months' use. Scrutton L.J.: *"He is not getting the car at all, and the consideration has wholly failed."* Atkin L.J.: the buyer contracted to buy not merely the physical thing but **the property in it**, and he had received nothing of what he bargained for. In India the same result is reached under **s. 65 of the Contract Act, 1872** (obligation to restore an advantage received under a void or subsequently-voided contract) read with the implied condition as to title in **s. 14(a) of the Sale of Goods Act** — a breach of a *condition*, so the buyer may in addition treat the contract as repudiated under s. 12(2).

AGAINST THE SELLER

Recover **the full price** for total failure of consideration (s. 65 ICA; *Rowland v. Divall*), *and* damages for breach of the **s. 14(a)** implied condition as to title. Note that the two overlap — you cannot recover twice.

AGAINST THE TRUE OWNER

Normally **nothing** — he must return the goods and may be liable in **conversion** for the period of detention. He may, however, claim for **improvements** he made in good faith (s. 51, Specific Relief Act, 1963) and, where he was a bona fide possessor, for necessary expenses.

TIME LIMITS

A suit for the price back is governed by **Article 24** (money paid for a consideration that afterwards failed) or **Article 26** of the **Limitation Act, 1963** — three years from the date the consideration failed, i.e. from the date the true owner's claim was established.

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #40 – #43

CASE #40 — DU LL.B. PRESCRIBED AUTHORITY

Commissioner of Income Tax v. Mysore Chromite Ltd.

(1955) 1 SCR 849: AIR 1955 SC 98 · Supreme Court of India · S.R. Das J. · Income-tax reference under s. 66(1), Income Tax Act, from the Madras High Court (judgment dated 29 March 1951) · Under an F.O.B. contract the delivery and the risk may pass at the port of shipment while the property passes somewhere else entirely — because the seller, by taking the bill of lading in his own name and releasing it only against acceptance of the draft, reserves the right of disposal under s. 25. Appropriation that is conditional is not appropriation within s. 23(1).

FACTS

The assessee. A private limited company registered in the **Mysore State** under the Mysore Company Regulations, with its registered office at Sinduvalli, Mysore State. The **management and control** of the company was vested in **Messrs Oakley Bowden & Co. (Madras) Ltd.**, another private limited company incorporated under the Indian Companies Act, with its registered office at No. 15, Armenian Street, Madras.

The business. The assessee owned **chromite mines** in Mysore State. Chrome ore was extracted, converted into a merchantable product and sold to buyers mostly outside India. A very small proportion of the sales was effected in India, and for the purposes of the case that was left out of consideration: the sales were mostly to buyers in **America and Europe**.

The two selling channels.

- **European purchasers:** the sales were put through in London by **Bowden Oakley & Co. Ltd., London**, the assessee's agent in Europe, *holding a power of attorney from the assessee*. The contracts were signed by Bowden Oakley & Co. Ltd. *in London*.
- **American purchasers:** the sales were effected through **Messrs W.R. Grace & Co.**, who *bought for undisclosed principals*. The contracts were signed by W.R. Grace & Co. (presumably in America) *and* by Oakley Bowden & Co. (Madras) Ltd. in Madras.

The terms. Specimen forms of both contracts were set out in the order of the Income Tax Appellate Tribunal dated **22 January 1948**, out of which the reference arose. Under *both* forms the **price was F.O.B. Madras or Marmagoa** (a very small quantity was sold F.O.B. Marmagoa and was left out of consideration). Provision was made for **weighment, sampling and assay of the goods at destination**.

The course of dealing, as found by the Appellate Tribunal. Before the goods were actually shipped, the buyers used to open a **confirmed irrevocable bankers' credit** with some first-class bank in **London**. Being informed of the opening of such credit, the **Eastern Bank Ltd., London** sent intimation to the **Eastern Bank Ltd., Madras**, which in turn passed the intimation on by letter to the assessee company. A specimen of that letter was also set out in the Tribunal's order. In it the Eastern Bank Ltd., Madras informed the assessee that —

"in accordance with advices received by letter from our London Office, a confirmed and irrevocable credit has been opened in your favour by Messrs Morgan Grenfell & Co., Ltd., London, for account of Messrs W.R. Grace & Co., New York, for a sum not exceeding **£7,300** (seven thousand three hundred pounds sterling) in all, **available by delivery to us on or before 15 January, 1940** of the following documents…"

Towards the end of the letter the bank wrote that they were "prepared in our options as customary to **negotiate drafts** drawn in terms of the arrangement provided that the documents as abovementioned appear to us to be in order". The letter concluded with a warning that the advice was "**given for your guidance and without involving any responsibility on the part of this Bank**".

What the assessee then did. On receipt of such intimation the assessee company —

1. placed the contracted goods on board the steamer at **Madras** and obtained **a bill of lading in its own name** (shipments were made principally at Madras Port);
2. made out a **provisional invoice** on the basis of the bill of lading weight and the contract price for 48 per cent Cr_2O_3;
3. **drew a bill of exchange** on the buyers' bank where the letter of credit had been opened — for **90 per cent** of the amount of the provisional invoice *payable at sight* in the case of European contracts, and **80 per cent** *at 90 days' sight* in the case of American contracts — in either case **in favour of the Eastern Bank Ltd., London**;
4. negotiated the bill of exchange, together with the relative **bill of lading endorsed in blank** by the assessee and the provisional invoice, with the **Eastern Bank Ltd., Madras**, its own bankers, who credited the assessee with the amount of the bill of exchange;
5. the Eastern Bank Ltd., Madras then forwarded the documents to the **Eastern Bank Ltd., London**, which presented the bill of exchange to the buyers' bank in London and, **upon the bill being accepted, delivered the bill of lading and the invoice to the buyers' bank**. The buyers' bank in due course paid the amount of the bill to the Eastern Bank Ltd., London;
6. thereafter, on arrival of the goods and after **weighment and assay**, the sale price was ascertained and the **balance** of the price, after deducting the payments made against the bill of exchange, was paid to the Eastern Bank Ltd., London, which was the assessee company's *agent and banker in London*.

The two questions referred under s. 66(1) of the Income Tax Act — both of which the Madras High Court answered *in the affirmative*, i.e. in favour of the assessee:

"(1) Whether on the facts and in the circumstances of the case the profits derived by the assessee company from sales made to European and American buyers **arose outside British India**?

(2) Whether on the facts and in the circumstances of the case the profits derived by the assessee company from sales made to European and American buyers were **received outside British India**?"

ISSUES

1. **Where did the property in the goods pass?** The Revenue's case stood or fell on the property passing at Madras. If it passed in London, the sales took place outside British India and the profits arose outside British India.
2. **Specifically, was there an "unconditional appropriation" within s. 23(1) of the Sale of Goods Act** merely because the assessee placed the goods on board the steamer named by the buyer at Madras Port under an F.O.B. contract?
3. **Did the assessee reserve the right of disposal under s. 25?** — in particular, did taking the bill of lading in its own name have that effect?
4. **Were the profits received in British India?** — i.e. was the 80%/90% paid by the Eastern Bank Ltd., Madras a *payment of the price*, or something else?

ARGUMENTS

For the appellant (the Commissioner of Income Tax — the Revenue)

Learned Solicitor-General, on Question 1:

- Having regard to the terms of the contracts, the sales must be regarded as having **taken place in British India**.
- Three facts were strongly relied on: **(i)** the price and delivery of goods were on **F.O.B. terms**; **(ii)** in the European contracts the **insurance, if any, was to be the concern of the buyers**; and **(iii)** payment of the 80 per cent or 90 per cent, as the case may be, was **made in Madras** by the Eastern Bank Ltd., Madras, to the assessee company on the delivery of the documents.
- All these facts taken together indicate that **the property in the goods passed at Madras**, and the sales were accordingly completed in British India.

Learned Solicitor-General, on Question 2:

- **Irrespective of where the sale may have taken place, the profits were received in Madras.** After shipment the assessee, through its managing agent in Madras, prepared provisional invoices, drew bills of exchange for 80/90 per cent, handed them to the Eastern Bank Ltd., Madras, and **received the amount of the bill of exchange from them in Madras**.
- That receipt "was really the receipt of the price of the goods and amounted to receipt of profits in Madras".
- Reliance was placed on the words **"through the Eastern Bank Ltd."** appearing in the contract, and the words **"available by delivery to us"** appearing in the letter of intimation — suggesting the Eastern Bank was acting for the *buyers*.

For the respondent (the assessee company)

- The contracts were *always* for the sale of **unascertained goods**, so no property could pass until ascertainment (**s. 18**).
- Under the provision in the contract for **weighment and assay** — which was ultimately to fix the price unless the buyer rightly rejected the goods as not being in terms of the contract — the passing of property **could not take place until the buyer accepted the goods and the price was fully ascertained after weighment and assay**.
- That being the position, the property in the goods passed and the sales were concluded **outside British India**, for the weighment, sampling, assay and the final fixation of the price could only take place, under all these contracts, **outside British India**.
- On Question 2: the Eastern Bank Ltd., Madras and the Eastern Bank Ltd., London were **agents of the assessee company**; neither had any relation with the buyers; a payment by them therefore cannot be a payment of the price.

DECISION — QUESTION 1: THE PROPERTY PASSED IN LONDON

Appeal dismissed. Both questions answered in favour of the assessee. S.R. Das J., for the Court:

"*We are unable to accept this line of reasoning.*" The Court began with **s. 4** of the Sale of Goods Act — a contract of sale is a contract whereby the seller transfers or agrees to transfer the property in goods for a price; where the property is transferred the contract is called a *sale*, but where the transfer is to take place at a future time or subject to some condition thereafter to be fulfilled, the contract is called an *agreement to sell*; and by **s. 4(4)** an agreement to sell *becomes a sale* when the time elapses or the conditions are fulfilled.

Then the passage that every DU answer on s. 25 should quote — the rejection of the inference from delivery and risk:

The Court expressly **declined** to decide the wider argument that property could not pass at all until weighment, assay, acceptance and final ascertainment of the price at the destination:

Accordingly the Appellate Tribunal and the High Court were "quite correct in holding that the sales took place outside British India and, *ex hypothesi*, the profits derived from such sales arose outside British India".

PRINCIPLES EVOLVED

1. **F.O.B. fixes delivery and risk, not property.** "Placing of the goods on board the steamer named by the buyer under a F.O.B. contract clearly discharges the contractual liability of the seller as seller" — but property is a separate question, governed by ss. 18–25. *This is the single most quotable proposition in the case.*
2. **'Unconditionally' is a substantive requirement of s. 23(1), not a flourish.** "The requirement of the section is not only that there shall be appropriation of the goods to the contract but that such appropriation must be made *unconditionally*." An appropriation coupled with a reservation of disposal is not an appropriation at all.
3. **The bill of lading is the standard instrument of reservation.** "The bill of lading is the document of title to the goods and by this term the assessee company clearly reserved the right of disposal of the goods until the bill of exchange was paid." (Sub-section (2) of s. 25, inserted by Act 33 of 1963, now makes this a *prima facie* presumption — the judgment anticipated the amendment by eight years.)
4. **Delivery and the passing of risk are only *indicia*.** "*Prima facie* … strong indications … but they are **not decisive and may be negatived**." A student who stops at "F.O.B. therefore property passed at Madras" has been answered by this sentence.
5. **A banker's payment against documents is an advance, not a payment of price.** Where the bank is the *seller's* banker, negotiating the seller's draft on the security of the documents, the price is paid only when the buyer's bank honours the draft. "Normally, price is paid by or on behalf of the buyer."
6. **Judicial restraint on the wider question.** The Court refused to decide whether property could pass at all before weighment, assay and final ascertainment of price at destination, disposing of the case on the narrower ground. Note the technique: decide only what is necessary.
7. **A sale-of-goods rule can decide a tax case.** The location of a *sale*, and hence the accrual and receipt of profits, was determined entirely by ss. 18, 23 and 25 of the Sale of Goods Act. Allied statutes ride on this Topic.

CASE #41 DU LL.B. PRESCRIBED AUTHORITY

P.S.N.S. Ambalavana Chettiar and Company Ltd. v. Express Newspapers Ltd.

(1968) 2 SCR 239: AIR 1968 SC 741 · Supreme Court of India · R.S. Bachawat J. · Civil Appeals Nos. 165 and 166 of 1965, on certificate from a Division Bench of the Madras High Court (trial: Rajagopala Ayyangar J.) · A contract to buy 300 tons out of a larger stock of 415 tons is a contract for the sale of unascertained goods. No property passes until the portion is identified and appropriated (s. 18) — and until it does, the seller has no statutory power of resale under s. 54(2) and must fall back on damages measured by s. 73 of the Contract Act.

FACTS

The dispute arose out of a contract between the appellants and the respondent entered into on **13 November 1951**. Its terms were recorded in writing in the form of a letter written by the respondent to Appellant 1:

"Messrs. P.S.N.S. Ambalavana Chettiar and Company Ltd., 260, Angappa Naicken Street, Madras.

Dear Sirs,

We confirm having **purchased from you and the Madras Paper Marketing Company, Madras, 500 tons of Russian Newsprint** as per the following description: About 70 per cent in reels of 34 inches width, "15 per cent in reels of 22 inches width; 15 per cent in reels of 36 inches width" **at annas 9 per lb. ex-wharf Bombay duty, etc., paid**. The buyers are to take delivery within four days of the offer of delivery. Any wharfage, etc., up to the fourth day of the offer of delivery will be on seller's account and thereafter on buyer's account.

We have also sold you about 415 tons of Russian newsprint in sheets in size of about 30" × 42" (760 mm × 1085 mm) **ex-godown, Madras at Re. 0-9-6 per lb.** We will keep the stock of sheets in our godown on your account free of rent. **We shall advance you moneys against this newsprint at annas 8 per lb. This advance will carry interest at 5 per cent per annum.** We will also charge you the exact amount of insurance which we pay to our Insurance Company against the goods.

We shall pay **Rs 5,60,000 to your Bankers in Bombay** and take delivery of the 500 tons of newsprint from the harbour in Bombay. Accounts will be made on the basis of the above arrangement and whatever one party is liable to pay to the other will be adjusted subsequently."

In substance, therefore, there were **two cross-sales**:

- the respondent **bought** 500 tons of Russian newsprint *in reels* from the appellants at **9 annas per lb., ex-wharf Bombay**, taking delivery on payment of Rs 5,60,000; and
- the appellants **bought** 415 tons of Russian newsprint *in sheets* then lying in a godown in Madras at **9 annas 6 pies per lb.**, upon the terms that the appellants would pay the insurance charge and interest at 5 per cent per annum on an amount equivalent to the price calculated at 8 annas per lb.

The understanding was that the appellants would take delivery of the sheets in instalments within a reasonable time and the accounts would be finally adjusted on completion of the deliveries. **Appellant 2** carried on business under the name and style of *Madras Paper Marketing Company*.

The variation. On **26 November 1951** the parties orally agreed that instead of 500 tons the respondent would buy **300 tons** in reels, and instead of 415 tons the appellants would buy **300 tons** in sheets — and that the terms of the contract dated 13 November 1951 would stand varied accordingly.

Performance and breach. On **5 December 1951** the respondent took delivery of 300 tons of newsprint in reels on payment of **Rs 3,18,706-9-10**, leaving **Rs 57,816-13-2** due to the appellants on account of the price of those goods. Between **29 November 1951 and 27 February 1952** the appellants took delivery of **122,324 lbs.** of newsprint in sheets on payment of **Rs 63,032-15-9**. They then **refused to take delivery of the balance of 547,501 lbs.** Counsel for the parties agreed before the Supreme Court that **29 March 1952 was the date of repudiation**.

The resale. On **21 April 1952**, after giving notice to the appellants, the respondent **resold the balance goods to one G.R. Lala at 6½ annas per lb.**

The litigation. On **18 April 1952** the appellants filed C.S. No. 175 of 1952 in the Madras High Court claiming **Rs 57,816-13-2** — the balance price of the 300 tons in reels — with interest. The respondent *admitted* that claim. On **30 July 1952** the respondent filed C.S. No. 262 of 1952 claiming a decree for **Rs 62,266-13-2**: the balance price of the 122,324 lbs., the deficiency on the resale of the 547,501 lbs., interest and insurance charges, after setting off the Rs 57,816-13-2 due to the appellants. The appellants' principal defence was that **the contract with regard to the 415 tons of newsprint in sheets was cancelled in November 1951** and that **Appellant 2 was not a party to it**; they also denied the factum and validity of the resale.

Rajagopala Ayyangar J. **dismissed** C.S. No. 175 of 1952 and **decreed** C.S. No. 262 of 1952. A Division Bench dismissed both appeals. The present appeals were filed on certificates granted by the High Court.

Concurrent findings, not challenged in the Supreme Court: (1) Appellant 2 *was* a party to the contract of purchase of 415 tons of newsprint in sheets; (2) on 26 November 1951 the parties orally agreed to reduce the quantity to 300 tons; (3) there was **no cancellation** of the contract as alleged; and (4) the resale held on 21 April 1952 was **genuine**, effected at a proper price, on due notice and after proper advertisement. Mr Gupte attempted to challenge the last of these, but the Court saw no reason to interfere.

ISSUES

1. **Had the property in the 300 tons of newsprint in sheets passed to the appellants before the resale of 21 April 1952?** — the decisive question.
2. If not, **did the respondent have a right of resale** — under **s. 176 of the Contract Act** (as pledgee), or under **s. 54(2) of the Sale of Goods Act** (as unpaid seller)?
3. If the resale was invalid, **what is the correct measure of damages**?

ARGUMENTS

For the appellants (Ambalavana Chettiar & Co. — the buyers)

Mr Gupte:

- **The principal argument:** "the property in the goods resold on April 21, 1952 had **not passed to the appellants** and **the resale was consequently invalid**."
- After the variation of 26 November 1951, the subject-matter of the sale was 300 tons *out of* a larger stock of 415 tons. Nothing had been identified, set apart or appropriated to the contract; therefore, under **s. 18**, no property had passed.
- Since no property had passed, the respondent could not resell under **s. 54(2)**, which presupposes that property has passed to the buyer subject to the unpaid seller's lien.
- Nor could the respondent rely on **s. 176 of the Contract Act** as a pledgee: the arrangement was not a pledge at all — no loan had been made on the security of the goods.
- Accordingly the claim for the **deficiency on resale** was unsustainable.

For the respondent (Express Newspapers Ltd. — the sellers)

- Under the original contract of **13 November 1951** there was an **unconditional contract for the sale of specific goods in a deliverable state** — the stock of 415 tons lying in the respondent's godown — and the property passed *then*.
- The variation of 26 November 1951 merely reduced the quantity: **the property in the entire 415 tons remained with the appellants**, who were subsequently relieved of their liability to take 115 tons.
- Alternatively (per Rajagopala Ayyangar J.), the variation made the appellants and the respondent **joint owners of the stock of 415 tons**.
- Either way, property had passed, so the respondent as an **unpaid seller with a lien** was entitled to resell under **s. 54(2)** and to recover the deficiency.
- Reliance was also placed on the clause "We shall **advance** you moneys against this newsprint at annas 8 per lb. This advance will carry interest at 5 per cent per annum" — suggesting a security arrangement.

DECISION — THE APPEAL WAS ALLOWED IN PART

The Supreme Court accepted the appellants' principal argument. R.S. Bachawat J.:

Step 1 — there was no pledge, so s. 176 of the Contract Act is irrelevant.

Step 2 — s. 54(2) requires that the property has passed.

Step 3 — the original contract was for specific goods, and property passed on 13 November 1951.

Step 4 — but the variation substituted a contract for unascertained goods.

Step 5 — the two contrary views below were both rejected.

Step 6 — s. 18, and Bayley B. in *Gillett v. Hill*.

Step 7 — the resale was therefore invalid.

Step 8 — the correct measure: contract price less market price on the date of breach.

Counsel on both sides asked the Court, rather than remand the matter, to assess damages itself and finally dispose of it. Going through the materials with counsel's assistance, the Court **assessed the market price of Russian newsprint in sheets on 29 March 1952 at 8 annas per lb.** — a figure **agreed by counsel on both sides**. The respondent's claims for **Rs 6,798-5-1** (interest) and **Rs 1,119-6-0** (insurance charges) were **admitted** before the Court by Mr Gupte. Accordingly **Civil Appeal No. 165 of 1965 was allowed in part** and the decrees below were varied by substituting a decree for **Rs 10,980-12-8** with interest at 6 per cent per annum from 30 July 1952; **Civil Appeal No. 166 of 1965 was dismissed**.

PRINCIPLES EVOLVED

1. **A contract for a portion out of a specified larger stock is a contract for unascertained goods.** "The condition is not fulfilled where there is a contract for sale of a portion of a specified larger stock. **Till the portion is identified and appropriated to the contract, no property passes to the buyer.**" *This is the proposition for which the case is prescribed.*
2. **"There is no individuality until it has been divided."** Bayley B.'s sentence in *Gillett v. Hill* is the clearest statement of why, and it is worth committing to memory.
3. **A material variation may** *annul* **a passing of property.** Property that had passed on 13 November 1951 was destroyed by the variation of 26 November 1951: "the result of the variation of the contract was to **annul the passing of property in the goods**", and from that date the property in the entire stock revested in the seller.
4. **Joint ownership is a different thing from a share out of a bulk.** The Court rejected the joint-ownership analysis: "The parties did not intend that the appellants would buy **undivided share** in 415 tons of newsprint." Do not confuse this case with **s. 28**.
5. **s. 54(2) is a two-condition power.** The goods must be perishable or notice of intention to resell must have been given, *and* **the property must have passed to the buyer** subject to the unpaid seller's lien. The second condition is easy to overlook and is fatal when it is missing.
6. **A label in the contract does not create a pledge.** The word "advance" did not make the seller a pledgee: "the contract did not envisage any loan of money … on the security of the newsprint". Look at the *substance*, not the vocabulary.
7. **Where there is no right of resale, damages are measured by s. 73 of the Contract Act** — the difference between the contract price and the market price **on the date of the breach**, where no time was fixed for acceptance (Illustration (c) to s. 73).
8. **Appellate efficiency.** Where the material on record is adequate and both counsel ask for it, the Court may assess damages itself rather than remand — a useful practical point on s. 107 CPC.

CASE #42 DU LL.B. PRESCRIBED AUTHORITY

Agricultural Market Committee v. Shalimar Chemical Works Ltd.

(1997) 5 SCC 516: AIR 1997 SC 2502 · Supreme Court of India · S. Saghir Ahmad J. · Civil appeal from the Andhra Pradesh High Court · Where the A.P. Markets Act contains no definition of 'sale', the courts borrow ss. 19-23 of the Sale of Goods Act. The intention of the parties is decisive, gathered from terms, conduct and circumstances (s. 19(2)) — and the clearest conduct of all is who carried the risk of transit and who paid the insurance premium. A statutory presumption of 'deemed sale' from mere weighment cannot override the Act.

FACTS

The parties. The **Agricultural Market Committee** — the appellant before the Supreme Court — is a **statutory body created under the Andhra Pradesh (Agricultural Produce and Livestock) Markets Act, 1966**. The **respondent** is a **licensed trader dealing in 'copra'** (dried coconut kernel), which it imports from various places in the State of **Kerala** for manufacturing coconut oil.

Why the dispute matters. 'Copra' is a **notified agricultural produce**. The Committee therefore has the right to **levy and realise market fee on all transactions of purchase and sale provided the transactions take place within the notified area of the Committee**. Everything turned, therefore, on a single question of sale-of-goods law: **did the sale take place in Kerala, or at Hyderabad inside the notified area?**

The assessment. By orders dated **2 March 1989** and **28 March 1989**, the Assessing Authority — who is also the **Secretary of the Committee** — levied market fee on the respondent. The respondent challenged those orders in appeals filed under **s. 12-E** of the Act, but the appeals were dismissed on the technical ground of non-compliance with **s. 12-E(2)**, under which **the whole amount of market fee had to be deposited before filing the appeal**.

The statutory presumption relied on. In order to levy market fee, the Assessing Authority had relied upon **Rule 74(2) of the Andhra Pradesh (Agricultural Produce and Livestock) Market Rules, 1969** and the **Explanation to Bye-law 24(5)** of the Bye-laws of the Committee, which contain a **statutory presumption that if a notified agricultural produce was weighed or measured within the notified area of the Committee, it shall be deemed to have been purchased or sold within that area**. The appellate as well as the revisional authorities relied on this provision and held that since the copra imported from Kerala was **admittedly weighed at Hyderabad**, it shall be deemed to have been sold to the respondent at Hyderabad, and the respondent was accordingly liable to pay market fee on all transactions during the period in question.

The evidence before the Appellate Authority. During the pendency of the proceedings, the statement of **Shri Somnath Bhattacharya, Director of the respondent company**, was recorded. He stated that the copra was brought into the State of Andhra Pradesh from outside, was unloaded at the respondent's premises, and was there crushed and coconut oil extracted. He further stated:

"After the material comes to Hyderabad, we will weigh the same **for the purpose of verification regarding the quantity despatched by the Kerala dealers**. We have a running account with the dealers in Kerala State. The account of the dealers will be settled sometimes monthly and sometimes within two or three months from the date of despatch… **Very rarely** it is found on weighment at Hyderabad that the quantity despatched by the dealer at Kerala is less than the quantity mentioned in the invoice concerned and in such cases, the Hyderabad unit will send a report to our Head Office and the Head Office **raises a debit note against the dealer for the shortage of copra**."

The documentary evidence. The High Court took into account the contents of the invoice and **Form X**. **Invoice No. 357 dated 16 May 1985** showed that one **Abdul Hameed** despatched **200 bags of copra through Lorry No. MSQ 3971 from Alleppey in Kerala to Hyderabad**, and that a **demand draft for Rs 1,39,000 was forwarded to bank**. The note to the invoice said that the despatch of the goods was made **solely at the risk and responsibility of M/s Shalimar Chemical Works**, and that Abdul Hameed takes "**no responsibility or liability as to delayed despatches, losses due to theft, pilferage, rain or damage, leakage, wear and tear etc.**"

Column 1 of the accompanying **Form X** named the consignor as **Abdul Hameed**. **Clause 5** of Form X asked, in substance: if the consignor is transporting goods *in pursuance of a sale for the purpose of delivery to the buyer*, give the name and address of the person to whom the goods are sold. **Against Column 5 it was mentioned that Shalimar Chemical Works is the person to whom the goods are sold. Column 7** asked for the address where goods are sent to an agent for sale or to a godown for storage — and against that column it was written **'For Sale'**. It was *that* entry on which the appellate authority founded its conclusion that the transport of copra was only to enable Shalimar to purchase the goods and that they had *not* been sold in Alleppey.

The High Court's finding. The High Court concluded that the **weighment was done only for the satisfaction of the buyer and was not a condition of the contract**, held the appellate authority's view on Form X to be "**totally unsustainable**", and held that **the sale took place in Kerala**.

ISSUES

1. **Where did the sale of copra take place** — in Kerala, or at Hyderabad within the Committee's notified area? This decided the liability to market fee.
2. **Can the statutory presumption in Rule 74(2) / Bye-law 24(5)** — that produce *weighed* within the notified area is *deemed* to have been purchased there — **override the Sale of Goods Act**?
3. **What is the relevance of weighment at Hyderabad, of payment through a bank at Hyderabad, and of collection of documents from the bank there?**
4. **Who is to be treated as the owner at the moment the goods are loaded on to the lorry** at Alleppey?

ARGUMENTS

For the appellant (the Agricultural Market Committee)

- **"If an order was placed with a dealer in Kerala in pursuance of which goods were despatched by lorry to Hyderabad where the respondent, after making payment to and receiving documents from the bank, obtained delivery of goods, and that too, after weighment, the transaction cannot but be treated as sale at Hyderabad and not in the State of Kerala."**
- Rule 74(2) and the Explanation to Bye-law 24(5) create a **statutory presumption**: the copra was admittedly **weighed at Hyderabad**, so it must be **deemed to have been sold at Hyderabad**.
- **Form X, Column 7** said **'For Sale'** — which showed that the goods were being sent to enable Shalimar to *purchase* them, not because they had already been sold in Alleppey.
- Payment was made through a bank at Hyderabad and documents were collected there; delivery was obtained at Hyderabad after weighment. All of that points to a sale at Hyderabad.

For the respondent (Shalimar Chemical Works Ltd.)

- The goods were **ascertained and in a deliverable state** when the order was placed; the seller in Kerala loaded them on the lorry and despatched them to Hyderabad.
- The **contract expressly put the risk of transit on the buyer**: the note to the invoice said the despatch was "solely at the risk and responsibility" of Shalimar, and the Kerala seller took "no responsibility or liability" for losses in transit.
- Consistently with that, **Shalimar insured the goods and paid the premium** — conduct which, under **s. 19(2)**, shows where the parties intended the property to be.
- **Weighment at Hyderabad was for verification only**, and was *not a condition of the contract*; the accounts with the Kerala dealers were settled monthly over a running account.
- **Form X, Column 5** — the column that asks *"if the consignor is transporting goods in pursuance of a sale for the purpose of delivery to the buyer"* — **named Shalimar as the person to whom the goods were sold.** That is direct evidence of a completed sale in Kerala.
- Once the goods were handed to a **common carrier** for despatch to the buyer, **s. 23(2)** applies: the carrier becomes the buyer's agent and delivery to the carrier is delivery to the buyer.
- A *deeming* provision in subordinate legislation cannot displace ss. 19–23 of the Sale of Goods Act, which is the statute Parliament enacted on this very question.

DECISION — APPEAL DISMISSED: THE SALE TOOK PLACE IN KERALA

The Supreme Court agreed entirely with the High Court. S. Saghir Ahmad J.:

Step 1 — the A.P. Act has no definition of sale, so the Sale of Goods Act supplies it.

Step 2 — intention is the decisive factor.

Step 3 — the role of ss. 19(2) and 19(3).

Step 4 — s. 20 as the first rule, and the two conditions for its attraction.

Step 5 — auction sales: s. 20, not s. 64(2).

Step 6 — the decisive passage: conduct.

Step 7 — s. 23(2), through the High Court's reasoning which the Court "fully" approved.

Step 8 — conclusion.

The Court added that the High Court had also rightly held the appellate authority's reading of Form X to be "totally unsustainable": the entry 'For Sale' in C*olumn 7* could not outweigh the express statement in C*olumn 5* that the goods were sold to Shalimar. **The appeal was dismissed.**

PRINCIPLES EVOLVED

1. **Intention is the decisive factor; ss. 20–24 are only the fallback.** "Under these Acts … the relevant factor for determining where the sale takes place, is the **intention of the parties**." And the search is governed by **s. 19(2)**: terms, **conduct**, circumstances.
2. **Risk and insurance are the best evidence of intention.** The party who bears the transit risk and pays the insurance premium has "**intended the goods to be treated as his own**". This is the practical test the case is prescribed for.
3. **Weighment, payment through a bank, and collection of documents are "immaterial"** once the property has passed. "The weighment of the goods at Hyderabad or the collection of documents from the bank or payment of price through the bank at Hyderabad were immaterial." Contrasting this with **Case 33** is the single most instructive exercise on this Topic: in Case 33 weighment mattered because the seller had reserved disposal; here it did not because the parties' conduct showed an unconditional transfer.
4. **Delivery to a common carrier is delivery to the buyer (s. 23(2)).** "The carrier becomes the agent of the vendee." Once the goods are loaded for despatch to the buyer without reservation of disposal, the property passes — and the *situs* of the sale is the place of loading.
5. **Passing of title is not dependent on payment or delivery.** "If the time for payment of price or the time for delivery of goods, or both, is postponed, it would not affect the passing of the title in the goods so purchased."
6. **A deeming provision in subordinate legislation cannot override the parent statute.** Rule 74(2) and the Explanation to Bye-law 24(5) deemed a sale wherever weighment occurred; the Supreme Court applied ss. 19–23 instead and the presumption collapsed. Rules must yield to the Act.
7. **Where a special statute is silent, the general statute fills the gap.** The A.P. Markets Act contained **no definition of sale or purchase**, so the Court borrowed the Sale of Goods Act definition — a technique that recurs across tax and regulatory litigation.
8. **s. 64(2) vs s. 20 in auction sales.** "Property passes … on the acceptance of his bid. This occurs **not because of Section 64(2)** but because of the rule contained in **Section 20**" — s. 64(2) fixes when the *contract* is complete; s. 20 fixes when the *property* passes.

CASE #43 DU LL.B. PRESCRIBED AUTHORITY

Pearson v. Rose & Young, Ltd.

(1950) 2 Ch. D. 1027 · Court of Appeal (Somervell L.J., Denning L.J., Vaisey J.), reversing Devlin J. · Action for damages for conversion of a motor car · English · Decided under the Factors Act, 1889, s. 2(1) — the exact counterpart of the proviso to s. 27 of the Sale of Goods Act, 1930 · A mercantile agent cannot pass a good title unless the owner consented to his possession of everything that makes the sale possible. In the motor trade that means the car and its registration book. A sale of a second-hand car without its log book is "not a sale in the ordinary course of business", and retaining the log book "effectually prevents" the exception from operating.

FACTS

The plaintiff, **Pearson**, owned a motor car — "admittedly up to **March 17, 1949**, the property of the plaintiff". He **gave possession of the car to Mr Hunt**, who was **admittedly a motor car dealer and a mercantile agent** within s. 2(1) of the Factors Act, 1889. The purpose was limited and specific: the car was handed over **"for the purpose of inviting offers to purchase it"**. Hunt was *not* authorised to conclude a sale.

The trick. By means of a trick, Hunt induced the plaintiff to **hand him the registration book** relating to the car. The Court of Appeal's account of how this happened is critical: on **March 18, 1949**, the plaintiff "simply let Hunt have the log book in his hands to inspect it for a few moments" — he gave Hunt "the barest physical custody of it while he was still there himself". Hunt then, "by a trick, managed to get the plaintiff called away while he, Hunt, still held the book".

The sale and the chain. Later the same day, Hunt, **acting without the authority or knowledge of the plaintiff**, **sold the car and handed the registration book to the fourth party**, who "acted in good faith without notice of any absence of authority". The fourth party subsequently sold the car to the **third party**, and the third party sold it to the **defendants, Rose & Young, Ltd.**

The windfall. Denning L.J. noted that the immediate buyer, **Mr Marshall, was himself a motor car dealer**, who **bought the car from Hunt on 18 March 1949 for £450 and sold it on 21 March 1949 for £620** — a profit of £170 in three days.

The litigation. The plaintiff sued the defendants for **damages for the conversion of the car**. **Devlin J. decided against the plaintiff.** The plaintiff appealed; Somervell L.J. recorded that the "**sole issue in the appeal is whether the fourth party did or did not get a good title under the Factors Act, 1889**".

ISSUES

1. **Did the plaintiff consent to Hunt's possession of the registration book?** — the question Somervell and Denning L.JJ. treated as decisive.
2. **Was a sale of a car without its registration book a sale "in the ordinary course of business" of a mercantile agent** within s. 2(1)?
3. **Does larceny by a trick necessarily exclude the Factors Act?** — i.e. does the thief's criminal obtaining of possession destroy the owner's 'consent'? On this point the authorities conflicted and there was "**not clear decision on the point**".
4. Consequent upon all this: **did the fourth party — and through him the third party and the defendants — obtain a good title?**

ARGUMENTS

For the plaintiff (Pearson — the true owner)

- On Devlin J.'s findings, **the only possible conclusion was that the car was obtained by** *larceny by a trick*; and on that basis **s. 2(1) of the Factors Act cannot apply**, because the owner never consented to the possession.
- Reliance was placed on **Fletcher Moulton L.J. in** *Oppenheimer v. Frazer & Wyatt* **[1907] 1 KB 519**: "A mercantile agent is as capable of stealing as any other man, and, if he has stolen the goods, there can be no question, in my opinion, that he must be taken to hold possession of them **without the consent of the owner**. … larceny by a trick … is in the eye of the law **pure stealing**."
- In any event, **the plaintiff never consented to Hunt's possession of the registration book**. Consent to possession of the car is not consent to possession of the log book; and without the log book Hunt could not have sold the car at all.
- Further, **a sale of a second-hand car without its log book is not a sale "in the ordinary course of business"** — counsel accepted (and the Court accepted) that cars *can* be sold without log books, "but **the price would be substantially reduced thereby**".

For the defendants and the third and fourth parties (the innocent purchasers)

- Hunt was **admittedly a mercantile agent**, and the plaintiff **admittedly consented to his possession of the car** — indeed he handed the car over precisely so that offers could be invited.
- The whole purpose of the Factors Act is to protect the **purchaser in good faith carrying out an ordinary mercantile transaction with a person in the position of a mercantile agent**. That is what the fourth party did.
- *Per Scrutton L.J. in Folkes v. King:* where "the true owner intends to give him possession", the fact that the agent "secretly intends to break his contract of agency" **does not destroy the consent**. "It appears to me to be enough to show that the true owner did intentionally deposit in the hands of the mercantile agent the goods in question."
- "I do not think Parliament had any intention of **applying the artificial distinctions of the criminal law to a commercial transaction**, defeating it if there were larceny by a trick, but not if there were only larceny by a bailee, or possession obtained by false pretences."
- If larceny by a trick does not exclude the Act, then the fourth party in good faith and without notice **obtained a good title**, and so did every buyer in the chain.

DECISION — APPEAL ALLOWED: THE BUYER GOT NO TITLE

All three members of the Court held for the plaintiff, each by a slightly different route. Devlin J.'s decision was reversed. Somervell L.J. was explicit that he decided the case *without* needing the larceny point: "I have come to the conclusion that the appeal succeeds **on the judge's findings irrespective of that point**".

(i) SOMERVELL L.J. — no consent to possession of the log book, and no sale in the ordinary course.

On the larceny point, Somervell L.J. held, on Bankes L.J.'s analysis in *Folkes v. King* [1923] 1 KB 282, that there was larceny by a trick: "It seems to me clear that **Mr Hunt had an** *animus furandi* **at the time he got possession of the car**". But he preferred the reasoning of Scrutton L.J. on its *legal* consequence:

(ii) DENNING L.J. — "goods" means the car together with the log book. His judgment opens with the passage every *nemo dat* answer should begin with:

And the closing reflection, which explains why the Court did not strain to protect a dealer:

(iii) VAISEY J. — "a car with only three wheels".

Result: the fourth party got **no title** from Hunt; therefore neither did the third party; therefore **the defendants had no title either, and the plaintiff succeeded in conversion**.

PRINCIPLES EVOLVED

1. **Consent must cover everything that makes the sale possible.** "The consent of the owner … is a consent to the possession by the mercantile agent, *not only of the car, but also of the log book that goes with it*." Partial consent is not consent for the purposes of the section.
2. **'Goods' is construed by the usage of the trade.** "In the case of a car, 'goods' in the Act means *the car together with the log book*." Where a trade treats a document as inseparable from the chattel, the statute follows the trade.
3. **'Ordinary course of business' is an objective test about the transaction.** "It is not in the ordinary course of anyone's business to dispose of a second-hand car without a log book." A sale that fetches only "a fraction of the proper price" because a document is missing is, for that very reason, outside the ordinary course.
4. **Custody for inspection is not possession.** "The barest physical custody" while the owner is still present is **not** the juridical possession the Act requires. This is the same distinction the Indian courts drew under the old s. 108 of the Contract Act — 'possession' meant *juridical* possession, not mere custody.
5. **Larceny by a trick does not automatically destroy consent** — but the point is *not settled*. Somervell L.J. agreed with Scrutton L.J. (and with Bankes L.J.'s "state of mind of the owner" test) that where the owner *intentionally deposits* the goods with the agent, the agent's secret intention to steal does not destroy the consent: "I do not think Parliament had any intention of applying the artificial distinctions of the criminal law to a commercial transaction." He nonetheless found *animus furandi* present, and disposed of the case on the log book in any event.
6. **A defect in title defeats the whole downstream chain.** Because the fourth party got nothing, "the buyers in succession from him" got nothing either — *nemo dat* propagates down a chain.

7. **The exception is construed narrowly.** Vaisey J.: the Act "confer[s] a title upon strangers in derogation of the rights of the true owner, and for myself **I would be reluctant to extend its operation further than its terms necessitate**". Somervell L.J. likewise found no useful analogy for the log book and refused to invent one.
8. **The pro-purchaser policy has limits.** Denning L.J. acknowledged s. 2(4)'s "every reasonable presumption in favour of the innocent purchaser" — but a dealer who turns a £450 purchase into a £620 sale in three days "must not be surprised if he occasionally gets his fingers burnt".

PYQ ARCHIVE // CH.07 Previous Year Questions (DU LL.B. Examinations)

Q.1 `2015 LB-304 Q7(a)` What do you mean by the doctrine of 'Nemo dat quod non habet'?

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `2012 CT · OC Q5(a) · the fullest version` What do you understand by the maxim, 'Nemo dat quod non habet'? Discuss the exceptions to this rule with decided cases.

Q.3 `2011 CT · OC Q4 · "enumerate the situations"` Explain the maxim — 'Nemo dat Quod Non Habet' and enumerate the situations in which Nemo dat Quod Non Habet does not apply. Refer to decided cases.

Q.4 `2015 LB-304 Q4 · the critical / evaluative` " The person who takes goods in good faith, for value and without notice should get a good title. " Discuss the principle with reference to statutory provisions and decided cases.

Q.5 `2015 LB-304 Q2 · the set-piece question on` " The principle of protecting bona fide commercial transactions is given effect by engrafting a number of exceptions upon the general principle as laid down in Sec. 27. " Discuss these exceptions in detail with the help of decided cases.

Q.6 `2015 LB-304 Q7(b)` How a good title of the goods sold by a person other than legal owner can be transferred to the purchaser, explain with illustrations.

Q.7 `2017 LB-304 Q6(b)` Mercantile agent was entrusted with car by G to sell the same at stated price. The agent sold the car to bonafide purchaser below stated price and misappropriated the proceeds. Whether buyer will acquire a good title of car under Sale of Goods Act, 1930? Refer case law.

Q.8 `2013 CT · OC Q2 · Pearson v. Rose & Young` Explain the principle enshrined in the ancient latin maxim 'Nemo dat quod non habet' and discuss the exception drafted to the said rule for protection of commercial transactions. P left his car with a mercantile agent and authorised him only to receive an offer and not to sell. The agent obtained possession of the registration book from P without his consent and then promptly sold the car to D. Whether D acquired good title to car?

Q.9 `2011 CT · OC Q7 · the three-situation rule` Discuss the rules regarding transfer of Property in the following transactions: (a) In Contract for sale of specific goods in a deliverable state. (b) Sale of unascertained goods. (c) When goods are delivered to the buyer on approval or 'on sale or return'.

MODULE 08 // Topic 8 · SOGA Chapter V — Cases #44 – #47

Rights of the Unpaid Seller: Lien, Stoppage in Transit, Sub-Sale & Re-Sale

Sale of Goods Act, 1930: Ss. 45–54 (Definition, Right of Lien, Stoppage in Transitu, Sub-Sale/Pledge S. 53 & Re-Sale S. 54)

Part A — Who is an "Unpaid Seller"? The Rights Conferred by Chapter V

A.1 Why the law gives the seller remedies against the goods

A contract of sale has two sides. The buyer's remedy for non-delivery is to sue the seller personally. But when the **seller** is the aggrieved party, a personal action against the buyer may be worthless — the buyer may be a man of straw, or may have become insolvent, or may be a company in liquidation. English commercial law therefore gave the unpaid seller a set of **proprietary, self-help remedies** that operate on the goods themselves, even though the *property* in those goods has already passed to the buyer and even though the seller has already parted with *possession*. Those remedies are codified, for India, in **Chapter V, ss. 45 to 54** of the Sale of Goods Act, 1930.

The logic of the Chapter is captured in a single sentence: **the seller may hold on to what is still in his hands (lien), may claw back what is still moving towards the buyer (stoppage in transitu), and may finally turn the goods into money (re-sale) — but the contract itself is not automatically wiped out by his doing so (s. 54(1)).**

A WHOLE CHAPTER IN ONE LINE

"**Notwithstanding that the property in the goods may have passed to the buyer**, the unpaid seller of goods, as such, has by implication of law — (a) a lien on the goods for the price while he is in possession of them; (b) in case of the insolvency of the buyer a right of stopping the goods in transit after he has parted with the possession of them; (c) a right of re-sale as limited by this Act." — s. *46(1), verbatim*

Where the Chapter came from

When the Sale of Goods Act, 1930 was enacted it consolidated the scattered provisions of the **Indian Contract Act, 1872** relating to sale, and in doing so it repealed **ss. 76 to 123 of the Contract Act** (originally through s. 65 of the Sale of Goods Act; s. 65 itself was later removed by the Repealing Act of 1938 as a spent provision). Sections 45–54 are substantially the same as **ss. 38–48 of the English Sale of Goods Act, 1893** (now ss. 38–48 of the Sale of Goods Act, 1979). Indian courts therefore still read English decisions on those sections as highly persuasive, which is why *Valpy v. Gibson*, *Whitehead v. Anderson*, *Kemp v. Falk*, *Lickbarrow v. Mason*, *Gallagher v. Shilcock* and *R.V. Ward Ltd. v. Bignall* are leading English authorities on this principle.

A.2 Section 45 — "Unpaid seller" defined

The Sale of Goods Act, 1930 — Section 45 (verbatim)

45. "Unpaid seller" defined.—(1) The seller of goods is deemed to be an "unpaid seller" within the meaning of this Act—

(a) when the whole of the price has not been paid or tendered;

(b) when a bill of exchange or other negotiable instrument has been received as conditional payment, and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument or otherwise.

(2) In this Chapter, the term "seller" includes any person who is in the position of a seller, as, for instance, an agent of the seller to whom the bill of lading has been endorsed, or a consignor or agent who has himself paid, or is directly responsible for, the price.

Breaking the definition into its elements

Element	What it requires	Why the courts read it that way
"The seller of goods"	The person must be the seller, or a person expressly treated as a seller by s. 45(2). A buyer who has paid and later returns the goods is *not* an unpaid seller.	Chapter V creates *sellers'* remedies; a buyer's remedy for money paid is restitution, not lien.
"Is deemed to be"	The status is a legal fiction confined to "the meaning of this Act". It is not the same thing as being a creditor for the price.	It unlocks only ss. 46–54. Rights under other statutes (e.g. IBC, SARFAESI) are unaffected.
"The whole of the price has not been paid *or tendered*" (limb a)	Even one rupee left unpaid keeps the seller within the section; and a mere offer to pay which is not legally a valid tender does not help the buyer.	Lien under s. 47 secures the **whole** price; it is one indivisible lien for the price, and not a series of part-liens.
"Bill of exchange or other negotiable instrument received as conditional payment" (limb b)	If the instrument was taken **as conditional payment** (the ordinary presumption), the seller is unpaid until it is honoured; if it was taken **as absolute payment** (rare, and needs proof), the seller loses the status.	Payment by negotiable instrument is *conditional* until realisation; on dishonour the seller's rights revive as if the instrument had never been given.
"…or otherwise" in limb (b)	The condition may fail for reasons other than dishonour — e.g. the instrument is void, the acceptor becomes insolvent, or the instrument becomes unenforceable.	The words are wide enough to cover every failure of the conditional payment, not merely a technical dishonour.
"Position of a seller" (s. 45(2))	An agent of the seller to whom the **bill of lading** has been endorsed; a **consignor**; or an **agent who has himself paid, or is directly responsible for, the price**.	This mirrors s. 38(2) of the English Act. It protects financing middlemen — confirming houses, export agents, commission agents and freight-forwarders who pay the principal's supplier.

The words "insolvent", "price", "property" and "seller" — the four definitions that decide this topic

Chapter V uses words that are defined elsewhere in the Act. Examiners expect these definitions to be quoted.

The Sale of Goods Act, 1930 — Section 2 (the clauses that matter here), verbatim

2(8) a person is said to be "**insolvent**" who has **ceased to pay his debts in the ordinary course of business, or cannot pay his debts as they become due, whether he has committed an act of insolvency or not**;

2(10) "**price**" means the **money consideration** for a sale of goods;

2(11) "**property**" means the **general property** in goods, and **not merely a special property**;

2(13) "**seller**" means a person who sells or agrees to sell goods;

2(4) "**document of title to goods**" includes a bill of lading, dock warrant, warehouse keeper's certificate, wharfingers' certificate, railway receipt, multimodal transport document, warrant or order for the delivery of goods and any other document used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by endorsement or by delivery, the possessor of the document to transfer or receive goods thereby represented.

THE MOST UNDER-USED DEFINITION IN THIS TOPIC: S. 2(8)

Insolvency under the Sale of Goods Act does not require an adjudication. A buyer is "insolvent" if he has *ceased to pay his debts in the ordinary course of business*, or *cannot pay his debts as they become due* — "whether he has committed an act of insolvency or not". So the seller does not have to wait for an insolvency petition to be filed, or for a company to be admitted to insolvency resolution. What the seller needs is evidence that the buyer has stopped paying debts as they fall due. This definition is the gateway to **s. 47(1)(c)** (lien) and **s. 50** (stoppage in transit).

Modern overlay: for companies and LLPs, insolvency is now regulated by the *Insolvency and Bankruptcy Code, 2016* (Part II for corporate debtors; Part III for individuals and partnerships, which is to be notified, until which the *Presidency-towns Insolvency Act, 1909* and the *Provincial Insolvency Act, 1920* continue). See Part F, F.6.

Is he an unpaid seller? — eight worked verdicts

#	Situation	Verdict
1	A sells a truck to B for ₹12,00,000. B pays ₹11,99,999 and goes silent. A still has the truck.	**Unpaid seller.** "The whole of the price has not been paid" — the residue of ₹1 is enough. A may retain the truck under s. 47.
2	A delivers goods on 30-day credit. Fifteen days later, before the credit period expires, B is declared insolvent and its bank accounts are frozen.	**Unpaid seller**, and the lien *revives* under s. 47(1)(c) notwithstanding the running credit — insolvency ends the period of grace.
3	A takes B's cheque for ₹2,00,000 "in payment". The cheque is dishonoured and returned with the remark "insufficient funds".	**Unpaid seller** under s. 45(1)(b). The cheque was conditional payment; the condition failed on dishonour. (See also ss. 138 and 118 of the Negotiable Instruments Act, 1881.)
4	A takes a *bearer* demand draft from B and hands over the goods. The bank later fails before paying A.	**Arguably an unpaid seller** — the instrument was received as conditional payment and the condition "failed otherwise" than by dishonour, which is expressly covered by the words "or otherwise". The seller's remedy is usually against the bank/issuer first.
5	A has obtained a decree for ₹5,00,000 against B for the price, which is still unsatisfied. A still holds part of the goods.	**Unpaid seller.** s. 49(2) confirms that a lien is *not* lost merely because the seller has obtained a decree for the price.
6	A, an export house, buys goods from an Indian mill, endorses the bill of lading to itself and ships to a foreign buyer. The foreign buyer fails to pay A. A's own payment to the mill is outstanding.	**Unpaid seller** for the limited purpose of s. 45(2) — an agent to whom the bill of lading has been endorsed, and a person "directly responsible for" the price, is placed in the position of a seller.
7	A sells and delivers goods; B pays in full; B later returns the goods for repairs and refuses to pay the repair bill. A holds the goods.	**A is not an unpaid seller of goods** — the price was paid, so the Chapter does not apply. A's remedy, if any, is a bailee's particular lien under s. 170 of the Indian Contract Act, 1872, or a suit for the repair charges.
8	A, the owner under a hire-purchase agreement, terminates the agreement because the hirer has defaulted on instalments. Ten instalments are unpaid.	**Not an "unpaid seller"** — there was no sale: by s. 8 of the Hire-Purchase Act, 1972 property passes to the hirer *only* on completion of the purchase. The owner simply resumes his own goods. (See Part F, F.1.)

A.3 Section 46 — The unpaid seller's rights

The Sale of Goods Act, 1930 — Section 46 (verbatim)

46. Unpaid seller's rights.—(1) Subject to the provisions of this Act and of any law for the time being in force, notwithstanding that the property in the goods may have passed to the buyer, the unpaid seller of goods, as such, has by implication of law—

(a) a **lien** on the goods for the price while he is in possession of them;

(b) in case of the **insolvency of the buyer** a right of **stopping the goods in transit** after he has parted with the possession of them;

(c) a right of **re-sale** as limited by this Act.

(2) Where the property in goods has not passed to the buyer, the unpaid seller has, in addition to his other remedies, a right of **withholding delivery** similar to and co-extensive with his rights of lien and stoppage in transit where the property has passed to the buyer.

Breaking s. 46 into its elements

Words	Effect	Point to note
"Subject to the provisions of this Act"	Chapter V rights are subject to the Act's own limits — e.g. s. 53 (sub-sale/pledge with a document of title defeats the lien), s. 49 (termination of lien), s. 54 (re-sale "as limited by this Act").	Never answer a lien question without asking whether s. 53 has intervened.
"and of any law for the time being in force"	Other statutes prevail where they say so — e.g. a moratorium under s. 14 of the Insolvency and Bankruptcy Code, 2016; the railway administration's own statutory lien under the Railways Act, 1989.	A modern, high-scoring point (see Part F, F.6).
"notwithstanding that the property … may have passed to the buyer"	The rights exist *even though the buyer is now the owner*. This is what makes them extraordinary: they cut across the buyer's ownership, not because the seller owns the goods, but because the price is unpaid.	Contrast: where property has *not* passed, the seller needs no lien at all — s. 46(2).
"by implication of law"	The rights are implied, not contractual. But being implied terms, they can be **negatived or varied** by express agreement, course of dealing or usage — s. 62.	Hence a contract may provide "no lien", or "payment against delivery only", or "cash before despatch".
(a) "a lien on the goods for the price while he is in possession of them"	Practical, possessory remedy. Lasts only so long as possession lasts (ss. 47–49).	The seller's lien is a *special property* in the goods, not the general property — s. 2(11).
(b) "in case of the insolvency of the buyer … stopping the goods in transit"	Available only when the seller has *parted with possession* and only on the buyer's **insolvency** (s. 2(8)).	Not available merely because the buyer is delaying payment while solvent.
(c) "a right of re-sale as limited by this Act"	The re-sale right is not free-standing: it must be earned under s. 54 (perishable goods, or notice plus reasonable time) or reserved by contract under s. 54(4).	Re-sale without complying with s. 54 has serious consequences — the buyer keeps the profit and the seller loses his damages.
s. 46(2) "right of withholding delivery"	Where property has *not* passed, the seller may simply refuse to deliver until paid — "similar to and co-extensive with" lien and stoppage.	Examiners love this sub-section because it is so often forgotten.

A.4 The seller's rights against the buyer personally — ss. 55 to 61

Chapter V is not the whole story. Where the goods cannot be reached — they have been consumed, sub-sold, or destroyed — the seller sues the buyer on the contract. These sections are set out in the Act immediately after s. 54 and are constantly confused with it in examinations.

Section	Remedy	Text / gist (verbatim where quoted)
s. 55(1)	Suits for the price where property has passed	"Where under a contract of sale the property in the goods has passed to the buyer and the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may sue him for the **price** of the goods."
s. 55(2)	Suits for the price though property has not passed	"Where under a contract of sale the price is payable on a **day certain irrespective of delivery** and the buyer wrongfully neglects or refuses to pay such price, the seller may sue him for the price although the property … has not passed and the goods have not been appropriated to the contract."
s. 56	Damages for non-acceptance	"Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may sue him for damages for non-acceptance." Measured by the contract price minus the market price on the date of breach (s. 73 ICA).
s. 60	Repudiation before due date	The aggrieved party may either treat the contract as subsisting and wait, or treat it as rescinded and sue for damages at once.
s. 61	Interest and special damages	Preserves rights to interest, special damages and refund of money paid where consideration has failed; sub-s. (2) empowers the court to award interest on the price from the date of tender of the goods or the date the price was payable.
s. 73 ICA	The general measure of damages	Compensation for loss naturally arising, or which the parties knew would arise, from the breach; the Explanation requires the injured party to take reasonable steps to **mitigate**. *But in Case 37 the court held that s. 54 is "more specific" and prevails over this general section.*
s. 62	Exclusion of implied terms	"Where any right, duty or liability would arise under a contract of sale by implication of law, it may be **negatived or varied** by express agreement or by the course of dealing between the parties, or by usage, if the usage is such as to bind both parties to the contract."
s. 63	Reasonable time a question of fact	"Where in this Act any reference is made to a reasonable time, the question what is a reasonable time is a **question of fact**." — the statutory hook for the holding in *Mysore Sugar* (Case 37).

THE MOST COMMON EXAM ERROR IN THIS TOPIC

Students write that "the unpaid seller can sue for the price under s. 45". There is no such right in s. 45. Section 45 only *defines* the unpaid seller; ss. 46–54 give him rights *against the goods*; the right to sue for the *price* is in **s. 55**, and the right to damages for non-acceptance is in **s. 56**. A second common error is to treat the re-sale right in s. 54 as an automatic consequence of the lien; it is not — s. 54(2) requires either perishable goods or a notice, plus refusal for a reasonable time, plus a re-sale within a reasonable time.

The three pre-conditions on which everything in Chapter V depends

1 · He must be "unpaid"
The whole price, or part of it, or a dishonoured instrument, or an unfulfilled condition of payment — s. 45(1). No unpaid price, no Chapter V.

2 · He must have an immediate right to sue for the price
The lien presupposes that the price is *payable*. While a credit term is running and the buyer is solvent, the lien is in suspense (*Grice v. Richardson*); the buyer's insolvency accelerates it (s. 47(1)(c)).

3 · The goods must still be reachable
In the seller's possession (lien), in transit with an independent carrier (stoppage), or lawfully recoverable after default (re-sale, s. 54). Once a third party has acquired rights under s. 53, Chapter V is exhausted.

DEEPER POINT: WHY THIS IS A "SELF-HELP" REMEDY, AND WHY IT SURVIVES INSOLVENCY

The lien and the right of stoppage are **possessory** remedies. They give the seller something close to security without any registration, court order or contractual charge. That is precisely why they are valuable against an insolvent buyer: an ordinary unsecured creditor lines up with the general body of

creditors, but an unpaid seller who has retained possession (lien) or who can lawfully recapture the goods while they are still in transit (stoppage) never lets the goods enter the insolvent estate at all. The seller is not recovering a debt; he is refusing to part with, or taking back, his own goods.

Two limits keep this from being unfair to the buyer's other creditors: (i) the seller must act **before** the buyer or his agent takes delivery (s. 51), and (ii) the seller must respect rights created by the buyer under a **document of title** (s. 53 proviso) — the point on which *Morvi Mercantile Bank v. Union of India* and *Mercantile Bank of India Ltd. v. Central Bank of India Ltd.* are the leading authorities.

Part B — The Unpaid Seller's Lien: Sections 47, 48 and 49

B.1 What a lien is — and what it is not

A **lien** is the right of a person in possession of goods to **retain** them until a debt due to him is paid. The unpaid seller's lien is therefore *purely possessory*. It gives him no right to sell, no right to use the goods, and no right to sue third parties in respect of them. It is a right to say one sentence: **"not until I am paid."** Its value depends entirely on one physical fact: *the seller must still have the goods.*

It IS

- A **particular lien** — it secures the price of *those very goods*, not a general balance of account (contrast the general lien of bankers, factors, wharfingers and attorneys under s. 171 of the Indian Contract Act, 1872).
- A **special property** in the goods, not the general property (s. 2(11)).
- **Indivisible** — the seller may retain the whole of the goods until the whole of the price is paid; the buyer cannot tender a proportionate sum and demand a proportionate part.
- Available even if the seller holds the goods **as the buyer's agent or bailee** — s. 47(2).

It is NOT

- A right to **sell** the goods. That is the separate right under s. 54, and it must be earned on its own terms. (Contrast the pawnee's power of sale under s. 176 of the Contract Act.)
- A right that survives **loss of possession** — the lien dies with possession (s. 49).
- A right against the buyer **personally** — that is s. 55 or s. 56.
- Available when the credit period is still running and the buyer is solvent — during that window the lien is in suspense, not destroyed.

B.2 Section 47 — Seller's lien

The Sale of Goods Act, 1930 — Section 47 (verbatim)

47. Seller's lien.—(1) Subject to the provisions of this Act, the unpaid seller of goods who is in possession of them is entitled to retain possession of them until payment or tender of the price in the following cases, namely:—

(a) where the goods have been sold **without any stipulation as to credit**;

(b) where the goods have been sold on credit, but the **term of credit has expired**;

(c) where the **buyer becomes insolvent**.

(2) The seller may exercise his right of lien notwithstanding that he is in possession of the goods as **agent or bailee for the buyer**.

The three cases — with the reason for each

Case	Situation	Reason and illustration
(a) No stipulation as to credit	A pure cash sale: "goods to be paid for on delivery".	The buyer never acquired a right to possession without payment. The lien is the natural counterpart of a cash sale. *Illustration:* a shop sells a washing machine on "cash on delivery"; the delivery boy carries it back if the buyer does not pay.
(b) Credit term expired	Goods sold on 30 days' credit; the 30 days have run out and the price is still unpaid.	Once the price becomes due and payable, the seller's right to be paid revives in the form of a possessory right. *Illustration:* a wholesaler who has allowed a month's credit and whose cheque is expected "next month" simply keeps the last consignment in his godown.
(c) Buyer becomes insolvent	Goods sold on credit; before the credit expires, the buyer becomes insolvent within the meaning of s. 2(8).	**Insolvency accelerates the lien.** The credit was given on the faith of the buyer's solvency; when that fails, the seller is not bound to deliver goods for which he will merely have a claim in the insolvency. This is the case that *Ex parte Chalmers* settled in England. *Illustration:* a cement dealer sells on 45 days' credit; on day 20 the buyer's other cheques start bouncing and his factory is sealed; the dealer may retain the undelivered cement.

SUB-SECTION (2): LIEN IN POSSESSION AS AGENT OR BAILEE

A seller who has sold the goods may nevertheless continue to hold them — in his own godown, in a warehouse, or as the buyer's caretaker — after the property has passed. Sub-section (2) makes sure that this change in the *character* of his possession does not destroy his lien. However, the sub-section applies only to possession *as agent or bailee of the buyer in respect of the same goods*: if the seller later takes the goods back for a different purpose (e.g. repairs), the lien does not revive — *Eduljee v. Café John Bros.*, AIR 1940 Nag 311.

B.3 The case law on lien

BLOXAM V. SANDERS AND EX PARTE CHALMERS IN ONE SENTENCE EACH

Bloxam v. Sanders: the lien exists even though the property has passed. **Ex parte Chalmers:** the lien, though suspended by an agreement to give credit, revives on the buyer's insolvency. Together they are the entire core of s. 47(1)(c).

B.4 Section 48 — Part delivery

The Sale of Goods Act, 1930 — Section 48 (verbatim)

48. Part delivery.—Where an unpaid seller has made part delivery of the goods, he may exercise his right of lien on the **remainder**, unless such part delivery has been made under such circumstances as to show an **agreement to waive the lien**.

The section rests on a simple idea. Delivery of part of the goods is *not* a delivery of the whole, and the buyer cannot infer from it that the seller has abandoned his security over the rest. But if the circumstances of the part delivery show that the parties intended to give up the lien altogether — for example, where the seller delivers a part and says "the rest will follow, payment later" — the lien is gone for the residue as well. The burden of showing such an agreement lies on the party who asserts it.

SECTION 48 DISTINGUISHED FROM S. 49(1)(B)

Section 48 is about **part** delivery by the seller himself; s. 49(1)(b) is about the buyer **lawfully obtaining possession** of "the goods". Delivering 10 of 100 bags from the seller's own godown leaves the lien intact on 90 bags; the buyer taking the 90 into his own godown by agreement ends the lien over them. Courts read the two sections together: what matters is whether possession of the *remainder* has passed.

B.5 Section 49 — Termination of lien

The Sale of Goods Act, 1930 — Section 49 (verbatim)

49. Termination of lien.—(1) The unpaid seller of goods loses his lien thereon—

(a) when he **delivers the goods to a carrier or other bailee** for the purpose of transmission to the buyer **without reserving the right of disposal** of the goods;

(b) when the **buyer or his agent lawfully obtains possession** of the goods;

(c) by **waiver** thereof.

(2) The unpaid seller of goods, having a lien thereon, does **not lose his lien by reason only that he has obtained a decree for the price** of the goods.

The three statutory modes of loss — and the fourth mode that the courts added

Mode	Explanation	Authority / illustration
s. 49(1)(a) — delivery to a carrier without reserving the right of disposal	Delivery to a carrier for transmission to the buyer is, in law, delivery to the buyer (see also s. 39(1) and the definition of "delivery" in s. 2(2)). The lien dies the moment the goods leave the seller's control on their way to the buyer — but the **right of stoppage** is born in its place.	If the seller *does* reserve the right of disposal — typically by taking the bill of lading or railway receipt to his own order, or to the order of his agent or banker — the property itself may not pass (s. 19(3)), and the seller keeps his lien. This is the commercial reason for "To order" bills of lading.
s. 49(1)(b) — the buyer or his agent lawfully obtains possession	Once the buyer is in possession, the seller has nothing left to retain. The word "lawfully" protects the seller against a buyer who seizes the goods without right.	*Illustration:* the seller sends 90 bags to the buyer's godown under a delivery note; the lien over those bags is gone, though the lien over the 10 bags still with the seller remains (s. 48).
s. 49(1)(c) — waiver	Waiver may be **express** (a clause "no lien shall be exercised" or "payment within 60 days after delivery") or **implied** from the seller's conduct, e.g. allowing the buyer to deal with the goods, or delivering part on terms showing that the whole lien is surrendered (s. 48).	Waiver must be proved; an agreement to give credit does *not* amount to waiver, because insolvency revives the lien — s. 47(1)(c); *Ex parte Chalmers*.
Estoppel (equitable addition)	Where the seller so conducts himself that a third party is led reasonably to believe that the goods are the buyer's, or that no lien exists, and acts on that belief, he cannot afterwards set up his lien against that third party.	Section 115 of the Indian Evidence Act, 1872. Important where the seller has given the buyer documents or allowed him to deal with the goods, and a third party has advanced money on them (compare *Mercantile Bank of India Ltd. v. Central Bank of India Ltd.*, AIR 1938 PC 117 — Part D).

SECTION 49(2): WHY A DECREE DOES NOT KILL THE LIEN

A seller may sue for the price under s. 55 and, at the same time, be holding the goods. If the very act of suing destroyed his lien, the buyer could defeat the security by the simple device of allowing a decree to be passed. Section 49(2) makes the position clear: the lien survives until the decree is *satisfied*. The same logic explains why a seller who has obtained a decree is still "unpaid" under s. 45(1)(a).

SHEPHERD V. HARRISON (1871) L.R. 5 H.L. 116 — THE AUTHORITY BEHIND S. 48

A seller delivered *part* of the goods and claimed his lien over the remainder. The House of Lords held that the unpaid seller does not lose his lien over the unsold residue merely because he has delivered part of the goods; whether he has lost it depends on the **intention with which the part delivery was made** — a delivery of part is not, without more, a delivery of the whole. That is exactly the rule now enacted in s. 48.

Part C — Stoppage in transitu: Sections 50, 51 and 52

C.1 The nature and history of the right

The right of stoppage *in transitu* (Latin: "in the course of passage") is the unpaid seller's right, on the **insolvency of the buyer**, to **resume possession of the goods while they are still on their way to the buyer** and to retain them until the price is paid or tendered. It is the natural completion of the lien: the lien is a right to *retain* possession; stoppage is a right to *recover* possession.

The remedy was created by the English Chancery in the 18th century and was given a statutory shape by the *Lickbarrow v. Mason* line of cases (1787) and later by the Sale of Goods Act, 1893. It has been described as "a **kind of equitable lien** adopted by the law merchant". Its justification is risk-reallocation: the goods have physically left the seller, but they have not yet reached the buyer's estate; if the buyer is insolvent, it is better that the goods return to the seller, who can still turn them into money, than that they be swallowed by the general body of creditors for a dividend of a few paise in the rupee.

Why the buyer's insolvency is the trigger

A solvent buyer's delay is a breach of contract, and the seller's remedy is a personal action (or lien, if he still holds the goods). But an insolvent buyer's delay threatens the seller with losing both the goods *and* the price. Hence the law allows possession to be pulled back before the goods reach the insolvent estate.

Why it is a drastic remedy

The seller reaches out and takes possession of goods in the hands of a carrier with whom he has no contract, and negates the delivery he himself made. That is why the Act surrounds it with conditions: insolvency, an independent carrier, and goods still "in course of transit", plus strict rules on notice (s. 52).

C.2 Section 50 — Right of stoppage in transit

The Sale of Goods Act, 1930 — Section 50 (verbatim)

50. Right of stoppage in transit.—Subject to the provisions of this Act, when the buyer of goods becomes **insolvent**, the unpaid seller who has **parted with the possession** of the goods has the right of stopping them in transit, that is to say, he may **resume possession** of the goods as long as they are **in the course of transit**, and may **retain them until payment or tender of the price**.

The four conditions of s. 50 — all four must be satisfied

#	Condition	Content	Authority and notes
1	The seller must be **unpaid**	Within s. 45: whole price unpaid or untendered; or a conditional payment (bill/cheque) which has failed. Part-payment does not disqualify him.	*Longbottom & Co. Ltd. v. Bass, Walker & Co.* (1922) WN 245 — a partially paid seller stands in the same position as a wholly unpaid one. But a seller who refuses a valid tender of the price loses the right.
2	The seller must have **parted with possession**	If he still holds the goods, he needs no stoppage — his lien does the work. If he has *reserved the right of disposal* (s. 19(3)), the property itself has not passed and the goods remain his, again making stoppage unnecessary.	Hence the maxim tested by the DU question: "lien ends where the right of stoppage commences."

#	Condition	Content	Authority and notes
3	The buyer must have **become insolvent**	Insolvency here means insolvency as defined in **s. 2(8)**: the buyer has ceased to pay his debts in the ordinary course of business, or cannot pay his debts as they become due, "whether he has committed an act of insolvency or not".	No adjudication is required; but mere unwillingness to pay, or a dispute about quality, is *not* insolvency. The insolvency must occur **before** the goods reach the buyer.
4	The goods must be **in the course of transit**	In the hands of a *carrier or other bailee* who is **independent** of both parties — neither the seller's own agent (then the seller is still in possession: lien) nor the buyer's agent (then the buyer is in possession: transit over).	The seven rules of s. 51 decide this question. "It is not necessary that the goods should be actually moving" — *Berndtson v. Strang* (1868) L.R. 3 Ch. App. 588.

LIEN AND STOPPAGE ARE SUCCESSIVE, NEVER SIMULTANEOUS

The carrier may hold the goods in one of three capacities, and the seller's remedy changes with it:

- **Carrier as the seller's agent** (e.g. the seller's own lorry, his own godown-keeper, his own freight forwarder acting for him): the goods are still in the seller's possession — the **lien** applies, and stoppage is unnecessary.
- **Carrier as an independent bailee** (a railway, a shipping line, a courier, a common carrier): the classic case for **stoppage in transit**, if the buyer is insolvent.
- **Carrier as the buyer's agent** (e.g. a ship chartered by the buyer, or a bailee who has attorned to the buyer): delivery to the buyer is complete in law; the transit is over and **the right is lost**.

SECTION 53 OF THE INDIAN CONTRACT ACT IS NOT THE SAME THING

Do not confuse **s. 53 of the Sale of Goods Act** (sub-sale or pledge by the buyer) with **s. 53 of the Indian Contract Act, 1872** (liability of a person who finds goods belonging to another and takes them into his custody). Different statutes, same number — a classic mistake in the answer book.

C.3 Section 51 — Duration of transit

The Sale of Goods Act, 1930 — Section 51 (verbatim)

51. Duration of transit.—(1) Goods are deemed to be in course of transit from the time when they are **delivered to a carrier or other bailee for the purpose of transmission to the buyer**, until the **buyer or his agent in that behalf takes delivery** of them from such carrier or other bailee.

(2) If the buyer or his agent in that behalf obtains delivery of the goods **before their arrival at the appointed destination**, the transit is at an end.

(3) If, after the arrival of the goods at the appointed destination, the carrier or other bailee **acknowledges to the buyer or his agent that he holds the goods on his behalf** and continues in possession of them as bailee for the buyer or his agent, the transit is at an end and it is **immaterial that a further destination** for the goods may have been indicated by the buyer.

(4) If the goods are **rejected by the buyer** and the carrier or other bailee continues in possession of them, the transit is **not deemed to be at an end**, even if the seller has refused to receive them back.

(5) When goods are delivered to a **ship chartered by the buyer**, it is a question depending on the circumstances of the particular case, whether they are in the possession of the master **as a carrier or as agent of the buyer**.

(6) Where the carrier or other bailee **wrongfully refuses to deliver** the goods to the buyer or his agent in that behalf, the transit is deemed to be **at an end**.

(7) Where **part delivery** of the goods has been made to the buyer or his agent in that behalf, the remainder of the goods may be stopped in transit, unless such part delivery has been given in such circumstances as to show an agreement to give up possession of the whole of the goods.

The seven rules, with the case that explains each

Rule	When transit begins / ends	Leading authority
s. 51(1)	**Begins:** delivery to a carrier or other bailee *for transmission to the buyer*. **Ends:** the buyer or his agent takes delivery from that carrier or bailee.	*G.I.P. Rly. Co. v. Hanmandas*, ILR (1889) 14 Bom 57 — the railway delivered the goods to the buyer and the buyer was loading them on carts when the seller's "stop" telegram arrived; held: the transit was already over and the railway was not bound (or able) to stop the carts. A genuine Indian authority on s. 51(1).
s. 51(2)	If the buyer or his agent **takes delivery before the goods arrive at the destination**, the transit ends at that earlier moment. It does not revive by the goods being sent on to a further destination.	*Lyons v. Hoffnung* (1890) 15 App Cas 391 (PC) — goods were sent to Sydney, whence the buyer intended to carry them to Kimberley on the same ship; held that the mere presence of the buyer on the ship did not end the transit, since the carrier was still carrying the goods as carrier.
s. 51(3)	After arrival, if the carrier **acknowledges** to the buyer that he holds the goods for him and continues to hold as the buyer's bailee, the transit ends — even if the buyer has ordered the goods on to a further destination.	*Whitehead v. Anderson* (1842) 9 M&W 518 — on arrival the buyer's agent asked for the timber, but the master refused to deliver unless the freight was paid; held that no constructive possession had passed to the buyer, the transit had not ended, and the seller's notice was effective. The only duty on an absent principal is "to use reasonable diligence to prevent delivery".
s. 51(4)	If the **buyer rejects the goods** and the carrier keeps them, the transit **continues** — even if the seller has refused to take them back. The goods are, in effect, going back.	*James v. Griffin* (1837) 2 M&W 623 — the buyer's son was sent to land the goods but said the buyer did not intend to take them owing to insolvency; the seller's stop notice was held effective, since the goods had never been accepted.
s. 51(5)	Where the goods go into a **ship chartered by the buyer**, whether the master holds as a carrier or as the buyer's agent is a **question of fact**. If he is the buyer's agent, the transit ends as soon as the goods are loaded.	*Kemp v. Falk* (1882) 7 App Cas 573 (HL) and *Ex parte Rosevear China Clay Co.* (1879) 11 Ch D 560 — where the buyer chartered a ship and told the seller to load at Fowey, without disclosing the destination and without any bill of lading, the seller's notice of stoppage was held effective; James L.J.: "When the vendor knows that he is delivering the goods to some one as carrier, who is receiving them in that character, he delivers them with the implied right of stopping them so long as they remain in the possession of the carrier."
s. 51(6)	If the carrier **wrongfully refuses** to deliver to the buyer or his agent, the transit is treated as **at an end** — the seller cannot rely on the carrier's own wrong to keep the right of stoppage alive.	*Bird v. Brown* (1850) 4 Ex 786 — after the bankruptcy trustee had formally demanded the goods, a stranger gave a stop notice which the carrier obeyed, refusing delivery. Held: there could be no valid stoppage after the demand; the master was bound to deliver, and could not by his wrongful detention prolong the transit.
s. 51(7)	Where part of the goods has reached the buyer, the **remainder may still be stopped**, unless the part delivery was made in circumstances showing an agreement to give up possession of the whole.	*Illustration:* X sells 1,000 quintals of rice to Y. Six hundred quintals have reached Y; while 400 quintals are still in transit Y becomes insolvent. X stops the 400 and may hold them **until the price of the whole 1,000 quintals is paid** — the lien and the stoppage both secure the whole price, not a rateable part.

THE "TRANSIT" IS ABOUT CAPACITY, NOT MOVEMENT

Goods sitting in a railway godown or in a ship's hold are still "in transit" if the person holding them holds them *as a carrier* for transmission to the buyer. Conversely, goods actually moving in the buyer's own lorry are not in transit at all. *Berndtson v. Strang* (1868) L.R. 3 Ch. App. 588 adds a further limit: the seller's right attaches to **the goods themselves in the state in which they arrive** — if the goods arrive damaged, the seller cannot reach insurance moneys paid to the buyer in respect of the loss; Lord Cairns L.J. held that "there is no contract or agreement which entitles the vendor to go beyond those goods in the state in which they arrive".

C.4 Section 52 — How stoppage in transit is effected

The Sale of Goods Act, 1930 — Section 52 (verbatim)

52. How stoppage in transit is effected.—(1) The unpaid seller may exercise his right of stoppage in transit either by **taking actual possession** of the goods, or by **giving notice of his claim** to the carrier or other bailee in whose possession the goods are. Such notice may be given either to the **person in actual possession** of the goods or to **his principal**. In the latter case the notice, to be effectual, shall be given at such time and in such circumstances that the principal, by the exercise of **reasonable diligence**, may communicate it to his servant or agent **in time to prevent a delivery to the buyer**.

(2) When notice of stoppage in transit is given by the seller to the carrier or other bailee in possession of the goods, he shall **re-deliver the goods** to, or according to the directions of, the seller. The **expenses of such re-delivery shall be borne by the seller**.

The case law on notice and on the carrier's duty

Authority	Facts in brief	Principle useful for s. 52
Litt v. Cowley (1816) 7 Taunt 169	After the seller's notice to stop had been received, the carrier, by mistake, delivered the goods to the buyer. The buyer's assignees in bankruptcy then claimed them.	A notice duly received binds the carrier: delivery thereafter is wrongful, and the carrier is **liable in damages (conversion)**; the buyer or his trustee in bankruptcy must **restore the goods** to the seller on demand.
Whitehead v. Anderson (1842) 9 M&W 518	The buyer's agent asked the master for the timber, but the master refused to deliver until the freight was paid; meanwhile the seller's notice arrived.	The duty imposed on the absent principal is only "to use **reasonable diligence** to prevent delivery". Since the buyer had not obtained constructive possession, the notice was effective.
Kemp v. Falk (1882) 7 App Cas 573, 585 (Lord Blackburn)	Salt was shipped to Calcutta; the buyer accepted a draft and the bills of lading were then endorsed to bankers for value, before the buyer's insolvency became known.	Explains the whole machinery: notice to the shipowner is "a very good way" of stopping goods in transitu, because the shipowner knows where his master is; and if the bill of lading has been endorsed for value, the stoppage **cannot defeat the rights of the endorsee** — it can only reach what remains (compare s. 53 proviso and s. 54(2)).
Berndtson v. Strang (1868) L.R. 3 Ch. App. 588	Goods sold on credit; the buyer's insolvency intervened; the question was what the seller could stop.	Stoppage reaches **the goods themselves in the state in which they arrive**, and not moneys (e.g. insurance recoveries) payable to the buyer for their loss. Physical movement is not necessary for a "transit".
Ramdas Vithaldas Durbar v. S. Amarchand & Co. (1916) 43 IA 164 (PC)	Railway receipts had been pledged for advances; the sellers sought to stop the goods in transit.	The sellers were **not entitled to stop the goods except upon payment or tender to the pledgee of the advances** made by it — the pre-1930 ancestor of the s. 53 proviso.

C.5 Lien and stoppage in transit compared — the classic examination table

#	Point	Right of LIEN (ss. 47–49)	Right of STOPPAGE (ss. 50–52)
1	Nature of the right	A right to **retain** possession already held.	A right to **regain** possession which has been lost.
2	Where are the goods	In the seller's own possession.	In the possession of a carrier or other bailee, in course of transit.
3	Buyer's solvency	May be exercised although the buyer is **solvent** — e.g. where there was no credit or the credit has expired.	Can be exercised **only when the buyer has become insolvent** (s. 2(8)).
4	When it begins	As soon as the seller is unpaid and any one of the three cases of s. 47(1) applies.	When possession has been parted with and the goods are in the course of transit.
5	When it ends	On delivery to a carrier/bailee without reserving the right of disposal, the buyer lawfully obtaining possession, or waiver — s. 49.	On the buyer or his agent taking delivery; or on loss of the "in transit" character — s. 51.
6	Who exercises it	The seller himself, simply by holding on to the goods; no notice is required.	The seller, by taking actual possession or by notice to the carrier or his principal; notice must be timely — s. 52.
7	Effect on the contract	No rescission — s. 54(1). The buyer may still pay and claim the goods.	No rescission — s. 54(1). The buyer may still pay or tender the price.
8	Who bears expense	None beyond retaining the goods (and see *Somes v. British Empire Shipping Co.*: the seller cannot charge storage after tender of the price).	The seller bears the expenses of re-delivery — s. 52(2).
9	Can they co-exist?	**No.** They are successive, not simultaneous. Delivering the goods to the carrier kills the lien (s. 49(1)(a)) and creates the right of stoppage; when the seller successfully stops the goods and they come back into his hands, the **lien revives** — that is the entire point of the DU maxim "lien ends where the right of stoppage commences".	
10	Defeat by a document of title	Both rights are defeated (if the transfer is by way of sale) or subordinated (if by way of pledge) by a transfer of a document of title to a good-faith transferee for consideration — **s. 53 proviso**.	

FOUR MISTAKES THAT LOSE MARKS ON S. 50–52

1. Writing that the seller may stop the goods because the buyer *has not paid*. The buyer must be **insolvent** — non-payment, however wrongful, is not enough.
2. Forgetting that the goods must be with an **independent** bailee. If the seller's own agent holds them, it is a case of lien; if the buyer's agent holds them, the transit is over.
3. Saying that stoppage **rescinds** the contract. It does not — s. 54(1); the buyer may still pay or tender and demand the goods.
4. Ignoring s. 53. A stop notice which ignores the rights of an endorsee-bank (or of a buyer who holds a document of title) will not succeed against that transferee.

Part D — Transfer of Goods by the Buyer and the Seller: Sections 53 and 54

D.1 The problem that s. 53 solves

The unpaid seller's lien and right of stoppage are useless if the buyer can destroy them by dealing with the goods. Suppose B buys goods from A on credit, and before paying for them resells them to C, or pledges them to a bank. Whose right prevails — A's lien, or C's purchase, or the bank's pledge? Section 53 answers in three tiers:

1. **The buyer's sub-sale or pledge of the** *goods* **alone does not affect the seller.** A sub-purchaser "takes the property subject to the same restrictions that his immediate vendor held it under", and a pledgee of the goods takes nothing more than the buyer had. So A's lien or stoppage survives (s. 53(1), main limb), unless A *assented* to the dealing.
2. **But a** *document of title* **changes everything.** Documents of title — bills of lading, railway receipts, warehouse-keeper's certificates, dock warrants, delivery orders, multimodal transport documents — are the currency of commerce precisely because they can be transferred. If a document of title has been issued or lawfully transferred to the buyer (or owner) and he transfers it to a person who takes it **in good faith and for consideration**, then (a) a transfer **by way of sale defeats** the seller's lien and stoppage; (b) a transfer **by way of pledge or other disposition for value** leaves the seller's rights alive but **subject to the rights of the transferee** (the proviso to s. 53(1)).
3. **Even against a pledgee, the seller gets a small relief:** under s. 53(2) he may require the pledgee to satisfy the amount secured by the pledge, as far as possible, **first out of any other goods or securities of the buyer in the pledgee's hands** and available against the buyer.

D.2 Section 53 — Effect of sub-sale or pledge by buyer

The Sale of Goods Act, 1930 — Section 53 (verbatim)

53. Effect of sub-sale or pledge by buyer.—(1) Subject to the provisions of this Act, the unpaid seller's right of lien or stoppage in transit is **not affected** by any sale or other disposition of the goods which the buyer may have made, **unless the seller has assented thereto**:

Provided that where a **document of title to goods** has been issued or lawfully transferred to any person as buyer or owner of the goods, and that person transfers the document to a person who takes the document **in good faith and for consideration**, then, if such last mentioned transfer was **by way of sale**, the unpaid seller's right of lien or stoppage in transit is **defeated**, and, if such last mentioned transfer was **by way of pledge or other disposition for value**, the unpaid seller's right of lien or stoppage in transit can **only be exercised subject to the rights of the transferee**.

(2) Where the transfer is by way of pledge, the unpaid seller may require the pledgee to have the amount secured by the pledge satisfied **in the first instance, as far as possible, out of any other goods or securities of the buyer in the hands of the pledgee and available against the buyer**.

Section 53 broken into its elements

Element	Content	Case law / illustration
Main rule — sub-sale of the goods	A buyer's resale of the *physical goods*, without any transfer of a document of title, does not defeat the unpaid seller. The sub-purchaser buys subject to the seller's rights.	*McEwan v. Smith* (1849) 2 H.L. Cas. 309 — goods lay in N's warehouse; A sold to B against a bill of exchange and gave B a delivery order on N; B resold to C; before C took delivery, B became insolvent and A warned N not to deliver. Held: A had not lost his lien and could hold the goods against C.
Exception 1 — the seller's **assent**	If the seller has assented to the buyer's sale or other disposition, he cannot afterwards assert his lien or stoppage against the disponee. Assent may be express or implied from conduct.	Assent is a question of fact; a seller who hands over delivery orders, allows the buyer to deal with the goods in his own name, or stands by while the sub-sale is completed, may be taken to have assented.
Exception 2 — transfer of a **document of title** to a good-faith purchaser for consideration **by way of sale**	The seller's lien and stoppage are **defeated outright**. Property in the goods passes to the transferee; the seller is left with his personal claim against the buyer.	*Lickbarrow v. Mason* (1787) 2 T.R. 63 established this for bills of lading; s. 53 now covers all documents of title within s. 2(4) — railway receipts, dock warrants, multimodal transport documents, delivery orders "used in the ordinary course of business as proof of the possession or control of goods".
Exception 3 — transfer of a document of title **by way of pledge or other disposition for value**	The seller's rights survive, but are **subordinate** to the pledgee's. The seller must pay off (or tender) what is secured to the pledgee before he can take the goods.	*Kemp v. Falk* (1882) 7 App Cas 573, 581 — the endorsement of the bill of lading to bankers for value "defeated the right of stoppage in transitu at law", but the unpaid vendor could still "stop in transitu everything which was not covered by that pledge". *Ramdas Vithaldas Durbar v. S. Amarchand & Co.* (1916) 43 IA 164 (PC) — the sellers could not stop the goods "except upon payment or tender to the pledgee of the advances made by them".
s. 53(2) — relief to the seller against the pledgee	Where the transfer is a pledge, the seller may require the pledgee to recover his money out of the buyer's *other* goods or securities in the pledgee's hands first, so that the seller's goods are left to secure the seller.	A purely equitable marshalling rule. *Illustration:* a bank holds, besides the pledged consignment, government securities of the buyer; the seller may ask the bank to realise those securities first.
"Good faith"	Good faith is judged under s. 3(22) of the General Clauses Act, 1897: a thing is done in good faith if it is in fact done **honestly**, "whether it is done negligently or not". Knowledge that the goods are still unpaid for does *not* by itself amount to bad faith; knowledge that the buyer is insolvent, or of circumstances making the document not "fairly and honestly assignable", does.	So the seller cannot defeat the transferee merely by showing that the transferee knew the price was unpaid. The relevant knowledge is of a defect in the transferor's title or authority.

D.4 Section 54 — Sale not generally rescinded by lien or stoppage in transit

The Sale of Goods Act, 1930 — Section 54 (verbatim)

54. Sale not generally rescinded by lien or stoppage in transit.—(1) Subject to the provisions of this section, a contract of sale is **not rescinded** by the mere exercise by an unpaid seller of his right of lien or stoppage in transit.

(2) Where the goods are of a **perishable nature**, or where the unpaid seller who has exercised his right of lien or stoppage in transit gives **notice to the buyer of his intention to re-sell**, the unpaid seller may, if the buyer does not within a **reasonable time** pay or tender the price, **re-sell the goods within a reasonable time** and recover from the original buyer **damages for any loss occasioned by his breach of contract**, but the **buyer shall not be entitled to any profit** which may occur on the re-sale. If such notice is not given, the unpaid seller **shall not be entitled to recover such damages** and the **buyer shall be entitled to the profit**, if any, on the re-sale.

(3) Where an unpaid seller who has exercised his right of lien or stoppage in transit re-sells the goods, the buyer acquires a **good title** thereto as against the original buyer, **notwithstanding that no notice** of the re-sale has been given to the original buyer.

(4) Where the seller **expressly reserves a right of re-sale** in case the buyer should make default, and, on the buyer making default, re-sells the goods, the **original contract of sale is thereby rescinded**, but without prejudice to any claim which the seller may have for damages.

Sub-section by sub-section: what each part actually does

Sub-section	Rule	Why it matters in an answer
s. 54(1)	Neither the exercise of the lien nor the exercise of the right of stoppage **rescinds** the contract. Stoppage merely "replaces the seller in the position of an unpaid seller who has not parted with the possession of the goods"; his further rights are the same as before.	The buyer may still perform — pay or tender the price — and demand the goods. The seller cannot treat the contract as at an end merely because he has resumed possession.
s. 54(2) — gateway 1: **perishable goods**	No notice of intention to re-sell is required; but the buyer must still fail to pay within a reasonable time, and the re-sale must itself be within a reasonable time.	"Perishable" is judged *in the commercial sense* — goods which will deteriorate or lose value quickly (fruit, milk, newspapers, seasonal stock), and arguably goods whose market is falling fast in a trade sense.
s. 54(2) — gateway 2: **notice of intention to re-sell**	A notice makes the time of payment "of the essence": the buyer must pay or tender within a reasonable time, failing which the seller may re-sell within a reasonable time and recover his loss from the buyer as damages.	The notice need not be in any particular form, nor need it fix a specific deadline; but it must be clear, and it must reach the buyer before the re-sale.
s. 54(2) — **the profit rule**	Where the conditions of the sub-section are satisfied, the **buyer is not entitled to any profit** on the re-sale. But if the notice which the sub-section requires is **not given** (i.e. in a non-perishable case), the seller **cannot recover his damages** *and* the **buyer is entitled to the profit** on the re-sale.	This is the single most-tested sentence in the whole of Chapter V. It is the basis of two DU questions (see Part G, Sets E and F).
s. 54(3)	The sub-purchaser on the re-sale gets a **good title as against the original buyer**, even if no notice of the re-sale was given to the original buyer.	An express exception to *nemo dat quod non habet* (Topic 7, s. 27). It protects the re-sale purchaser, not the seller: the original buyer cannot recover the goods from him, though he may sue the seller for damages if the re-sale was unlawful.
s. 54(4)	Where the seller has **expressly reserved** a right of re-sale in the contract, a re-sale after the buyer's default **rescinds the contract**, without prejudice to the seller's claim for damages.	Here the seller acts under his *own contractual bargain*, not under a statutory power; hence no notice is required, and the contract comes to an end on the re-sale — so the buyer cannot claim any profit.

Section 54(2) versus section 54(4) — a comparison examiners love

Point	Re-sale under s. 54(2)	Re-sale under s. 54(4)
Source of the power	Statutory, implied by law in favour of an unpaid seller who has exercised lien or stoppage.	Contractual — the seller has expressly reserved the right of re-sale in the contract itself.
Notice	Required where the goods are *not* perishable; not required for perishable goods.	Not required; the right is exercised on the buyer's default under the contract's own terms.
Effect on the contract	The contract is **not** rescinded (s. 54(1)); the seller's re-sale is a remedy, and he remains accountable in the manner laid down by s. 54(2).	The original contract of sale **is rescinded** by the re-sale, "but without prejudice to any claim which the seller may have for damages".
Profit on re-sale	With notice (or perishable goods): the seller keeps it; the buyer is not entitled to any profit. Without notice (non-perishable): the buyer is entitled to the profit and the seller loses his damages.	The seller keeps it. Since the contract is rescinded and the seller re-sells as owner under the reserved right, the buyer has no claim to the surplus.
Damages	Recoverable only if the sub-section's requirements (notice/perishability, reasonable time to pay, reasonable time to re-sell) are satisfied.	Recoverable "without prejudice": rescission does not destroy the seller's claim for damages for the buyer's breach.
Real-life form	Almost every commercial contract of supply in India — steel, cement, sugar, molasses — contains a "re-sale on default" clause, which is really s. 54(4) in action.	e.g. "In the event of default in payment, the Seller shall be at liberty to re-sell the goods and the Buyer shall make good the loss."

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #44 - #47

CASE #44 DU LL.B. PRESCRIBED AUTHORITY (CASE 37)

Mysore Sugar Co. Ltd., Bangalore v. Manohar Metal Industries, Chikpet, Bangalore

AIR 1982 Kant. 283 · Karnataka High Court · G.N. Sabhahit J. · DU CASE 37 · p. 247 · headnoted in the Faculty's reader as "[Section 54 — Right of an un-paid seller]" · An unpaid seller who re-sells three months late, in a falling market, cannot make the buyer pay for the delay.

WHY THE FACULTY PUT THIS CASE HERE

Chapter V gives the unpaid seller a right of re-sale under s. 54(2) — but that right is **conditional**. The buyer must be given the chance to pay within a reasonable time, and the re-sale itself must be effected within a reasonable time. *Mysore Sugar* is the Indian decision which examines both "reasonable time" requirements against a **falling market**, insists on the seller's **duty to mitigate** and on the seller's **burden of proving damages**, and holds that s. 54 — being the specific provision for moveable property sold — **prevails over the general s. 73 of the Indian Contract Act, 1872**. It is the only case in the DU Case Material on Chapter V, and it comes to the High Court as an appeal from a dismissed suit.

FACTS — AS NARRATED IN THE FACULTY'S CASE MATERIAL (PP. 247–249)

The parties. The Mysore Sugar Company Ltd., Bangalore (the **plaintiff**) had at its works at Mandya certain items — copper ingots, copper scrap and brass tubes. Manohar Metal Industries, Chikpet, Bangalore (the **defendant**) was in the metal trade and wished to buy them.

The contract. The Company **advertised the sale** of these items by a notification dated **27 July 1966**. The defendant, by its letter dated **30 June 1966** (as printed in the report), **offered to purchase** the items, and the plaintiff **accepted** the offer. On acceptance there was an *unconditional contract of sale*, with stipulations as to payment of the price and delivery of the goods to follow.

Performance begins — and stops. The defendant **lifted some of the items on part-payment**. When it came to lifting the copper ingots, he asked for **time to pay the balance** and to remove the ingots, which first had to be separated from other material with which they were mixed. Under the contract the defendant had to lift **2,000 kg of copper scrap and 2,000 kg of copper ingots, valued at ₹ 48,503·96**.

The buyer's complaint. The defendant wrote to the plaintiff on **28 April 1966** (as printed) raising objections about the **percentage of copper content** in the articles — his case being that what the advertisement offered was "copper scrap and copper ingots", whereas what was found at the spot was an **alloy and not pure copper**.

The seller's reply. By its intimation dated **12 September 1966** (**Exhibit D-8**) the plaintiff told the defendant that **no certificate of purity of the metal would be given**, that the material had been sold on an **"as is and where is"** condition, and that if the goods were not lifted **within three days**, the contract would be treated as **cancelled**.

Persistent default. In spite of repeated reminders and demands the defendant did not take delivery of the remaining goods and did not remit the value. A further letter dated **22 November 1966** (**Exhibit D-10**) also met with no favourable response; by that letter the plaintiff made its intention clear that **the buyer must lift the goods on payment, failing which the goods would be re-sold and the defendant would be liable for any loss caused**.

The re-sale. The plaintiff then re-sold the copper tubes and copper ingots **through an advertisement dated 30 December 1966** to **M/s Karnataka Hardware, Avenue Road, Bangalore**. On the re-sale the plaintiff claimed to have incurred a **loss of ₹ 8,643·96**.

The suit. A legal notice was issued; the defendant did not make good the loss. The plaintiff therefore sued for recovery of **₹ 8,643·96 less ₹ 500** (the defendant's initial deposit), that is **₹ 8,143·96**, together with costs and interest.

THE DEFENDANT'S CONTENTIONS (AS RECORDED IN THE JUDGMENT)

1. The suit was **not tenable**.
2. What was offered in the advertisement was **copper scrap and copper ingots**, but what was found at the spot was an **alloy and not pure copper**; consequently the **plaintiff itself had committed a breach of contract**.
3. The plaintiff had **no right to re-sell**; compensation, if any, could be recovered only under the general principles contained in **s. 73 of the Indian Contract Act, 1872**; **s. 54 of the Sale of Goods Act, 1930 was not applicable**.
4. The defendant was therefore **not liable to pay any damages** — and, on the contrary, he claimed **compensation of ₹ 1,000**.

ARGUMENTS OF THE TWO SIDES BEFORE THE HIGH COURT

For the plaintiff-Company (appellant)

- There was an unconditional contract of sale; the property in the goods passed to the buyer; that is precisely the situation in which s. 54(2) applies.
- The Company gave the buyer clear notice, by Exhibit D-10, of its intention to re-sell and of his liability for the loss; the condition in s. 54(2) was therefore satisfied.
- The buyer defaulted despite repeated demands, so the Company was entitled to re-sell and recover the loss of ₹ 8,643·96 as damages, reduced by the ₹ 500 deposit.
- The Company examined P.W. 2 — the purchaser in the re-sale — to prove the price realised; the shortfall is the measure of the loss.

For the defendant-respondent

- The material was described as copper scrap and ingots but was in fact alloy; the Company having failed to supply what it advertised, there was no default by the buyer at all.
- Section 54 of the Sale of Goods Act has no application; only s. 73 of the Contract Act governs, and under that section no loss has been proved.
- In any event there was **no re-sale within a reasonable time** as s. 54(2) requires: the breach (if any) occurred in September 1966, but the re-sale advertisement appeared only on 30 December 1966.
- **P.W. 2 himself admitted** that prices were higher about three months earlier and had since fallen; the Company waited three months although the market was falling, so the loss, if any, is the result of its own delay and not of the buyer's breach.

THE POINTS FOR DETERMINATION (VERBATIM FROM THE JUDGMENT)

"(1) Whether the Courts below were justified in holding that the defendant committed breach of contract? (2) Whether the learned Civil Judge was justified in dismissing the suit for damages?"

CASE #45 UNPAID SELLER LEADING AUTHORITY

Bloxam v. Sanders (1825) 4 B. & C. 941

Court of King's Bench · Bayley and Holroyd JJ. · the fountainhead of the seller's lien · Property may have passed; possession is what pays.

FACTS

Goods (dealings in hops) were sold and the property in them passed to the buyer, but the seller retained possession because the price had not been paid; the buyer gave bills which were dishonoured, and the buyer then went bankrupt. The trustee in bankruptcy demanded the goods from the seller, who refused to hand them over except against payment, and the dispute came up in the form of an action for conversion or trover.

ISSUE

Can an unpaid seller who has retained possession refuse to deliver the goods until the price is paid, even though the property in the goods has passed to the buyer and the buyer has become bankrupt?

DECISION

Yes. The seller's lien was upheld. Bayley J. explained that a seller who has not been paid has a lien on the goods in his possession, and that the lien may be enforced notwithstanding that the property has passed and notwithstanding the buyer's bankruptcy; the buyer (or his assignee) cannot demand possession until he pays or tenders the price.

PRINCIPLE EVOLVED

The seller's lien is a **possessory right which survives the passing of property**, and it is not destroyed by the buyer's insolvency. This is the principle that ss. 46 and 47 of the Indian Act now codify — and the reason s. 47 lists the buyer's insolvency as a distinct ground for lien.

CASE #46 UNPAID SELLER LEADING AUTHORITY

Ex parte Chalmers, In re Edwards (1873) L.R. 8 Ch. App. 289

Court of Appeal in Chancery · Mellish L.J. · the insolvency of the buyer revives the lien · Credit is given on the faith of solvency; when solvency fails, credit fails with it.

FACTS

A contract for the sale of iron provided for payment on a credit term. Before the term had expired the buyer committed an act of bankruptcy. The goods were still in the seller's hands when the trustee in bankruptcy claimed them for the estate, and the seller refused to deliver unless the price was paid.

ISSUE

Does a stipulation for credit survive the buyer's insolvency, so as to compel the seller to deliver without payment and then prove in the bankruptcy for the price?

ARGUMENTS

For the trustee in bankruptcy

- The contract gave credit; the seller must perform his part and take his place among the creditors.
- Bankruptcy does not put an end to the contract (*semble*), so the stipulation as to credit should be given effect.

For the seller

- Credit was extended on the assumption that the buyer was solvent; the bankruptcy has destroyed the foundation of the arrangement.
- The seller still had the goods; he was entitled to hold them until the price was paid.

DECISION

The seller prevailed. The insolvency of the buyer **revives** the unpaid seller's lien, and the trustee cannot compel delivery without payment, even though the credit period has not yet run out.

PRINCIPLE EVOLVED

An agreement to give credit is **not an absolute waiver of the lien**; it merely suspends it for the period of credit on the assumption of the buyer's continued solvency. The buyer's insolvency therefore cancels the suspension and restores the lien — codified in s. 47(1)(c).

CASE #47 UNPAID SELLER LEADING AUTHORITY

Morvi Mercantile Bank Ltd. v. Union of India, AIR 1965 SC 1954: (1965) 35 Comp Cas 620

Supreme Court of India · Constitution Bench · the leading Indian authority on documents of title, pledge and stoppage · A railway receipt is a document of title: pledging the paper pledges the goods.

FACTS

A firm consigned goods (menthol crystals, valued at about ₹ 35,500) by rail from Bombay for delivery at Delhi and obtained the **railway receipts**. To raise an advance of ₹ 20,000, the firm **endorsed and delivered the railway receipts to the Morvi Mercantile Bank** as security. The consignment was never delivered: the railway offered the bank certain boxes which, on inspection, contained a different commodity (caustic soda) and not the goods consigned. The bank, as endorsee of the receipts, sued the Union of India (the railway administration) for the value of the goods.

ISSUES

- Is a railway receipt a "document of title to goods" within the meaning of the Contract Act and the Sale of Goods Act?
- Does the endorsement of the railway receipt for consideration operate as a **pledge of the goods** represented by it, or only of the paper?
- Can the endorsee-bank sue the railway for the loss of the consignment?

ARGUMENTS

For the bank (endorsee)

- A railway receipt is expressly included in the definition of "document of title to goods" in s. 2(4) of the Sale of Goods Act, 1930, and in the Explanation to s. 178 of the Contract Act as it stood after the 1930 amendment; it is also a "mercantile document of title to goods" under s. 137 of the Transfer of Property Act.
- Under s. 178 the owner of goods may pledge them by transferring the document of title; a pledge of the document is therefore a pledge of the goods, and the pawnee has the rights of a pledgee in possession, including a right to sue for their loss.
- The older view that a railway receipt was a mere "symbol" and not a document of title was the English view, and India deliberately departed from it by including the railway receipt in the statutory definition.

For the Union of India (railway)

- A railway receipt is not a bill of lading; it is not negotiable in the full sense, and the railway's obligation runs to the consignee named in it or his nominee, not to a stranger-endorsee.
- Under the railway law and the conditions of carriage, a transfer of the receipt has effect only if the railway is notified and agrees to hold the goods for the transferee; merely endorsing the paper cannot bind the carrier.
- The bank, if only a pledgee of the documents, must sue in the name of the consignor; it cannot claim the whole value of the goods as if it were the owner.

DECISION

By a **majority**, the Supreme Court held that **a railway receipt is a document of title to goods**, that the firm had, by endorsing the receipts to the bank for consideration, **pledged the goods covered by the receipts** to the bank, and that the bank was the **pawnee of the goods** and could enforce its rights as such. The Court reasoned that the Sale of Goods Act, the Contract Act (as amended in 1930) and the Transfer of Property Act all treat the railway receipt as a mercantile document of title, and that if the owner could not pledge goods by transferring the document, the absurd result would follow that his *agent* could do what the owner could not.

PRINCIPLE EVOLVED

- **A pledge of a document of title is a pledge of the goods** it represents; constructive delivery of the document is delivery of the goods for the purposes of ss. 172–179 of the Contract Act.
- **A railway receipt ranks with a bill of lading** for the purposes of the right of stoppage in transit and of a valid pledge under s. 178 of the Contract Act — which is exactly what s. 53 proviso and s. 30(2) of the Sale of Goods Act assume.
- Consequently, in a s. 53 dispute the question is never merely "who holds the goods?" but "who holds the **document**, in what capacity, for what consideration and in what good faith?"

PYQ ARCHIVE // CH.08 Previous Year Questions (DU LL.B. Examinations)

Q.1 2017 LL.B. LB-304 · Q. 8(b) Who is an unpaid seller under the Sale of Goods Act, 1930? When can an unpaid seller exercise the right of stoppage in transit? How does the seller's lien differ from the right of stoppage in transit? Discuss.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 2015 LL.B. LB-304 · Q. 1(a) Define Unpaid Seller. When can an unpaid seller exercise his right of lien on the goods, and when does he lose his lien thereon?

Q.3 2015 LL.B. LB-304 · Q. 1(b) The goods sold were delivered to the buyer's shipping agents, who had put them on board a ship. But the goods were returned to the seller for packing. While they were still with the seller for this purpose the buyer became insolvent, and the seller, being an unpaid seller, claimed to retain the goods in the exercise of his lien. Advise the seller.

Q.4 2015 LL.B. LB-304 · Q. 6 By implications of law examine the validity of the following statement: Lien ends where the right of stoppage commences.

Q.5 2015 LL.B. LB-304 · Q. 8 (short notes) Write notes on any two of the following, referring to case law to justify your answer: … (c) Unpaid seller & his rights.

Q.6 2012 CT-OC LL.B. (CT & OC) · Q. 6(a) and 6(b) (a) Discuss the right of lien and the right of re-sale of an unpaid seller. (b) How may the unpaid seller's right of lien be lost?

Q.7 2013 CT-OC LL.B. (CT & OC) · Q. 1 A sold to B a scooter for ₹ 7,000. B paid the whole price except ₹ 3,000, which he promised to pay within 5 days. A held possession of the scooter until the rest of the money was paid. But before the expiry of the stipulated time B became insolvent. A re-sold the scooter to C for ₹ 7,500 without giving notice to B. B claims ₹ 500 from A, being the profit on the re-sale. Is A liable to pay ₹ 500 to B?